Tata Motors PVeh (TMPV)

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Dear Sirs,

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Sub: Transcript of the 1QFY23 Earnings Discussion

We enclose herewith a copy of the Transcript s of Confere nce Call held on Wednesday, July 27, 2022, in respect of the financial results for the quarter ended June 30, 2022.

This is for your information and records.
Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Company Secretary

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National Stock E xchange of India Ltd.
Listing Compliance Department
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Tata Motors Limited
July 27, 2022

MANAGEMENT : MR. THIERRY BOLLORE – CEO, JAGUAR LAND ROVER
MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – CFO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS
LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML

Sneha Gavankar:
Apologies for the delay. Welcome to the Tata Motors Q1 FY 23 earnings conference call. I am joined today by Mr Thierry Bolloré, CEO, Jaguar Land Rover, Mr P.B. Balaji, Group CFO, Tata Motors, Mr Girish Wagh, Executive Director, Tata Motors, Mr Shailesh Chandra, MD, Tata Motors Passenger Vehicle s Limited and Tata Pass enger Electric Mobility Limited, Mr Adrian Mardell, CFO, Jaguar Land Rover, and my colleagues from the Investor Relations team. Today, we plan to walk you through the earnings presentation, followed by Q&A. As a reminder, all participant lines will be in listen -only mode and we will b e taking questions via the team s platform, which is already open fo r you to submit your questions. You are requested to mention your name and the name of the organization you represent while submitting the questions. I now hand over to Balaji to begin the presentation.

PB Balaji :
Thank you. Firstly thanks everybody for taking the time to join the session. And as customary, we will quickly cover the presentation slides assuming that you have gone through it or had a first look glance at it, and obviously, spend as much time as possible on the Q&A. Regarding the safe harbo r statement, you are well aware, nothing new there. Just again, a reminder to everybody that the way the numbers are being presented with consolidated view downwards into T ata branded Commercial Vehicle s anywhere in the world, Tata Passenger, Tata branded Passenger Vehicles anywhere in the world, Jaguar Land Rover,

Vehicle Financing. That's how the verticals are done, no change in that, just a reminder. Next one.

Again, it's been another intense period for us, both in TML and in JLR. And part of the key call out, I would want to make is the incorporation of Smart Mobility Solutions , a subsidiary for managing the GCC business of the Government of India and th e State transport undertaking s. And, of course, the EV portfolio continues to expand with the laun ch of Nexon EV Prime. And JLR of course the Defender 130 launch, we will talk about it later, and Refocus continues to deliver results for us. And the order bank rose to a new record of 200,000 units.
Next slide, please. On the financials , let me start by putting it in context that it has been a disappointing quarter for us, and we are well aware - these numbers did not match our own expectations when we start ed in the quarter. Yes, there are fair amount of challenges on semic onductors and COVID related lockdown s that we have to contend with. But at the same time

, the one that really caused grief, the ramp -
up, the slower than expected ramp -up that we had in Rang e Rover and Range Rover Sport. And I a m sure Thierry and Adrian are going to talk about it in the coming plan. But as w e end the quarter and we enter into Q2, we believe we are in a strong wicket and therefore are quite confident of how the current quarter is going to land up that is Q2. But that's for the future, but let's quickly delve into Q1. Grow th of 48% in wholesales and about 8% revenue growth and the PBT before exceptional item of about Rs. 5,000 crores. And there is exceptional gain related to pension related matters of Rs. 1,500 crores , Adrian will talk about it. EBITDA deteriorated by about 90 bps year -on-year and EBIT percentage is of about 60 bps improvement compared to last year same time, it's something that could have been better. And FCF on an outflow basis about Rs. 9,800 crores. Most of it is working cap ital, so not particularly worried about. Obviously, the numbers also got impacted by r evaluations of FX and commodity hedges in the highly volatile FX and commodity markets.
Next slide. Source of growth. If you look at it, we grew about 8% in revenue ter ms. Volume and price contributing roughly 50:50 and translation took away a lot of it. This is basically pound s terling depreciating a lot vis -a-vis the Indian rupee. And therefore, that's what we see at 4.3% in the translation. On the profitability improv ement, most of the cylinders fired within CV, PV and the others, and of course, JLR took down the EBIT profitability because of the challenges that they had, which I am sure will turn around in this quarter. Net auto debt went up from Rs. 48,700 crores to about Rs. 60,700 crores, almost entirely explained by working capital and about Rs. 2,000 crore of underlying external debt that is there, took external debt to Rs. 34,800 crore, but that should reverse once the profitability improves. With this, let me no w hand it over to Adrian to take you in JLR in a bit of detail. Adrian?

Adrian Mardell :
Yes. Many thanks, Balaji. Next slide, please.
Okay. So this is our six quadrant, as Balaji said, disappointing quarter for us in Q1. Retail s were balanced, the same. So as you'll see in the presentation, we have no concerns about demand and retail levels at all. Revenue was down. Wholesale volumes were down 7%, and that's reflected in the revenue particularly because of the model changeover in name plates - Range Rover and Range Rover Sport in the quarter. We had a particularly weak mix within that revenue base. And that really is the story for the losses that you

see there, the GBP 500 million. The EBITDA 6% and the EBIT minus 4% in the quarter. Free cash flow was minu s GBP 769 million . That's not a number we are proud of, although it is the best quarter 1 result for five years, incredibly , but we can do much, much better than that in Q2 and going forward s, we a re certain of that.
Next slide. Okay. So these are the key performance highlights. I've mentioned some of them. Order bank, Balaji mentioned up to 200,000 units, we will take you through that. There is a pensions benefit for the reestablishment of our future pension liabilities at an inflation level of CPI rather than RPI. That's excluded from that loss before tax because it's non EBIT related. Our refocus program continues to go well. I will take you through that. And the liquidity continues to be strong, GBP3.7 billion cash on hand and a GBP1.5 billion revolving credit facility from July 2022. So total liquidity GBP5 billion plus.
Next slide, please. Okay. So this is our retails and wholesales in quarter 1 by brand. We've broken this out by the , we used to refer this to nameplate families. We are now referencing this as indi

vidual brands.
Retail is at the top there, you see a flat and they are pretty much flat across all of the brands. Obviously, that's retails being fed from dealer inventory. I do have an inventory slide later, and there's some things on there b ut hopefully, you'll see is this starting to turnaround for us. Wholesales. This really lands on the

point about our Range Rover and our Range Rover Sport. You can see there in the Range Rover brand. Wholesales are the lowest quarter over -quarter versus la st year. That's where we've fallen because we haven't been able to build up the production in that new facility. I'll talk to that later as well as fast as we would have wished. And that's really the story behind the total wholesale reduction in the quarte r. Defender was stronger than previous quarters in last year as that plant in Nitra is getting closer to a level of production than any of the plant at the moment. Next slide, please.
And this is the same data but hit now broken down by region, regio nal s ales, retail s again at the top. And what you see here, which knowing our profile of what we sell where is corroboratory to the last page. We've done weakest in our regions that are most reliant on our Range Rover and our Range Rover Sport because of our in ability to ramp those products up at the speed we would have wished. So North America is down significantly , heavy Range Rover and Range Rover Sport region. So is China down heavy Range Rover, Range Rover Sport region and also snippets of overseas. We've d one better actually in the quarter in the regions that take the other products from other plants, i.e., SUV 2&3 in Europe and the U.K. And the wholesale data you see there is while I won't go through that all in detail, it's a version of what I've said be fore. You see China down again because of that Range Rover, Range Rover Sport numbers there. Electrified data are up 2% from previous quarter now to 66%. BEV and the PHEV data was down slightly, and that's because of the absence of the Range Rover, Range R over Sport for PHEVs also.
Next slide, please. Okay. So this is our walk from quarter 1 last year. And it's telling you what you should expect to see , the significant adverse is on both volumes down 13,000 units and mix within that mix, there's actually a negative of 170 for Range Rover and Range Rover Sport and 50 positive for Defender. Our VME continues to be at historical lows and the pricing actions we took earlier in the year are starting to come through. Inflationary pressures are similar to what we actually indicated in Q4. We continue to have bad news on capitalized engineering. Why? Because our new programs haven't yet come to maturation, expect that to change as we go through the balance of this year. That's worth about 1.5 EBIT.

Next. And then t he bad news on revaluation because sterling fell to 121 at the end of the quarter. The bad news on commodities because actually commodity rates for aluminum, palladium, the ones we hedge most actually also fell as we went through the quarter. Obviously, bo th of those two things are good news for our operating model, and you can see operational financial exchange, particularly on the dollar was good news in the quarter. So overall, that walked us from the minus 0.9% EBIT to the minus 4.4% EBIT. And again, th is excludes the pension exceptional item, which I referenced earlier.
Next slide, please. Cash, where are we on cash minus GBP 769 million. Most of that, again, is working capital, but the constituents are slightly different. And the inventory has actuall y increased, which obviously, from a cash and a working capital perspective in quarter is bad news. But from a starting to build back the health of the pipeline and starting to build back parts inventories, which, of

course, will
help with our build reassu rance going forward. That's where that money is being consciously spent this quarter. Underlying cash is actually minus GBP150 million. And again, that points to the weakness and our sales profile, particularly to Range Rover and Range Rover Sport.
Next s lide, please. Okay. Our breakeven remains pretty much the same as was last year on a full year basis, 80,000 to 85,000 u nits in a given quarter. It was even though we had a weak profi le of sales in quarter 1, as I hav e explained already, that breakeven poi nt was still 80,000 units. We actually did build more cars than we actually wholesaled, and I'll take you through that in a moment. We ended up by building our inventory work in progress by about 8,000 units, which we will complete in quarter 2. So that breakeven given the conditions we have is still really, really low and really, really strong.
Next slide, please. This is the investment, a little bit lower than I was expecting by about GBP50 million. You can see the point there on the left -hand side, the amount of engineering expense we are capitalizing, it's only just over a quarter total engineering bill. And the previous year, you can see it was 40%. When we take our new reimagine architectures, EMA and Pant hera through their approval processes later in the quarter/early next quarter, then that will start to lift to a normal level I've given you before, 50% to 60%, and that's worth 1.5% EBIT. Capital investment is lower this time last year, we are finishing off our investments in our Solihull facility for MLA.
Next slide, please. Okay. So let's talk about where we were on supply and particularly on production in the quarter. I'll give you a second to start reading that, but I hit the highlights. So look, we di d have some chip supply constraints, particularly earlier in the quarter, but particularly relevant to the build -out of our old Range Rover Sport. That did delay the completion of the old Range Rover Sport. Many of those units we did actually need to build into WIP, which we are clearing through actually some of them this month in July. That did have an impact on the transfer of our labor into the new facility, which builds the new Range Rover and the Range Rover Sport. So there was an impact on semiconduct ors, it was a particular supplier and the work we've done with that particular supplier later in the quarter has meant we haven't had any further disturbance from that supply source right through to the shutdown period at the end of July. It shows the long -term contract work we are doing is actually starting to show benefits. We are seeing the light at the end of this very, very long tunnel here, particularly on semiconductors, we feel. And then

the rest has been all about our ability to ramp up two new veh icles on an all -new architecture in an all new trim and final facility with an all -new body shop and of course, a workforce that needs training and an added shift, by the way. We have added a third shift into that facility because of the huge demand that

we have for these products within our order banks. And is , so those challenges are actually quite normal for a changeover point, but they have been exacerbated by the semiconductor point I mentioned earlier and also the COVID lockdowns in China, which did impact the ability for us to consistently build units week by week within that facility. A lot of that is starting now to become behind us. I've mentioned the partnership agreement with our key supplier, which has meant no shortages of semiconductors from that source for the rest of the quarter and through the first three weeks of July. Our ramp -up is beginning, particularly on the Range Rover, which was the first vehicle and our production on that vehicle doubled

as we went through the quarter from just ab out 500 units a week to just over 1,000 units a week. So we are starting to see that increase ramp -up speed on the Range Rover through to July, that increased again to about 1,300 a week. So we really do feel we are breaking through on the Range Rover, and we now will go into that same process with the new Range Rover Sport, which may take a couple of months or so. And we are also seeing reduced impact from COVID lockdowns in China as well. So just a point around MLA, the production of the new Range Rover, the production of the new Range Rover Sport, the improvements we've made over the last six weeks where we ended up in July at a much better place in April. Now with what we see in front of us, and we are now starting to see the capability to deliver 90,000 units to our dealers and importers in quarter 2. So a significant jump from that quarter 1.

Next slide, please. And the orders have kept growing. In fact, they've grown in this quarter larger than any other quarter, marginally larger than the quarter whe n we announced and showed the Range Rover in October last year. We've now got 200,000 customer orders. That excludes the dealer orders, of course. And you can see there our three latest and greatest product offerings, Range Rover, the Range Rover Sport at the bottom there and the Defender making up almost 65% of that volume. They are our most valuable brands, our most valuable nameplates as well. So we have a super healthy order bank, a super healthy future revenue stream, and we are starting to break throu gh the production issues, and they are starting to be light at the end of a very long tunnel on supply and semiconductors as well. So a lot of that is not reflected in Q1. That's why we are really disappointed and as you can probably hear from my voice, a tad frustrated about quarter 1 as well, but we are starting to see those core ingredients move in our favor into quarter 2.

Next slide, please. And , we've also revealed a new member of our Defender brand family, the Defender 130, the extension of the vehi cle at the rear, beyond the rear wheels. This vehicle will safely and comfortably occupy eight adults. We expect it to be very, very popular in our U.S. and some Middle Eastern markets as well. And if you did notice, even though the production at Nitra is closest to a normal level than any of the plant. Our demand in orders for Defender increased by 5,000 to 6,000 units in the quarter. A lot of that was for this vehicle. So it's had an incredibly fast start and appeal even though it was only revealed a mont h before the end of the quarter.

Next slide, please. Okay. Refocus. Look, we did GBP1.5 billion last year. Even though it was a very thin transactional value quarter for us, we still did GBP250 million in quarter 1, that was broken down in three constitue nts. You've seen most of that data already earlier in the presentation. The net pricing value was GBP120 million. That's a big constituent of it. We are starting to see labor and efficiency benefits within our agile transformation, particularly wi thin the engineering fraternity. Obviously, we are doing that mostly to ensure that we speed up the quality maturation of the delivery of our products, but of course,

the unspoken within there is the cost of delivering them will be lower also spending less time and less people hours on it. And then the investment number, which was low for the quarter, and therefore, did contribute in this quarter, but I do expect that to be much, much less in later quarters. And I expect the other constituents to be greater.

Next s lide, please. So inflation we'll be talking about inflation. I'm certain for the next few quarters . Now we introduced this slide earlier this year. The same sli

de on the left, GBP12.5 billion in cost base, variable
cost base. Four significant elements wit hin there, which are suspect to high inflation levels, labor, multi - cost semiconductor prices and energy, of course. And the balance between the pressures have shifted a little bit. We went into the quarter with aluminum at $3,500 a ton. We've come out the quarter with $2,400. Palladium came down as well $300. So it shifted a little bit temporarily perhaps from commodities and, of course, we are getting some utility energy cost increases, semiconductor cost increases and labor cost increases. So the absolut e number for the quarter versus last year was GBP160 million greater. It's a

little bit less than I was expecting actually in the quarter. I was expecting up to GBP200 million. And some of these headwinds are stronger and some of them are starting to allev iate. But I think it's reasonable to assume we will have quarter -over -quarter data of this type of scale and size as we go through at least the next two quarters, not cer tain about where we end up in Q4 yet. And our refocus program, we are very, very confi dent will more than offset and almost did -– well in fact it did offset even though not fully in EBIT, the on cost and inflation as we go through FY 23. So I'll repeat two or three things here. One is we are very confid ent about the overall scale of the program. And what we will do this year, we are confident that it will offset in total, the absolute amount of inflation. And as we go into the second half of the year, we expect an EBIT offset also as most of the inflationary pressures we are seeing is the n overtaken by the other things that we are doing, including the pricing actions, which will come through later in the year. Next slide, please. This is an important slide, although it doesn't look it, right? So this is the health of our end-to-end pipeli ne from build to ship ping those vehicles. And if I take you back to January '21, we've talked this two or three times before, but I wanted to talk specifically today. If I take you back to January '21, that's as close to a normal healthy pre semiconductor pipeline that we have. And it increases and falls down because of the aberration called March in the U.K. where we build units and then we sell them. So if you draw a line versus the first three months, you'll see pretty much 60,000 units in the dealer pip eline and 40,000 units in our pipeline, i.e. 100,000 total units would have been a pre semiconductor normal environment. And from there, our order bank is about twice of our dealer inventory. That's what we would have expected before semiconductors. WIPs a bout 4,000 units. That's what that blue line lived . The WIP is a subset of the gray line called JLR inventory. We own the WIP, we own the JLR inventory . That's on our balance sheet. That's a part of the GBP3 billion that you would have seen if you look at the balance sheet. It really, really fell as we went through our quarter 2. You will remember the quarter 2. They both fell towards the 30,000 level from an inventory dealer and an inventory JLR perspective. But our WIP also fell to about 2,000 units, righ t? So we were building cars, but very, very few. We've gradually grown both of these over the course of the next , last three 3 quarters , excuse me, through to June. And there's been a significant uptick, as you can see there in June. So what that means is we are releasing more cars into the dealer network, and we are releasing more cars onto transporters, onto trains and onto ships, and they will turn into retails and wholesales at some point. And we do believe a part of that uplift is going to happen in qu arter 2. Now we did end up with 10,000 cars in work in progress at the end of June, 5,000 of

those were Range

Rover and Range Rover Sport, and I'm simply giving you more corroboratory evidence
to the real breakthrough here is in that facility at Solihull R ange Rover, Range Rover Sport. That should have been 1,000, not 5,000, and we are starting to work that number down, including during our shutdown period this week and next week, and we have high confidence those units would also be released onto those tra nsporters, ships and trains as we go through August and into September. So we are a long, long way away from being normal here, but there is evidence that's starting to shift back towards a more normal environment, which underpins our 90,000 unit projectio n for Q2.
Next slide, please. So one of the things that are in front of us, I've said them a few times already, right, we absolutely need to continue to make progress in our new facility at Solihull. We are very, very confident we are doing that on Range Rover. We can then repeat that product off the same architecture, don't forget, in Range Rover Sport later in quarter 2. Our guidance is c . 90,000 units I've mentioned a number of times. We are very confident Refocus will be GBP1 billion, and there is a pl us there, by the way, I'd be more informative about how much of a plus when we talk in November. Our full year guidance is still 5% and GBP1 billion positive cash flow despite the disappointing and frustrating quarter 1, that does mean we need to break thr ough in quarter 2 and delivering 90,000 units would be a sufficient breakthrough to underpin that number. And we will then need to break through again in quarter 3, and that's where the Range Rover Sport will come through strongly for us , we do believe. Ou r longer -term targets, of course, on Reimag ine, we rarely talk about these, right? Please don't think because we are not talking about that we are not doing them. We absolutely are doing them. 90% of our engineering teams are on Reimagine programs now. And those engineers were released from Range Rover, Range Rover Sport, which is why the capitalization is so low at the moment. So overwhelmingly, the focus and attention of our workforce is on future product.

We now have a much more concentrated, determined full-time response to the daily activity, which you are starting to see us break through on and that has been added to again during quarter 1 because of the challenges we had in quarter 1. Free cash flow. Look, I'm not walking away from the near net debt number in FY '24. We have to break through in quarter 2. We are running out of time. We just have 21 months and that means from the end of June, that's an average GBP200 million positive cash each month. This is still possible, but we now have to break thr ough with speed and the confidence when we do breakthrough will underpin FY '24, 7% plus EBIT. And obviously, at that point, we'll be in a really nice place to talk to you about how we are going to walk to 10% plus. Next slide, please. Balaji?

PB Balaji
To the numbers here. On the market share side, we dropped to 42.5% for the quarter. And the key callout here is the shift away but more than a shift away to more shift towards the demand -pull supply chain to ensure the market share gains are sustainable and focusing squarely on how we are working with the registration market shares rather than wholesale -led market shares. So this is something that we are committed to. And therefore, this noise in terms of market share for a quarter or two will be there, but it

will then get us to a more sustainable pathway of simultaneous market share gains, optimal inventories at the dealers and, of course, lower levels of VMEs that we need to put in place. So that's the emphasis there. I a m sure Girish will want to talk abo ut it subsequently.
Next slide, please. The key call

out on this slide is a mix that you see of powertrains. We would want to
watch the ILCV space carefully because we did notice the reduction in the CNG composition. I believe it is a noise - temporary n oise as the prices of CNG vs diesel arbitrage came down a bit, but let's watch it for a few more quarters before we can take any message out of it. Next slide. Overall numbers, CV turned in a positive PBT for the quarter and on a year -on-year basis, revenu e grew 107%. And obviously, this being a weaker quarter, you could see a sequential drop in terms of revenues. And EBITDA at about 5.5% and an EBIT of 2.8%. We expect this is something that's no w starting to stabilize, and we wi ll be able to build from her e on as the commodities come off. So that is the thing on CV going forward. In terms of the walk , the P&L walk , you wi ll notice that we are stepping up FME in line with our plan to move to a more a pull-based supply chain. So therefore, working on retail l eads. And employee cost of Rs. 203 crore is basically just the beginning of the year when the number of reset bonuses for the year, et c. And what you see is the unrealized FX and commodity hedges, we did lose on the rupee depreciation because the hedges on the exports did lose money, and this in turn gets compensated by the dividend income coming in from Tata Cummins . So overall, that piece , the numbers balance each other out. But the other call -out I would definitely say is look at the line between realiza tions versus variable costs. This number if you recollect was as high as 540 bps. So most of the pricing actions have gone through realization to offset the commodity cost have gone through and therefore, we should start seeing this starting to improve her e on. Next slide. Girish?

Girish Wagh
Yeah. Thanks, Balaji. So me of the highlights for the quarter. I think the industry continue d the good recovery, and double d the volume over the Q1 of last year. Of course, the last Q1 was marred by the pandemic second wave. But nevertheless, I think good growth shown in Q1. The EBIT margin improved by 690 bps, driven by the remaining growth and also the pricing and cost action s that we've taken, and has also grown 240 basis points over FY 22 full year. We continue to see a very good growth in our spares and service penetration, thereby improving the non -vehicle business revenue by 75% over Q1 of last year. And this is, of cours e, a good profitable stream for us. On new products, we continue to launch - 15 new products were launched along with 25 variants. And as all of you know, we also launched ACE electric vehicle in the quarter gone by. S ome of the bright spots, and we ha ve seen that the Trucker's Sentiment index, which we track every quarter is now almost at a two year high in MHCVs and intermediate and light commercial vehic les. Of course, this survey was done just before the first interest rate hike was announced. So we ar e keeping a track of this. There ha s been some softening of the sentiment after that, but I think overall, it remains very, very positive. On the commodity side, it did show some hardening up during the beginning of the quarter. But towards the end, I thin k we are seeing signs of softening after a good upward run since second half of last year. Coming to the passe nger segment, finally, we are seeing a return of demand. So with the staff movement that is employee transportation to offices and factories

back in place as also tours and travel and specifically opening of schools has led to good demand and the volumes grew by 60% over Q4 of last year, which is just the quarter gone by and almost 4 times that of what we had seen in the first quarter of last year. So very good demand coming back although this is still lower than the highs w

hich were achieved in FY19 . Balaji spoke about the retail push, that we have
initiated, and happy to tell you that we had the highest retails in small commercial vehicle and pick up in Q1 of any year for almost last 10 years. Going ahead, some of the focus areas, I think our international markets, demand has been impacted, especially in SAARC as well Sub -Saharan Africa, essentially due to steep depreciation in the local currency, a long with fuel price hike and of course the Sri Lanka, all of us know about the political turmoil. In these circumstances, we are looking at alternate markets and products to see how we can get back to the required level of volumes for international busine ss.

I spoke about the retail acceleration and lot of demand -pull to ensure that we actually have sustainable gains going ahead, sustainable share gains. So there's a lot of push on the digital lead generation and I can tell you that 20% of our volumes are now coming from leads, coming from the digital, in small commercial vehicle and pick up. With the interest rates increasing we ha ve continued our engagement with the key financi ers and trying to find out ways and means to see how we can support the custome rs in this environment. We started margin improvement journey towards the second half last year. We continue to do that, and it's being driven by both pricing actions as well as cost savings and the fundamental margin has improved quarter -on-quarter from Q 4 to Q1.
Next slide. Update on the new businesses. So , on electric mobility, happy to inform you that additionally 100 electric buses were delivered in Q1. So , now we have cumulative ~715 electric buses running on Indian roads and cumulative coverage of m ore than 40 million kilometers. So, that's a good experience that we have and over multiple cities in the country. We are also working on the fuel cell electric bus as we have been mentioning, and the program is on track. And in fact, we had first mileston e review with IOCL with whom we are working jointly. And this milestone has been completed successfully and both the partners were quite happy with the progress. We did foray into the last -mile E -mobility on cargo side with the launch of ACE EV. And we ha ve memorandum of understanding for now 39,000 units. We already started customer trials. And towards the end of this quarter, we will also start delivery of products. Going ahead, we also incorporated the TML Smart City Mobility Solutions Limited as a subs idiary and operationalized 53 buses in Delhi for Delhi Transport Corporation. And as a part of the Smart City Mobility Solutions which is the gross cost contract model or own and operate model, we are now managing more than 450 buses and delivering more t han 96% uptime. And all of you know, we were declared L1 for the largest global tender of more than 5,000 e -buses. And now we have received LOA, that is letter of allocation from Delhi Transport Corporation amongst these 5,000 buses for around 1 ,500 buses . We are engaging with the rest of the cities and their transport undertakings, to get LOAs for their share as well. As an outcome, the revenue which this business has generated in quarter one is around Rs. 145 crores, and we are on track in terms of the re venue trajectory. On the digital businesses , Fleet edge, we are focusing on increasing adoption and active usage, so we have more than 235,000 vehicles now, amounting to around 100,000 customers who are already on -boarded. We are now initiating the Minimum Viable Product 2 of Fleet edge, which is already being piloted with few customers and will be launched next month. This will enhance the user experience further. So this is ba sed on the expectations that we ha ve captured from the customers. And finally, o ur digital storefront for spare parts called as E-dukaan is doing pretty well and

continues to grow and has grown 26% in revenue over quarter 4 of last year. So that's in summary about the new businesses. Back to you, Balaji.

PB Balaji
Thank you, Girish. Just moving on to the passenger vehicle business, call out on this slide is fundamentally around the powertrain mix, so watch the CNG numbers now increasing to 11%. EV has continued to grow strong at 7%.
Next slide - and market share, of course, of 14.3% and the EV market share continues strong at 88%.
Next slide. And from an overall financials perspective, we continue to do well on the improvements in profitability that we are putting through, so the business is now on a PBT breakeven after a long time a nd EBITDA up 200 bps and EBIT margins up 750 bps going strong and likely to improve further. Obviously, on a year -on-year basis, one other thing to watch out for is the sequential FME phasing . IPL came in this quarter, there's a bit of a phasing issue that impacted sequential margins, but that's something that should take care of itself. Next slide. On overall financials, both volume mix and realizations coming through strong. Still about 30 odd bps of variable cost realization to be made up as we go forwar d. Stepped up FME strong and is likely to step up even further as we go forward. And overall commodity hedges did cause a bit of gr ief and that's flowing through the P&L that you see there. Next slide. Shailesh?

Shailesh Chandra
Thank you, Balaji. So let me start with the Q1 industry highlights. So in Q1, the industry wholesale increased by 41% year -on-year as the semiconductor supplies improved. And the quarter sales were quite healthy. Segmental shift towards SUV further strengthened , it was at 40% , hatc hes just continue d to sort of de-grow from 37% last year to 34%. As far as Tata Motors is concerned, we continue to strengthen our market share and we have maintained the strength of the quarter -on-quarter growth in market share.
And while the PV ICE busi ness grew by 10 2%, the EV business grew by 444% . The wholesale and production milestones, we crossed the milestone of 13 0K+ in Q1 and the last month of the quarter, we also crossed one of the major milestone out of a monthly sale of 45,000. As far as EVs a re concerned, we posted the highest healthy sales of 9,310 units despite the stress that we faced on semiconductors in the first half of the quarter and the market share remained strong at 88%. The last several months now, and also we continue to be the #1 SUV manufacturer in Q1 FY 23. Nexon has been trending as the No. 1 selling SUV. To further strengthen our supply side, we signed a tripartite MOU with the Government of Gujarat,

Ford and Tata Motors for potential acquisition of Ford's Sanand vehicle manuf acturing facility. Going forward, as far as the industry is concerned, we've really seen that for this financial year, the industry may grow nearly to 3.5 million. We see demand is going to and continue to remain strong with continued positive word of mout h of nearly 40,000 EV customers that we have today. As far as Tata Motors is concerned, at the start of the Q2, we have a very robust booking pipeline and low channel inventory which show a positive drive for quarter t wo. Demand for SUVs remain strong. We have a very strong booking

pipeline here also. There has been a good traction of CNG which continues. We expect the vehicle supply to improve with better semiconductor availability in Q2 . Rural demand is expected to be strong on the back of good monsoon. And Nexon EV Max which we launched in May, has seen tremendous response and has augmented the EV demand. And the supplies are expected to improve in Q2. Going forward the challenges we see is that the

high inflation and interest rate may start impacting th e auto demand while there's no stress as well as far as Q2 is concerned. Until the festive season, we don't see a concern or we also don't see a sign as far as the dampening consum er demand is concerned. But given how the retail industry is getting impacted because of these factors, we have to be a bit watchful and post the festive season, it will be like rest of other industry demand sustains . As far as Tata Motors is concerned, we remain focused on demand generation activities with now segment leve l and micro markets in focus. We wi ll continue to enhance the supplies further as the semiconductor availability also improve s, and we will fast track the cost reduction efforts to improve profitability . Back to you, Balaji.

PB Balaji

Thank you, Shailesh. Moving quickly onto the cash flows slides – that is already there, let's go straight into the Tata Motors finance slide . Go to next slide. Yeah. So here, call-outs here, collection efficiency started to improve now at 98% for June. And therefore, GNPA will keep improving with every passing quarter and fully compliant with all the new PCA norms that RBI has put in place, and both capital adequacy and liquidity remains comfortable. And aspiration is to take that ROE from 5.1% all the way up to double digits in the foreseeable future. Next slide. So coming on to the outlook, key call -outs . Demand remains strong and we expect to remain strong despite inflation and geopolitical situation, obviously need to watch the Indian CV situation carefully, but right now we don't see any cause for concern at this point in time. Chip supply is expected to improve further from Q2 and added with cooling commodity prices that should also help in underlying margins. And therefore, we do aim to deliver the strong improvement in EB IT and free cash flows from Q2 onwards. And one of the key things in this is what Adrian talked extensively about JLR is delivering on 90,000 vehicles wholesales and on this side, continuing to improve market shares, while restoring double -digit EBITDA, ma rgin will be the key imperative for CV, and of course, PV growing and accelerate as much as possible. So that's in a broad nutshell what we are working on. Happy to take any questions that you may have. I already see we hav e got 13 odd questions that have landed up already.

Questions and Answers -

PB Balaji

Let me start. I think, Girish, the first one is coming your way. This is from Sonal Gupta, L&T Mutual Fund. M&HCV market share is now down to 54.6% in Q1. Is there a level at which you expect this to stabilize, and what are the risks that the commodity benefits are competed away in CV business?

Girish Wagh

Okay. So first of all, on the market share front, so I think over the past four years, we have been consistently growing market share in M&HCV. We've seen some softening happening in Q1, but we are determined to get this back. And on the back of the brave actions that we have both on the demand

generation front, as well as launch of new products, I think we should be getting it back. So certainly not satisfied a t this level. As far as th e commodities are concerned, sorry, Balaji

PB Balaji

Commodity margins, are they likely to be given away and due to intense competition?

Girish Wagh

So I think we have a comprehensive margin improvement plan running, which is work ing on both the plans, that is, how we improve the realization basis delivering more value to the customer; and the second thing is, how do we keep on shaving off cost? And one of the cost benefits is the commodity reductions which are likely to happen, so we will see how it comes.

PB Balaji

And also, Sonal, just to add to that point, if you recollect, the outlook

is specifically calling out that we reach double -digit EBITDA at the earlier. So that's clearly an imperative for this business. Okay, next ques tion is from Jinesh Gandhi on the JLR. Adrian, I think this is coming your way. How should we think about mix for JLR considering ramp -up in RR/RR -Sport/Defender but also chip supplies expected to improve? Should mix further deteriorate over 1QFY23 levels? And the second question, do you expect prompt and consistent increase in wholesales from second quarter from the 90 K that we have signaled? And lastly, in which line item does an FX revaluation and commodity hedges get reflected? Three questions, Adri an.

Adrian Mardell
Okay. Thanks, Balaji. So, the mix was really weak in quarter one. Range Rover mix was about 8% of that 70,000 units. Our order bank is telling us that between Range Rover and Range Rover Sport, 40% of the order bank there. So there's a sign ificant improvement of mix that will happen once we start to overcome those issues we've referenced significantly in the quarter of the results so far. So, I absolutely anticipate mix not only to improve in quarter two, but to continue improving through th e balance of the year, as those production challenges continue to reduce. Do I expect strong consistent increase in wholesales from Q2? Look, I expect each quarter to be better than the quarter before. That's no different actually to what I've been saying for the last two to three quarters. I did expect that in this quarter also, actually. So if I had to pull a number on the data last in March, that number would have been 70,000 high rather than 70,000 mid. And the difference would have all been Range Rover s. And that would have actually started to shape the quarter much closer to the level of EBIT / cash loss I was inferring on May 13th . So I do expect each quarter to be better than the last. I can see the data for the first three weeks. We are now buildin g consistently above 7,000 units a week, and we are building consistently week on week on week that will increase to the 8,000 units plus, which we will need in this quarter when we start building Range Rover Sports. We haven't built Range Rover Sports for six weeks to seven weeks apart from a few units just in proof and trial. That will begin to happen post -shutdown from the 8th of August. So we are pretty

confident actually with what we see in front of us, that the build will grow from 7,000 units to 8,00 0 units a week. We have 11 production weeks in the quarter, that gets you closer to the 90,000 units; and we have 10,000 units in WIP that will reduce. Therefore , that's why we are saying we think the wholesale number will be 90,000 units.
And which line i tem does FX revaluation, well, it appears down the whole stu ff. So, it's significant on revenue, of course. As we bring all of the overseas revenues into sterling, it's significant on cost, of course, because so much of our cost base is sourced in overseas currencies, around 55% , a lot in euros. But it's line by line. So if you take marketing costs, and within the marketing costs which is obviously in the other expenses, we add up all of the foreign currency pieces, and then we have a big line item in there which really covers our exchange losses, so it's down the whole stop.
PB Balaji
Thanks Adrian. Next question also from Jinesh Gandhi. Shailesh, your way. What's our capacity and capacity in the Fiat JV? What is t he scope to increase capacity through debottlenecking?
Shailesh Chandra
So, we are pretty much operating at full capacity in Ranjangaon and Pune. We have some headroom in as far as the Sanand plant is concerned. Further, to debottleneck our capacity, there are actually some plans and we see an additional possibility of 10% to 15% further debott

lenecking. So that's as far as the capacity
is concerned . As you know, we are further working on potential Ford Sanand plant acquisition .
PB Balaji
Thanks, Shailesh. Girish, your way. Are you seeing sus tenance of demand from small fleet operators?
Girish Wagh
Yeah. So, a few things I would like to say. First is the sentiment index that we measure is at a high, and therefore, that is an indication of the interest from both large as well as small fleet op erators. Also, if you see the intermediate and light commercial vehicles as well as small commercial vehicles, generally, the small or retail customer single vehicle owners are the buyers for these vehicles, and these segments have grown more than that of M&HCV. So, actually, the small fleet owners, single vehicle owners are still there in the market, and not likely to see softening immediately.
PB Balaji
The point on inflation which I'll pick up, Jinesh, we expect more commodity savings to come in second quarter. We do see commodity starting to pull off, and you should start seeing this coming from second half as the current hedges wear off, as well as some of the contracts that we are putting in place start coming to. So let's see how it plays out. Next qu estion is from Ronak Sarda, Systematix. Any specific headwinds on CV EBITDA m argin as Q1 FY 23 production was largely similar with Q4 coupled with softening RM?

Girish Wagh
Yeah. So, I think two points I would like to make. One is, of course, the scale impact. So the revenue has actually gone down by 15% from Q4 to Q1, so that is one of the reason. Second is the M&HCV volumes have come down by more than 20% from Q4 to Q1. So this certainly has an impact on the margins. But what I would like to say is on the back of the pricing and the cost production actions that we've taken, the fundamental contribution or underlying contribution margin has actually improved over Q4 of the last year.
PB Balaji
All right. Thanks, Girish. Next question is for me, actually. On India E -bus order wins. Can you pls take us through how the GCC order win will be accounted for in financials ? Okay, there are two things here. One is the Tata Motors Standalone, and then there's the subsidiary Tata Motors Smart Mobility Solutions Limited. So first will be a sale happening from Tata Motors to the Smart Mobility Solution. This will be construed as a sale in the Standalone books, but in the consolidated books, this will cancel each other out so the revenue will not be recognized, number o ne. Number two, this asset continues to remain in the Smart Mobility Solutions books, and the collection will happen over a period of time as this bus starts running, and therefore there will be a revenue recognition happening in terms of rupees per kilome ter, in terms of the number of kilometers that it traverses . And that will be the Smart Mobility Solution books against which the run ning costs, operating costs, et c., will be set off against. Over a period of time, once this particular - so now then see, the next question that comes is will you keep building assets in your books? The answer is yes. And over a period of time, once the collection history has been established, then you wil l be able to take this as a copy of books, you'll be able to settle dow n with a single or multiple options of that. And there are also other conversations that are happening with the government to find a way to actually ring fence this at the inception itself. And those things should start seeing some results of those deliber ations in the coming year, and definitely before the next tender that comes out of this size. But there's a lot of possibilities to how to actually lighten the balance sheet and reduce the collection risk and the solvency risk. Okay. Ne

xt question is from Prateek Poddar, Nippon India AMC. JLR has called out production of close to 90K units - is it fair to say that visibility of build rates as guided in Q2 very high ?. Prateek, Adrian has covered this elaborately, therefore, I wouldn't want to repeat this. If yes, can you highlight some of the reasons for t he same, which we ha ve already done so. And on the India PV division, it looks like the model cycle tailwind for us is over, although model refresh can be a lever. Is there a concern within the team that the market share loss might be a possibility going forward, unless we start with a new model cycle? Shailesh?

Shailesh Chandra
Yeah. So I think you're well aware of the intensifying competitive landscape in the country. And sustaining our share, I think we have two, three points here. We've shared one that , as you rightly mentioned that cycle plan of these MCs and refreshes in the cycle that we will see in the next two to three years starting next year. And that should not only help us sustain but slightly improve our market share. Also, right now,

we have sufficient headroom as demand is higher than supplies . The second major lever for us would be the power trains . We have a unique position where we have all the four power trains , petrol , diesel, CNG as well as electric. And therefore, we are at the sweet spot of the report that we are going to see in the next few years as far as CNG and electric is concerned. So that should give with the current models and with the expansion that we are going to see, the EV and PV will be spaced as far as the electrification and new CNG models. We will witness a growth in this segment because of our unique position of having multi powertrain option. And third is of course we there are certain gaps in our portfolio which we are going to fill in the coming years. One of them we have already shown to you, which is the concept Curvv which we had unveiled in April. While it is going to the public the first as a n EV, but it is also going to come with the PV offe ring also. And there will be additional leaflet which will be announced at the right time . So mix of all these actions is going to ensure that we continue to grow our market position.
PB Balaj i
And Shailesh, next question also your way, what's your backup plan in case hybrids become a success in the India PV market?
Shailesh Chandra
So as a company, we will be closely watching how adoption of hybrid takes place. But see, one thing we are very cl ear that the long term drivers of the auto industry, as well as the governmental regulations that we have, as far as auto industry is concerned, including the environmental issues, EV is the long -term view. And therefore as a company, we are going to remai n focused on EVs. Having said that, in the later part of this decade , as the emission norms are going to become more stringent, there will be a degree of electrification that would require independent weights.

PB Balaji
There's also a question on pricing. Can we launch EVs at prices similar to hybrids or a slight premium so that the value proposition of EVs can further improve vis -a-vis hybrid, any thoughts?
Shailesh Chandra
I have no clue of the hybrid price, frankly, because we are now going to see the new hybrids, strong hybrids. And we have n't seen so far, there's hardly anything – only few non-EV hybrids or even lesser than mild hybrids. But then we will see how the pricing pans out. But as you have already seen that we have launched our EVs whic h are 20% to 25% price which is at a premium to the current petrol or diesel model, automatic model. So it is already very competitive. I'm sure that this pricing would be competitive to a hybrid option that is going to come in the market. But let's se

e th e pricing when it's announced in this space.
PB Balaji
Thank you. Next question is from Hitesh Goel, CLSA . How much is your steel contracts pricing in 1QFY23 higher than spot price? If you peg the steel costs at spot prices, shouldn't the margins be higher ?

Girish, you want to take that?
Girish Wagh
So generally our Steel contracts are for a period of six months. But due to the recent volatility, we shifted through three months. So , we have been doing steel contracts on a quarterly basis. I can tell you tha t the spot prices are much more volatile and generally higher than the contracts that we have .
PB Balaji
Thank you. Next question, Adrian, coming your way. Is it possible, Adrian, to sum up what was the margin pressure in Q1 that was one off in nature?
Adrian Mardell
So look, we pointed towards this. It was particular around the Range Rover and Range Rover Sport facility. We only built and wholesale d 6,000 Range Rovers in the quarter. There's a significant diluting impact in the margin. I won't give you t he data, but your modeling should mostly point towards that data. So is it one-off in nature? Well the binary impact of very low production on Range Rover and almost zero production on Range Rover Sport is absolutely you know a binary impact in quarter 1 which will progressively improve so the margins will increase as well.
PB Balaji
Yeah, the next question , I will skip the other one again on this , on product that you have already covered it. Let's go to the one on hedges. When does the adverse impact of hedges start affecting operational numbers?
Adrian Mardell
It's already affecting the operational numbers, Balaji. I think if you went back to ou r walk, our EBIT walk and our profitability walk, I think it would have said that the operational exchange was 210 and the impact of those hedges was about 115 versus previous year. If I give you the rates actually, the effective rate in Q1 was about 1 .28, and hedges in place going forward just over 1 .30. So on a quarter -by-quarter basis, we have got hedges around the 1 .30 going forward, but i t's not too dissimilar to the effective rate in Q1.
PB Balaji
Okay. So next question is from Raghunandhan, Emkay Glo bal. For India business, can you please indicate commodity i mpact in Q1. I've already called out more than the commodity impact , but look at the thing pricing versus realization, realization was a variable cost. And you do see about a 30, 40 bps that's still to be recovered, but we believe this will come off as we go forward. As far as the e -buses, the company has won large orders, what kind of equity in fusion planned in the company that will own the e -buses that supplies them on a gross contract basis. Obv iously this will pan out over a period of time because the buses are to be delivered by FY'24 onward. So there is a fair amount of time in front of us and we will do it on a sequential basis. And we will have to think through the equity and debt formulatio n to get that right as well. So these are the t hings that at an appropriate time we'll share with you. This will not

complicate the calculations on getting net debt free, so you can rest easy on that. But we'll still have to crack the fact that this is ass et-heavy and there's a lot of work on the way to get that cracked. So, Girish coming your way. How do you see the MHCV industry outlook for this year , and the share of CNG vehicles ?
Girish Wagh
Yes. So let me take the first one on MHCV. So , I think this will be the fourth quarter where we've seen successive growth that has happened in M&HCV. This is happening on the back of upfront inf

rastructure
spending by the government using freight, freight rates, fleet utilization. So I think most of t he things seem to be falling in place. As I mentioned in the presentation, I think we are keeping a watch on key monitorables, one is the fuel prices and second is the interest rates and see what kind of impact it will have. But as of now, I think it appea rs that we see double digit growth in M&HCV for the entire year.
As far as CNG vehicles are concerned, I think over the past three months, the competitiveness of CNG price has gone down significantly with respect to diesel, although the gap still remains. But as a result, we have seen that the CNG salience which used to be 40% in our ILCV portfolio has already come down to around 25% to 27 %. This is something we will also keep a watch on how the relative pricing between diesel and CNG pla ys out. I think as a company we a re ready for a suitable portfolio either between diesel and CNG, and ensure that we deal in the right one which is required in the market.
PB Balaji
Thank you, Girish. Adrian, this is coming your way. Slightly different question on the produ ction point. Has there been any change in bookings or the cancellation run rate at JLR as production run rate of luxury peers have been rising ahead of us? Why has dealer inventory at JLR been rising for last 2 quarters despite no real dip in order backl og yet? Any impact on incremental demand fue to the global economic growth concerns ?
Adrian Mardell
Okay, Balaji, let me take the first one. Look, when you study those order banks, I think a couple of things are quite evident. The three nameplates, the newe st product including the Defender of course. The orders for those three nameplates just keep growing. And there's several reasons for that, I mean we are not building as many as we need to, of course, that's one piece of that. But there aren't many on the road either. And that means we anticipate that the orders for these three nameplates, particularly Range Rover, Range Rover Sport will continue to grow and the risk of cancellation on those nameplates is very, very low. I think there is a disparity when yo u look at the other nameplates we have , The orders for those are other nameplates, if you notice that data has stayed pretty flat over the last 9 months to 12 months, around 70,000 units in total. We haven't built to the level we can build there, so I thin k it's pretty clear that once we can build all of the Range Rovers, Range Rover Sports, Defenders, Velars, Evoques. Then, once we go to a normal level of production, we will need to stimulate demand in some of these other nameplates, the lower transacting value name plates, the SUV 2 and SUV 3 sectors and also Jaguar sedans as well. But we are months away from that we feel. Any cancellations we are getting a re more in those lower value transacting nameplates and there may be a link to question three which is there, which is a subset and a part of that, but that's unclear for us bec ause it isn't that substantial yet. I think your question

two about why has dealer inventory been growing? Just think of our global profile. As we build more Range Rovers and Range Rover Sports and we have been, I mentioned earlier about the slide. If you can visualize the slide about where do we actually sell those, we sell those mostly in markets which are far away; China, US A and of course we own that inventory until that inventor y is passed through ports of entrance into those markets.
So, you know from dispatch from plants here in the UK, right through to the point of receipt in Shanghai, receipted West, West East and West U.S. of A, that's on our inventory. So it's actually evid ence that those cars are on the way, that's why it's growing and it will continue t

o grow beyond this point, when we get
back to a normalized level, perhaps another 5,000 or 6,000 units. So it's actually a healthy sign even though it may not look it, when you read the co re dat a.
PB Balaji
Thank you, Adrian. Next question is from Pramod Kumar, UBS. Adrian, this is coming over again. Can you indicate that the transaction price for the new Range Rover versus the old Range Rover, given the significant upgrade t o the model ?
Adrian Mardell
No, I can't. Look, I think this real data will show itself in two to three quarters' time. We’ve only built 6,000 cars. We've got 67,000 orders, 80,000 across the two, almost 90,000 orders. It will be a great question when we get to Q4. But at this point in time, early orders, the most , the richest value orders are the most complex and the most difficult to build, so they are some of the ones which are still sat in our work in progress. Any data I give you will be misleading but it's going to be bigger, right? You know it's going to be bigger. Those transacting prices are going to be bigger and they're going to be moving with close to zero VME. So it's going to be a rea lly rich , healthy part of our portfolio going forward.
PB Balaji
Got it. We ha ve talked about the macro so I would skip that question. Coming your way Shailesh and Girish. Order backlog for India PV and CV segments? CV, I wouldn't add. There's no order bac klog there, but PV is a more relevant one.
Shailesh Chandra
Yes. So we have a very strong order book, as I mentioned in my presentation also. And it ranges , on an average, it's about two and a half months to three months of the average sales that we are do ing right

now. As far as the various models are concerned for PV ICE, it varies anywhere between four weeks to three months. For EVs, it is higher especially for the Nexon EV max, the average waiting period would be seven months and upwards.

PB Balaji

The next question is from Kapil Singh, Nomura. We have talked about recession risk. Do we have order books , demand - we have covered it. India PV CV commodity impact on margins , we talked about it. I think

same with Gunjan, I think we have talked about all the points that she has raised in the questions - CESL funding , model share , powertrain mix . I think we have talk about everything. Just go down. Question from Satyam Thakur, Credits Suisse. Given global luxury car OEMs including JLR have seen GP/vehicle rise significantly over last 6 -8 quarters or so, do you expect to use any benign commodity environment incrementally to further boost unit profitability or do you see the industry using the lower costs environment ahead to help support dem and amidst global growth concerns ?

Thierry, I think this is probably right up your alley.

Thierry Bolloré

What we can see at the moment is that in our segments, the offer, the supply is not at the right level compared to the demand. That's the first elemen t that people need to understand. So we can see as far as we are concerned that the demand continues to increase, but despite we are increasing the pricing. And just because there is not something the market and because of the desirability of our products such that there is a kind of magic happening here. With many increase and pricing increase at the same time because it's clear that our profitability per car is also increasing and we do more than compensating inflationary impacts that we can say well.

PB Balaji

Thank you. Thanks, Thierry. I think we are probably arriving at the last question which is from (Priyaranjan, HDFC AMC . Shailesh, this is your question. Does it make sense for the company to even think of ICE variant of Currv when the entire taxatio n structure give us too much leeway to price the vehicle with 500km+ range with simila

r price point?

Shailesh Chandra

Absolutely it makes sense. That's the reason why we are making both ICE pillars or EV. I think there's still going to be a significant difference between the EV as well as ICE, because here the attempt is to keep the premium that we have been keeping on the EV versus ICE to increase the range. As we are able to take the benefit of taxation as you rightly mentioned. At the same time take t he benefit of any battery price reduction, which might happen. Right now, we are seeing a slight spike in short term. As it keeps on going down, by the time we launch, we expect that we will be able to deliver better range as compared to what the current E Vs are. So therefore, it makes sense, at different price points you figure demand for different customer segments. Of course, there will be customers who are very touchy about certain power trains . So I think we look like we would like to give all the optio ns for customers.

PB Balaji

Thank you, Shailesh. With that, we come to the end of the Q&A session. I think first, once again, thanks for your time all of you. Really appreciate it, and also the probing questions. As we started off, we do end this quarter o n disappointing note, but at the same time, a very clear plan of action and a pathway in front of us, in terms of how to deliver the rest of the year in a very strong way. And therefore quite committed to the numbers and the targets that we put also then a lso deliver up to our potential. Thank you and see you in the next quarter in better times.

Call: Dec 2022

Nove mber 16, 2022
Sc - 17023

Dear Sir/Madam ,

Ref: ISIN: INE155A01022 – Ordinary Shares
IN9155A01020 – 'A' Ordinary Shares
Debt Securities on NSE & BSE

Sub: Transcript of the Q2 FY2023 Earnings Discussion/Conference call

With further reference to our letter sc no. 16983 dated October 20, 2022, intimating that post announcement of Financial Results for the quarter and half year ended September 30, 2022, the Company will host an Earnings Discussion /Conference call on November 9, 2022.
The transcript of the Earnings Discussion is availabl e on the website of the Company at www.tata motors.com

This is for your information and records.
Yours faithfully,
Tata Motors Limi ted

Maloy Kumar Gupta
Company Secretary

Encl: a/a

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Listing Compliance Department
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Tata Motors Limited
November 09, 2022

MANAGEMENT : MR. THIERRY BOLLORE – CEO, JAGUAR LAND ROVER
MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – CFO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS
LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML

Sneha Gavankar:
Welcome to Tata Motors Q2 FY 23 earnings conference call. I am joined today by Mr. Thierry Bolloré, CEO, Jaguar Land Rover; Mr. P B Balaji, Group CFO, Tata Motors; Mr Girish Wagh, Executive Director, Tata Motors, Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicle s and Tata Passenger Electric Mobility Limited; Mr. Adrian Mardell , CFO, Jaguar Land Rover; and my colleagues from the Investor Relations team. Today we pl an to walk you through the earnings presentation followed by Q&A. As a reminder, all participant lines will be in listen -only mode, and we will be taking qu estions via the teams platform , which is already open for you to submit your questions. You are requ ested to mention your name and the name of your organization while submitting the questions. I now hand over to Balaji to begin the presentation.

PB Balaji :
Thank you. Good day everybody. Thanks for taking the time to join th is session. As is custom ary, we will

try and keep a fair clip in terms of going through the slides and pointing out the key highlights, and then look forward to taking on the Q&A at the subsequent stage.

Next slide, please. So this is the standard Safe Harbor statement, the only call out, I would say is the segment s - automotive segment s, just to reiterate. We have done this and there is no change from last time, but just to confirm, when we say Tata commercial vehicles, it’s all things commercial vehicles, wherever Tata -branded commer cial vehicles are around. Similarly, Passenger Vehicles - all Tata -branded passenger vehicles, Jaguar Land Rover and Vehicle Financing are the four automotive verticals, and of course others which is the remaining segment . These are the segments. No chang e there. Next slide.

Again, an intense quarter this year. In India, the commercial vehicle space saw a flurry of activity with multiple launches in the medium heav ies, light commercial vehicles and a full range of pickups that were launched. In the passen ger vehicles segment , the big one was the Tiago EV launch , which was a blockbuster open ing of 10,000 vehicles, which I am sure Shailesh is going to talk about later. On the J LR

side, the key move was the stabilization and the ramping up of production of Ra nge Rover, Range Rover Sport

s that we had committed to. The order bank of course grew to a record 205,000 vehicles and the chip supplies continued to create trouble for us, but as we start signing more and more partnership agreements, we do expect t o see t his easing and I am sure Adrian is going to cover that subsequently.

Next slide please.

Before I get started , our key corporate action that was announced today . Tata Motors intends to voluntarily delist i ts American Depositary Receipts shares from the New York stock exchange , as objectives with which these were originally listed in 2004 , are no longer relevant. There i s a consistent drop in the participation in the ADS program and it's now less than 5% of the ordinary shares and we will file for a voluntary delisting of the ADS in Jan 2023, and also terminate our depository program that we have with Citibank N.A. And once the ADS ’s have been delisted from NYS E, there will be no over -the-counter market trading of the AD S’s in the U.S. due to regula tory restrictions we have in India under the Indian law. And therefore, the holders will need to convert their AD S’s into underlying ordinary shares. But you have time till July 2023 to make that happen. And we expect to file for deregistration w ith SEC in January 2024, a full 12 month after the delisting for ceasing our U.S. reporting obligations. Obviously the whole process is being done with an aim to simplify our financial reporting and also reduce administrative burden, and there i s no cash o ut for TML due to this. Next slide please. And happy to take any questions that you may have on th is subsequently.

At an overall revenue , we grew at about 29% with the global wholesale s going up 33% , and profit before tax was a loss of ~ Rs. 1,800 cr s. EBITDA went up 130 bps, EBIT went up 390 bps and we had a free cash flow breakeven of about Rs. 1,000 crs in the quarter. And the volume recovery was, and is fundamentally based on a better mix and lower breakeven s, even though volumes were lower than planne d particularly at JLR. Next slide please. Where did this growth of 29% come from ?, 28% came from volume and mix, and reassuringly good 8% came from price, which means we are able to take prices in line with inflation that is there in the market which is also reflected in the results. Translation we lost a fair bit with as the pound sterling depreciated vis-a-vis the Indian rupee. And from a profitability perspective, all businesses came to improve the profits. We had a challenge in Tata Motors Finance, which we will talk about later. And the net debt came in at about Rs. 59,900 crs. The good part is the external debt is now down to Rs. 32,200 crs, almost Rs. 20,000 crs is because of working capital , mostly in JLR, a little bit in Tata Motors as well, which we intend to sort out as the growth comes back into the business. So that's overa ll from me.

Next slide, handing it over to Adrian for talking about JLR. Adrian, over to you.

Adrian Mardell :

Yeah, many thanks, Balaji. Next slide, if you would please. Okay. So, these are our KPIs. Top left, you can see retails did start to improv e quarter -over -quarter of 12%, not yet back to last year's levels, but I'll show you the inventory build later in the presentation. So we're confident we're going to get there in the second half of the year.

I'm going down the page, double -digit EBITDA for the first time in a few quarters, and again, we're confident that's going to continue going forward. The revenue, a dramatic year -over -year increase of 36%, even though volumes were only up 17%. So, what you'll see in there is both an increase in volume and a substantial increase in mix of volume as a result of our Range Rover and Range Rover Sport vehicles now being presented to the ma

rketplace. That's driven an EBIT positive in the quarter for the first time in those comparative two quarters. Substantia l improvement of more than 5 percentage points. We were loss making obviously all of that was non EBIT and we'll take you through the implications of exchange on our numbers later, and we were close to cash break even , minus 15 , substantially better than t he comparative quarters with just 75,000 wholesales and all of that cash loss and more was actually working capital negative. So we've taken our breakeven underlying point down to 70,000 units, again which was the level we were at the end of last year that we didn't think we would be able to get back to. So there is a lot of positive information underlying within this data set, next slide please.

Okay, the only things I really haven't called out there is the order book. The order books are still very strong , more than 200,000 units. I'll take you through the details of that. The breakthrough on Range Rover and Range Rover Sport production now at the end of September up to 2,000 units a week. Let me remind you when I talk ed to you in July, I was referencing 1 ,000 units per week. That's a substantial increase there . Our Refocus program continues to be value generative, GBP 300 million in the quarter, GBP 550 million in the first half of the year and our liquidity is strong with GBP 3.7 billion cash, plus the revolving credit facility , GBP 5.2 billion in total. Next slide, please.

Okay. So these are the volume positions. I've talked to the top right hand side, the increases in the retails quarter -over -quarter. And not surprisingly with those Range Rovers now comi ng through all of that increase , most of it is actually in the Range Rover brand. From a wholesale perspective, we did 75,000 wholesales, a lot lower than the 90,000 we were signaling in July. We were decommitted on semiconductors in September , it had an impact both on September production and will actually flow into the September and the October wholesale bases , that decommitment is fixed. A long -term supply agreement is now in place with that source, so we do not expect further decommitments from that sou rce going forward and again, the wholesale numbers you'd expect given the production increases on Range Rover and Range Rover sport is all in our very rich Range Rover brand. Next slide, please.

This is the same data but by region and as you know us well enough now , a lot of our Range Rovers are sold in North America and China. Therefore, it's not surprising and corroborated data that the big increase s quarter -over -quarter are in those two regions in the retails and even more s o in wholesales, of course, because our units flow from production to wholesale before retail. So again, good corroborative

information of the trend to come on increasing those new Range Rover products. Electrification is stable at 65% , stable on P HEV and BEV 11%. We need more supply , particularly of those PHEV units, which will actually come on board as we go through the next several quarters. Next page, please.

Okay, so our profit bridge, our profit walk versus last year. I'll mention a few things here. I mention them because they are important to this quarter but that they are also imp ortant to the trends that you a re going to see in future quarters. So, you will see volumes at a higher level that was worth £120 million versus last year. You will see a significant improvement in mi x. Just with the value we actually fetched to the markets in Q2, that was £300 million higher than last year. Emissions was a last year credit not repeated this year, not a negative trend this year. Pricing, now those vehicles are coming to the marketplac e and VM E at very low levels will both continue into the second

half of the year. And obviously, they're intended to offset the inflationary cost you see there in material s, which we suffered in the quarter versus last year. I have a slide on that later, s o I will hold those comments till then. And the fixed costs are growing, but they're growing from historical lows, and this is still significantly lower than three years ago. They will lift a little bit as we go forward, because we do now want to begin to accelerate our transformation programs in commercial, InDigital, and obviously we're now scaling up our product engineering programs. So you'll see these numbers continue going forward, the adverse versus last year but still at historical lows and I will t alk about exchange on the next page.

Very complicated exchange at the moment. So we thought we'd take the opportunity to lay it out for you and hopefully kill all the questions you may have around it. First big point our operational exchange is very positive, it will be, we are a predominantly a UK based manufacturer exporting 80% of those vehicles and obviously for any exporter, if your local currency for a sterling is at a low value, you do very well. This is a good operational model for us on exchange.

Of course, you also know we protect ourself for variability and downside risk on exchange and therefore a lot of that protection is coming through as negative versus a weak sterling, most of our dollar contracts ran around $1.30, and this will be with us for the next four to five quarters. And then, there was a big movement against Sterling in the quarter. So you see that within the revaluation , it totals 100 million pounds in total versus last year. Th e dollar effectively moved from 1 .21 down to 1 .11. We have a lot of liabilities on our balance sheet for dollar -denominated. And that's what you a re seeing with in here. But it's a point -to-point adjustment reflecting a very weak Sterling at the end of Sep tember.

I think the bottom left is really important. It gives you what happens next. We have GBP 20 billion worth of hedging contracts, you see there. We've shown those same three points GBP 20.1 billion at the end of September. And if we were to strike t hose vers us the 1 .11 at the end of September, there'll be GBP2 billion of losses to come through. Look at the memo below that shifted with Sterling appreciation of just 4 cents in October, a drop from GBP 2 billion to GBP 1.4 billion. And let me remind you again against the top left, our operational exchange will be bigger than our loss is going for our income statement. And this is the theme that will continue with us over the next several quarters if we stay within this $1 .10 to $1 .15 dollar/ sterling wind ow which we seem to be into at the moment. Next slide if you would please.

Okay, so this is the cash position , we were cash negative of £15m , but just take a look at the working capital, it was £124m of the £15m and therefore again, we were underlying cash positive on just 75,000

units with an 18% MLA Range Rover, Range Rover Sport mix, which will grow going forward, of course. Effectively, we paid for more units in the quarter than we wholesale d to the market . Our wholesale pipelines are starting to lift, which is the signal actually of a better supply flow. Just look at the brown box there , our working capital negative over the last six quarters it has been more than GBP 2 billion pounds now. As our volume s start to increase and our mixes improve , that will slowly start to unwind the other way. So we are confident we are at the low point on working capital and that will build back, over the next six quarters. Next slide, please.

So break even look, we have tak en the breakeven down to historical lows again, in part because we have been tough

on expenditure even though we have allowed some to grow in part of course, because volumes are bigger, mostly because the mix is turning back to a more normal level of mix, we would actually expect . It's getting back to mixes we would have had in Q3 last year and that will improve in the second half of the year. We do expect expenditure to increase because we do want to continue with our change programs through to our reimagi ne strategy, which you're very clear about, I'm sure. But the mix will help offset the breakeven point to about 300,000 units full year. We feel, we're in a really good position in terms of the underlying structure of this organization. And the supply and the improving mix will both move in our favor as we go forward over the next several quarters. Next slide, please.

So, this is investment, and investment was higher in Q2 than Q1, but still just GBP 526 million. Few things to note, engineering investment is increasing as we're now bringing more engineers in place to move to our electrified architectures, that will continue over the next several quarters. We're now beginning to capitalize more of those engineers, because we've triggered a maturation in our architectures, which enables us to do so and in line with our accounting policy, which we've taken you through previously. Overall, we are at 40% engineering capitalization, and let me remind you, we expect to be between 50% and 60% at some point going for ward over the next cycle again, I'm referencing three to four quarters often . Over that period, you will see capitalization increase to those levels again. Next slide, if you would, please.

Okay, business update. Let's talk semiconductors , next slide.

There we go look, look we a re now in a position to do the first phase of what other OEMs are doing. We've got our new name plates out there, our Range Rover s and Range Rover Sport's, they are our valuable assets most valuable assets and we're in position n ow we can start putting those chips into our most valuable assets. All other OEMs have been doing that over the last 12 months. We've been in project change over the last 12 months. So it's not surprising the mix is improving in our favor and that will continue. So Phase 1 of the management of these challenges, we're now in a position to be able to do. Phase 2, we've been working on for a long time actually, that's engaging directly with the chip manufacturers, putting in place long -term supply agreements with them. We ha ve again had breakthroughs over the last three months, including with the chip supplier, which decommitted us in September. And we are confident from those supply sources into cal endar year 23 on quarter four this year for ourselves. And we continue to work to close out the residual items we have. We do have residual items left to close out. There is still a possibility we'll be knocked off course. But week -by-week , month -by-month, we are starting to put in place a more robust and more fit f or purpose supply chain and

agreements with our sources. So again, we are heading in a good direction, slower than we want to be, slower than others , but we are heading in a good direction here. Next slide please.

And this is really -really good, right. So this is the new Range Rover and Range Rover Sport. Its weekly production . I've given you the trend over the last five months. June was the last time we talked, we had the June data, I referenced a thousand units. You can see we improved as we went through the summer period, but the real breakthroughs were from September and has continued into October, this is weekly data. So, we're now building and shipping more than 2,000 cars a week, which means within a quarter MLA will soon , once these cars get to their destinations China and

North America in particular , we will
soon be posting 30,000 wholesales within a quarter into quarter four. Quarter three, some of those cars will be on water, but that will dramatically shift the mix of these units from sub 10% earl ier in the year to 18% in quarter t wo towards 30% and beyond for quarter three, quarter four. So, that page and that profit bridge on both volume and mix will continue to be strongly positive as we go forward over the next several quarters. A really, reall y big breakthrough for us. And my compliments to the team who have worked tirelessly for the last nine months to get us to this position. Next slide, please.

And this is our order book. And of course, you'll see straight away that the breakthrough in supply is now starting to attack where our orders are. So, our very patient clients who've been waiting for these new vehicles for a long time will soon start to receive handover of said vehicles. It's grown over the quarter to 205,000 units. It's starting to taper off as our fulfilled orders , our handovers to customers are increasing and our new orders net of cancellations - you ask ed for cancellations - is within that data there at just about the 90,000 level . We really have n't marketed these cars or any of our vehicles over the last 12 months because of supply. Once supply starts to come through, we have several tools and several weapons to drive up that new order intake, which we will actually do, but obviously keeping orders in place for longer than our clients wish for , has been a consideration, which is why we've held off on those marketing campaigns over the last several quarters. This is starting to feel better balanced and health ier and I don't expect all the totals to explode going forward like the y have over the last five quarters. Next slide, please.

Okay, so health of our pipeline express ed with finished vehicles. Two data sets here, the blue black line, the one at the top, that's retailer inventory. That's vehicles where the retailers are waitin g customer pick up. You can see the light blue bar at the top, that's a normal level of activity. So, in normal times that blue line should be within that top block, it was until May 21, it's fallen away dramatically. But the important point is it's steadi ly lifting from about February. It's steadily lifting to the point where we had 44,000 vehicles at dealers at the end of September, awaiting customer pick up . These are sold cars waiting for people to hand over, which is why our retail levels as I mentione d earlier, will now start to grow. Our own wholesale d stock, the stuff that we still own that's in transit to dealers is actually in the gr ey line. And you can see that started to lift. And you can see in September, it fell away dramatically. That was the supply decommitment we've mentioned already, which did impact dramatically September production, also impacted September wholesales, which is why we miss September and October wholesales. But we're now back on track, our production levels are now working t o the level we expected. And again, we do expect the grey line to be back in that grey section as we go through quarter three and quarter four. So

we're getting healthier. I've spent time on this. So it's clear that our data starting to turn slower than we want, but in several corroborative data points. Next slide, please.

Okay. So , inflation obviously is the other big thing. The big three supply, ML A and inflation, MLA is in a really nice place. The other two still work in progress. It's broadly what we anticipated at the start of the year , we reference d up to GBP1 billion, this is first half data GBP 430 million and of course our refocus program is there not only to offset inflation but to generate bottom line value. It

's doing that, it generated
GBP550 million in the first half of the year. So, we're positive cash GBP120 million . It’s mostly doing that in the commercial space. Pricing , lower variabl e marketing, lower wait times and therefore lower discounts going forward. We are also start ing to see the agile transformation come through in lower headcount, and people costs and investment is lower in the first half of the year. How do I expect this to shape, I expect inflation to be with us. We know it's going to be bigger and deeper than we thought six months ago. So, this level of inflation feels about right in the second half of the year for us. I expect refocus to continue at this level. We are rec onfirming a GBP1 billion pound plus full year, but I expect the market performance to grow , the cost labor to be about the same, and the investment to fall away as we start to increase our product engineering investments over the second half of the year. N ext slide, please. I think this my final one next one, thank you.

The first half metrics down the left hand side, what do we expect in the second half of the year. We expect our wholesales, our revenue -based volumes to be up about 10% more in Q4 than Q3 as supplies coming through and as MLA is still building, they had those vehicles have to get to their revenue recognition points, which as you know, some of those points are six weeks after build. So that will increase as we progressively go through month -by-month. Revenue will be bigger than £10 billion where we see it today it's closer to £11 billion , EBIT margin will be positive in the second half . In both quarters we anticipate. I've mentioned investment increases but the full -year guidance around £2.3bn and you know what, we can get back the cash, we didn't get in the first half of the year, we know it's all working capital. We think our trend of volumes is positive and therefore working capital will be positive. We've demonstrated for the last four quart ers, we are underlying cash positive anyway. So, we believe we can get back the cash we lost in the first half of the year. Breakeven we ’re writing, but if you know us well enough, we want to do better than that. Key priorities, of course, it's all about c hips, chips and chips. It's hard work for us, right. Now, we were behind the clock. It's a bit like turn ing up to the buffet two weeks late, right? Some of the stuff left isn’t what you want, but we're breaking through this. We are working tirelessly and we're working in the right direction. Continue on New Range Rover, Range Rover Sport which we're doing. Volumes, I've mentioned, refocus I've mentioned, and also our intent to be positive positive on the KPIs EBIT and cash flow. I think, I am back to you, Balaji.

PB Balaji

Thank you, Adrian. Moving quickly on to the commercial vehicles. Change here, where we are moving to the registration Vahan market shares in our reporting. And the other thing you will also notice in this is traditionally we used to refer - our internal report metrics are on medium and heavy commercial vehicles, intermediate and light commercial vehicles, small commercial vehicles and pickups and then commercial passenger vehicle that's how it used to be. We would now love to ensure that it is as transparent and as easily pick ed up, you can pick it up from the Vahan portal yourself, and therefore we are reporting the

Vahan numbers itself here as in where as even in the splits that are there. So, here , from market share perspective, compared to 44.7%, we are lost about 150 bps this year so far, and we are definitely looking at what is the right way to win in this marketplace in terms of shifting to a demand pull business model, and I a m sure Girish is going to talk more about it in his section as

well. And the focus is on getting back to a double -digit EBITDA profitable growth as soon as possible. And you should see that playing out in the coming quarters. Next, slide please.

From our overall mix with only c all out here, I would say is draw your attention to the CNG section, where in ILCV section, thanks to the way the CNG prices are starting to move up and the gap between Diesel and CNG has come off quite sharply and you would see that in the salience therefore of CNG and the overall segment actually come off quiet sharply . We have believed this is going to be temporary, and once these things - the international geopolitical situation stabilizes, the growth in CNG should be coming back again. Next slide, please.

Overall numbers wise, year -on-year growth of 35% , PBT positive at Rs. 300 crs. EBITDA year -on-year is 180 bps up, but I would draw your attention to the sequential drop that you see. This is basically coming out of residual commo dity inflation. This is the last of the price increases as you close the contracts, which we went through. So , we do see reductions coming through from Q3 onwards. And that's already evident in our numbers from September, October as we see. So, this is wha t you see as a number there. And EBIT numbers of course, 260 bps improvement. And quarter -on-quarter is more linked to the same number you saw on the data. Next slide, please.

Shape of the way the drivers came from, you do see volume mix. I draw your atten tion to the realizations , it’s starting to now inch up above the variable cost increases. So, we are seeing numbers coming in and this is year -on-year basis. So therefore increase you see. And what is also , from a commodity perspective, we did see a few ch allenges particularly in the forex side, where with the international business significantly coming down because of the global situation, we had to take out a few covers, cancel a few covers, because the volumes are not supporting the covers - that's a lot of what you see there. Next slide, please. Girish, over to you.

Girish Wagh

Yes, thank you Balaji. So I think Q2 had a healthy growth of around 40% over the Q2 of previous year. Of course, the Q2 previous year was also COVID impacted. And I think from Q3 onwards with the improvement in the base, we will see normalization of the growth rates to a lower level. As Balaji spoke , the EBIT margin was impacted due to the residual impact of commodities, which was to the extent of almost 200 bps, as also lower export mix . We were able to offset it partly with improved pricing a nd also some cost reduction actions. We see a consistent growth in our spares and service penetrati on, which is a key focus area for us and the non vehicle business revenue grew by almost 50% for the entire first half as compared to the H1 of last year.

Balaji spoke about CNG salience coming down and it's almost down to now 17% and 15% in ILCV and SCV respectively from a level of almost 45% and 18% in the same quarter last year, and this is because the difference between diesel and CNG price, which used to be almost Rs. 44, Rs. 45, has come down to now Rs.15. Within the bright spots, of course, I think, the strong industry growth especially led by M HCV, of

course, has a base effect of the last year. And the good thing is, the passenger vehicles, the buses have also come back pretty strong with good demand in school buses, employee transportation, and as a lso some demand coming in from STUs now.

I think with our consistent focus on retail communication as well as digital for lead generation, I think we have seen a consistent gain in the net promoter score as also top of the mind brand awareness and consider ation by almost 100 bps, 200 bps and 300 bps respectively, and they are now at a

highest ever
level. So, I think our strategy of therefore, increasing the brand salience is working in the right direction which is going to support our retail acceleration in itiative. We also strengthened our product play with launch of more than 30 new products and 70 variants, and within that, I think in quarter two we did launch our new range of pickups as also range of smart trucks, including some of the first in the indus try safety features. The semiconductor situation has eased further, although it remains on our radar and in addition to that, we are also keeping a track of the new semiconductors which will get introduced in the vehicle when we migrate to BS6 Phase 2 as a lso some of the electric vehicles, where we are going to ramp up the production. Going ah ead, clearly the focus will be on retail acceleration and track the Vahan share, which will also therefore help us to maintain the inventories at healthy level within the system as we gear up for the BS6 Phase 2 transition. Strong focus on margin improvement , we will continue through sustained Market Operating Price (MOP) increases. So, I think what we've been doing is, reducing the discount and increasing the market op erating price and not touching the max retail price which is there. And in addition to that I think we also had a very good first half in terms of cost reduction, almost the best performance ever on cost reduction.
We will continue to engage with the key f inanci ers as also the other stakeholders, especially with the kind of MOP correction th at we are taking, and also with the rising interest rate , need to ensure that we provide all the right solutions for our customers, both retail, as well as the key accou nts. Readiness for BS6 Phase 2 i.e. the real world driving emissions is absolutely key and there is lot of focus within organization and we remain on track for this transition from April 23. As Balaji mentioned, in the international markets, I think the total industry volume has declined sharply and I think our focus has been clear on maintaining market shares, margins, as well as the channel health. I think within this we have seen a sharp decline in Sri Lanka, followed by Nepal, and even Bangladesh and also Sub -Saharan Africa has declined by around 10%. Next slide.
Coming to our future businesses update s. On the electric mobility, I think we have been able to complete the in-market trials of Ace electric vehicle with our leading e -commerce customers at two locations in the country. I think the product has delivered very well in terms of range and the load it can carry and seems to have a significant competitive advantage over the current solutions. I think we should be starting actual deliveries within t his quarter. We are also gearing up, not just operations but also supply chain for the new set of order that we have for electric buses also. This is I a m referring to the C ESL Phase 1 tender which we had won for around 3,600 numbers. There is a bit of a c hange in that likely to happen but otherwise, we are gearing up for start of supply of these buses from Q1 of next year. In terms of our smart city mobility solutions, in the last quarter we completed delivery of 100 more electric buses to Delhi transport corporation. And with this now, the total e -bus fleet has covered more than 51 million kilometers cumulative. As I said, we received a LOA, letter of acceptance for 3,600 buses of Delhi, Kolkata ,

and Bangalore as a part of the Phase 1 tender. The Kolkata one is being reviewed in light of the recent court order, which has come in this regard. In addition to this, there was a new tender which was floated by Jammu and Kashmir for 200 e -buses for own and operate model, which we have won. And even delivery of these buses will

start during the next year. So, we have a healthy order pipeline, not just from
tenders from the governments, but a lso from private sector, especially for employee transportation in corporates. I think amongst the fleets we have been able to deliver more than 96% up time across the buses, which is better than what we have committed in the contacts. The total revenue from this business in H1 has now crossed Rs. 200 crs. So, that's where we are in terms of revenue from this new business line. O n digital front, I think fleet edge continues to do a pretty well. Now, we have more than 290 K trucks, connected trucks on the road and within that you see in more than almost 80% active users now with good usage during the day . During the last quarter, we launched the minimum viable product - MVP 2 on fleet edge, which includes a lot of new features and reports for the customers and the fleet owners, as well as their workshop managers. And they see a lot of value coming in from these reports and insi ghts , which will help them to improve their tot al cost of operation. Lastly, E -dukaan, which is our online spare parts marketplace, has been doing pretty well. In fact in H1, the revenue has grown 3 times from what we had achieved in H1 of FY 22. So I think, we continue to build the back -end, and then have more and more customers coming onto this app, which will help us to grow this revenue at similar rate. So that's about CV. Back to you Balaji.

PB Balaji
Thanks Girish. Moving on to passenger vehicles, a pretty strong quarter coming through - 57% retail growth and dome stic market share steady at 14%, 8% EV penetration, and 10% CNG penetration . Those are the key highlights. Next slide.
EV slide I think the strongest quarter that we have had . We are almost now at 88% market share and more than that the penetration is continuing to increase; the charging in fra is continue to increase. So, we do expect to see this continuing to drive penetration up. Next Slide.
On the financials, 71% revenue growth, PBT breakeven agai n. And EBITDA was down 70 bps, but a lot of

it is the same, two reasons here on a sequential drop. One is the residu al commodity inflation that is there and the other was a one -off that was taken in this quarter, which is, which will correct in the subsequent quarters. So, no, major concern there. We will continue to keep this profitability improv ing. EBIT of 200 bps improvement.

On the financials, this is what I just refe rred to, I think on a year -on-year basis, volume, realizations, continuing to i ncrease . There is still a scope for pricing , we have just put through a pricing in the first week of November and of course, from an overall perspective, the one that is that I will want to draw your attention to is the depreciation and amortization , where we are taking more into the P&L th an to the balance sheet. And on the commodit ies the hedges are paying off at this point in time , and the currency depreciates. Next slide. Shailesh, over to you.

Shailesh Chandra

Thank you, Balaji. Let me start with the key highlights of the industry first. In quarter two, the industry wholesales reached the highest level crossing 1 million mark, the very healthy growth rate of 38% year -on-year. As we know that last year , the base was low because of semiconductor issues t hat the industry was facing. Segment al trend continue s to grow strong in favor of SUVs. So, SUVs further increase d their share in the total TIV, whereas Hatches continue d to see significant decline. As far as Tata Motors is concerned we further strengthen ed our market share in H1 to 14 .1% as compared to 12.1% in FY 22 and in PV and EV the business grew by 84% and 371% respectively. It was, of course, the highest ever offt

ake

for us, in quarter 2. We maintained our number one SUVs position as well as Nexon also retained its number one SUV position, among the 40 plus SUV models that we have in the industry. EV also posted its highest -ever quarterly sales at 12,000 +, with a market share of 87%. Balaji, talked about the launch of Tiago EV and very strong resp onse that we got on the first day of opening the booking. We crossed 10,000 bookings in the first day itself. And so far, we have received very, very healthy bookings for Tiago EV, even while the customers have not test driven the car, so very, very encour aging response seen for Tiago EV. Talking about the bright spot that we foresee in Q3, we believe that industry will sustain the momentum what we have been seeing the pas t quarters. The focus in this quarter for the industry would be retail. There will be mod eration in off take as all the players would like to reduce the channel inventory as we are approaching the calendar year end. Also, semiconductor supplies have been strong and we have seen that's the reason why last quarter there w ere 1 million supplie s in the industry and this quarter also , we don't see a major issue, because of semiconductor supplies. As far as Tata Motors is concerned , across all the models we are seeing the demand remaining strong, because of a strong customer appeal for our product s. There has been consistency in supplies. And you have seen quarter -after -quarter we have been sequen tially growing our supplies. Also we did debottleneck some of the capacities in our existing plant. So, it is therefore going to support the demand well. And we will see strong growth trajectory as far as EV is concerned. Challenges in the industry would be now preparing towards transition ing to the new emission norms from April 2023. So, the work will start from now. And market growth is going to normalize as I mentioned, especially in this quarter as the effort would be to reduce the channel inventory.

So, how we are planning to overcome the challenge? I think, as far as demand is concerned, we will continue sustained initiatives at micro market level, fo r different products . We will also start transitioning to BS6 phase 2 from Q3 end itself. And hopefully Q4 will be a seamless transition for us. And there is a clear glide path that we have created for our profitability improvement, using nine levers and t hat is also pretty much on track and there's a very strong rigor as far as execution of this aspect is concerned.

Back to you Balaji.

PB Balaji

Thank you, thank Shailesh. Next slide. Overall CV and PV on the cash side, the cash profit after tax and investments, very well -funded. So the business is generating the cash it needs to invest and you can see the working capital changes flow through as growth comes up is what I would expect to see in JLR as well , as growth comes back. So we still have a way to go to knock off Rs.2,600 crs adverse working capital for a

full year basis and I'm sure as the year progresses we'll get back to those numbers as well. Next slide, please.

Investment spending will be up to Rs. 6,000 crs , and FCF will still remain posi tive, that's broad message here. Next slide.

We will take a minute on Tata Motors Finance, we had an AUM of Rs. 46 ,000 crs , I will also draw your attention to the GNPA line of 8.5%. Before , the two comments, one is TMF and TMFSL, the two NBFC's are classif ied as middle layer by RBI and the process to demerge the NBFC business - we will combine the two, Tata Motors Finance and Tata Motors Financ ial Solution s. It will consolidate and simplify the group , very sim ilar message to the ADR message that I said earlier. So that 's on the corporate side. But the main one is the central line, which is the

point related to the sharp slippage is that we 've seen in the restructure d portfolio, COVID linked stuff that is there. The underlying portfolio is pretty healthy and continuing to do well. But the restructured portfolio is something that has seen sharp slippages. And we will be monitoring this closely, and that's why you see the loss this quarter as well. So this is something that does concern us, and we will aim t o therefore tweak some of the approaches in Tata Motors finance to focus squarely on improving sourcing quality on underlying business to offset some of this and also stepping up the targeted collections that we have there. But at the same time, capital ad equacy is fine, the debt equity ratios are fine, liquidity is fine. So, we just have to ensure that the execution on the ground in Tata Motors Finance steps fur ther and the team is on message to get that done. Next slide, please. Overall outlook. Demand r emains strong for now and will remain a key monitor able because, the geopolitical uncertainties are pretty large and wouldn't want to be complacent as far as demand is concerned. And the same time no worries at this point in time. So, we will remain watchf ul. Chip supplies as Adrian indicated earlier will improve to further there. India we do not see a concern and therefore the volumes will continue to ramp up steadily. In India, definitely and JLR as well, cooling commodity prices will aid improvement in u nderlying margins and we do expect to deliver strong improvement in EBIT and free cash flows in H2. On JLR, priorities, we already talked about . Coming to Tata Motors priorities, definitely delivering market beating revenue growth. So product innovation , service quality in the new demand -pull model is going to be a very important one and a sharp improvement in realization and EBITDA margins is what the business is focused on . And we are already starting to see the first successes of that. And we will deliver as far as PV is concerned, market beating growth and continuing steady improvement in profitability and cash flows. And as far as EVs are concerned, its about driving penetration. So, this is all we have to say.

Questions and Answers session

The flurry of questions that have already landed up . Let me try and lump them together because it's going to be always be a fair amount of repetition . There's a broad set of themes Adrian com ing your way One related to chip supplies in the theme of when the global chip supplies are actually starting to ease , why are we doing long -term contracts? So that is one kind of questions that are there. Second is, now that you have secure d chip supplies are the, 160K production for second half , full sales for second half we have signaled , is it on the conservative side? And thirdly, will that also mean that the margins that we are also putting out there is on the conservative side. So these are the I t hink there's one theme around

semiconductor that I see . If you could pick that in the, meanwhile let me try and summarize other questi ons as well. Over to you Adrian

Adrian Mardell

Yes, sure. Thierry will answer the question on semiconductors, the n I'll go into the profitability stuff afterwards.

Thierry Bolloré

Yes. Well, good afternoon, good morning, everyone. I think this chip supply is absolutely fundamental to understand that's , we have almost finalized all our long -term supply agreements. But it i s very clear that if you miss one, it's enough to create the problem that we have had , you know, and that Adrian explained in September. The good news is that now we have finalized all our supply agreements and but let's take the example of the last one t hat we could sign. It's going to be effective by calendar year 2023, which mea

ns that we can see already very positive signs in the way we are dealing with our problems in an effective manner, that's why we are very confident of our ramp up. But, the full effect of these long -term agreements is going to come into action gradually with the global supply base and with our tier one s. So, that's the reason why it's a gradual improvement, and we should not also forget that the crisis supply in terms of chips is really a crisis in our sector. So, we can see improvements, but it's going to continue when I'm discussing with the CEOs of all the industry. It's going to continue in the coming years. It's not a matter of months or quarters, but it's going to be a matter of years before we come back to a situation which is much more normal than what we can see today.

Adrian Mardell

And if you let me build from that theme into the second half of the year, one thing we have said is that we are more certain of supply from Ja nuary than we are from October. I told you earlier in t he presentation that we were de committed in September and that carried through into our production and wholesales into October, which is this quarter. So it's reasonable for you to assume 160,000 in t he second half of the year we have guided you, but we'll be stronger volume in quarter four i.e. from January than in quarter three.

What we're seeing from an overall volume position in quarter three is a little bit better than Q2, but not a dramatic impr ovement. However, our mix because of the units we're now able to build within FA3 and

Solihull will improve and therefore, total units in Q3 will be modestly increased, but average selling price and average revenue per unit will increase a lot above the 70 ,000 pound per unit level, which we started to see towards the end of September. So that's what you're going to see over the next three months, with then an increase in supply in our quarter four. The balance is added to the 160,000 units. Don't forget we don't want to put a number out there that we're having to explain why we didn't either. So a part of this is learning from our Q2 experience, because Thierry's other advice is, at a point in time, you can actually be de -committed outside of your expectatio ns, and it just takes one part for us not to be able to complete and ship a vehicle. So, that's why the guidance you will see it in the second half of the year and the intent behind what we're trying to do here and the complexity that there still is for ou rselves and for everybody else in the automotive industry by the way.

PB Balaji

Thanks, Adrian. I think let's probably take the other two questions also coming your way, which then takes this to the next logical question saying that, what does the reducti on in production and cash flow, or guidance in JLR mean for our FY24 guidance of becoming debt free? And how do you see the revised guidance?

Let me take that. I think at this point in time, the near net debt free target remains as it is, we are not changing it simply because we don't want to update it every now and then. But we do understand the stretch that is there in trying to get there. So obviously, we will work at all, look at all options as far as trying to see how close we can get to t hat. I think the better time to do this discussion would be at the end of the financial year, as we are able to see as Adrian and Thierry talked about. Q3 is a transition period, and then Q4 is when the full calendar year benefits come through as well. Tha t will give us the better time in terms to talk about it. So, we are aware of the challenges to get there, at the same time wouldn't want to run ahead of ourselves in terms of putting a number out there. So that's on the net debt.

Related point on this in terms of your funding, Adrian, do

es it also mean that you may be coming to the bond market sooner rather than later in terms of taking care of this GBP 1 billion that is currently not in your plan?

Adrian Mardell

Thanks, Balaji. Ben, what are thoughts?

Bennet Birgbauer

So, we did end the quarter at GBP3.7 billion of cash, and that does include a buffer for unforeseen cash requirements or to cover maturities if we don't want to go to the market at the time. So, we already gave guidance that we would be si gnificantly cash flow positive in the second half of the year. And we have about GBP 800 million of bonds maturing in February and March and basically the free cash flow guidance that was put on the page you saw was GBP 750 million pounds. So that would ab out cover it and so you really wouldn't be eating into the buffer. We could do scenario planning and say what happened , what would happen if that didn't happen. But I think that what would happen is we would just use some of the buffer, and I think we are in a situation where, yes, over time, we'll always want to maintain that buffer and maintain good liquidity. But rates in the market right now are not very attractive, and I think we do have flexibility for the reasons that I just said to wait until we see rates that are more attractive to us to issue at.

Adrian Mardell

Okay. Thanks, Ben.

PB Balaji

Let me turn to India. I think there are the questions coming through on the profitability of the Indian business. The Indian business margins , I think this comes from Gunjan, Bank of America. The Indian business margins have declined sequentially in both segments despite price hikes and better operating leverage. How should this span out ahead? What sort of metal corrections tailwind we expect in second half if yo u can quantify?

I think let me take that question, Gunjan. I think if I see PV and CV individually, close to about 70 -odd bps of residual inflation came through in this current quarter in our overall profitability, which we expect to actually neutralize an d turn and actually go forward start giving credits in Q3 and beyond. We do as I said earlier itself, the intention is for the CV business to get to as close to double digit EBITDA at the earliest, and PV will continue to have a steady improvement in profi tability going forward for which commodities is one of the levers. But it's fair to say that the operating leverage from a PV perspective is now juiced to the limit, and we would want to now see the contribution margins and mix continuing to play and keep improving and there's enough and more opportunities on that front. So, that's what we see is from an

improvement perspective. Other thing on the PV we should keep in mind, I think we've lost some more , not lost , I think that we've taken a charge : one-off charge of almost about 50 odd bps this quarter related to few obsolescence issues that are there, and those are sitting in underlying business , but they are one -offs and should not repeat going forward. So, that's on the profitability side.
Girish , this one coming your way, I think when you see CV margins, they are very weak despite industry volumes, which is for an industry itself, being very weak. So can CV business margin reach double -digits? Are they closer to double -digit like, let's say 9% ki nd of a close double -digit there? How do you see the profitability of the industry?
Girish Wagh
Yes. So I think as Balaji mentioned, we as market leader have actually taken this upon ourselves to increase the realizations from the market, and that's a big change that we've done in towards second half of Q2. And we have been increasing our market operating prices with which we will see that the margin should improve. And as Balaji mentioned, I think our target will remain to ge

t to a double digit margin EB ITDA.
And I think the good thing right now is the transporter sentiment index we do see, it remains quite positive, which is good. So, the demand is going to be there. We also see that the fleet utilizations are good. Freight rates are also at a good level . So despite the increases in diesel prices and the vehicle prices at whatever level they are, the transporter profitability is intact. So this should help us to firm up the realizations as we go ahead. And with commodities tapering -off and our cost reduct ion actions, I think we should be getting towards our double -digit EBITDA target.
PB Balaji
I'm getting question to both Shailesh and Girish in terms of BSVI Phase 2, what kind of cost inflation can we expect?

Girish Wagh
So, I can say at this juncture tha t the cost increases for the BSVI Phase 2 are going to be lower than what we had seen in the BSIV to BSVI transition. So, in terms of price increases, therefore it may be lower than what we had to take from BSIV to BSVI. I think it depends upon the technol ogy also, but the statement that I am making is applicable to most part of the diesel portfolio. That's where we are. I think we obviously are very light on gasoline, there is only one product in gasoline. But gasoline anyway will have much lower cost impa ct, so that's where we are in terms of cost impact due to RD E migration.
Shailesh Chandra
Similar response. I think the transition that we had seen earlier from BSIV to BSVI echoes a double -digit kind of an increase. So as far as price was concerned, you 're not going to see that kind of a price increase in this time, and diesel , when specifically talk about diesel, because that gets impacted the most but you'll see different kind of cost increases for different manufacturers depending on the technology se lection. So that's what we now see going forward, but it's not going to be as significant increase as we had seen from BSIV to BSVI.
PB Balaji
Thank, Shailesh. Adrian, this is coming your way. Given that lot of your cash outflows coming out of working capi tal, the fact that you are now guiding to a 160 k volume with semiconductors having taped -up, is that number conservative, number one, which you had answered the in a part . But its implication on cash flows, given that working capital rewind should give you a better benefits going forward, are we being conservative on the cash flow?
Adrian Mardell
Yeah. Okay. Thanks, Balaji. So are we being conservative on the cash flows, there's two or three things happening into the second half of the year within there. On e is, and all of them have actually referenced on the call, but good to play it back in terms of the data here. One is, we will be building more cars and therefore working capital will start to turn in our favor. Ultimately it depends on how many cars we build in the last six weeks of the year of course. Right so, but our assumption is we will build more cars over the end of Q4 than we are building at the end of Q2. Therefore, there will be a working capital turn in our favor in the second half of the year. There is a mix improvement, so even though volumes aren't as high as some people wish, the mix improvement and the value per unit and the average selling price will grow as well. All of those things will be positive. Don’t forget what I've also said to you on the call is we expect investments to increase in the second half of the year in two or three places, one of which is the optical investment number, which the guidance we've given you is GBP200 million higher in the second half of the year than the first half of the year. With the supply starting to improve, we're also anticipating improving other investments like fixed marketing to generate more orders,

which we're deliberately not
generating today because of the size of the order banks, and we will also allow expenditures to grow in

other places alongside our digital transformation. So, our spend will grow and our cash receipts will grow and it will net out to the flavor of the GBP 750 million you see there. I'm not consciously and deliberately

being conservative, although we're being very balanced and it is possible to overachieve those numbers should we get more supply or more of our units to end destination s before the end of March .

PB Balaji

Thank you. Adrian, one more coming yo ur way, this is on the order inflow. Q2 seems to be around 93 K, lower than the 100 K+ that you have reporting in the previous quarters. So the broader question that's coming through is, is this because of a demand slowdown, or is it because the long wait pe riods? What's causing this throughput rate to come down, and therefore, how are we seeing the cancellation rates as well as overall demand environment?

Adrian Mardell

Yeah, okay. So we are about 10,000 units lower than we were by quarter earlier in the yea r. Obviously a part of that is the reasons I've just said, we're not stimulating new demand. But what you're also seeing in the absence of that stimulation in demand is the aggressive increases in orders for new Range Rover, for example have started to fla tten off, and we're building more of those units as well. So that's what you're seeing here. You're seeing up the original spike launch of new Range Rover now starting to flatten off. There's been no marketing spend behind that vehicle at all, advertising or indeed, variable marketing. So ,there's plenty of opportunities for us to stimulate that demand. The other thing you are seeing we're starting as the Range Rover Sport is becoming visible into the marketplace. You'll actually see the database increase R ange Rover Sport orders as we go month -by-month in the second half of the year. So, we're waiting and watching to see whether it naturally, because of that second reason gets to a 100,000 or whether we actually need to start to stimulate some of that deman d. And a fourth reason is that we know dealers are holding back on some orders at this point, because we don't have delivery times for them. So, when you put that flavor together, Balaji, we are super confident we're going to stimulate orders more than a 1 00,000 going forward once we get the supply.

PB Balaji

Thank you. I will leave you with a teaser on pension that's going to come your way, but let me before that move to Shailesh. Two questions, Shailesh, on EVs in particular. One, value proposition of EVs , how's it better than hybrids? So that's one. And second, EV margins , the impact of EV and overall margins of PV, can you talk about these two?

Shailesh Chandra

Sure. So as far as EV is concerned and the way the ramp up we have seen in terms of demand of EVs and Tiago is one big example, first day getting 10,000 bookings, we had never seen this kind of a response even for some of our very successful ICE cars. Clea rly shows that it is being well understood the strength of the value proposition not only versus hybrid that I'm saying versus normal ICE vehicles also. And the biggest proposition here is the low operating cost, and the low operating cost is really transl ating into big benefits in terms of annual saving and therefore, the justification for the premium that you have to pay for EVs. It is a very smooth automatic transmission vehicle, at the same time for which it is being appreciated, and also in terms of pe rformance and drivability pleasure, it is prov ing to be much superior.

And of course, there is a change in mind -set and greater trend of younger population also to move towards more cleaner vehicles and be responsible to the environment. All this trends mak e it a very strong proposition, and we are clearly seeing that translating into demand. So, this is answer to the first question. The second question was on margin. I would say that margin of EVs is not very different than what we see for the ICE segment in PV. And this should further strengthen from next financial year as the P LI benefits also start coming in.

PB Balaji

In terms of your volume outlook for domestic PV, now that the pent -up demand is more or less met up and semiconductor situation has norm alized, how do you see it, one question? And second in terms of how do you expect to gain market share going forward on the PV business?

Shailesh Chandra

Sure. So, as far as this H2 is concerned , H1 itself was very strong, and we saw nearly 1.9 million ve hicle which got sold in H1. Typically you would see a 48 :52 kind of a ratio between H1 and H2. This time, you're going to see nearly 50 :50 kind of a ratio. So, it's going to be a very strong year, highest -ever industry volume is what we are going to witnes s in this financial year, possibly going up to 3.8 million -plus. And therefore, I don't see right now, the demand really going down, except that you'd see moderation on offtake this quarter, and then it should again pick -up in the next quarter not to the f ull extent, I would say, because of the transition from BSVI Phase 1 to Phase 2, but still, it will be good enough to do similar

kind of volume as we have seen for the H1. Definitely, the n the question will be in FY 24, whether you will have similar kind of growth? I would not expect that, because a lot of pent -up has got released already in H1, and therefore now it will be more triggered through the new launches, and there will be segments which might get impacted, which will be mostly the entry segment, as there will be some price increases coming because of some regulations, which are going to hit, which is, one, the Phase 2, RD E and then the safety regulations, which will also hit in October 2023. So I think FY 24, I would just hold my comment right no w, because we have also then triangulate based on what projections we are going to see from various agencies . What was the second question, Balaji?
PB Balaji
EV margins, you've covered it, right?
Shailesh Chandra
Covered
PB Balaji
Let me probably take the comment - Adrian, coming your way, JLR pension liability, situation of the provision needed due to the bond yield changes. Do you want to pick it up?

Bennet Birgbauer
So Balaji, Adrian asked me to pick this one up. So, I think this question is relating to th e extreme volatility we saw on gilt price in gilt yields following the mini budget that was announced in the UK in late - September, and that did cause liquidity challenges for pension plans in the UK, because they have interest rate hedging arrangements, an d they had to post collateral against those interest rate hedging arrangements. And JLR was no different. We did see increased collateral requirements in the pension plan related to our hedging arrangements, and we did take action in the pension plan to r educe the hedging levels and sell assets to cover those collateral requirements and we acted very, very quickly when that came up. So the pension plan remained liquid throughout the issue. Rates have, of course, normalized now. They had risen by 2 percenta ge points to something like 5.5%, and they're back now down into the mid-3s again. I think an important point here is that it was always a liquidity issue only not a funding or solvency issue. And the ironic thing is that actually,

the pension plans of JLR , the accounting basis surplus
actually rose from the end of Q1 to the end of Q2. So the accounted surplus is actually over a GBP1 billion at the end of September, and it was slightly under a GBP1 billion at the end of June.
PB Balaji
Yes. Thanks, Ben. One more question on the JLR side. Other expenses to sales are flat quarter -on-quarter, not seeing any leverage gains, any key drivers for that? Adrian?
Adrian Mardell
No, not really. Look, I mean even though we've broken through on MLA, we still only have 13,500 Range Rove r, Range Rover Sport whole sales within quarter two. It was just 18% of the total volumes. So, we will be stronger and better than that in the second half . Optically is incredibly powerful with that GBP300 million year -over -year. But, we're not punching our full weight yet by any means on MLA, and that will actually increase the average revenue per unit, and the total revenue in Q3. And therefore, you may see a change as a counterweight to that. I think I've already answered . We are going to start to lift some of those costs and some of those expenditures. And of course, the inflationary pressures in the second half of the year particularly on employee settlements will start to come in place to lift the cost as well. So I see a revenue lift, I see a cost lift, and broadly speaking, the balance between the two will be reasonably close going forward as we see it today, Balaji.
PB Balaji
Thank you. One additional question is on the VME. Do you see any pressure in China and EU on non-RR portfolio?
Adrian Mardell
No, no I don't. I mean, particularly on the way as we bias our product towards the higher end of the business, the discounting of the higher end of the business is lower, and therefore again, it will be a part of the margin improvements which will start to do in the second half of the year. Once free-supply comes through, and we start to build greater quantities of the smaller vehicles, the SUV -3s, that's when I expect

it to be more competitive, and that's when I expect VME to start increasing as an average and as a percentage of total revenue.
PB Balaji
Okay. And on e more question before I move back into C V here . The revised wage settlement at JLR, has it

been reflected in this quarter's results, one, and two, timeline for the debt repayment of the GBP1.7 billion in 2023?

Adrian Mardell

Yeah. The wage settlement is effective from Q3. So, there's no impact earlier in the year on this reported period that will kick -in in the second half of the year, and there's a part of the explanation even though I recognize some of that will go into the margin rather than other expe nses, that was a part of our last explanation. But it's in front of us rather than behind us. And the profiling of the debt kicks in in February and between February and June, there is GBP1.5 billion in sterling equivalent we pay back.

PB Balaji

Okay. Seco nd, now this coming back into India, Shailesh, your way, customer profile of the Tiago EV bookings versus Nexon, any interesting anecdotes there? And are they first time buyers, what are the mix, first car versus second car?

Shailesh Chandra

We would not h ave that clear picture of Tiago. But for Nexon, I won't have the split of first only car, but between only car and primary car, it is nearly 70%, which has grown significantly for what it used to be, it used to be 25%. Otherwise, it was generally a second car. People who are now using i.e. the Nexon EV buyers, who are using it as the only car or primary car is really now 65% to 70%. On Tiago EV, we have only regional kind of a mix, which is very strong we have seen in states like Kerala, Maharashtra, Gujara t, NCR, Rajasthan and these kind of places and Telangana. So pretty, I would

say, similar kind of states where we had been selling, but also some of the states in East have also started showing interest in EV. So that's what we have so far information here .

PB Balaji

Thank you. I think there's one question that's coming back again and again. So, let me pick it up in terms of what are the reason for lower profitability of CV and PV despite better volume? And I think there are also questions about how much i s a commodity impact for the current quarter, how's it likely to change in next quarter. I think, let me cut the problem into two. As far as CV is concerned, the main reason that we had was a residual commodity increases , the last lap of it, it is just the way negotiations close, they just overflew into July, August, and those are now settled and completed. And we should see the decrease coming from Q3 onward. That's how the negotiations happen. Additionally, on top of it in CV going forward, you should als o see realizations increase as we move to a demand pull strategy. So that will also keep increasing the profitability. And therefore, we would expect by Q3 this business to ramp up in terms of profitability and intention is to get as close to double -digit EBITDA as soon as possible. So that is the

plan there. Coming to PV, yes, the residual impact was also there in that. But on top of it, there also one -offs which we have taken with respect to obsolescence that we had to write -off, and that's almost 50 bps of write -offs that got taken there. So, those are the two reasons why the profitability came down. And both are now behind us. And therefore, that's something that we should expect to see the things changing here on.

So, moving into a set of questions tha t are coming in terms of ADRs, DVRs, basically saying that if you have simplified the structures through de -listing the ADRs , what are the plans on DVRs? At this point in time, there are no plans, and as and when there is something coming up, we will definitely share it with you.

In terms of Cap ex in India, first half of the year, we have spent about Rs. 15 billion, but we are guiding for about Rs. 60 billion. What is our current plan? I think, this is up to Rs. 60 billion is what we had set i.e. Rs. 6,000 crs. And we do have plans that are rear -ended, typically that's how it invariably happens as the proposals clear. We will keep a close watch on it, and we will spend as i s prudent and rest assured, we are not cringing on investments and the inten tion is to keep supporting the growths there. I think one question coming your way, Adrian, Euro 6 emissions that are there, are there any additional expenses that we have to undergo to meet the new emission norms?

Adrian Mardell

Yeah. Well, the Euro 6 leg islation is behind us Balaji . I think we are looking ahead towards Euro 7 at this point in time, which I'm told has been delayed by 24 hour s, the announcements until later this week. I think the EU 7 ones are the ones we're looking forward to. If they get confirmed in the timeline, then there will be additional expenditures which will be contained within our investment targets we have given you going forward.

PB Balaji

Okay. So Ben, one coming your way, given the pound depreciation against INR, shouldn't th ere be an exceptional gain sitting in the P&L due to debt on the JLR books? Is it again , I know that's related to INR or is it USD that you're referring to ?, because JLR has its debt in USD. What you also see is that, there's a translation impact of that, n ot definitely a P&L . And as far as the OCI is concerned, we do see it's in the OCI in JLR. Ben, anything further you want to add, assuming the question is vis -a vis USD?

Bennet Birgbauer

Yeah. I mean , I think, it's harder for me to answer the question rel

ative to INR. I guess all I can say is that,
I'd go back to the slide that we looked at earlier that showed exchange. And basically, it showed that the exposure benefit, net of hedges, was favorable ab out GBP 55 million in the quarter compared to a year ago. And we did have a revaluation on the debt. In the end of the day, debt is largely hedged either by derivatives or by foreign currency cash holdings or in some instances designated against future rev enue. So, we don't really -- I really think about foreign exchange revaluation on net debt, including hedges and that is broadly neutral. We did then have about GBP 90 million of balance sheet revaluation for other non - sterling liabilities that showed up in the income statement. It's all on that slide that we looked at earlier.

PB Balaji
Okay. One question to you, Adrian, in terms of an announcement from another OEM related that the high inflation in Europe could result in moderation of demand next year? Do you share this view and is there a risk to volume or pricing, given discounting currently is at a record low?
Adrian Mardell
Yes. Okay, Balaji. I think I touched on this actually when I talked through the VME explanation . Right, for the larger vehicles, th e Range Rovers, Range Rovers Sports coming through , we are not seeing any discounting, we are not seeing any fall -off in demand. There is a flat lining of new orders, but not a fall - away of new orders and the flat line is absolutely consistent with the pro files we have in the demand books , order books we have in place. I think once supply starts to free -up for us above the level that we are currently indicating in the second half of the year, then we will be building more of the units, let me say, in the SU V-3 segments. I think those segments are more competitive , always from a support VME perspective, from a aggressiveness of supply , of other OEM actions. So, I do expect higher VME at some point in time on those nameplates. But clearly, we need the supply t o build them at the moment. The ones where we will be building over the next six months in time, I don't see this as a risk at all.
PB Balaji
Okay. I think there's slightly different question, but again linked to the high energy costs. Is there a risk of shortage of components due to gas shortage or very high energy costs from vendors?
Adrian Mardell
We are not see ing any of that at the moment. We are seeing cost increases flowing through of course. Just to give you a sense of that, our base energy bill is around GBP200 million a year, and therefore you know that's certainly increasing. It's in part in our first half year. And it will be a reason I talked inflation earlier. I said the numbers broadly going to be the same. And if you put together the two responses we have given Balaji, the commodities are going to start to fall , while other cost categories, including utilities and including pay awards will start to kick -in which is why I am saying, overall the costs will broadly be the same in the second half of the year, just come at us in different places. We don't see risk of supply at this point in time. Obviously, as a nation, we are less reliant on supplies from Russia of course. Most of our supplies come from other places like Norway. We do have alternative supplies particularly for the buildings outside of our processes , production processes like paint shops. So, we have other alternative for ot her sources. We don't have gas storage. If you wanted to get into gas storage, we know our facilities in Europe and our governments in Europe do have a gas storage, which will get them through most version s simulated of a winter. So, we are not actually ex pecting shortages of supply to impact our production facilities over the second half of th

e year. We haven't seen any yet, but we are expecting cost
increases. This is a summary of where we believe we a re going to be on gases in the second half of the year .

PB Balaji
Yes, thanks. I think the question on the Ford plant acquisition, Shailesh, when are we going to see production out of the Ford plants that we have acquired? Just to clarify, we have not yet acquired, we will close the transaction, the intention is to close it by end of this calendar year or early in the new year. Everything points to that kind of timeline, so all systems go on that one . Production ?
Shailesh Chandra
Yeah. So Balaji, so we are right now in the process of government approvals and a ll are final stages of finalizing the model location mix with changes now, because whatever we are producing , many other factories are going to relocate to some extent to this factory also, and the new EV models which are going to come . So, FY 24 is where we are going to see some start of the ac tivity in the later part of FY 24. It's the current, what to say, estimate of when we'd be able to retool this plant for the models that we are going to shift to this factory, and some of the new EVs which are going to be made there.

PB Balaji
Okay. There's a question on what, how important is JLR to Tata Motors and the wider group's growth strategy and what level of support does the former envisage going forward? I think it's absolutely categorical. We have made that many statements that JLR is absolutely core to Tata Motors, and it is as much T ata as any other company is and the refore within the group as well, it's a crown jewel, and we will keep it that way. In terms of one interesting question, po st the launch of Tiago EV, do you see any pressure on demand Nexon EV? Shailesh?
Shailesh Chandra
Tiago EV is a very different product segment with very new customers. And , so, we don't see any impact on the Nexon EV demand as of now.
PB Balaji
Thank you. So maybe the last question unless there something comes up now. This is on Tata Motors Finance, how much of the incremental loan formation is dependent on Tata Motors PV, CV, EV? What are the plan to improve the operation of Tata Motors Finance? I think, l et me take a few minutes to explain this one. There are few things that we are working with Tata Motors Finance on. One is, that their underlying business, which is a running portfolio, is in a good quality. There's no concern on the running portfolio. But , we'd like to step it up further in terms of reducing the level of GNPA there, and ensure that we step -up the qua lity of sourcing. Thereafter of course in parallel, we are also working to tighten the collections infrastructure there, a nd you should see th ese playing out in the coming quarters. And it is very clear, it's an independently -managed company. Tata Motors and Tata Motors Finance , we would love to keep it as from a decision framework separate. But of course as much synergy as possible, they should drive. But intention is to ensure they take their own decisions on credit and decide whom to fund or what to fund. Their portfolio from a new vehicle perspective is entirely Tata Motors, but their used vehicle

portfolio does have sourcing from other OEMs as well, that's the market. So, we get a fair share of our market, of the vehicle park that is out there. So, this is clearly a task for the team there. And I'm sure, given their commitment, they will come back on track. It is only their restructured portfolio that is giving us the pain, and that is completely related to the pandemic and the fact that we had back -to-back pandemics for t

wo years in a row. The MSME, particularly small commercial vehicles, some ILCVs and MHCV's , those individual fleet op erators have been in stress. So, we will need to deal with this, and we are committed to deal with it as well, and it brings this business back in to the pink of health . It needs to get to a double -digit return (ROE) business, and we will be there.
So, I t hink it's more or less done for the day. So thanks everybody. We have no further questions. So, thanks everybody for attending the session, and also thanks to the team around the table as well as in JLR for a lively Q&A session and response there. And in c ase you do have any further queries, don't hesitate to reach out to us. We will try and respond to the best of our abilities. Thank you, and have a good day. Take care. Bye -bye.

Call: Feb 2023

February 1, 2023
Sc - 17238

Dear Sir/Madam ,

Ref: ISIN: INE155A01022 – Ordinary Shares
IN9155A01020 – 'A' Ordinary Shares
Debt Securities on NSE & BSE

Sub: Transcript of the Q3 FY2023 Earnings Discussion /Conference call

With further refe rence to our letter sc no. 17203 dated January 13, 2023 , intimating that post announcement of Financial Results for the quarter and nine months ended December 31 , 2022, the Company will host an Earnings Discussion /Conference call on January 25, 2023 .

The trans cript of the earnings/c onference call is available on the website of the Company at www.tatamotors.com

This is for your information and records.

Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Compa ny Secretary

Encl: a/a

BSE Limited
First Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001

National Stock E xchange of India Ltd.
Listing Compliance Department
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai 400 051

Tata Motors Limited
January 25, 2023

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – INTERIM CEO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
MR. RICHARD MOLYNEUX – ACTING CFO, JAGUAR LAND ROVER

Sneha Gavankar:
Good day and welcome to Tata Motors Q3 FY23 Earnings Conference Call. I am joined today by Mr. P B Balaji, Group CFO, Tata Motors; Mr. Girish Wagh, Executive Director, Tata Motors; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited; Mr. Adrian Mardell, Interim CEO, Jaguar Land Rover; Mr. Richard Molyneux, Acting CFO, Jaguar Land Rover, and my colleague s from the Investor Relations team.
Today we plan to walk you through the earnings presentation followed by Q&A. As a reminder, all participant lines will be in listen only mode and we will be taking questions via the teams platform, which is already open for you to submit your questions. You are requested to mention your name and the name of your organization while submitting the questions. I now hand over to Balaji to begin the presentation.

PB Balaji :
Thank you. Once again, thanks, everybody for taking t he time to join the call. As is customary, let's run through the deck at reasonable pace and thereafter spend as much time as possible on Q&A. So customary Safe Harbor statement. Nothing to report here other than the normal one that is the segments. Again, draw your attention to the changes that we have done over the last one year. So that's up there.
Next slide, please. The quarter as such was a pretty intense quarter. And I draw your attention to the Auto Expo, which I am sure Shailesh and Girish will qu ickly touch upon in their slides as well. A pretty intense affair and an exciting presentation from Tata Motors across the whole theme of moving India and something that has been very well received in the market as well. We also completed the acquisition o f the Ford facility in Sanand, and we are getting into the integration of employees there. We also issued a drawdown notice for the tranche 2 of the Rs. 3,750 crores i.e. $500 million to TPG Rise and the funds are expected to be received by end of January. And JLR order book, which I am sure, and the semiconductor situation is something that Adrian is going to talk about.

Next slide, please. Over all on the quarte r, a very satisfying performance with a revenue of Rs. 88,500 crores, EBITDA of 11.1% and the profit before tax and exceptional item

s of Rs. 3,200 crores , revenue
growth of 22.5% and an EBITDA improvement of 90 bps and EBIT improvement of 270 bps. The key call out here is that after long time, all the three auto verti cals are actually profitable and improving their performance and therefore that's driving the margin and FCF improvement that you see and we hope to sustain that in the coming quarters as well.
Next slide please. The source of growth, a lot of it coming f rom volume and mix and of course pricing starting to come through as well as we start taking pricing above and the inflation starts stabilizing. Profitability improvement coming across JLR, CV, PV, which is what I referred to earlier. And the only fly in the ointment is the losses we have taken in Tata Motors finance something which I will talk about towards the end. Automotive debt came down to Rs. 57,500 crores. And the point that I am sure there's a question that's going to come . In the case of JLR, we d o see a stretch in meeting the net debt zero targets. So we will update where we are on this in the end of March. Again confident in TML India as far as that number is concerned, we should be able to get it to net zero there. So intention is to work on all other areas as well.
Next slide please. So with this, let me hand it over to Adrian to take us t hrough the presentation on JLR. Adrian over to you.
Adrian Mardell :
Yeah. Thanks, Balaji. Next slide, if you would, please. Okay, so these are our KPIs for the quarter . Standard format you see versus last quarter and then the same quarter last year. Retails were slightly lower than last quarter. We'll get into the details of that a little bit later. We did improve significantly our deliveries of MLA units Ra nge Rover, Range Rover Sport. They principally get targeted to North America and to China. North America was actually up 34% quarter -over -quarter and China was lower because of the COVID shutdowns , is the punch -line. But you'll see that in more detail late r. Revenue because of that strengthening mix and the overall increase in wholesales, wholesales did actually increase by 5.7% versus last quarter. Significant increase. Significant improvement. You can see there above the GBP 6 billion level and we anticip ate being above GBP 6 billion revenue for the foreseeable future. Of course, PBT was very strong, our breakeven points are still below 300,000 units annually, 75,000 units per quarter. In fact, they were down to 70,000 units in Q3. Half of that PBT number is actually a revaluation gain on conversion of our dollar denominated debts mostly, and we'll get into that in later slides. EBITDA held up well 11.9%, EBIT was particularly encouraging at 3.7%, significantly higher than the comparative periods. And cash, once we break through that breakeven point with our average transaction values and average GVR being above GBP70,000 per unit now. It really does escalate into a considerable cash positive GBP 490 million , the best cash quarter for seven quarters. Next sl ide, please.
Okay. So these are the key highlights. We'll get into some more of the details around these later. The order banks did grow , we'll explain our expectations on that going forward. Refocus did deliver again up to GBP 850 million, which again, wi ll repeat our confidence in more than GBP1 billion on that as well. And very importantly, our cash liquidity continues to be strong, GBP 3.9 billion. And we actually secured the

extension of our revolving credit facility at the end of December and then int o early January, that got extended to GBP 1.52 billion through to April 2026. Next slide, if you would, please.
So, these are the quarter three highlights on retail and wholesale volumes. You see the big call out at the top there up marginally on wholesal e

s 5.7% or 6%, 15% year -over -year. My focus on retail s, first of all, as
I have mentioned, the actual retails did fall a little bit. This is by nameplate. Basically we've improved the deliveries on Defender and you will see increasingly going forward. And now we've moved to three shift on Defender . A lot of our orders on the Defender nameplate will start to fall and the retails increase . Range Rover held up. But within there we're starting to improve our MLA deliveries, Range Rover and Range Rover Sport, w hich is a fundamental improvement in this quarter's delivery. From a wholesale perspective, there is steady improvement , 5% or 6% this quarter. Just a little bit more than the quarter before. That's a progression we're starting to see now. The progression I think we can start to anticipate going forward. Again, you can see that Defender delivery increasing in quarter three to almost 24,000 units and the Range Rovers and Rang e Rover Sports coming through also as well.
Next slide, if you would, please. And this is by region really important. Say those bigger units are Range Rovers and Range Rover Sports. Now, we've doubled the volume of deliveries. They're starting to impact North America heavily. You can see that both on the retail and the wholesale piece. And even though those units were made available within China, of course, the lockdowns in December, within the retailer facilities in China meant that they weren't in a posi tion to take those deliveries. And so the reduction in both the China retail and wholesale was inventory we held ourselves pending pass over to China. The actual uplift in China in the first three weeks of January is very strong. As those dealer outlets ha ve opened, of course, the dealers have an appetite to take those units, they're moving very, very quickly. And that will be our anticipation post New Year also. The electrified number of units have grown to 67%, but you can see we're in a frame of 65% to 70% now and that's likely to continue for the foreseeable future. Next slide, please

Okay. So the bridge, the bridge versus the same profitability last year infact a small loss last year, EBIT 1.4%. So volume and mix is starting to influence this consider ably. And that would be a shape we would expect to continue going forward. The pricing and VME is still very low and obviously it's corroboratory data around those units actually being passed over at very low levels, 0.6% VME and their targeted levels on targeted nameplates within targeted regions. Most of our larger units have zero VME at this point in time. We do, however, as we've talked before, some considerable headwinds on material cost inflation, commodity inflation, utility prices also, but they are starting to peter away. And also we've had to go into the marketplace to buy premium chips to keep supply going. So that's all a part of our material cost. Again, we're starting to see that taper down. And my expectation going forward is that pricing in V ME will begin to offset the material cost increases in quarter four and beyond. We are investing more. We're absolutely spending more within our commercial areas, our commercial function. Both our marketing now, our marketing is still only two -thirds of th e level it was pre -semiconductors, of course, so coming from a low base, but we will be actually starting to spend more fixed marketing as confidence on supply comes through over the next weeks and months. And particularly our engineering spend to move tow ards our reimagined electrified future is starting to increase pace. And we'll show you that in more detail when we

get to the capital slide. And the operational exchange is the big news is the revaluation I've mentioned of our dollar denominated debt, you know, sterling appreciated f

rom 1 .12 to 1 .20 in the quarter. You see
mostly that within the reval line, but our operational position is still ahead of our hedges that crystallized within the quarter and therefore there's a net gain on operational fx and t hat adds up to the 3.7% EBIT, 265 million PBT . Encouraging quarter for us.
Next slide, please. So this is the cash that flows from that. You can see the GBP 265 million , I have just referenced. GBP 800 million cash profit after tax. Look, you know, our m odel works really well when that number moves up towards 1 billion. That's where we were at the end of FY'21. That's where we expect to get back to over the next few quarters. And that's why the underlying cash flow is still strong, even though investment spending is starting to increase. Working capital was a nice rewind this quarter of GBP 306 million but it's only a small fraction of the adverse s we've had on working capital since March 2021, GBP 1.77 billion negative from that point , most of that will r ewind as we move through the several next quarters. And what you're looking for here is production and wholesale volumes to grow through 30,000 units a month, then 35,000 , and when we get to 40,000 units a month, which is where we were at in March 2021, mo st of that will actually rewind. So a lot of cash is going to come through from working capital as we build back our production volumes and our wholesale volumes. Of course, free cash flow GBP 490 million best result for seven quarters, very pleasing on ju st 79,600 units .
Next slide, please. This is the break even slide. I won't dwell on it just to say we're still at the 280,000 level in Q3. It will average out to around 300,000 full year. We are starting to invest more, including our fixed marketing and o ur commercial digital strategy, so our costs will increase, but with the mix strengthening on MLA and defender units, we do expect a containment of breakeven over the next two to three quarters or so .
Next slide, please. This is the investment number I me ntioned. It is worth referencing last year. Last year here I think . So, GBP 622 million in total, up just over 100 million. Pretty much all of that, infact more than all of that is in the engineering spends. We are bringing more engineers, of course, into the organization

to deliver our R eimagine strategy, our electrified future. And that's starting to impact on our cost base as it needs to do so. More of tha t is being capitalized now, 48%, which demonstrates the maturity of those architectures as starting to grow and improve. We were down at 26% only earlier in the year. So this is actually a good sign. And I do expect investment to continue to increase beyon d GBP 650 million towards GBP 700 million over the next quarter or two.
Next slide, please. So our Reimagine electrified strategy. Look, there's no change to our electrified strategy. I know I'm on record in saying that. I thought I'd dwell here on the ke y highlights, which is exactly the same as previous highlights you would have seen from our electrified journey. MLA architecture is out there, the beautiful car you see there and it's Range Rover Sport, the order banks are being filled by those two produc ts. It is the epitome, we believe, of modern luxury, beautiful proportions to that vehicle and the Range Rover Sport, the minimalist luxury view inside the vehicle. That's a great signature to vehicles and quality and view of vehicles we will put forward g oing forward. Within two years, we will have a full electrified Bev Range Rover. It's just two years away now, recognising our order bank support for that product for the next 12 months or so, the gap between orders and new electrified vehicle is closing a nd will continue to close as we go through 2023.

We'll then

in 2025 come forward with our first all new electrified Jaguar products. And then beyond that, our other Range Rover and other Defender products will come along in the next two years. So within t wo years, most of our vehicles will have full electrified offerings and that will be complete in all models before the end of the decade. We are estimating 60% of sales by then will be BEV. But the important point, we will have offerings across the range o ver that period of time. We still maintain zero tailpipe emissions by 2036 , net zero carbon emissions by the end of that decade. So our electrified future continues at pace and the investments we're now making are going to grow towards it over the next 12 to 18 months at least.
Next slide, please. Okay, so these are our wholesale volumes. You know, I think the important thing here, you can see the gradual improvement, but I like to look at quarter versus last year. So Q2 '23 versus Q2 '22. You can see ther e about a 15% increase. We know Q3, there's a 15% increase and that starts to give you an indication of what we should begin to expect in quarter four. So we are expecting that number to grow in Q4 and obviously to continue to grow going forward. So we do think we've made a lot of progress on supply, particularly on semiconductors, particularly for this calendar year. But there are still challenges of course . COVID in China is a challenge and we'll talk about that in a few moments. But we are improving, our break even points are stabilizing, and therefore our profitability, EBIT, revenue and cash will be growing as we go forward.
Next slide. Okay, Range Rover and Range Rover Sport. The MLA architecture are fundamental to the delivery of our business model a nd our business success and we explained in great detail over the early quarters of last year how it was difficult for us to gain the parts to grow, to grow the volumes. We've broke through that in September. You can see the average weekly is growing quart er-over -quarter. We will deliver more production units in Q4. It won't be that same size of scale of increase, but it will be a sizeable 10%, 15% improvement in Q4 over Q3. Also, we can maintain our 33% to 35% worth of deliveries on these products, and tha t will maintain our average selling price at the levels you've just seen , while it's a strong variable profit mix portfolio going forward. This really is now starting to show through our business results, particularly in Q3 and going forward.
Next slide, please. Okay, so what's going to happen to order banks? Well, first point is they did continue to grow in quarter three and we've helpfully here broke out the amount of deliveries we passed over to customers, 85,000 versus the amount of new orders, 95,000. So, you know, at this level of marketing spend and we are only spending two -thirds of the level on marketing we were before semiconductor shortages. But at this level you can expect new orders to grow by 30,000 or thereabouts a month. But our fulfilled or ders, our retails will start to grow now , we're already seeing that in Q4 in part because of the opening up of China, but I do anticipate in quarter four fulfilled orders to be above new orders and therefore our order banks to start to taper down towards a level which is more natural maybe towards a 200,000 level over the next three to four months. Most of them, as we've said before, and those three nameplates, Range Rover, Range Rover Sport and Defender, we have gone to third shift on Defender. And therefo re as we come out of quarter four deliveries in particular and our fulfilled orders on Defender will grow. And then we've also mentioned we expect to build another 10% or 15% more of the other two also.

So very confident our retail levels or our fulfilled orders are going

to move towards 100,000 level over the
course of the next months and quarters.
Next slide, please. This is a super important slide. We dwelled on it several times, let me remind you, the top piece is a range of retail inventory targets an d that dark blue line is now creeping towards the bottom of that band, which means the vehicles are in the right place and that will trigger incremental retails in Q4, as I've mentioned a couple of times . Our own wholesale stock, inventory we own , the band there you see below between 30,000 and 45,000 units. We're still within that band towards the bottom of it, but if you add those two numbers together, 82,000, inventory end to end finished vehicles at the end of December, that was the highest number we ha d in inventory for several quarters back to around May 2021. So that's a good, healthy sign that we're starting slowly to fill the pipeline, which will trigger more retailers et c, etc. So this really is starting to improve for us, although there are still issues we can get on a daily basis in terms of supply. Next slide, please. Inflation has been a theme all year. What did we say at the start of the year? We said refocus would offset infl ationary claims. Nine months through this period, inflationary claims have been GBP 660 million, Refocus has been GBP 850 million, half of which is in the commercial space. So we're doing what we said we would do, the investment number because we mentioned earlier, we are accelerating and bringing more engineers in by future won't be the savings going forward and our expectation is the commercial performance, the market performance will actually then begin to offset inflation in Q4 and beyond together with our efficiencies through our Agile transformation activities, which we've referenced previously also. So we are doing and we will do this year exactly what we said we could do in terms of offsetting those high inflationary claims.
Next slide, please. You need to mention COVID and China we've all seen the reports and the extent of the contagion wi thin the Chinese population. Q3 was impacted, of course by lockdowns particularly at the dealers and also some disturbance in terms of the units we could build. Em ployee absence for a short period was high. I'm really pleased to say that more than 90% of our employees at the production facilities and 99% of our employees within our national sales company have now returned to work. And the retailers definitely opened up for the three weeks in January. Obviously, we're at Chinese New Year, there's a care point around what happens to the population following that, but we do anticipate, given the scale of contagion in the December period that we will get back to business very quickly in China at the back end of Q4. There is a care point around production facilities in China, supplier production facilities that we are monitoring. We'll bring information back around that as we close out the years results, but it is possible for us to be stopped within the UK production and within Nitra production and within China production as a result of those supplier facilities, they won't be the scale and the size of the stoppages we've seen previously. We don't believe.
Next s lide please. Outlook year -to-date I haven't dwelled on Q3 here, but this is the summary so far year -to-date. I won't read it out a part from to say, we are now EBIT margin positive across the first nine months . Investment is lower, but growing . Free Cash Flow is just under GBP 300 million . I've shown there hopefully, helpfully what our expectation is for Q4 , above 80,000 units on wholesale maybe closer to 85,000 plus , if we continue as we have in the first month . Revenue will exceed GBP 5 billion, close r to GBP 6 billion again. We will be positive on EBIT with that, our investment will grow probably around GBP 700 million, GBP 600 something and our free cash flow , we believe with

those physicals will be more than GBP 400 million

positive, which will make us positive free cash for the full year and the rest of the data , you see there . What are our priorities , obviously continue to secure chip supplies moving through the strategic tie -ups. But due to the excellence of the work of the teams now, we really do have excellent teams in place now, we keep our supply and our lines going . Continue Range Rover, Range Rover Sport ramp up. I've mentioned our expectation that will grow by 10% to 15% in Q4 over Q3 . Improve on the 80,000 units we have done in quarter thr ee within quarter four now . Refocus complete including more of those price increases coming thr ough as we deliver more cars to customers . And obviously you know our job is to deliver positive data. So EBIT margin, and free cash flow in quarter four and als o for the full year. Think that's my last slide.

PB Balaji
Thank you, Adrian. Let's quickly move on to the Tata Commercial Vehicle space. Girish and I will take the session. As if you recollect, we had signalled this earlier saying that we will be focusin g squarely on vahan market share, registration market shares and shifting to a demand pull business model . That did cost a bit of grief in the month of October, but since then we've been sequentially improving our market shares as the propositions are star ting to land and we're starting to see this in across the rest of all the portfolio as well. Next slide, please. From the point I would like to call out here, just take a look at the CNG, the light green bar there, substantial drop in CNG composition as the prices of CNG started inching closer towards the diesel and we should expect to see this trend reverse once the CNG prices start stabilizing and going down. So we are very much invested in CNG, but this is the current way it's played out. And the other thing that we'll call out here is the whole international business where you would notice that the wholesales have been pretty anemic as a challenge in the int ernational business continues. Next slide

please. From a financial performance standpoint, the demand pull model is translating into improved profitability of almost 580 bps. Revenue growth, of course, at 22.5% pretty strong and EBIT now at 5.9%, up 650 bp s.

Next slide, please. Drivers of this particular profitability, you would see draw your attention to the realizations adjusted against variable cost. You'll notice this number used to be negative in the past , now sitting at almost +480 bps as the strateg y starts playing out. And what you do see as the certain cost disadvantages that have come through this quarter, some of it, most of it related to the investment that we are making in the new technolog ies and hence is translating into higher employee cost s. And then of course, investing in the business as they are moving more and more money into FMEs, that's showing the number there. Next slide, please.

Let me give it to Girish to talk about the business highlights

Girish Wagh

Great. Thanks, Balaji. So the industry g rew by around 16% over Q3 FY 22. When I see the growth rates have been dropping now, but this is also due to the base effect. And that's what we will see in Q4 also, the growth rate will go down further. For Tata Moto rs, since we have been focusing on retail, setting our retails were ahead of wholesales by 6% in the quarter gone by. And this is also in line with our preparation to unwind as we gear up for the RDE transition in the month of April. I think good thing for industry , the commodity prices did soften in Q3 and that's how it is remainin

g in Q4 also as of now. And we are keeping

a track of how the steel prices especially moves, steel prices and precious metals move in Q1 of next year. Balaji spoke about the CNG. So I think with the CNG benefit going down and more so it is the concern in the minds of the customers about variability in CNG price. I think the volumes have come down and in SCV they've come down to around 12% of the portfolio , ILCV we ha ve come down t o around 14% of the portfolio and you would recollect in ILCV it used to be almost around 40%. Within the segments, I think medium and heavy commercial vehicles have seen a very good growth, almost 50% growth over Q3 of last year, again due to the base eff ect and even higher growth in the passenger segment. The passenger segment is back , I think it was the worst suffering one during the COVID period and during the COVID recovery. For us the non -vehicle business is spare parts , I think continues to do pretty well. Spare parts and consumables, and in fact in the nine months in this financial year, we have grown by around 38% over last year and the penetration also keeps on increasing. So the share of the overall market is continuously improving quarter -over -quarter. On the product front, we continue to launch new products. And for the year, we've launched more than 40 new products as well as 150 plus variants. And this includes the Ace Electric vehicle, for which we've already started the deliveries in the begi nning of this month. The new range of pickups both Intra and Yodha I think has a very, very good traction in the market. And also good premium that we are able to charge this equation. And we have also brought the CNG trucks which have started seeing some traction. Coming to Auto Expo, we did introduce a comprehensive range and I am going to speak about that a little later.

Going ahead, we will continue to have the focus on these three things, which is retail pull, improving the Vahan share, which is the r egistration. And of course, by doing all this, I think realization improvement agenda will continue. To push this agenda, we continue to engage with all the key stakeholders in the ecosystem, be it customers and financiers more so and trying to get them on board. I think we see a very good commitment from all the stakeholders to the revised way of working or the revised operating model that we have put in place. RDE transition is what we are preparing towards. Migration will happen from April 2023. And of c ourse as we did in BS6 in April 2020, even now I think we will come up with a lot of value enhancement for the customer. So it won't be a plain, simple price increase. With the COVID situation globally, we did bring semiconductor supply situation back on our radar. Well, it was a bit worrisome 15 days back, I think, in a fortnight, things have improved, but we will continue to keep this as well as the electric vehicle aggregates on our radar. In international markets, I think, in most of the markets, the volumes have dipped significantly more than 50%. And in this kind of an environment, we are focusing on maintaining our marke t shares in all the markets. Margins , selling margins have also been doing well. And , also the channel health, we are ensuring the channel health even at the lower volume, which is extremely important when the volumes start ticking up.

Next slide. Talking about Electric Mobility, so as I said I think we completed very successful trials of the Ace Electric Vehicle in our customers' operations. Both we started with e -commerce players, but we also had the FMCG players joining the bandwagon as also parcel and courier companies. And I think the product has done very, very well, which is leading to even more inquiries for the product. I think we've started these d

eliveries and as you can see in the third bullet, we have also now started pulling material from the supply chain although we had a COVID scare, I think we will start ramping up the production o f this vehicle. We did showcase almost eight zero emission concepts in Auto Expo, which I'll speak about. On our Smart City Mobility Solutions business that we hav e put in place, we signed a definitive agreement now with Delhi Transport Corporation as well as Bangalore for 1500 and 921 buses respectively, so that's around 2421. In addition, we also got an order of 200 buses from Jammu & Srinagar. Our e -bus fleet now has cumulatively crossed more than 6 crore i.e. 60 million kilometers with more than 95% uptime till December. The revenue generated by this business in the nine months has been Rs. 260 crores and at this level of revenue I think the business is giving go od profits. On the digital businesses, I think we continue to grow the fleet age penetration. Our connected truck platform with the total vehicles crossing 337,000, which is around 135,000 customers. And the usage also has been growing consistently, we hav e now almost 80% customers having active usage on the fleet age. E -Dukaan, which is our online marketplace, we used to sell spare parts for this. Now we have also added consumables like diesel exhaust fluid and lubricant. And in addition to that, I think, we've also started adding some of our retailers as well as mechanics as customers, so they can also order on this platform, and we see a very healthy growth almost 165% growth over the previous year. I spoke about digital lead generation during the last qu arter. And we continue to push this agenda . In the entire portfolio, we had almost 16% of our sales coming from leads generated through digital means. We still have a good headroom because the convergence can improve further from the level that we have rea ched.

Next. So talking about Auto Expo, I think the whole Auto Expo was making a statement of our journey towards net zero greenhouse gas emissions. So we committed by 2045, we will be net zero greenhouse gas emissions. And , as our commitment towards that we demonstrated 14 concepts. We had hydrogen propulsion in terms of Hydrogen ICE powered tractor, Hydrogen fuel cell tractor and also Hydrogen fuel cell bus which actually will see commercial application from the next quarter. So this is to meet the IOCL order that we had received last year. We also unveiled five electric vehicle concepts Ace of course the deliveries have started, the Starbus EV which is already on the road, the Ultra E.9 which is the next vehicle we see having good customer interest , Magi c EV which is for the last -mile intracity passenger transportation and Prima 28 tonne tipper which is a good option to decarbonize the closed -loop usage of tippers especially in mining. We also introduced two new fuel agnostic architectures, which addresse s our entire range from 7 tonnes to 55 tonnes and these two architectures can take any powertrain. So ICE as well as electric , in electric, battery electric, and then Hydrogen fuel cell electric as well as H2 Ice. We of course rev ealed Yodha CNG and I ntra Bi -Fuel, which are available for sale now , commercial sale. Prima LNG Tipper, which is also ready for commercial sale and we are working with few customers and of course premium version of our Winger. In addition to this, we also had good interactive exhibits to explain our fleet edge , the connected truck platform, the Sampoorna Seva, which is our bouquet of services as also E -Dukaan, which also attracted good attention. I think this was a very holistic display of not just our

commitment towards net zero greenhouse gas emissions, but also how we are driving some of the cutting edge products and serv

ices.

Back to you, Balaji.

PB Balaji

Thank you. Thanks, Girish.

Next slide please. Moving on to passenger vehicles. Here the call out is the consistent i mprovement in market shares and a strong growth , market beating growth that continues here. And the third call out is CNG plus EV is now almost 17% of the portfolio. That will improve further once the new CNG launch es come in as well as Tiago EV launches as well.

EV continues to be on a roll, we have surpassed the milestone of selling 50,000 EV vehicles from the start .

Next slide. From a performance perspec tive, 37% revenue growth, Rs. 300 crores almost of the profits, EBITDA of 6.9%, albeit there's a one -offs of about 80 odd bps that you see in the EBITDA there, but EBIT of about 1.5%. So strong performance continues in the profitability side, we should con tinue to see a steady improvement on this one.

Next slide. In terms of drivers, here again, you see the realizations and variable cost is now starting to improve further. So the underlying contribution margin of the business is starting to improve. And investments fundamentally in the EV business with employees, building up the team that is what you see out there as well as investments in products is what you see on the D&A side. Those are the two things that brought down the fixed cost line. Next slide, p lease. Let me hand over to Shailesh to give you a sense of the business.

Shailesh Chandra
Thank you, Balaji. Let me start with the key highlights of the industry. Quarter three was a retail heavy quarter, I would say, and the industry reached its highest e ver quarter - highest ever retails in its history of more than 10.58 lakhs. And wholesale s also grew by 23% as compared to the quarter three of last financial year. EV industry has continued to show strong growth year -on-year versus last quarter (130% growth), primarily led by Tata Motors. It is notable to see in the last calendar year , which was 2022, the industry whole sale was at its highest level at 3.8 million as compared to somewhere around 2019 where it was at 3.3 million - 3.4 million level. So steep jump, I would say, nearly 25% growth as compared to where we were in 2021. As far as Tata Motors is concerned, we have been around 14% market share consistently throughout the financial year. PV, EV business has delivered an industry beating growth of 33% for PV and a very high growth for the EV also. Like the industry, we also had the highest ever quarterly retail at 139,000. For the calendar year 2022, we were the third OEM to cross the five lakh mark. And we also, as Balaji mentioned that during the last quarter, we crossed the 50,000 milestone for EVs since its inception and in the last calendar year –I would just correct what number Balaji had given - it was actually 44,000, nearly 44,000 sales that we did for EVs in the last calendar year. We main tained our number one

SUV position as of year -to-date, and Nexon and Punch are among the top three in the 40 plus odd SUVs that we have in the market. As far as EV sales year -to-date is concerned, for the financial year, it is at 32.4 K units with a market share of 85%.
Going forward, the bright spots, given that the inventory in the channel is lean , there a re new product launches that we have seen recently in the industry and improved supplies , quarter four should be strong as far as wholesale is concer ned and as compared to quarter three. And as far as EV growth is concerned, there are a lot of states who have announced progressive EV policies and that should support the EV growth in quarter four. As far as Tata Motors is concerned, the Tiago EV deliver ies have commenced and this month we have a strong order book. We had extended the introductory pricing for the first 20,000 custo

mers, which we have already crossed in terms of bookings. We , in the Auto Expo have showcased the Harrier & Safari Red # Dark, and this is going to be launched in this quarter itself. As far as BSVI phase two transition is concerned, it is on track and ahead of the deadline. We , on 10th January completed the acquisition of Ford plant in Sanand and we saw very strong response to t he product unveils at the Auto Expo which I will talk about in the next slide. Going forward as far as challenges are concerned, I think after a long duration of supply driven industry, now we are in a situation where supply has completely normalized. It i s meeting the demand for all the regular models except for some popular models which are still high on waiting list. Overall enquiry to the retail time has increased for the industry. You see, this is a signal of lack of urgency among the customer with improve supplies , and price increase post BSVI Phase 2 - we will have to see if there is any impact on the demand , something to be watched out for. In terms of actions, we are willing to go for very focused demand generation initiatives specifica lly in certain segments as well as hyper markets. And as far as margin is concerned, we are taking structural material cost reduction actions and we'll continue to drive other levers of margin improvement.
Next slide. Giving a quick overview of what did we showcase in the Auto Expo. The theme for this Auto Expo was Moving India forward to safer, smarter and greener vehicles. And we had about 12 showcases both on EV as well as ICE side. We showcase d the Tiago EV, which we already launched. Harrier EV was also showcased. This is a generation two product for us. Sierra EV scheduled to be launch in 2025 was also showcased. And Avinya, which is the generation three pure EV also slated to be launched b y the end of 2025. These are the four products that we showcased. On the ICE portfolio side, I've already talked about the Harrier & Safari #Dark, which will come with ADAS as well as the bigger infotainment screen. This gets launched in this quarter as I said. It was a big disruption that we have showcased in the Auto Expo, which is CNG twin cylinder technology. I think this segment has always suffered with the handicap of having no boot space because it was occupied by the cylinder and we came with this v ery innovative idea of having this twin cylinder which releases the space and retains in a way the boot space, which was otherwise being sacrificed. This would come in the first half of next financial year. Then we also showcase d the ICE version of Curvv. If you remember in April 2022, we had showcase the EV version and along with this product we have also showcased the two TGDi engines in gasoline 1.2 and 1.5 liter, which will help us in coming with products which will be greater than 4 meter in the ICE space . So this was received very well. This is what I wanted to share. Back to Balaji.

PB Balaji
Thank you, Shailesh. Next slide, please. Overall CV, PV cash flows - would draw attention to cash profit

after tax - strong and therefore more than ad equately funding the capex that we have and we gradually claw back the working capital that we lost in the first quarter, so that's what is happening.
Next slide please. Investments, you can read for yourself skipping this slide, but just to guide that for the full year, the investment spending is likely to be around Rs. 6,000 crores number - no change on that one.

Next slide please. Tata Motors Financ e- and I want to take a few minutes on this because this is a disappointment for us this quarter where the GNPA increase that we saw in this portfolio – there are 2 reasons . Number one, the restructured book that is actually starting to per

form pretty poor ly and it's
continuing to do bad and going from bad to worse and as well as a onetime upgradation - one time hit because of the RBI upgradation norms that we had. So , therefore we have started to get further provisions put through in the restructured book . This is now almost 9% of the AUM of Rs. 41,000 crores, that we have and there are lot of efforts underway as you would expect to normalize the static restructured book and therefore this work is going to be pretty intense in this quarter as well. The ear ly results are encouraging and the GNPA is starting to reduce November, December and January so far has been trending well - where the maturity efficiencies improving to 102%. The normal book is quite comfortable. We don't see stress there and capital adeq uacy also is quite comfortable there. But clearly this is an area where we need to drive a lot of efforts to ensure that we get our collection efforts particularly on the restructured book.
Next slide please. Overall therefore our priorities you can read for yourself, but maybe the only thing I would like to highlight is the view on demand which I'm sure a lot of you are asking as well. We remain cautiously optimistic both in JLR as well as India and there are enough global uncertainty that we are all aware of, but we still remain optimistic and we can't be complacent and hence the work both in JLR and in India on the innovation intensity as well as activating the market and ensuring that we win our rightful place here. And of course, chip supplies are lik ely to improve further and therefore volumes will continue to ramp up steadily, particularly in JLR and commodity prices, we do expect stability and therefore the focus on profitable growth should deliver a strong EBIT and free cash flows in Q4 as well. So that's what I have to say. The individual priorities by businesses , we have already covered. So let me not go through that. Let me start covering the questions that have come through already. We move to the question section.

Questions and Answers ses sion
Okay. So maybe let's start with I think Ben this is coming your way, Ben or Adrian, either of you can take it. Could you let us know the terms of the extension of the revolver? How much was undrawn and drawn Interest rates increased by ? And additional ly given the cash cushion the company enjoys , is there a scope for optimizing the revolver debt balance further? And there's another question in terms of also about how much of a repayment are you planning given the cash position there? But you want to jus t wrap this all up with one response Ben
Bennet Birgbauer
Yeah, I can cover that, Balaji. So broadly the terms of the revolver are in terms of covenants and things like that. The documentation is pretty much identical to the prior revolver, the pricing mar gin did go up 50 basis points to 3.35%, but that's on a drawn basis and on an undrawn basis all we do is we pay 35% of the margin. So the annualized cost of GBP1.5 billion revolver is about GBP18 million. So it's from our perspective, it's the cheap est fire insurance you can possibly have. In terms of is there scope for optimizing the revolver debt balance. Well just because I think it is low cost liquidity insurance and we actually used to have a higher revolver than that I don't really think we're con sidering taking down the revolver, we obviously have the net debt target that we're still working towards. But I don't really see changing the size of the revolver at this point.
PB Balaji
Thank you, Ben. Next question I think is from Chandramouli, Goldman Sachs. I think, Adrian, this is coming your way. On JLR how are we thinking about the demand outlook once we clear out our strong order backlog. I f the current hawkish interest ra

te environment were to continue into the next year, what is
your view on the demand and the next I think the same question coming into Girish later on. You take the first one, Adrian.
Adrian Mardell
Yeah. Thanks, Balaji. So from our perspective. Look our order banks are at historical highest compared to

pre-supply challenges, they are double the level and you've seen the size of the increases over reduction. So we believe our order banks are going to stay unnaturally high particularly on the Range Rover where we're sold out for more than 12 months now . We're not taking new order s until 24 model year and on the Range Rover Sport. Although we are rectifying Defender. So we will see a marginal reduction quarter -on-quarter, but I still believe we will be this time next year talking about order banks, which are higher than ideal. So a t today's level of known uncertainty in the marketplace on recession and interest rates at the levels we see in front of us going forward today I believe the challenge here continues through 2023 to be supply rather than demand. We have plenty of opportuni ty to increase demand and stimulate that given we're only spending two -thirds of the level on fixed marketing we were 12 months, 18 months ago or so.

PB Balaji
Thanks, Adrian. Girish this is coming your way. Same from Chandramouli itself. On India CVs, h ow are we thinking about price hikes heading into the stricter emission standards beginning FY 24. Is it going to be all at once or more phased in nature?
Girish Wagh
So the cost increases for RD E are going to be lesser as compared to what we had seen in BSVI Phase 1. But even in this BSVI Phase 1, I think, we had taken all the increases or the price increase at one go. I think there is only one another factor that we have to keep a watch on whi ch is the commodity increases, which may happen again in Q1 of next financial year. And basis both these things put together, we'll see what is the kind of price increase which has to be passed on. But from the point of view of RD E, I think it will also vary model to model, but mostly it be passed out in one go.
PB Balaji
Just sticking to you. This is from Sonal Gupta, HSBC MF. LCVs, while MHCV segment is showing strong growth , LCV segment is showing a decline. Can you highlight the reasons?

Girish Wagh
Yes. So I think it is more of ILCV which is showing a decline, which in our parlances is 7 to 15 tons or now it has gone upto 7 to 18 tons. So as you rightly pointed out, M &HCV is growing because of higher freight availability. I think this year, we see that the freight supply is actually more than the trucks, which are being put into the market and therefore fleet utilization is going up. As far as ILCV is concerned, one of the thing which is playing out is the base effect, right. So the decline, which had h appened in ILCV was much lower than that of MHCV, number one. And number two, we also see that in ILCV one had seen a significant penetration of CNG where to some extent the diesel vehicles were also underutilized when the large portion of CNG got pushed i n or bought in more so. And I think those are coming back for usage now. So it is more of a base effect. And we do expect that this year while the MHCVs may grow above 45% on a year -on-year basis for the entire year , ILCV may end up growing only 14% to 15% . I don't know whether in LCV you are also referring to the small vehicles. So let me talk about that also. As far as small vehicles are concerned, even here, I think it is the base effect which is coming in, but this continues to grow. The growth rate is tapering quarter -over -quarter, but still I think it appears that for the entire fiscal we should see a growth rate of more than 20%.
PB Balaji
Yeah, thank you.

Adrian, this is coming your way. This is from Jinesh Gandhi. In terms of JLR, you talked about h igher inflation and supplier claims largely related to constrained volumes, can you talk about the quantum of these two? Till what production level would you have to compensate vendors and the related question - is chip related cost inflation expected to s tart moderating in CY 2023 as supplies improve. Is

that a fair assessment. And you also talked about increased SG&A spend. What are the targeted levels to which you want to increase SG&A spend. So maybe three distinct questions there.
Adrian Mardell
Yeah, okay. So let me talk them in order of they were asked. So look the inflation claims and the reason for supplier claims. There is multiple reasons below that and in terms of the level that we expect to be normal. If you go back to FY 21 on prev ious calls, I've referred to FY 21 a lot before supply constraints. A normal level for us, we still believe will be the 120,000 units plus a quarter , 40,000 plus a month , 500,000 a year. And once we get towards that level will be clear around much more we can push it beyond that. So for a normal environment and our suppliers are set up for normal environment. We would need to build wholesale 40,000 plus units a month, and we're just above 26,000, 27,000 at the moment. So there's

a long way from today to nor mal, but we do believe that increasingly quarter -over -quarter we will in calendar year 2023 move towards that normal level until we get 40,000 to that level, a number of the reasons for the claims in particular the utilization of supplier factories which a re within this number will still be there. Once we get to that level, if we have no unnatural requirement to go buy parts outside of normal channels that's eliminated then again we will eliminate another course called premium parts or chip supply from the vendors, the brokers that will be eliminated as well. However, we will still be left with commodity prices at the moment, they are looking to be heading more aggressive against us and they will still be there and a lot of our contracts with suppliers have a pass -through on commodity costs. So there will be some level, that's the only problem we have. We probably won't be talking about it by the way, but it's wrapped up within that 200 plus million a month, including some more on utility is lower than it was and including the wage demands, which hopefully will come down with the interest rate pressures that are going to be put out. From an SG&A perspective, we will increase spend, but revenue will increase as well. So think about SG&A increasing commensurate with improvements in revenue. It's just about 9% of revenue today, maybe a shade over think about that being a broad guideline going forward on SG&A. So we won't be spending above our entitlement to spend, but as revenue grows, we'll need to stimulate some of that demand both of those datasets would increase.

PB Balaji

Thank you. Next question comes from Rakesh Kumar. Adrian, back to you again. Well PHEV incentives coming down in Europe , do you see risk to JLRs compliance with CAFE targets ? Given the JLR's FCF generation in third quarter and seasonally strong fourth quarter , is your FCF breakeven outlook for FY 23 conservative ? And I'll separately pick up the Tata's battery manufacturing plants in Europe.

Adrian Mardell

Yeah, okay. So if I take the PHEV one before. Look, we've been very consistent on PHEV volumes over the last several quarters , around 11%. We obviously monitor this really carefully. When I look at the order bank that we've referenced , the PHEV orders in that order bank are actually slightly richer than that at the moment, so up to 14%. So there is no indication at this point in tim

e that any customer incentive
changes on PHEV is having a sizable impact on the orders that we actually are receiving. Nothing at this

point in time. So I'd say wha t we see today. No to the first one. There is no impact on PHEVs. We don't expect it to be non -compliant in Europe over this next phase either . The strong JLR cash flow in the third quarter - I think if we go back to the page that we talked to earlier, we are expecting a strong cash flow in quarter four. The underlying cash should be broadly at the level that we saw in Q3 maybe around the GBP 200 million. I'm hopeful cash from operations will increase a bit with the increased volume. Our investments are goi ng to increase as well as we've said. So maybe those two will balance out. We're only three weeks through the quarter. There's 10 weeks to go and with supply obviously still being fragile things can change. But that's what I see today. Broadly speaking, un derlying cash being similar if not a shade higher in Q4 over Q3. So working capital was a big build back this quarter 300 million , that probably is going to fall a little. It really depends on how many units we actually buil d in the March, the mid February through end of March period, but it's likely to be less than the 306 million. So we see in total of the total cash to be slightly lower in Q4 even though the volumes are higher because that working capital point, but we do believe that's going to drive us through breakeven maybe up to 100 million in total for the full year.

PB Balaji

Thanks, Adrian. On the battery plants for Tata's in Europe. I think as we had mentioned earlier as well, this will be at Tata Sons entity that we are investing where you have JLR and Tata Motors as two anchor customers and locations - India and Europe. Obviously at this point in time this is all that I can share. And as and when we are ready to announce more, we will talk about that. Okay.

This que stion is actually coming on p opular demand and therefore, Shailesh, this is coming your way. Considering the strong EV order book, what is the rationale for the price cut in Nexon variant that we saw two, three days back. And what's your take on the brand impact for the price cut? And is it supported by cost reductions? Multiple people have asked it in different ways. Over to you.

Shailesh Chandra

So the call on price cut has been taken after holistic consideration taken into account multiple factors. One is that we have a future growt h aspiration as far as Nexon EV is concerned and with the improving capacity and supply , I think this was one big consideration. Also , the visibility of underlying structural costs and in which we have been able to reduce over the last two to three years e ffort of the deeper localization that we have been working on, there is also an added factor of impending PLI benefits. Also the relook at relative price positioning of our entire EV portfolio. And most importantly, keeping the value proposition fiercely stron g, to the change in competitive landscape. So these were the four, five factors I would say that has really gone behind this. As far as brand is concerned, I think Nexon brand enjoys a very strong referral from its large customer base of 40,000 plus no w. And in terms of its value proposition, it is the best in terms of compelling mix of our best tech features, premium in -cable experience, multiple range options. I think the revised pricing action with improved range only makes it higher on consideration and more desirable for our customers. So I think is thought which has gone behind this.

PB Balaji
Yeah. Thanks, Shailesh. There

is a question on ADRs, which we thought, we explained, but we can just pick it up, why did Tata Motor s decide to delist ADRs, is the cost of compliance versus pressure on shares on account of shareholders who don't want to invest directly in India, management thoughts ? We had explained that the original purpose with which ADRs were listed I think is probably now not relevant anymore. And with the Indian market getting deeper and wider, there is no constraint on fundraise and also all our bond issuances anyway we don't need the ADRs to be listed there to do that. And at the same time compliances are getting more complicated and th erefore we just decided the risk reward equation one looked at it, it didn't make sense for us to continue as part of simplification, we have knocked it off. That's the background to it. They stand delisted as of yesterday. What is now the net auto debt deleveraging timeline for Tata Motors? I thought I already covered it. Maybe I'll just talk about the second one. How does the listing of Tata Technologies help towards that. We have announced our intention. It's now a Tata Technologies Board decision and th erefore we will be working with them closely. Question from Gunjan. Could you talk about the impact of RD E for both CV and PV. I think Girish you already covered that piece. Also an update on the discounting trends in CV industry, update on the Tiago EV or der book, Shailesh, and we've already talked about the price cut in Nexon. Why don't you finish that and then I'll go to JLR on the VME trend.

Girish Wagh
Yeah. So I think on the discounting as we have been speaking about it for the medium and heav ies and intermediate and light commercial vehicles we have started pulling back the discounts from the month of September and we see a good impact of that flowing into our results for Q3. And we will continue to be on this path even in Q4 to bring down the di scount and also bring more transparency in the systems. As far as the small co mmercial vehicles are concerned, I think this discount reduction journey we have started even earlier right from Q1 of this year. We will continue that as well and ensure that fi nally it helps us build margins in each of the product lengths. Shailesh?

Shailesh Chandra
As far as Tiago EV order book is concerned, I already mentioned that we had crossed 20,000 , which was the size, which we had kept for the introductory price. So , that is the status as of now. As far as delivery is concerned, we started the deliveries, we started the supplies I would say last month itself. And , this month we are ramping up and I think we have kept the target that we should always keep the waiting period within six months and that would be the intention. We have kept some level of fungibility between the electric vehicle models that we have. So we will be able to temporarily ramp up to ensure that waiting period is kept within period which is accepta ble to the customers.

PB Balaji
Thanks, Shailesh. Adrian, the third point is coming your way. In JLR, how do we see the VME trending given the macro and aggressive pricing from EV OEM? I think Morgan Stanley also had a question on this one

Adrian Mardell
Yeah, thanks, Balaji. Look, we're not seeing any signs at this point in time of uplifts in VME. Even though I can understand the sentiment behind the question I think in the environment we're in. While we still have had demand and orders increasing above s upply that will continue to be the place. VME is mixed by region and by nameplates, of course, and with the buyers that we have, and the customer orders we have on Range Rover, Range Rover Sport, Defender , North America and China. They are the big biases within the data today. You know the answer on VME is 0%, 0%, 0%, 0% and 0%. So

with this level of order intake and the buyers to those products and our instability within the production and supply pipelines , we will continue to be very, very low. There will be a point in time where that will start to lift. So another question you asked about what normal is. If normal is 40,000 units a month plus for us, which it likely is I think it's reasonable to assume at this point we will be passing more, but those non-big three units to the other regions. And then VME will start to gradually lift to 2%, 2.5% level at some point. We're not seeing any sign of that within the data we have today.

PB Balaji
Thank you. Next question I move to Raghunandhan from Emkay. His othe r questions have been answered, but there's one that is new, which is on the EV, PV subsidiary from when would you get PLI scheme benefits and are you currently accounting, how are you accounting these incentive ?. As far as the PLI benefits itself is conce rned, the key is to ensure that the domestic value addition norms are met and we are getting ou r vehicles accordingly certified. And at this point and once the financial year is over, then you file for the PLI benefits and you get it subsequently. Given th e fluidity of the situation at this point in time and we are going through the process and th is is first time that we will be filing this year currently no accrual is being done on these incentives and once we get one round of things coming through then we will be in a position to review on that one. Okay. Capacity - I think Hitesh Goyal of CLSA. What is the domestic passenger vehicle capacity currently and when is the Ford capacity coming on stream?

Shailesh Chandra
Yeah. So as far as our capacity is concerned, we have been now at around 50,000 per month. We have further the ability to debottleneck the capacities in our two plants, which is in Pune and Sanand, which is the existing facility not the Ford one by an addi tional 10% to 15%. And we are targeting to operationalize the Ford plant in 12 to 18 months timing.

PB Balaji
Yeah. Thank you. I think there is a question from Jinesh on passenger vehicle. A sharp drop in other expenses on a quarter -on-quarter basis. Was t here any one -offs? I think most of it is linked to just cost phasing across quarters nothing to read and then beyond routine stuff there. Then other one is in terms of when can you expect to see these exciting products that were displayed in the Auto Ex po?

Shailesh Chandra
Yeah. So none of these products were concepts. These are products all going to come in two, three years timeline. We already mentioned about that Harrier EV is going to come in 2024. Sierra and Avinya will

come in 2025. These were the three electric vehicle products that we had shown. Tiago is already launched, that was the fourth one. As far as ICE products are concerned, Curvv is also going to come in 2024. Then the CNG models which were twin cylinder model of Punch and Altroz already mentioned earlier that it's going to come in the first half of the next financial year.

PB Balaji
Thank you. Ben, the next question is from Jemma. Can you confirm if you are still be looking to use cash to repay the 2023 maturities versus refinancing thro ugh the markets and the breakeven guidance implies GBP 300 million FCF for the last quarter, which I think Adrian has already addressed that. So Ben can to take the first piece?

Bennet Birgbauer
Yeah, on the refinancing, so I think the default or base plan is that we had an expectation of circa GBP 750 million, GBP 800 million of cash flow in the second half which Adrian already talked about and that would be sufficient to cover the two bonds we have maturing in February and March for GBP 800 million equiva lent and it's probably also worth mentioning

that in June of this year, we had a GBP600 million equivalent on China bank loan due to mature and actually we've signed an agreement in January to extend that for three years from January of this year so maturing , the facility would end in January 2026 . There are annual reviews , so we've at least pushed out the maturity until January of 2024.

PB Balaji
Thanks, Ben. The next set of questions coming in from Kapil Singh. First one to you Shailesh, Tiago EV, what's the percentage of first -time buyers that you're seeing in the order book?

Shailesh Chandra
First -time buyers are roughly 25% to 30% is what we are seeing , who are buying a car for the first time that's substantial in Electric Vehicle . We have never seen this. Mostly the people had both buying this as a second or the third car although high percentage was using this as the only car and also the primary car. The first -time buyers we have seen significant size of buyers.

PB Balaji
Yeah and related question - is this gross margin dilutive for the PV business ? At the initial stages , yes. But after that it will start trending towards the margins of the main vehicle we will be making. But that's over a period of time, but that's part of the planning th at we have for the overal l portfolio. CV sentiment index, Girish. What's your latest update since you track it ?

Girish Wagh
I think in M&HCV cargo we have seen some softening, but I can probably attribute that to the post festive season drop in fre ight. So future expectations still remains strong. In tippers the sentiment index has improved marginally. But that is also expected because the previous one was during monsoons where the tipper usage is low. In ILCV it has dipped a bit again because of post -festive season impact and for small commercial vehicles, it remains quite stable.
PB Balaji
Yeah. And linked to that question from Rajesh Ay nor. In the medium term how is the fuel mix change happening as far as your opinion between CNG, EV adoption in buses , ICV , MHCV's - how should one think about it?
Girish Wagh
So I think as we go ahead the pathway is going to be through CNG or LNG. As far as CNG penetration is concerned, currently, I think the bigger anxiety is the volatility in CNG prices but the CNG pr ices actually went up very fast. So that is a bigger anxiety in the minds of the customer, but the actions that the government has taken and once the CNG prices stabilize at this level or a bit lower level , the CNG vehicles do have an inherent TCO advantag e. So one will see a fair bit of penetration happening again in ILCV and SCV segments. As far as long range is concerned, yes, I think few customers will start coming in because I think the OEMs have addressed the range issue. So we have some trucks which we launched which can run for 1,000 kilometers on CNG. As far as LNG is concerned, I think this depends on availability of filling infrastructure otherwise, I think, we are ready with the product. In terms of EV, I think, one will clearly see higher penetr ation in buses first because of the government push. And one will also see a good penetration happening in the last mile distribution due to the pull from companies who are having their own net zero greenhouse gas emission commitments. I think that's how w e will see EV penetration happening more in buses and small commercial vehicles .

Shailesh Chandra
My view is that, say, if we have to take a view by the end of this decade, the mix will be around 25% to 30% for CNG, 25% to 30% for EV and rest would be ga soline, but with high mix of flex-fuel because that is the direction where things are going. Diesel would significantly come down below 5%. So that's probably the outlook.
PB Balaji
Thank you. The question from Binay

Singh, Morgan Stanley. We are seeing price cuts in EVs in China and
other regions. Do you see that as a risk to ICE pricing for the entry level cars? As well as JLR launches in EVs as well, that's another angle . I'm saying, with the price cuts that we're seeing in China, do you s ee that as a risk to the ICE pricing for Jaguar entry and mid LRs and EV profitability as JLR launches its EVs in 2024?
Adrian Mardell

Yeah. No, we don't . At this point actually recognizing that a lot of our smaller units, smaller value transacting price units in China are generated within China within the joint venture. We don't see any risk at this point in time or any evidence of this weakening of prices for any of our imported, more to the poi nt in fact, the VME reference back to the previous question, the average VME last quarter, which will be the first sign of that weakening of course, the average VME last quarter was as low as 0.8% across all units imported into China. So we're seeing very, very low levels and strong demand at this point.
PB Balaji
Thanks. And on the PV side we already answered the question on the EV price cuts that have happened, but there's an another angle to it, with the raw material cost index not coming down, how do yo u see the EV profitability going forward?

Shailesh Chandra
I think we need to keep in mind that one, there is a relative premium that a customer is ready to pay for EV versus ICE and that is about 25% to 30%. ICE prices are going to go up, so therefore i t will support the higher price for EVs while the secular trend of the components for EVs will keep on coming down, there has been a temporary volatility that we have seen in the battery prices, which was very steep last calendar year but also it has start ed moderating in this year . We have to take more long -term view of the battery prices, rest of the components are coming down also as the scale is increasing . So there will be short term pressure on the cost , because of these temporary volatilities, but we have to focus on driving the scale because that is what is going to bring down the cost further as we are driving the deeper localization . You also need to remember that the next three, four years will be the benefit of PLI also. I think keeping all these in mind, it is going to be in mid -term very beneficial from a mix perspective.
PB Balaji
Thank you. Thanks, Shailesh. I think with that we have done with all the questions that have been asked

in terms of just the themes rather than just the names. So if there is anything else that you want us to answer I would suggest please reach out to the investor relations team and we will be more than happy to respond to you. So thanks a lot for taking the time to attend the session. We hope you found it informat ive and look forward to catching up with you soon. Thank you.

Call: Jun 2023

May 19, 2023
Sc - 17497

Dear Sir/Madam ,

Ref: ISIN: INE155A01022 – Ordinary Shares
IN9155A01020 – 'A' Ordinary Shares
Debt Securities on NSE & BSE

Sub: Transcript of Q4 FY2023 and FY 2023 Earnings Discussion /Conference call

With further reference to our letter sc no. 17357 dated April 29, 2023 , intimating that post announcement of Financial Results for the quarter and financial year ended March 31, 2023, the Company will host an Earnings Discussion on Friday, May 12 , 2023.

The trans cript of the earnings/conference call is available on the website of the Company at www.tatamotors.com

This is for your information and records.

Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Company Se cretary

Encl: a/a

BSE Limited
First Floor, New Trading Ring
Rotunda Building, P J Towers,
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National Stock E xchange of India Ltd.
Listing Compliance Department
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai 400 051

Tata Motors Limited
May 12 , 2023

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – INTERIM CEO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
MR. RICHARD MOLYNEUX – ACTING CFO, JAGUAR LAND ROVER

Sneha Gavankar:
Good day and welcome to Tata Motors Q 4 and full year FY23 results c all. I am joined today by Mr. P B Balaji, Group CFO, Tata Motors; Mr. Girish Wagh, Executive Director, Tata Motors; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited; Mr. Adrian Mardell, Interim CEO, Jaguar Land Rover; Mr. Richard Molyneux, Acting CFO, Jaguar Land Rover, and my colleagues from the Investor Relations team.
Today we plan to walk you through the results presentation followed by Q&A. As a reminder, all participant lines will be in listen only mode and we will be taking questions via the teams platform, which is alrea dy open for you to submit your questions. You are requested to mention your name and the name of your organization while submitting the questions. Now I will request Balaji to kindly take us through

the presentation.
PB Balaji:
Thank you. Firstly, w elcome all of you for the Q4 FY23 analyst call, and our intention is to quickly run you through the numbers and any color that we may want to give, and then spend as much time as possible on the Q &A as normal . A standard Safe harbor statement, nothing delta to re port this time. Go to the next slide please.
A pretty action -packed quarter both here as well as in JLR. And we were there at Auto Expo, which we gave a bit of color on last results call. And on top of that we also had the launch of the Tiago EV and Shailesh, I'm sure he is going to talk about that . We fi nished the fi rst 10,000 sales of Tiago EV already. And we also com pleted the purchase of Ford Sanand facilit y, that has been done . And the final tranche of Rs. 3,750 crores has also been received from the TPG Rise. And overall, on the e -mobility space as well as the zero -emission mobility space a lot of work happening , and portfolio continued to increase.Next slide.
That's in India, in to JLR, again an equally action packed quarter, where starting point is announcement of the blockbuster , the Range Rover BEV, launching next year for which booking start from October this y ear. And also we started talking about the Jaguar BEV launches as well, which I am sure Adrian and Richard

will talk about. We also talked about a long -term invest

ment plan under our Reimagine , for a GBP 15
billion investment over the next fi ve years , and the whole electrifi cation roadmap continues to accelerate. At the same time a very fundamental call on the House of Brands, where we will amplify the individual brands that's Range Rover, Defender, Discovery, and Jaguar in a big way, while continuing to be almost equivalent of an Intel inside as far as the Land Rover is concerned , and its features, I'm sure there will be a lot of questions on that, which we can pick up both today as well as in the Investor Day coming up. Next slide.
Fair to say it has been an extremely satisfying quarter. And the reason I say, use that word is that, nice to see all the auto verticals coming together once again and this time with a lot of intensity as well. So both the alignment of the vectors are there and the magnitude of vectors are also increasing, which is what has translated into a strong set of numbers for the quarters, resulting on multiple highs and I will quickly cover that in the coming slides . We en ded the year on a pretty strong note with revenue of around Rs. 1 lakh crores with an EBITDA of 13.3% , and the profit before tax and exceptional item of Rs. 5,000 crores.
On a full -year basis, we hit our highest ever revenue at around Rs. 3.5 lakh crores and ended the year with a positive free cash flow of Rs. 7,800 crores, despite a very weak start in Q1 and Q2, which you see in the numbers . The business has been sequentially improving its performance and doing it in significant stretches. So, very happy with the way we have ended . Next slide please.
Source of growt h, in the quarter we grew by about 35% , of which volume and mix contributed 24% of the 35% and the price came in at 10.5%, so price is still a very strong variable in our growth agenda. Profitability 3.2% went to 6.8% and all businesses contributing to it and JLR coming at a very large swing there, contributing to the 2.8% out of that delta there. Again debt continues to reduce at Rs. 43,700 crores and TML India at Rs. 6,200 crores, JLR GBP 3 billion i.e. Rs. 30,000 crores we talk about. So the FY 24 net debt reduction plan, we are confirming, we will not be in a position to meet the FY 24 numbers, but very clearly - FY25 we want this issue sorted out. Next slide.
A series of headlines, normally we don't do that, but it's fair to just pull back and reflect on what this quarter and the year actually means for the Group . For us , each one of us in this call, we feel strongly about this, the highest -ever revenue in a quarter, the highest -ever EBITDA in a quarter, one of the strongest PBTs that we delivered and all three auto vertical simultaneously profitable, strong net debt reduction. That's all the quarter numbers. And if you factor in that the first half was a very weak first half, we still delivered the highest -ever revenue. We have the highest EBITDA since 2015, very strong PBT despite the weak start , after factoring the weak start. And India net debt lowest in the last 15 years, so it's worthwhile just to mull over it to say, I would say, that the potential of this business is slowly starting to come out and that's what we would want to build on when we go into FY 24. This is basically giving us the impetus to how we want to play at FY 24. Next slide.
This is also something which we are happy about, a dividend of Rs. 2 per share for the ordinary shareholder s and Rs. 2.1 for the DVR shareholders, coming in after sometime. And this will obviously have to be a - the Board has recommended this and this will have to be approved in the ensuing shareholders meeting. And this will result in a cash flow of Rs. 771 crores as part of the plan i.e. this is factored into the debt reduction plan in any case. So again, very happy to see this. This has been a key demand for the retail

shareholders and I always maintained a turnaround is not complete unless we pay divid ends and nice to see this number coming through as well. Next slide .

With this, I think let me hand it over to Richard who will walk you through the numbers and between him and Adrian, they will cover the JLR section. Richard, over to you.
Richard Molyneu x:
Great. So, Balaji has already explained some of the positive future announcements for JLR, so I get the chance to go thro ugh some positive historical fi nancials as well. So if we go to the next chart left hand side of this is last year by quarter. So if you look through retail sales, very glad to see us back over 100,000 units of retail sales for the quarter, that's up 20% versus Q3, and up 30% year -on-year.
If you look through all of the fi nancial metrics on this chart, through revenue, EBIT down to free cash fl ow. Note that each and every metric improves in each and every quarter. So we have demonstrated strong consistent growth through the year. In Q4, our rev enue GBP7.1billion, that is our highest rev enue that we have seen since FY 19. EBITDA of 14. 6%, 6.5% EBIT, strong PBT and GBP850 million worth of cash in the quarter. In fact, if you look at the second half of the year, we generated GBP1.3 billion worth of cash, that also is the strongest H2 cash performan ce for seven years, so since FY 16. A strong performance in Q4. If you look at the full year, although there is some movement back in retails, that is the natural eff ect of dealers destocking when we had tight supply and restocking now that supply is coming back on stream. Revenue was GBP23 billi on, we produced 2.4% EBIT of the year, PBT was negative 64, but if you look through that, just like the old added game of two halves, o ur PBT in the fi rst half of the year was minus GBP 697 million, in the second half of the year it was positive G BP 633 million. Free cash fl ow for the year GBP 521 million, also the best full -year cash fl ow since FY16. And we ended the year with GBP 3.8 billion worth of cash, GBP 5.3 billion worth of liquidity, and GBP 3 billion worth of net debt. So we have had, like I say, a strong consistent year. We do exit the year performing well. We also have an order bank, which currently stands at 200,000 units to assist us as we go to the start of this year. Okay, next chart.
I won't read through this, this is a written version of most of the comments that I've made, feel free to read it at your leisure afterward s, so if we go again. So , this is our wholesale performance. So wholesales for the quarter, 95,000 units, 19% up on the previous quarter and that's been driven by a much more stable and expanding production system. So our production actually increased from 83,000 units in Q3 to 98,000 units in Q4. So that's also up 18%. And that's what ’s allowed us to increase our whole sales and meet our customer demand in the period.
The balance of our wholesales remains reasonably consistent, circa 50% of them are Range Rover, Range Rover Sport, Evoque, et c. Defender is another 25%, so 75% -76% between those two brands. Full -year basis the analysis is the same, 50% Range Rover, 25% Defender. You’ll note w e're still selling 43,000 Jaguars, we are still making sure that those cars stay current. We ’ve invested in technology on the F -PACE. We’ve invested in special additions to mark the 75th an’iversary of Jaguar as a sports car manufacturer . So we still are investing in those brands as well. Full -year, 321,000 wholesales. Next chart.
So, if you look at this on a regional basis, you'll see reasonably strong through each region in the quarter, the one exception I'll call out and explain is North America, that’s not an issue of fundamental demand,

that's just our allocation timing. So although it looks like a reduction there, when you look at retails in North America quart er-on-quarter, it was 23,600 in Q3 22,300 in Q4, so hardly changed. And our customer order bank in North America is flat quarter -on-quarter. So that isn't a fundamental change in the demand signal from North America, it's just our timing of allocations. Al l other regions strong , including China, progressed in Q4 as well. Full year, very similar picture, I won't go through that. Worth saying on the right -hand side that the proportion of our electrified vehicle is increasing. If you look at the BEV and the PHEV section at the bottom from 11% to 17%, that's the result of our , I'd say, increasingly compelling PHEV offers. So we have increased both the range and the performance of several of the PHEVs in the range and that is starting to show through in the marke t, along with the removal of some supply constraints that have impacted that. So we have had significant increase in the share of PHEV from vehicles in our wholesales. Next chart.
Okay, so in terms of the financial walk , this takes PBT from the same quart er last year, where it was GBP9 million to this quarter GBP 368 million. The biggest variable is volume and mix. And you can see there, probably worth mentioning that mix is a higher effect than volume. And this comes back to some of the issues around qual ity of sales, that we've been pushing during the past few months and we'll continue to push. So , that mix is driven by Range Rover and Range Rover Sport, but it is also driven by trim mix within our ranges and making sure that we are continuing to allocate those chips and components that we have to the vehicles which are most favourable for them. So, volume and mix very favourable . If you look at pricing and material cost together, this is the picture that I expect ed to happen and I told you would happen when we sat down last quarter . So we ’ve moved to a position where our output inflation in terms of our pricing is now higher than our input inflation. That wasn’t the case last quarter. Last quarter pricing with GBP16 5 million favorable , material cost was GBP230 million adverse . So we've flipped that through the quarter and we intend for that to continue.
Going through to SG&A, another care point there for us, SG&A is increasing, that is partly marketing, as we start t o move to a scenario where we do want to trigger some more demand at the back end of this coming year. And also partly the investments in our transformation , particularly in terms of our digital

transformation as a company. Operational FX did exactly what you would expect it to do, on a quarter -by-quarter basis, Sterling has weakened, that helps us from a transactional basis but does give us a hit in terms of realized FX and unrealized commodities. The weakening of sterling versus the dollar gave us a favou rable revaluation on our dollar -denominated loans which you can also expect . So, fundamentally the move in PBT quarter -to-quarter is volume to mix -- volume and mix and we've managed to offset input inflation and output inflation.

Next chart. So this looks then at the move of that PBT through to cash, and look key here is in the middle section of here, cash profit after tax and investment is favourable GBP400million in the quarter. Working capital continues to move in our favour, that is partly natural as our business expands, our payables expand faster than our receivables. But also partly from some deliberate measures and initiatives that we put in place, using fairly advanced digital techniques, for example, to reduce our component inventory during the period. So that is partly natural and partly from some deliberate efforts on our side, generated theGBP815 million worth of free c

ash flow that we reported. And next chart.

In terms o f investment, so total investment for the year was just under GBP2.4 billion, that is an increase. The biggest part of that increase is in engineering, which rose from GBP1.3 billion to GBP1.7 billion. That's a natural part of our product cycle. And you kn ow that we have a large series of launches coming between the end of next year and 2026. Those are at the high point of the engineering at the moment. So that's what's driving that expense up a bit. What you also see is that as those programs go through th eir various gateways and start to move to production. They get more capitalized, so our capitalization ratio is slowly increasing , it was 53% in the quarter versus 48% last quarter and for the full year it was 45% versus , sorry 43% versus 35% last year. We would expect that capitalization to continue to increase probably to around the 60% range. We've also said, Balaji repeated this earlier on, that this investment number will increase. We are expecting it to be around GBP3 billion a year for the next five years , as we continue to invest in both our electrified vehicles, electrified powertrains themselves and the electrical systems that support them. Okay. Next chart.

Right Now move on to a business update. If we move forward, but this chart which shows our average revenue per unit is really important and part of the demonstration of our journey towards modern luxury. So we've managed to increase our average revenue consistently over the last five years in FY'23 it moved up fromGBP62,000 to GBP71,000 so up by about 15%. Part of that is the increased production of Range Rover / Range Rover Sport. But even within the vehicle lines, we have continued to increase our focus on the high er-level trends. Including, for example, SV, so the Range Rover SV which was only launched October 21, already got 6,100 orders at an average transaction price of GBP180,000. We've even been testing the water north of that, we did a special edition Landsdown edition of the Range Rover SV, which transacted at around GBP250,000. So there is room for us to operate in this space, if we continue with diligence , our modern luxury journey. Next page.

In terms of semiconductors, I think people have people have mentioned this a lot . My summary I think is probably three things. We are seein g fewer issues now, they've not completely disappeared, but we are seeing fewer of them. Our ability to see them in advance is improving due to our relationships with the chip manufacturers and with our suppliers . And when we do spot them, the number of to ols at our disposals to solve those problems is increasing. So they are proving less of a , I'm going to say nuisance, that's probably an understatement than they were last year and they could still come back to bite us, but it is considerably improving. Next chart.

Okay, key for us is to make sure that we are progressively and in a stable manner, bringing our supply up to continue to build our order bank down, just to meet our customers' expectations with the arrival of their vehicles that they wanted. We are showing good progress in terms of getting Range Rover and Range Rover Sport through our facility in Solihull, went up 2,600 units per week during Q4, and we expect that rise to continue progressively as we go through next year, pushing north of 3,000 u nits per week during the year. Next chart.

Inflation is still an issue for us. We do have considerable headwinds, we've shown them here at GBP850 million for the year, of which about 40% are commodity prices and about a third were semiconductors, the rest is energy and labour cost both with us and with our supply base. So we knew these were coming

and we spent a large portion of last year, doubling down on our Refocus savings and can proudly say, that we've offset that and more than offset that in terms of our Refocus savings during the year. A lot of that was very detailed work in terms of making sure that we allocated those chips that we had to the vehicles that we wanted to sell. But there was also considerable work done on the cost side, on the investme nt

side, and on the inventory side. So in total, we delivered GBP 1.1 billion in savings through the Refocus programs and that did offset the inbound inflation that we saw during the year. Next chart.
So China, so we are really proud of the results of our China business , it's best financial results for five years. And if you look at the left -hand side, segments of the market that we're operating in are relatively stable. Our share of those segments is also relatively st able . So look, we know that market is really fast moving, really dynamic in the sections that we're operating in, we are maintaining our share. If you look at the financials on the right -hand side, it looks a little bit as if imports average revenue per un it isn't increasing as much as the global, that's a little bit of a misconception there is some profit from our P&A operation, our or after -sales operation. If you look purely at vehicle average sales per unit, for imported volume it is up 8% year -over -year. From a profitability standpoint, we were PBT positive in the quarter of 13% EBITDA, 2% EBIT. On a full -year basis we were also PBT positive and EBIT and EBITDA were both 5% higher than FY 22. So very good consistent progress within our China business , best financial year for five years. Next chart.
Right, the fun pictures. We're continuing to develop our product range. If you look at the '24 model, year Velar on the right -hand side, that is –that's as close to a flawless execution of our modernist design language that you're going to get. It's just beautiful . We have made some tweaks to the exterior. We've made some technology upgrades , for example, the PHEV now has a 20% higher range than it did before hand it goes 40 miles WLTP without charge. And on the interior look, there are also some upgrades . So that vehicle is upgraded. And, on the right is the Range Rover Sport SV, you will want one, they are going to be phenomenal . And as I've mentioned before and we're ex tremely proud of the success of our Range Rover SV, and we've received 6,100 orders for that. We haven't even announced or started taking orders for this one yet. Next chart.
So looking ahead, we are optimistic, so we exited FY'23 in a much stronger positi on than we started it. So we're on the right trajectory, and we have had strong and consistent progress. So we think FY'24 is going to be a good year for us. In reality, the first half may be a little bit slower, so I expect the second half of the year to be stronger than the first half. But we do have the momentum that we're looking for and we will have a good year. Our priorities is to continue to build our supply availability, our robustness, the accuracy with which we give our suppliers our forecasts. W e'll continue to focus on brand activation , there is a lead -time with that, we have to start doing some of that now, to activate orders towards the back end of the year. We're going to execute our plans. And from a financial perspective, we're saying we're going to deliver 6% plus EBIT. GBP2 billion free cash flow after investment, which means our net debt will reduce from GBP3 billion at the end of the financial year just finished, to circa GBP1 billion , 12 months from now. That's it from my side. I'm sure we'll take some questions afterward s, but thanks very much for the meantime.

PB Balaji
Thank you. Thanks, Richard. So quickly moving on to commercial vehicles, next slide please .
The registration market shares after the correction to the approach to a d emand -pull strategy is now starting to recover. Our Q4 better than Q3, barring one which is the – what used to be called intermediate and light commercial vehicles, MGV 's is where we still need to get some further impetus on that. Very much part of the pla n that Girish and team are working towards. But everywhere everything else starting to sequentially start improving . Next slide.
On overall volumes, the call -out here is the powertrain mix that you see, with the CNG prices now coming under policy, and therefore expecting some stabilization in terms of the delta between that and diesel, one would expect to see the CV numbers , sorry CNG numbers starting to change as well. Next slide.
Overall revenues, happy that w e ended the quarter with a double -digit EBITDA, something that we said we want to get to as soon as possible. And the business ended the year pretty strong with revenue of around Rs. 21,000 crores and an EBITDA of 10.1% , and clearly, with market share star ting to inch -up as well as profitability starting to improve , the business is in the right track. Further distance to go, but very much on track. Next slide.
The source of money that you are seeing, where the profitability came from - volume , mix, realizat ions, savings, all coming through quite nicely. And we intend to keep it this way as we go forward. So the other big one is the consumer -facing metrics, which is a very, very important on a demand -pull strategy to ensure that the brand is in a strong wicke t, very happy with the way things are starting to move. The brand is – with the interventions coming through, be it the power – the brand power , the consideration top box, top of mind awareness, all trending in the right direction and some very good numbe rs even at a geographical level as well. And of course, the dealer satisfaction, as well as the composite satisfaction score doing pretty well .
So let me give it to Girish to give an overall update on the business. Girish?
Girish Wagh
Yeah. Thanks, Balaji. So, I think the industry continued its growth in volumes, and one saw growth of 22% over the same quarter last year. And in annual terms a growth of almost 34%. During the year we launched

more than 40 new products and 150 variants, in addition to what we had unveiled in the Auto Expo. As Balaji mentioned, we had highest annual and quarterly revenue for FY ’23 and Q4 of FY ’23. And I think as we started our discount reduction strategy from Q3, and as we continued ahead, we were able to grow our Vahan share, the registration share in Q4 versus Q3. With focus on continuously improving the product and service competitiveness, as well as our communication to the customer . I think the non - vehicle business which has been a significant area of f ocus grew by almost 33%. And both spares and service penetration has been continuously improving for last three years now. With all this, the EBIT improved sequentially and is now highest in 21 quarters, with most of it coming from discount pullback, part of it from cost reduction and also commodities softening, which happened in H2. While the entire industry grew by 22% vs Q4 FY22 and 34% over the last year , I think the good part was signifi cant growth

in the medium and heavy commercial vehicles, almost 52 % over the last year. And the passenger segment , especially the buses, which were almost down and out during COVID, has seen a very good growth, fi nally in the year gon

e by.

I think as Balaji showed some metrics, our continuous focus to improve the brand health through judicious mix of ATL communication, Digital communication, and also lot of influencer advocacy has actually led to a good improvement in net promoter score. And in fact net promoter score has reached the highest -ever level now to 71 and the brand power also grew by 170 bps. So , I think both at a very good levels. We have transitioned the entire portfolio to BS6 Phase II and in line with our philosophy, once again we have gone beyond near compliance to the regulations. And across the range in e ach and every product , we have further strengthened the superiority in terms of the total cost of ownership , comfort and convenience, connectivity in terms of Fleet Edge, as well as the safety features, which have been added especially in the trucks.

On th e CNG, interestingly, I think with the new guideline , apart from reduction in the CNG prices, I think the biggest uncertainty which was in the minds of the customers was about the diff erence in CNG prices with respect to diesel , and for that matter, even petrol . And this uncertainty had led to drop in CNG volumes signifi cantly. So , with this new pricing guideline , not only the CNG prices have dropped, but it is also getting pegged with diesel , which will gradually start bringing in good certainty in the mi nds of the customer and we will see the CNG penetration increase. Towards this, I think we have a very strong CNG portfolio, both in ILCV as well as MCVs, and last year we launched our CNG vehicles and heavy trucks, as also our intra portfolio. So , I think we have CNG presence across the portfolio now.

Going ahead for this quarter as well as FY ’24, I think we will continue our focus on the retail now. And registration shares is what will drive us, and we will continue the realization improvement journey. As I have said, I think the BS6 Phase II products have come up with a lot of value enhancement s, features, and performance improvement. And there will be a lot of efforts to communicate this not just to the customers, but also other stakeholders who play a v ery important role in decision -making. And therefore there will be a lot of influencer a dvocacy as well as actual in -field trials. Getting into this year, I think we will now start scaling up EV supplies with the supply chain being resolved, FAME certifi cation clarity being there and both on AC E-EV as well as the electric buses, which are meant for the C ESL tender. Downstream business will continue to grow being a focus area for us. And in international markets we will continue to play safe. We will maintain o r grow market shares, ensure that margin and channel health is protected . And we will also see some of the new markets which we can enter during the year. Next slide.

Coming to the electric mobility, so I think we have completed all our electri c bus deliveries meant to be done, to Delhi Transport Corporation and Nagpur city . In addition to that, we have already started d elivery of the C ESL fi rst tender with the Delhi Transport Corporation buses. And in addition to that, also a few retail custome rs or orders that we have received. We have delivered more than 300 ACE electric vehicles in fourth quarter. And here on, we can sta rt ramping up signifi cantly, as I said earlier, with clarity on supply chain as well as the FAME certifi cation.

I think in A uto Expo, we made a clear statement on our future roadmap, in terms of net -zero greenhouse gas emissions and the de carbonization plan with the display of 14 product concepts. On the smart city

mobility, as I said, I think the concession agreements have been signed with Delhi Transport Corporation for 1,500 buses. The supply ha

s already been initiated, which will be followed by Bangalore, for more than 900 buses, and then Jammu and Kashmir for 200 buses. I think now our e -bus fl eet has crossed more than 7 crore or 70 million kilometers. And we have been able to maintain more than 95% uptime in FY23. So we have been delivering better than the contractual conditions. The operational revenue has also been ahead of our own internal budget, doing well at around Rs. 500 crores.

Coming to the digital businesses, so Fleet Edge continues to do very well. Now with more than 390,000 connected trucks towards the end of FY23, and the monthly active usage is continuously increasing and customers are seeing a lot of value i n terms of improvement in vehicle uptime, asset utilization, is also helping them for better tracking and optimizing the usage and driving habits, leading to improvement in the total cost of ownership . So, I think the clear benefits , which are being seen , as a result of which I think the penetration is continuously increasing. And in fact, I ’m happy to share that from April 1 , we have also introduced the subscription model for the Fleet Edge. And we have seen a very good encouraging response to this model.

As I said, the engagement time has been improving consistently with the benefits being experienced by the fl eet owners, as well as the drivers. E -Dukaan, which is our online spare parts marketplace, grew better than what we had targeted, in fact, it grew 2 .8 times, although on lower base, but doing pretty well and we also extended E -Dukaan for diesel exhaust fluid as well as lubricants. So this will help us to grow these two business lines also.

I think digital lead generation has been a focus area for us a nd this has helped us, not just to generate leads, but also communicate our brand message, product competitiveness and other aspects. This has led to improved brand health and therefore augurs very well for the future. So that ’s what we ’ve been doing in th e commercial vehicle business .

Balaji, back to you for PV.

PB Balaji

Yeah. Thanks, Girish. Moving on to the PV numbers, PV, EV - next slide please.

Call out here in PV as well, we are now going to report only Vahan registration m arket shares. We fi nd that to be a far more reliable and closer to the customer metric. And the powertrain mix is another call out there, where you are seeing penetration of E V’s rising to 9% and CNG sitting at 8% there. Next slide.

Again on the registration market shares of E V’s is growing to 84%, network now increasing to 165 cities and 250 dealerships, charging infra again increasing to 5,300. Next slide.

Overall fi nancials, we ended the quarter at 7.3% EBITDA with a PBT of Rs. 200crores. On a full -year basis the business wa s 6.4% EBITDA, at a PBT of Rs. 700 crores. And therefore this business is now strongly profi table, in terms of EBITDA . We still got a distance to go cover the 10% EBITDA, but happy to see from where we ’ve come to the 6.4%. At the same time EBITDA positive, EBIT positive, PBT positive and cash

positive. One additional data point which we ’ve pulled in this time is the EV fi nancials, where there is been a lot of queries that you've been asking. I also see a question, say if I need to add EV plus PV, it doesn ’t add up to this one, there are some intercompany that need to be canceled of as well, as part of consolidation. On the revenues – this business is now making an EBITDA loss of about Rs. 350 odd crores . Out of the Rs. 350 odd crore, that ’s the 4.6% negative that you see there. Out of Rs. 350 crores, Rs. 300 crores is product development costs that are being charged -off .And therefore this business is almost EBITDA neutral and this needs to be seen in the context of a run -away inc

reases in lithium prices. The

reason I bring it out is that, we believe the EV from a sustainable profi tability perspective is in the right track. This does not include any PLI credits or anything that is being accrued. So this is underlying profi tability I ’m referring to . A $1 billio n business – roughly a $1 billion business with broadly neutral EBITDA that is where we are, on an underlying basis. Next slide.

These are obvious, only thing, why is the structural fi xed cost going up there, substantial increase in FME, as you see the brands building up , there is also element of IPL phasing that will be there, as we go ahead of that. Employee cost is basically investments that are happening in the EV business and D&A expenses again , as the product invest ments pickup up there. So all these are good investments that are happening for the long -term viability of the business.

Next slide. Let me give it to Shailesh.

Shailesh Chandra

Thank you, Balaji. So let me start with the ke y highlights of the industry fi rst. So FY23 for the industry was the highest ever since the last highest ever which was in FY19 which was 3.4 million, this year ended at 3.9 million, which was nearly 27% growth versus FY22. SUVs continue to increase in terms of share, increased by 300 b ps to 43%. And EV’s - industry saw phenomenal growth of 170% with several new launches and increasing acceptance of EV among customers.

As far as Tata Motors PV and EV business is concerned, this was our highest -ever wholesale year, which was nearly 5.4 la kh volumes , with the Vahan market share of 13.5%. This is nearly 45% growth as compared to FY22, which was , if you just compare with industry growth, which was 27%. Our EV sales crossed a major milestone of 50 ,000, this includes about 2,200 volumes that we did in international business. Vahan market share was around 84%, despite increasing competition. We have already mentioned that in PV business we grew by 45% as compared to FY ’22, but it was a growth of 150% in the EV business for us. We were the number one SUV manufacturer in FY23 and Nexon was the number one product in the SUV segment.

Going forward, what are the bright spots, we clearly see that there are several new launches happening in the SUV space, which will augur well for the growth in this fina ncial year . CNG demand with the prices coming down is also expected to pick up, and several new launches happening in the EV space and increasing acceptance of E V's, I think this will also augur well for the EV segment. For Tata Motors, very happy to see t hat we transitioned to BS6 Phase II early February itself , and that has really helped us to ensure a very smooth transition. Several new launches , which are going to drive demand, Nexon EV Max, in hashtag version has been receiving very good response. We recently launched it. This month, we are also launching the twin cylinder technology in Altroz, which is Altroz iCNG, which retains the entire boot

space in the CNG, which is fi rst of its kind, very innovative concept. And of course , this year we'll see some of our products going through the mid -cycle enhancement.

We have few players in certain segments – we are only one player in at least one segment where we are still in diesel segment. And that should also help us improve our sale s in the diesel side. Talking about some of the challenges or headwinds, mainly the entry side of the PV industry which is hatches and sedan, is – has been under pressure for some time. The channel inventory, as compared to where we started the last fi nanc ial year in FY22, is at a higher level. Pent -up demand clearly has gone down, barring certain new launches in a few popular SUVs. And recently price increase has been taken b

y OEMs to basically offset

the cost increases which have happened because of the R DE transition. So this might –we have to watch the impact of this. From Tata Motors side, the way we are preparing ourselves is to focus on demand generation through micro -market focus and actions to improve the conversion rates. We are growing our portfol io both on CNG and EV, both are expected to see good growth this year , and therefore we should be the benefi ciary of that. And of course, we 're driving margin improvement through an institutionalized cost-reduction initiative, as well as what we have as internal nomenclature nine -box framework. So both on margin as well as demand generation, we have clear action plans laid out.

Back to you Balaji.

PB Balaji

Thank you, Shailesh. Next slide, please.

Okay, perfect. So moving on to the overall CV+PV . Investments, we ended the year with Rs. 6,400 crores of investment spending , and this is likely to increase to Rs. 8,000 crores next year, as we step -up the whole electrification investments both in CV and PV. That 's the main trust of those delta that is coming through . Next slide.

On the cash fl ows, overall the operating – the cash profit after tax and capex . I see in the questions, some of the doubts lingering in terms of – as how do we treat Capex ? Let me be clear, for us w hat we call out as free cash fl ows, is operating cash , less Capex , less working capital changes and any fi nance expenses that we incur, so it's the entiret y of it. So this is the free cash fl ow after all these investments. This year we ended at Rs. 3, 800 crores of free cash fl ows for t his quarter (Q4 FY23) . And then the full year we ended at Rs. 2, 400 crores of free cash fl ows after all these investments. And hearteningly , all the Capex is funded by the cash profi t after tax, so it 's extremely self -sustaining business that we have. On a full -year basis, working capital in Q4 normally reverses. Full -year basis no impact at all as working capital, so what we are seeing is R s. 2,400 crores is completely cash profit after tax, less Capex , less fi nance expenses. Next slide.

Tata Motors F inance, we did signal that this business, the entire restructured portfolio we want to have a very, very close watch on it. And two things have happened this quarter. One is, we have taken a hard look at the restructured book and taken adequate provisions to ensure that this book now completely is taken care of. And we started off the concerted collection efforts and that has ensured that the GNPA is now starting to sharply trend down. We did 2.6% in this quarter and the absolute numbers of GNPA are also st arting to come down sharply, and we will intend to maintain that. And the capital adequacy remains comfortable even at these levels. And the business is now pivoting squarely to quality, focusing on

delivering double -digit ROE in the medium term, with a fo cus on improving NIMs, lowering the credit losse s, and very tight control on fixed costs . So busine ss is being run for ROA and/ or ROE as well, as the case maybe. Next slide.

Just from a credit rating perspective, we had S&P upgrade us by a notch and domes tically , ICRA has also revised our outlook to positive and we will be engaging with them after the results, for the others as well. Next slide.

We do invite your for the Investor Day, both in Tata Motors and in JLR. In India it is on June 7th in Mumbai and in JLR i ts on Ju ne 12th at Gaydon, the new headquarters of JLR . Next slide.

So overall outlook, how do we see it, I think on the demand side, we remain optimistic , despite some near - term uncertaintie s that could be there. And infl ation we expect it to be moderate. As far a s FY 24 is concerned, as I said ear

lier ' it's a year of where we have to deliver. We are squarely focused on putting
our heads down and executing this plan and ensuring we make it count for the full year . As far as the momentum i s concerned, it will build through the year keeping in mind, there is an element of seasonality, and JLR is stabilizing i ts supply chain from where it has come . So we want to stabilize it. And of course there is a post -RDE impact in India, that's the only reaso n we are calling this out as the momentum building through the year, so we don't get carried away . At the same time, the plans of JLR continuing to, which Richard just talked about. CV - ensure the demand -pull strategy continues, double -digit EBITDA t o be delivered and pro fitable growth in all the business verticals that Girish talked about , that's an importan t priority for us. And PV, EV the plan is to continue to remain aggressive .
With this let me end the talk from our side and move it on to Q&A. And we already have a fair number of questions that have come through. Let me pick them up one by one, in the order in which they actually appeared.

Questions and Answers session
PB Balaji
So first it's coming from Binay. Talking about EV fi nancials, and I think I covered, Binay, the PV plus ICE revenues why they are more than PV business. TMETC, Trilix we don't want to comment on the smaller subsidiaries that are there - they are design center s, they don't materially move the needle, they should be treated as part of the design cost that we incur. And , PLI not considered, government grant s nothing as far as EV business is concerned , nothing has been considered that are there. And headwind s, tailwinds , let me give it on to Shailesh to talk about, because that's also coming through in one other question as well.
Shailesh Chandra
Sure. So as far as, let me talk fi rst about the ICE segment. As far as tailwinds are concerned , I think what is re ally going to support growth are going to be the new launches , refreshe s that will been launched by the various OEMs in this fi nancial year. We are still seeing the demand in terms of bookings for the

industry are remaining strong. So that's a good news th at demand has not dropped. Of course, there are certain segments , especially in the entry segment, which I mentioned, is under pressure and bit of interest rates even no w also impacting the vehicle fi nancing interest rates and all. We'll have some impact o r definitely again on the entry segment. As far as EVs are concerned there is hardly any headwinds that I see, I only see the tailwinds . There are several launches, which are going to happen in this space, and that is going to expand in the market. There is a growing acceptance of EVs among the consumers , and that is continuing to help. We are seeing every quarter the industry is growing big in size. In fact, if you really see the monthly rate of sales of EVs has grown to 8,500 to 9,000 per month for the industry, which is very high , just one week back it would have been 4,000 or so. So I believe that EV industry will have all these tailwinds apart from the various states which are also coming with very progressive poli cies. PLI and all , I think the environment is very favorable for EV's .
PB Balaji
Thank you, Shailesh. Richard, fi rst question coming to you and then Adrian something coming your way as well. Can you give us push -pull factors for margins next year, this is coming from Kapil. You are currently at 6.5%, guidance is 6% plus . How does this workout? Some color would be helpful.
Richard Molineux
Yes, of course. S o we're expecting volumes next year to be circa 400,000, so a little bit higher than our Q4 run rate. On the positive side we' re also expe

cting supplier infl ation to start to reduce. Some of it will
become embedded in terms of their labor rates, some of it in terms of commodity rates and utility rates, starting to show signs of comin g-off the peaks . On the other side, we , at the moment we have foreign exchange rates that are slightly less favorable than we had during the course of Q4. And we will need to start investing in marketing to secure the order intake that we need towards the back end of the year. Finally, I think the other negative is we do expect, I saw some questions on that later on, we do expect VME to increase, but we expect that to be a creep rather than a leap . So we are not going to get into mass discounting of cars for our cars , , we're a modern luxury player. We do expect VME to creep up. So I'd say, FX, marketing and VME a little bit ad verse. Volume and supplier infl ation is a little bit favorable.
PB Balaji
Thanks, Richard. Adrian, there is a series of questions co ming from Chandramouli of Goldman.
We have guided to a 6% EBIT margin and GBP 2 billion cash fl ow this year. Last year we started in a similar way at 5% EBIT and GBP1 billion FC F. What is giving you the confi dence that this t ime around, things will be diff erent, one. Second, order bank - also saw another question somewhere else, order bank at 200 K, and if you net out sales and arrive at - the number seems to be much lower in terms of new orders coming in, need some color there. Second point. Third, a very interesting question on, what's behind the thinking of the JLR rebranding? Is it just corporate action or there is something happening on the ground, which will -- which has trigger ed this stuff?

Adrian Mardell
Yes. Thanks, Balaji I'll take them in the or der that they ’ve been asked. Look for the last 12 months, we've been optimistic about breaking through on supply. And the truth is for the first six months that we were too optimistic. Our b reakeven has been in place, it's been in place for more than 12 mo nths, at the 300,000 units. And simply put, we had to build more than 25,000 cars per month, of course. And we really didn't get to that point to Q3 and you can see as soon as we have got to that point, which was a mixture of overall supply with semiconductors and the MLA products, don't forget they're super crucial to our business model . They starting to come through in proportions we need from about November last year. So it’s those two things, which really moved us from a loss -making to a quite an aggressive and significant profi t-making business. Breakeven still the same, we know the suppliers hire with new semiconductors -- supply we secured from January. And we know our MLA production units, as Richard showed in the presentation, they’ve grow n to that 2,600 plus a week. So the two critical things we're waiting for happened in quarter three, continued at pace in quarter four. And we believe will continue now into FY'24, we can see it in the data we've seen in the fi rst six weeks. So not only ha ve we broken through but we can see the continuation of that, into the first half of this year and beyond. From an order bank perspective, the 200,000 units, look it's still too high. I think that's the first point we have to make here, right. We don't have an expectation and aspiration for200,000 units of orders, it’s two reasons. It's a symptom of supply being too low and production being too low, and it's a symptom of the appeal for our vehicles that people have been prepared to wait for as long as they actually have. But the reality is a healthier order bank is a lower order bank than 200,000 units. So my anticipation is, it will continue to fall by about 5,000 units per month over the first half of this year. And to Richa

rd's point, if that continues to happen and our supply
increases as at that time we expect it to do so, and we will be stimulating further orders. But if you look at any of our websites, particularly on the most sought -after vehicle the Range Rover, a lot of those order times are now 12 to 18 months. We a re not stimulating orders beyond 12 to 18 months at this point. To the proportional share point, which is in the question, 200,000 orders at the end of March , 76% of them were Range Rover, Range Rover Sport, and Defender. So it's still very skewed towards our three most modern, most luxurious nameplates today. And in terms of the brand question, the point there number three, now I'll reiterate what I actually said and was quoted within the media. Land Rover is the trust mark for three br ands. And when you think about it the characteristics of those individual brands, Range Rover, Defender, and Discovery, are different. And if we truly -- they're underpinned by the trust mark. So the off -road capability , the versatility of the vehicle, th e safety within the vehicle, the technologies are in all of the brands. But if we're really going to grow our business in modern luxury, we absolutely have to focus on the distinct characterizations within those brands.
Look we know Range Rover is about lu xury, quietness, serenity. We know Defender is about utility, go anywhere. We know Discovery is about family size and the utility of being able to, in the broadest sense use this as a family travel ler vehicle. We understand those things we have for a long time, but we have to deepen the understanding and the characteristics of vehicles because clients will be attracted to individually those brands, not just to Land Rover going forward. That's already clear in most of our biggest markets China , USA, Middle E ast. So that's why we've actually elevated those sub -brands above the trust mark to Land Rover, and that's what we're going to keep working through and working on going forward. Back to you , Balaji.
Tata Motors Limited
May 12 , 2023

PB Balaji
Thank you. Thanks, Adrian. This is coming from Jemma, J.P. Morgan. I think this question is picked up by someone else as well, saying that, can we give color on the free cash fl ow guidance and the net debt reduction for next year? How much of it is due to working capital and how much of it is due to underlying cash fl ows? One kind of a question . Second kind of a question within that, you are increasing Capex to GBP 3 billion but still guiding for debt going down to GBP1 billion. Richard, can you reconcile the two for us?
Richard Molyneux
Yeah. Sure. S o we are going to increase our investment from GBP 2.35 billion this year to GBP 3 billion next year. Even considering that increase of GBP 650 million of investment , we are anticipating and expect to generate beyond that GBP 2 billion worth of cash to tak e our net debt position, down from GBP3 billion to GBP 1 billion. In terms of the proportion of that cash generation, that is operational and working capital, what I'd say, certainly for the first half of the year, the majority of it will be operational. Working capital a little bit more in the second half of the year. But if you, you only need to look at our cash flow generation in the last six months, GBP1.3 billion, after about GBP1.3 billion worth of investment in the last six months. So we are a stron g cash -generating business, when we're functioning at the type of levels that we're

talking about. Adrian has mentioned several times our breakeven volume is around 300,000 units. I've mentioned that next year we should be operating at 400,000 units, that' s wh ere we get our EBIT and cash returns from .

PB Balaji

Thank you. Thanks, Richard. One question, if Ben is there, do you i

ntend to come to the bond market and
will you do some sort of senior secured debt? The second, the latter part I can answer, clear answer no. First part, Ben, over to y ou.

Ben

Sure. So I think that at some point we will come back to the bond market, we've been a regular issuer. But I think we'll just keep monitoring the market for the right time. I think part of it is our fi nancial performance is improving as we've talked about here today and potentially some benefi t in continuing to wait , we can pace we expect that to continue. But on the other hand, there are plenty of uncertainties in terms of needing to go to the market . I don't think there is any need. As has been explained, we expect significant positive cash flow in the year and that is after significant investment spending. So, we don’t need to fund investment spending. I think it would be more a matter of managing our liabilities.

PB Balaji

Thank you. Thanks, Ben. Question to Richard, and then another one - same thing to Shailesh and this is from Rakesh, BNP Paribas.

JLRs investment of GBP15 billion, can you give us a rough idea of how much of that is going into R&D EV product development, how much going into ICE?

Richard Molyneux

Yes. So look, this year our total engineering went up by GBP 400 million to GBP1.69 billion. I would expect that to continue to increase a little bit next year. However, the majority of th e increase over the next couple of years is going to be in capital, as we industrialize all of our 2024, '25, '26 car lines into Solihull which is where we will be producing Jaguar and where we are producing the Range Rover BEV, adding to Halewood which is where we will be producing EMA. So in the short -term, it will be partly an increased engineering, in the next 18 months - two years , capital will be the primary part of the increase. In terms of EV and ICE, we are going to have to continue to inv est in ICE to meet the Euro 7 regulations that came through. However, obviously, the vast balance of our efforts is in the EV space as the majority of the launches that we have post now are EVs.

PB Balaji

Thank you. Question to Shailesh. In terms of with t he domestic PV market competition is obviously picking up, especially with clear head -on competition to Nexon and Punch. Any ideas of how you are preparing to defend your volume and market share?

Shailesh Chandra

Yes. So see, we have seen in the past also and last year also we have seen that in SUV segments whenever there is a new model which gets launched typically the segment expands. And this expands because it is channelizing flow from existing segments in to SUV segments. This has been at the cost of ha tches going down or sedans going down. So , I think that phenomenon is going to continue despite. And Nexon segment, you have already seen that this segment has seen every year addition of new models and only the segment has expanded. And we as a company have been seeing increasing volumes of Nexon. Similar thing in Punch , so this is one - volumes will get channelized from other existing segments to this, so the segment is going to expand. From our perspective we will kee p the excitement in these two products high, through several interventions, New Forever interventions we keep on bringing. Recently we got the #Dark, Punch we came with CAMO, but also at the same time, let's take for example, punch, we are going to bring CNG variant here with the twin cylinder technology and this is going to be unique in the market. We are al so planning to bring EVs, so we a re very confident that these two products will be able to sustain the volumes. Of further actions, how we will furth er grow from where we are, and both in terms of volume and market share, we a

re going to add new nameplates and we have showcased that in Auto expo, Curvv,
Sierra, these are new nameplates, which are going to get launched . There's going to be a steep incre ase in the EV volumes. We are expanding our portfolio in the CNG segment, so I think we have several levers , which are going to increase our volumes, as well as market share.

PB Balaji

Thanks, Shailesh. Next is from Gunjan. I think the JLR side of the ques tions have all been answered. So let me move to the PV side, I think that's also coming from Ashish later on as well. India PV, the volumes are at 540K and at this level capacity utilization is extremely high, 65% SUV share. From here on what is there

for the margin improvement drivers ? And why do we , and why are the margins still not as strong as others who are there in the market and your plans for the same?
Shailesh Chandra
So one thing I would like to say that, last year, if you see the EBIT has inc reased by 300bps. So it is an improving trend and significant ly improving trend, the whole benefit of operating leverage has been fully realized. The margins at a contribution level has been increasing . Of course, alongside we are also seeing a steep growt h of EV business. There the margin s I think, Balaji, very well explained that it is underlying margins are strong, but there is a huge product development expense which also gets charged -off. So it will have an impact. But there are plans in terms of how w e are going to strengthen the margins for EVs. And also, as you know, the battery prices had gone up significant ly by 35%, the cell prices had gone up. There was huge semiconductor open market purchase, which was being done. All these are factors which we reclaim back. Battery prices are going down, semiconductor open market buys have come down. So these are all positive things which are going to favorably infl uence the contribution for EVs. Also there is a deep localization that we are doing, which is goin g to further bring down the cost. So there are a lot of actions on the EV side, which is going to improve the margin , including , the new models, which we are going to launch , is going to be in the SUV , higher SUV segments, which will be better in margin. I'm not talking even about PLI and all, because -- and we have a clear pathway to bring this to say, at a contribution level into a double -digit margin closer to where we are in PV. And on top of that, of course, w e are going to have the PLI benefit and all.
On the PV side, I think again, a richer mix is what we are expecting in the coming years, which is going to strongly support. There is an institutionalized cost reduction plan with a very aggressive plan that we are taking a benchmark and tearing down at a component level . So all these actions, I'm sure that we are going to continue to improve on the margins .
PB Balaji
Thanks. I think there's another question, which Ashish had asked under those guidance for a 10 % margin in PV. Just to correct, that is the EBITDA margin we are referring to. That is what we want to reach. And Shailesh has already explained his drivers for the same. Question to both Shailesh and Girish, industry growth both in India -- by India for CV and PV, given the demanding base is there, how do you want to? Do you want to start with CV?
Girsh Wagh
Yeah. Okay. So I think while the industry has grown pretty well in FY23 over the previous year , I think we have to keep in mind that the industry volumes are still below the previous peak of FY 19, that's point number one. Point number 2 is, I think generally in the pre -election year, that is the general election , year before general elections, mark et has always grown, especially because of the government spending. And I

think this year in the budget , we are looking at almost record spending on infrastructure by the government. I think these are good tailwinds for the industry. And as a result, I thi nk the industry should grow further during this year, although it may be in single -digits and growth may vary across the year, as well as across various segments. So, one would see highest growth happening probably in buses, because

the buses still are at a lower level followed by a good growth in the medium and heavy commercials. It appears that the ILCVs may remain fl at compared with the last year and the small commercial vehicles may grow a bit. In terms of timing, it appears that the first quarter may degrow a bit Y -o-Y, because of some pr e- buy eff ect and also the transition into the BS6 Phase II and the price increase, which has happened. But after that, one would see growth in Q2, Q3, as well as Q4. So I think that's how we see how the markets will grow. Overall , it appears that we will see a single -digit growth at the industry volume level. Thanks.
Shailesh Chandra
So on the PV side, I would say that, we are very clear that the secular trend of growth of the industry is going to remain intact, because of the underlying drivers that drive penetration levels. And also given that now the market is having a lot of upgrade customers . So people are wanting to upgrade the vehicles and that is the phenomenon that we have been seeing when it comes to SUV growth . And therefore going forward, while there was a very steep growth of 27% in the last financial year, also, thanks to the pent -up demand and low inventory levels that we had at the start of FY23, I think that helped in driving this kind of growth, which was 27%. Otherwise, which could have been much lower, I would say. So, therefore, this year would be , growth would be slightly moderate in the zone of 5% to 7 %. But I'm sure that beyond this financial year, the growth will come back to double -digit number, is what I'd say.
PB Balaji
Thank you, Shailesh. Question from Kapil o n EV margins is already covered. I think there is a question of PLI that is there in various places , where do we stand on PLI? Shailesh, could you pick that?
Shailesh Chand ra

Yes. So, as far as PLI is concerned, there have been a lot of engagement with the Ministry of heavy industries on this topic and discussions have revolved around the domestic value additions . And MHI has been very receptive of the inputs from our side. There have been several inputs that have been given. And of course, the requirement from the MHI to establish the extent of DV A that any OEM has attained was a bit stringent which has been brought to a level which is now practical. And we are going to be working on that. And hopefully, the first model is what we are going to submit with the DVA status very soon. From there on, we'll probably secure the PLI eligibility for all our models . Mos t, all the models that we are selling today as per our estimate s, cross DVA requirement and going forward, we are very confident of availing the PLI benefi t.
PB Balaji
Thanks, Shailesh. Two questions from Kapil saying, I think, Girish, coming your way, April volumes much weaker than industry for Tata Motors, what's h appening and when we expect growth to return? And trucking conditions , how is that trending and how are dealer inventories?

Girish Wagh
Right. So, Kapil, first of all on the volumes, I think first point is, because it is aligned to the retail . I think the retail volumes in April hav e dropped after the pre -buy eff ect in the month of March. So as we said

that we will align our production and offtake to retail, I think that is the first thing. Second, of course, as I mentioned earlier, when we have transit ioned to BS6 Phase II, I think there is a significant change, which has been done in the entire product portfolio . Every product in the portfolio, one has seen significant improvement in terms of power to weight ratio, total cost of ownership, comfort and convenience, safety and as a result, there were some supply chain issues also in month of April, which will get addressed from this month of May. Finally, as I already answered, I think Q1, we see that there would be a de -growth in retail registration volu mes because of the pre -buy effect , but the growth will come back from Q2 . As far as trucking sentiment Index is concerned , for the tippers, it has gone up, which was expected. I think for other segment, which is trucks, I LCVs, small commercial vehicles, th ey have dipped marginally. And that was also expected after a strong Q4. But as I said, I think, equation between headwinds and tailwind s, I think the tailwind s should prevail after some time and therefore, one would still see growth happening from Q2. In terms of dealer inventories, I mean, very happy that the inventories continue to be healthy , especially after very good retail that happened in Q4. And we will continue at this level and because we are matching retail , off take , production in that sequence , I think this will remain at good level.
Balaji, I will take the next question also.
PB Balaji
Yeah, let me quickly cover that for people who are not seeing the question that you're taking . This is on the entire EV buses, GCC model. Are EV buses viable without FAME subsidy , just a basic question. And will you participate in future MSRTC orders, given that you are not participated in the recent CESL tender?
Girish Wagh
Okay. So, let me take the first one. See, as far as the electric buses, bulk of those are being consumed today by the government and most of those are now also being consumed in the own operate maintain model, which is an Opex model and not a Capex model, right? So, even if the FAME subsidies are not there, finally , it will lead to some increase in the Opex that is the charge per kilometer and that will be part of the bi ds that all the OEMs will give. And that will then get translated into the ticketing or the ticket rates , which will be there. So I don't think this should have an impact especially on the gross cost contract model. As far as private customers retail models are concerned, and the retail customers are concerned, there is an increasing interest , and because many of the corporates would also like to start moving towards their net -zero goal for greenhouse gas emissions, and therefore, they would like to move or move towards electric buses for their employee transportation, so this should also cont inue.
And lastly, I think the 5,000 MSRTC order or any other order , I think let me once again clarify it. We did stay away from the second tender of C ESL because we had requested for a payment security mechanism to the government and the government agencie s, which didn't get implemented in tender two and therefore we stayed away. A third tender was also released by C ESL, in which there was only one player who bid, other - all other players did n't bid, because this payment security mechanism wasn't there. An d

therefore that tender will be re -bid. And we will continue to engage with the government to craft the payment security mechanism, which will make the whole model bankable. Once that is done , I think we will be very much into this game. Balaji?
PB Balaji

Thank you. Thank, Girish. Jinesh you've asked a series of questions, a lot of details. My suggestion, we will take it offl ine with you, so these nu mbers we can supply to you offline. So kindly pardon me, it's going to take a long time to go through all you r questions here.

Moving onto Joseph, IIFL. Th is is an order flow conversation, which I think has already been covered and therefore similarly the working capital piece has also been covered. The additional new questions coming up is activation of Sanand p lant, will it bring in negative operating leverage, and how do you intend to deal with it?

It's fair to say some cost is coming in without the revenue, but it's part of the long -term capacity planning. Therefore it is part of the overall mix that we p lay w ith. So, our guidance for getting to that double -digit EBITDA includes these stuff , but that's how volume is going to come. So I'm not concerned about that.

Coming on to Ashish, I think this is on battery, with this new area let's talk about that. There ar e comments in the media on the battery plants in India and EU , and you can give some color on this ?

All we can say at this point in time is conversations are underway, with both in India as well as in Europe. And we intend to come to a conclusion sooner rather than later. And when we do that, we will take you through it in greater detail, so you can understand everything related to that. Volume guidance, we don't give, I think everything we have to say, we already said so further guidance is we don't intend to give.

Initial talking about India FCF generation . Fair point, we have talked about JLR. India will also be positive in free cash flow s and it will be integral to one more contributor to the net debt reduction that we have in mind, despite the Rs. 8,000 crore spend that we have on the Capex .

Second, this is for Adrian coming your way from Stephanie, under house of brands, Jaguar intents to launch of premium GT, given the recent price cuts that have come from competition, are you concerned about it?

Adrian Mardell

There is work to do for sure. But we have really cleared the positioning of this brand going forward . We announced that the pricing of this will be more than 100,000 units, position as a very low breakeven point, so work to do not concerned at this point now.

PB Balaji

Thank you. Th e second one related diff erent question is does JLR intend to reinstate the dividend if cash flow exceed the expectations in FY 24?

The dividend policy has been approved by the Board for JLR and the Board at an appropriate time will take a look at it and it will be as per the dividend policy.

Next question from Chirag. Volumes , Q1 as base volume and it keep rising, will it lead to some adverse mix? And commodity benefit s, are they likely to flow in ? Richard, you want to take that? Then I'll come to CV here?

Richard Molyneux

Yeah. Sure. So on the 94,000 that we sold in Q4, I think I said, we expect the first half of the year to be sort of around that type of level . Will it lead to some adverse mix? No, it won't . We mentioned we have an order bank of 200,000, 76% of those are Range Rover , Range Rover Sport, and Defender and those ar e the orders that will be fulfilling during that period, largely.

In terms of commodit y benefit s, yes, we do expect, as I mentioned before hand , some of the inflationary pressures at the suppliers start to come down. Commodity rates being part of that , utilities as well. Whereas some of the infl ationary impact on our suppliers, particularly in terms of their labor costs are going to be embedded and will probably continue to grow. So there are some upsides and some downsides in terms of our supply cost , but we expect the rate that I showe d you in terms of outbound inflation exceeding inbound i nflation to continue.

PB Balaj

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Thanks, Richard. A question Girish your way and also there is a question below that has the same thing, discount pull back in Q4. Was it driven by pre -buy or is it a new normal? And can you give a rough sense of how mu ch dis count have you pulled -off?

Girish Wagh

So, I think, the quantifi cation of discount pullback, Balaji has already shown in his presentation , there was a clear reconciliation in the slide. Now coming to this discount pullback , I would rather like to say that it is about customer value perception. So what we have been focusing on two, three things, one is continuously increasing the customer value . And second is taking a lot of efforts in communicating that value and ensuring that the customer experiences that values, so it would be a mix of communication whether it is ETL, infl uencer advocacy or in market trials. A lot of work has been done and we have been consistently increasing that customer value , basis which we are able to increase the market operating prices. So it is, I would say a function of customer perceived value and that to how does the customer comp are it with the competitive off ers that he or she has. So I think our focus has been to continuously improve that. And I can say that, when we transitio ned to BS6 Phase II, we have been able to do a step change because that opportunity was available during product development. Balaji?

PB Balaji

Thank you. Thanks, Girish.

There is a question on PV outlook, seems to have changed significant ly in the quarter, I think Shailesh has already covered as to how we see the industry scenario going forwar d, so we stick to that. Clarifi cation on whether Tata Motors will incur battery Capex ?

No, that will be done by Tata Sons Company . The company has already been set up under the name of Agratas Energy Storage Solutions Private Limited. So that has already been created. So it will come through that company.

So I think with this we have come to the end of the session. I really like to thank you for taking the time and the probing questions that you have been asking us. Do feel free to reach out to our team i n case you need further clarifications and specifi c details that you require. Thank you, and look forward to speaking to you in the next quarter. Bye -bye. Thank you.

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Dec 2023

November 8, 2023
Sc - 17908
Dear Sir/Madam,
Sub: Transcript of the earnings discussion/conference call for the quarter and half year ended September 30, 2023
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with further reference to our letter sc no. 17874 dated October 25, 2023, enclosing herewith the transcript of the earnings/conference call for the quarter and half year ended September 30, 2023 , conducted after the meeting of Board of Directors held on November 2, 2023.
The transcript of the earnings/conference call is also available on the website of the Company : www.tatamotors.com
This is for your information and records.
Yours faithfully,
Tata Motors Limited
Maloy Kumar Gupta
Company Secretary
Encl: a/a BSE Limited
First Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001 National Stock E xchange of India Ltd.
Listing Compliance Department
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai 400 051
Tata Motors Limited
November 2, 2023

Tata Motors Group
Q2 FY24 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
MS. NAMRATA DIVEKAR – HEAD , TREASURY , IR, M&A, TATA MOTORS LIMITED

Presentation

Sneha Gavankar

Good day and welcome to Tata Motors Q2 FY24 results call. With me today are PB Balaji, Group CFO, Tata Motors ; Mr. Girish Wagh , Executive Director, Tata Motors ; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Pass enger Electric Mobility Limited ; Mr. Adrian Mardell, CEO, Jaguar Land Rover ; Mr. Richard Molyneux , CFO, Jaguar Land Rover and my colleagues from the Investor relations team.

Today we plan to walk you through the results presentation followed by Q&A. As a reminder, all participant lines will be in listen only mode and we will be taking questions via the Teams platform which is already open for you to submit your questions. You are requested to mention your name and the name of your organization while submitting the question s.

I now hand over to Balaji to take this forward.

P.B. Balaji

Thank you. Can you go to the next slid e, please? The standard safe harbor statement , Yep. Nothing additional to add here. No further changes to any accounting statements or anything. From a quarter perspective , a series of actions unde rway this quarter. L et me try and tease out the on es that are really big here . The portfolio of CNGs which Shailesh is going to talk about later , doing well for us and 1000 odd e-Buses , with the latest being Srinagar that was launched yesterday and of course getting ready for the future perspective, I think both in Tata Motors and in JLR, the whole testing sites for EVs as well as here the H2 , ICE testing facility in India both big ones coming through. And in JLR, the con■dence of the future of cash ■ows being manifested in the bonds that were bought back as well as the China loan that was repaid, which I'm sure will get covered later in the discussion. Next slid e, please.

Overall reven ues, we came in at ~Rs.1,05,000 crores for the quarter with an EBITDA of 1 3.7% and EBIT number of 7.5% . If you recollect, we did signal that we are going to have a temporary blip between Q1 and Q2 because of the summer shutdowns that we had in JLR , that's exactly how it has played out and PBT(bei) came in at ~Rs. 6,100 crores. I

am sure , there is going to be a question later today in terms of
why is it that between PBT and PAT, the tax costs have gone up signi■cantly. Let me cover that right away. Given JLR's earlier performance, we are not in a position to recognize the deferred tax asse t in excess of our deferred tax liabilities and therefore, because it's an asset recognition accounting, will force you to show a consistent track record for that and that is what is causing a bit of noise on that. Happy to dwell in further detail in case you want further detail but on an overall basis, the tax rate remains the same 25% that we had already signaled , no change to that. Free cash ■ows came in strong again this quarter at Rs. 3,900 crores. I also want to quickly cover t he H1 numbers that you see . PBT (bei) stepping up by almost Rs.18,000 crores and on a year on year basis, the cash ■ows have also stepped up by Rs. 15,000 c rores, taking the net debt down to Rs. 38,700 crores. So well on track to whatever commitments we had on the deleverage plan. Next slide, please?

Split of growth between volume and mostly led by volume , mix and price and translation, of course yielded a little bit. Pro■tability particularly pleasing because every vertical was ■ring on the pro■tability side and hence contributing to the overall increase that you see. And the net automotive debt at Rs.38,700 crores . Split it up by Tata Motors, India , I thin k we are very con■dent this business will go net cash by end of this year and the JLR by the next year and therefore we believe we are well on track for deleveraging targets. Next slide .

From a corporate action side, a lot of action, some of this you have already seen the news. First was Tata Technologies where we had a pre -IPO deal which we signed with T PG Climate Rise which is and Ratan Tata Endowment fund and it is actually a strategic sale and to that extent this business is going to bene■t from someo ne like TPG Rise coming in, and it's a climate dedicated fund and their experience in investing in green technologies will be of bene■t to us. This transaction has been closed and cash has been received in the last few days. And of course from an IPO persp ective, their actions are underway and the timing of course will be decided by the TTL board, post ■nal approvals. Next slide.

The second transaction that we did was acquisition of a 27% stake in Freight Tiger. I haven't yet talked about it, maybe I'll ta ke a minute to spend on it. Indian freight market is massive and fragmented and here whil e in trucks, a l ot of investments have gone in; n ot to be said the same about freight ordering or management or the whole freight process. T herefore this is an area wh ere Freight Tiger tries to solve that problem, by providing an end to end digital software as a service solution. Fleet Edge is a trucking product that we have which sits on our connected vehicle platform and helps bot h ■eet operators and drivers . By integrating these two, we can give a comprehensive freight management solution and the refore from the stakeholders and I'm very careful to use the word stakeholder, because there are so many stakeholders in this. For the sh ipper, it's going to result in lower freight costs because of matching ; there is for the transporters, there's better transparency on freight availability, faster payments for the entire truck operators there ; for everybody, enhanced visibility and reliabi lity. And therefore , this is quite an interesting transaction coming through and ■ts in very well with Girish's digital plan that we have, for the CV business. The transaction , we will invest Rs. 150 crores, which we have already done. The money has already gone out of our bank for this one and we are now at 26.79% owner where CPs hav

e been
completed and in the ne xt two to three years we will invest an additional Rs. 100 crores as required, and thereafter we will have the right to buy the other investors at the th en fair market value. A very interesting transaction, something we are very excited by. Next slide.

This is a latest one that's just been announced where AVINYA will be underpinned by JLR's EMA platform. I'm sure Shailesh and Adrian both can talk about i t later in the presentation, but it's a very important transaction for us because this is TP EM's premium pure electric vehicle series AVINYA which we revealed last year. And this will be developed on EMA with JLR , which is well underway on timelines to lau nch the ■rst car and this will be an MoU for access to the EMA platform, including the electrical/electronic architectures, the EDUs, the drive units that is, battery assembly and the manufacturing know -how for a royalty fee. For us, it accelerates our ent ry into the high end segment, it delivers a global product upfront, reduces development costs and cycle time because it would have been already validated by JLR and accelerates our adoption of advanced ACES technologies. So this helps Tata Motors leapfrog the market as far as the Indian market is concerned. But this is not being conceived only for India, it's actually being conceived as a global product, which makes it a very interesting proposition for us. So these are the three actions that we had from a corporate side. Let me now hand it over to Richard to take you through the JLR story.

Richard, over to you.

Richard Molyneux

Thank you very much Balaji. Yes, so let's go to the next chart, because it's important to show JLR is really delivering strongl y both ■nancially and operationally. We are setting records. So, if you look at the top line, our Q2 performance , revenue up 30% year on year to GBP 6.9 billion pounds, that is a record , we have never achieved that level before in Q2 . EBIT is down a little bit at 7.3% for the quarter. We always mention ed when we showed the Q1 numbers that there was a small one o■ favorable in there that would

feed back out. So it's actually probably more relevant to look at the H1 EBIT of 8%. PBT in the quarter, GBP 442 mil lion and GBP 300 million of free cash ■ow. What that means for the ■rst half of the year is GBP 13.8 billion worth of revenue, which is a record. It's also a record in terms of per unit. In terms of per unit, we're now up at GBP 72,000 per car, delivering 8% EBIT, GBP 877 million worth of PBT, which is up GBP1.6 billion year over year and an H1 cash ■ow of GBP 751 million pounds. That is not only an H1 record cash ■ow for us, it is a record cash ■ow by GBP 250 million. So, we are setting records, we are delivering well. So if we move on to the next chart .

I won't go through this in detail. This will cover the comments that I have made and will make as we go through this presentation. It's there for your record, so you can go back to it afterwards.

So, we move on to the next chart, which shows our wholesale performance, wh ich was up 4% in the quarter, from 93,000 to 97,000 units, up 29% for the half. In terms of the brands, Range Rover fairly ■at. Look, this is something that's expected for us. We are still production constrained on Range Rover and as Balaji mentioned we have a two week plant shutdown in the quarter. So it's no surprise that that's ■at. Defender continues to do extremely well for us , 30,000 units in the quarter and Jaguar was also up in the quarter. Although if you look at the table of the ■rst half of the year belo w you can see Jaguar is pretty ■at and the volume increase is coming primarily from Range Rover and Defender, which is up considerably on a year -by- year basis. So on a H

1 to H1 basis, we are up 29%. Next chart .

So if we look at this on a regional basis, I think the only thing I'll point out in terms of both the quarter is, look China we know, is a very, very tough market at the moment, but we are showing strong resilience in that market. Actually, quarter on quarter we're up and we're fairly ■at year on year and that does show the power of the modern luxury brands that we have and how they can cut through at the top end some of the noise and the pressures of the market. Most of the other regions performed really well. If you look at the second bar chart d own there, the ■rst half of the year, every single region is doing better than it was in the previous year. In terms of the bars on the right, our percentage of electri■ed vehicles that's both PHEV and BEV was relatively ■at in the quarter. Actually, it we nt up from 12.7% to 13% but that's a number that we expect to stay fairly static until we launch our new BEV, starting with the Range Rover BEV at the end of next year. Next chart.

So the next chart shows the development of our pro■t before tax from last year to this year and shows an increase of GBP 615 million year over year in our PBT delivery. So just explaining that the largest chunk, quite obviously, is volume and mix. Volume was 21,500 units higher than the previous year and mix is also stronger , that is Defender up from 23% to 31% and Ranger Rover Sport up from 6% to 17%. So both positives in terms of volume and in terms of mix. Pricing for us is also something which has been positive over the last year. We are showing a very small increase in our variable marketing expense but do note that's going from 1.1% to 1.5%, those are levels which are still extremely strong and represents the sort of the need to not discount greatly in the modern luxury space of the market. So, we have done very well to kee p VME at those types of levels whilst keeping order bank of 168,000 units. Material cost is actually favorable for us in this quarter, that is largely because of this time last year was when we were really su■ering in terms of material cost, particularly i n terms of the amounts that we were having to spend to

brokers to source semiconductor chips. As that industry has stabilized now, we don't need to spend those money. So on a year to year basis, material cost is actually showing some improvements for us. We do know that we're going to have to continue to spend some money on demand ge neration. So you can see there GBP 96 million adverse year over year in FME and selling , of that GBP 62 million was in marketing expense. Some of you that have been following th e Rugby World Cup that's been going on will have spotted where a chunk of that went in terms of our sponsorship through Defender of the Rugby World Cup. Foreign exchange, actually net favorable for us year -over -year. One year ago, this quarter was the quar ter when we had the premiership of Liz Truss and Sterling did take a step down to $1.10. It's come back up this quarter to circa $1.22. That's given us an operational FX adverse, but quite a strong hedge position and the revaluation of our balance sheet an d debt meant that the net foreign exchange impact for us is favorable so that's the explanation. But don't lose sight of the bottom line. We have improved our PBT by GBP 615 million versus the same quarter last year and that PBT is the best that we have had for several years. Next chart, please.

Here we go. This then takes PBT through to cash ■ow. The number I'd like to focus there is the cash pro■t after tax but before investments at GBP 1.151 b illion. That is also a record for us, by the way. But as mu ch as being a record, I'd like to focus on the consistency of that number. In the last three quarters, that

number has been GBP 1.116 billion, then GBP 1.135 billion and now GBP 1.151 billion. So we are very consistently delivering GBP 1.1 billion of cash pro■t after tax. That's a really strong message. We did spend a little bit more on investment. I'll come and talk about that in a minute that's a natural part of our cycle plan and working capital was a little bit adverse for us in the quarter. That is lar gely the e■ect of the two week summer shutdown has in terms of our payables. However, we delivered GBP300 million worth of free cash ■ow. Next chart.

In terms of our investment, we've spent GBP 775 million of that GBP 577 million was engineering and 64% of that or GBP 368 million was capitalized. I think it is important to understand that for us, that capitalization ratio is something that does wax and wane according to where we are in the product lifecycle. So if I look at it, for the same quarter last y ear it was 40% , same quarter the year before it was 37% , same quarter the year before that it was 68%. So this is something that will evolve for us. It always gets higher as we approach major launches because then the engineers are working on programs that have passed their capitalization hurdles and it always goes down when we are working on programs which are further into the future. So, we would expect that level to probably increase a little bit over the next couple of quarters and then as we move throu gh next year to start coming down. Next chart .

Great, business update. So, if we move forward, you can see here, this is our wholesale history. You can see the trend from that low point of just sub 65,000 units in Q2 FY 2022. We are continuing to impro ve out and in the next couple of quarters, we will improve those deliveries more . That's partly as a result of something I'll come and talk to you about on MLA in a sec ond and partly the result of there are greater working days in the next two quarters tha n there were in the last two. We're not completely out of the woods on supply constraints yet. They still do appear, but they are pairing in slightly di■erent guises. It's not really major semiconductor constraints that we're seeing. We're seeing the type of events and challenges that are slightly more normal , in an industry where unfortunately you get ■oods at suppliers or ■res at suppliers, but we're getting very good at responding to those very fast. So we do expect Q3 and Q4, both wholesale volumes and production volumes to improve even over the numbers that you can see there on that page. Next chart .

Now, you all know how important Range Rover and Range Rover Sport are for us and that Range Rover and Range Rover Sport and Defender makes 77% of our cur rent order bank. So production of those vehicles is extremely important. We did manage to keep it constant quarter over quarter, in terms of average number of vehicles produced per week, but we did manage to trial through one week of 3,200 cars in fact to be precise, 3,263 was our peak volume. We expect that to continue to improve through the back end of the year. We do have an additional body shop for MLA coming on stream, towards the end of this month. That will start a ramp up process, but it will allow us to increase those numbers as we go into the back end of this quarter and through into next year. Then next chart.

So, where do we stand? We are performing well operationally, ■nancially and we're setting records and we expect to be able to set more records in the quarters ahead. So, we expect our volumes to recover, we expect in■ation to moderate and we are changing our guidance in terms of EBIT from prior guidance of 6% plus to around 8%. That shows the con■dence in the delivery that we are currently producing that we can maintain those level

s. Net debt, we ended the quarter at GBP 2.249 billion so GBP 2.25 billion,
that is exactly half of it was a year ago so we have halved our net debt in 12 -months and we commit to get that net debt down from GBP 2.249 billion to lower than GBP1 billion by the end of this ■nancial year. We will focus on execution, executing our plans ■a wlessly and continuing to deliver both ■nancially and operationally.

Thank you. I'll hand back to Balaji.

P.B. Balaji

Thanks Richard. Quickly moving on to commercial vehicles, Girish and I will take this section. Next slide please.

On the market share front, w e had an improvement sequentially from 39.1% to 39.7 %. Particularly , hearteningly, the heavies are starting to do well and as the supply chain issues, the portfolio gaps that we had, then even the ILMC V sections are doing well, but we do have a challenge on the small commercial vehicles and that's an area which we are well focused on to ensure that comes back again . It wi ll take a little bit of time as we pivot this business to a B2C kind of a thinking , so that is something which we are working o n. Next slide please.

But, the work on pivot to quality is yielding us handsome returns. Revenue is up by 22% at ~Rs. 20,000 crores and EBITDA up by 540 bps and now at 10.4%, we committed to deliver a double digit EBITDA, we have delivered this quarter a s well as on a half year basis and of course from a pro■tability perspective

this business has generated about Rs. 1,500 crores this quarter and overall Rs .2,500 crores for the year so far. So on a very good track as far as pro■tability is concerned. Next slide.

Where did the monies come from? A combination of volume mix as well as draw your attention to realization increase , so substantial improvement coming through there. That was a strategy, that is what is yielding us the bene■ts and as you saw in th e previous slide, it is also yielding market shares in the key heavies and the intermediate sections. But of course work to be done on the smalls. Next slide please .

Let me hand it over to Girish to give you a sense from a business ■avor perspective. Gir ish, over to you.

Girish Wagh

So, thanks Balaji. So we had good growth in volumes, almost 21% quarter -on-quarter and 6% year -on-year with all the availability issues that we had in Q1 being addressed. Balaji has already spoken about the market share and I think if I may say, in M&HCV our Q2 market share is now already ahead of the FY 2023 market share. In ILMCV and passenger we are growing market share month over month as the availability issues have been addressed and in small commercial vehicle and pick ups I think as Balaji mentioned, we are pivoting towards, on one hand improving the unit economics and on the other hand improving the business model from B 2B to B2C, and we will claw back the market share as we go ahead. If you see the non-vehicle busines s revenue also grew by 20% over Q2 of last year , so this is one business that has been growing handsomely. It's very good improvement in penetration in the spare parts as well as service. We had around 17% of our volumes being generated through digital cha nnels, leads from digital channe ls. So I think we are consistently maintaining it at this level. If you look at bright spots, ■rst is for us, the trucks that is M&HCVs grew by 24% over the same quarter last year. Passenger carriers grew, that is buses and vans grew by almost 32%. I think the customer sentiment index, it remained ■rm or improved across segments. So generally second quarter, monsoon quarter does see a dip in medium and heavy commercial vehicles, which is what we saw, but otherwise the other segments did well. On the commodi ties, we had tailwind due to softening of commodities, e

specially steel and precious metal, so had good tailwind on
the margins and of course I think we have been pushing our cost reduction e■orts as also improving realizations month over month, which is a ll what has helped in margin improvement. I must also say, I think post the introduction of BS6 Phase II, we have been getting good traction on all products and there has been a lot of focus on in■uencer advocacy as well as a lot of in market back to back trials to prove the improvement in total cost of ownership. In addition to this, we have also introduced more than 200 variants within quarter two to expand the portfolio. So going ahead, I think we are quite clear we will continue to drive the realization improvement. We have already taken a price increase on October 1, because we see some commodity headwinds, espec ially from steel coming in Q3, likely to come in Q3, so that's the price increase that we have taken. And while we continue to drive realizatio n improvement, we will keep upping the Vaha an share, which is what we are focusing on with the help of our BS6 Phase II product range. We, of course have a very di■erentiated focus on SCV portfolio, I already spoke about that. We are driving now pro■table growth and building a very sustainable model. So pull -based model rather than having a push - VME based push. We have been scaling up our EV supplies, both the Ace EV as well as the electric buses and I'll speak about this in detail on the next slide. We w ill obviously continue the

growth in our spares and service penetration and therefore the revenue from the downstream business. In international markets we have been maintaining our market shares in all the key markets, have improved our margins and we are also maintaining channel health as the total industry volumes in most of these markets are below even the last year. Next slide .

If I speak about the electric mobility i n detail, now we have almost, let me ■rst speak about Ace. So we have more than 1600 Ace EVs plying on the roads and together they have clocked more than 4 million kilometers , so good experience under the belt now. I am also pleased to inform you that just two days back we have receive d the PLI certi■cate. So Ace EV becomes the ■rst four -wheeled commercial electric vehicle to receive the PLI certi■cate. With this, we will now further strengthen our e■orts in increasing the volumes. The retail numbers of Ace EV are growing month over mon th and we continue a strong engagement with the ecosystem stakeholders to ensure ■nance availability, charging infrastructure availability, as also enhancing our reach to keep on scaling up the volumes. Coming to the smart city mobility solution. So, we h ave now almost 500 electric buses deployed between Delhi Transport Corporation and just yesterday we had inauguration of our buses supplied to Jammu and Kashmir also. Cumulatively, we have now crossed more than 97 million kilometers and I think in all the contracts we are delivering more than 95% uptime and almost close to 100% uptime towards the end of quarter two. I think the buses have been delivering pretty well. I already spoke about Jammu and Kashmir and I think the focus that we have in this business right now is laying a foundation for a very strong business, a lot of focus on putting in place processes , IT and digital enablement. We also received ISO certi■cates for some of our depots which have been started a year back and we'll continue to do the same for other depots also. I am also very happy to let you know that we had taken a speci■c position on the new tenders in absence of the payment security mechanis m and we have been having a lot of engagement with the government . A lot of positive respons e from the government and as we understand in the

new tender,
which is likely to come up from the Ministry of Housing and Urban A■airs, payment security mechanism may ■nd a place in that , which will see us coming back aggressively in this space. On the dig ital side, I think Balaji has already spoken about the Freight Tiger piece. So the Freight Tiger operates in the logistics ecosystem, whereas Fleet Edge is a very strong platform in the truck e cosystem. We now have almost half a million vehicles on the pla tform and we continue to grow this, the engagement times are also improving month over month. We introduced the subscription modules from second quarter and we've seen a good traction from the customers for the same. As I said, the engagement time is being improved with enhanced information and contextual insights on operations, that is operations of the trucks, the vehicle health and the driving behavior, which is actually helping the customers to improve their real time total

cost of ownership. I won't sp eak further on the Freight Tiger, as Balaji has spoken about it, but actually it provides a very comprehensive end to end solution for us, connecting both the truck ecosystem and the trip ecosystem and will actually be a win -win proposition for all the sta keholders whether it is the shippers, the logistics service providers and ■eet owners which are going to be our customers. E -Dukaan, which is our online marketplace for the spare parts. I think we have grown very handsomely 4 times over Q2 of FY 2023 and I must say, actually, this is helping us to improve the penetration, so the customers who otherwise would have not bought from us or gone for secondhand I think are coming to us through this.

The last point I would say retails, as I said from the digital l eads, also continue to be healthy. Almost 17% of our volumes are coming from that. So, that's the summary of CV business.

Balaji, back to you.

P.B. Balaji

Thanks Girish. Going on to the PV side. Next slide please.

Vahaan domestic market shares are at 13.4% for the quarter. If you recollect, we said the ■rst half of the year is going to be chall enging for us because we have our products are all coming rear ended, while most of competition has launched their products in the ■rst half. So pretty happy to see the way it ended at 13.4%. At the same time, if we look at the October month, we did come back into the 14% plus zone, so it's exactly in line with what we had planned. The other reassuring piece is the EV as a portion of the total portfolio sitting a t 13%. I am seeing a lot of questions coming on EV growth, which I am sure Girish or Shailesh will cover quite extensively in his Q&A. Next slide, please.

Overa ll EV volumes, remember that this is a transition quarter for us, because in the entire PV bus iness we had our three big products : Nexon undergoing a change, both the ICE version as well as the EV version. Safari , Harrier launching in October. So to that extent it has been a quarter where we had to manage the ins and outs and that explains the EV v olume sequential decline that you see, but year on year continues to do well. And the way the Nexon orders are currently picking up, which I again see a lot of questions on, we are quite comfortable with the way it is currently positioned. Next slide, plea se.

Overall numbers, the revenues went down 3% for the reasons I just explained, but despite that, EBITDA up 110 bps at 6.5%, EBI T at 1.8% , plus 140 bps and PBT (bei) of about Rs. 300 crores for the quarter and Rs. 500 crores for the year , so far . The bu siness is starting to step up the pro■tability once again. Next slide, please.

This is probably the most eagerly awaited slide. How do we split the PV/EV numbers. Hold that point for a minute. See where the monies have

come from because the volume declin e and the mix, because don't forget that Nexon, Harrier and Safari are our most pro■table products. Those were the ones where we did see a volume challenge and that's the reason the volume and mix are taking the EBIT numbers down. At the same time, variabl e cost, signi■cant savings starting to come through, including in battery prices as we had indicated last time and hence the pro■tability coming up because of that. Fixed cost increases fundamentally coming out, a fair amount of amortization being pushed t hroug h as well as charge outs of Cape x, this is happening and the step up in FMEs is also of course for the ■xed cost number, which we are not unduly concerned about. On the EV line, the PV business right now from an EBITDA perspective is at 9.2%, which ar e very important number because this is a business earlier we wanted to be as close to double digit EBITDA as possible. We are there, so this business is now nearing the double d igit EBITDA that we once had an aspiration for, that aspiration has turned int o reality. At the same time the EV business size is stepping up and the EBITDA of minus 5% or Rs.100 crore loss that you see needs to be

contrasted with some of the numbers that have come out from some of the global OEMs. We are well in control of our numb ers and very much in the a■ordability zone and this is particularly noteworthy because almost this entire Rs. 100 crores is product development expenses that are being charged o■. And this

EBITDA will continue to increase further as the battery prices come o■ further as new contracts are coming in place, you should see an improvement in Q3 and a signi■cant improvement in Q4. Again, remember, no PLI bene■ts have been considered on this so that comes and adds on top of i t. So we have the business very well p ositioned for both growth and pro■tability increase and market share in the second half of the year as the new products start coming through. Next slide? Shailesh?

Shailesh Chandra

Thank you Balaji. So, let me start with the industry highlights ■rst. I n quarter two, the high base e■ect of last year quarter two kicked in and the wholesale was just a single digit growth which was 5%. It is important to note that 8% of the sales is now accounted by the new nameplate launches in the industry. The segment sh ift, the structural shift that we have been seeing towards SUVs further pronounced in the quarter two , now it is at 50% plus share which is at the cost of the decline of hatches. As far as Tata Motors PV and EV business is concerned, as Balaji mentioned th at the focus was to manage the model transitions well while keeping the wholesale volume maintained in line with the plan. And we delivered that. There has been a sequential margin growth as Balaji already covered that point. Very important that we have been trending now, number two in hatch segment. We sold about 48,000 numbers in quarter two and this is basically on the back of the multi -powertrain strategy that we have, which is CNG, electric as well as petrol, which is really delivering higher volumes i n a very challenged segment, I would say. Talking about the bright spots in the industry, I believe that quarter three is going to see sustained momentum. You already saw the ■rst month was a very high wholesale month. There's a strong retail momentum that one is seeing in the festive period and festive periods end after Diwali. So, we don't see a problem in terms of the demand as it was being anticipated. Supply concern clearly looks to be eased out, particularly when we talk about the semiconductor. As far as Tata Motors is concerned, we launched the iCNG version range, if you remember, in May, that is, in quarter one we had laun ched Altroz iCNG, which was the

■rst product
with twin cylinder technology, really was received well. And in quarter two, we launched three additional products with twin cylinder technology, which was Punch iCNG and Tiago and Tigor . Must say that all of them are real ly doing good. Balaji showed that in H1 we are at 13% share in CNG, but this has grown to nearly 20% now. Launch of new Nexon, Nexon EV is another point which Balaji had mentioned, but these two launches have really been good. You know while the waiting p eriods were very high in the ■rst month, but in the last two months we have nearly supplied 32,000 numbers and that has moderated the waiting period to 3 to 4 months period. Now, Harrier and Safari was also the other facelift that we launched in the last month, which is October. This is the most safe car as per the GNCAP. We were able to get 5 star rating, but with the highest ever score that any car in India has got, very strong bookings coming in it's with all the segment leading features and we strongly believe that this is also going to do well. So all the launches that recently we have done, which is CNG, Nexon, Harrier and Safari really augers well for us in quarter three and going forward. In terms of challenges yes, high levels of channel inventory, as you know, in the industry , in anticipation of a strong festive season, hopefully the Diwali will also have strong

demand outlook, so therefore we expect that inventory should come within the normal levels. Regulatory support reduced for EVs in some key markets, but particular ly I'm talking about Telangana, where there is uncertainty around the road tax waiver, hope that will get clari■ed and therefore the volumes are going to come back. As I said that SUVs have gained their salience but this has come at the cost of hatches and sedans. So therefore our plan w ould be to ramp up the supply for the new launches to drive volume growth. We have done well for Nexon so far in two months. Harrier , Safari went through a ramp -up phase last month. Hopefully, we should be able to deliver supplies, strong supplies in this month. We have taken some very targeted action s to sustain our volumes in hatches and sedans. As you know, these two segments are de - growing but with the advantage of the multi -powertrain strategy that we have and certain micro markets and customer segmen ts, we are planning to see how we can sustain our volumes here.

Back to you Balaji.

P.B. Balaji

Thank you Shailesh. Overall, let me accelerate a bit here. Go to the next slide please.

Cash ■ows only draw your attention. Cash pro■ts signi■cant ly higher than the enhanced Cape x that we are running it, so business is living well within its means . Next slide please.

Again, investment spending, we are clocking well. We have guided to an Rs. 8000 crore spend this year and we are on track to deliver on that number and that just ensures that the overall product plans are all well funded. Next slide .

On TMF. A minute on this. This is a business that had its challenges earlier, but we are coming through on plan. The business is gradually getting its act toget her after the challenges that they faced last year around October and the concerted collection e■orts are delivering results and the e■ciency is now 97% , improving . GNPA though contained at 8.1% but on an absolute number basis what used to be almost Rs. 5,200 crores of GNPA overall is now down to about Rs. 3,300 crores which is a signi■cant improving on the GNPA on the book that we are seeing. ROE is also starting to step up at 4.7% and the business diversi■cation is well on track with both on pre -owned ve hicle ■nancing, ■eet ope x ■nancing, all that is expanding well. Capital adequacy and DE ratios and liquidity all of them comfortable. Next sl

ide please .

Just ■nalizin g on the outlook, lot of questions I see on demand. We continue to remain optimistic on demand despite those external challenges. We acknowledge those challenges but right now we are not seeing that impacting our demand for our products. But we do expect to see some moderate in■ation seep through . Our H2 performance is likely to i mprove further , on three reason s. One, seasonality will start working in our favor, supplies are likely to improve particu larly in JLR as well as in passenger vehicles and in passenger vehicles a slew of new launches coming through and therefore quite con■dent on the deleveraging plans. I will draw your attention to the improved indication on what we are likely to land the year at in JLR likely to be more around 8% for this year and we do believe we can sustain it thereon . So

overall, that is a focus and on CV side, the focus particularly on SCV market shares and continuing to sustain the improvements that we are seeing in M&HCV market shares is important. We will not change the pivot to growth, pivot to quality strategy that we have put in place and double -digit EBITDA f or the entire year, securing that and improving it is important. And PV of course get back to market beating growth and on EV the focus will squarely be on expanding the market and driving up the EV penetration of our portfolio. That is what we have to say and now we move to questions and we see 17 questions lined up. Heavy questions coming through.

Question s and Answer s section

P.B. Balaji

So let me start from the question that came in ■rst. So I request if our teams could move to the mo st recent tab there so that we can go right all the way down on that particular tab.

First questi on from Jinesh , Motilal Oswal . Richard, this is coming your way. The guidance for EBIT margins increased to 8%. However, the free cash ■ow guidance has remained at GBP 2 billion. Should we not expect a higher FCF given EBIT is going up?

Richard Molyneux

Okay, thank you. S o as we said, we closed the quarter with GBP 2.249 billion worth of net debt. So we need to generate GBP 1.25 billion or more to get down to our net debt target of sub 1 GBP billion . That is GBP 500 million more than we generated in the ■rst half of the year. We're on track to do so , one of the things that does put a little bit of di■erence betwee n EBIT and cash ■ow is investment. Our investment in the ■rst half of the year was GBP 1,472 million . We do expect that to go up in the second half of the year, as we start paying for the preparation work s in both our plants in Halewood and in Solihull in the UK, to start producing the next generation of BEV vehicles and also in the facilities to produce the EVUs and the batteries. So, investment levels is a bit of the disconnect between the change in EBIT guidance and the change in cash guidance, but we still do have GBP 1.25 billion of debt to, uh, take down in the next six months. We are on track to do so.

P.B. Balaji

Okay, another question from Jinesh as well. One is the increasing salience of Range R over, Range Rover Sport and Defender in your order book, but your ASPs have declined for third quarter in a row. Do you expect the ASP's to decline further as mix bene■t starts receding? And let's answer that question then we'll come to deferred tax where there is a series of questions.

Richard Molyneux

Okay, so in ter ms of average selling price in Q1, it was GBP 74,000 . In Q2, it was GBP 71,000. Within that, we've said in Q2, we were a little bit constrained in terms of our Range Rover an

d Range Rover sport
production. Range Rover in particular, which is our highest transaction price vehicle, went from 18% to 15% of our sales mix . We do not expect that to be permanent as we bring the second body shop online for our MLA products in Solihull and as we red uce the speci■c constraints that we've got in terms of Range Rover, we w ould expect that trend not to continue.

P.B. Balaji

Yeah. A question on tax rates Richard, I am happy to step in as needed, but let me pass it on to you. Is there further deferred ta x asset pending to be recognized, and how should we look at the whole tax rate for second half and beyond?

Richard Molyneux

Yes, as Balaji I think, mentioned, due to our historic position around losses, we do have an unrecognized deferred tax asset of ab out GBP 1 billion. We have gone through four quarters of pro■tabili ty, so we are looking at that, we have no conclusion as to when that could be brought back onto the balance sheet. The fact that we've got such a high unrecogniz ed DTA does add both level and volati lity to our e■ective tax rate, so we would like to get that resolved at some stage.

P.B. Balaji

And, therefore on a long term basis Richard, how should we plan the tax rate when we model the value of the company?

Richard Molyneux

Typically, I think it would be re asonable to expect somewhere between 25% and 29%.

P.B. Balaji

Thank you. Coming to India, Girish this i s on India n M&HCV’s . Pricing discipline has seen some dilution in the last couple of months. How do you see this evolving? And what's ailing the LCV in dustry? How do you see this segment evolve over the next twelve months? And then for ACE EV, what's your order book size? How are the trends in new order intake?

Girish Wagh

Okay, so I think from Tata Motors, we are not seeing any drop in the pricing dis cipline. In fact, we continue with the discipline that we introduced during last September in a very steadfast manner and we had seen some dip in the month of May, but which I spoke about in the Q1 earnings call . After that, we have been consistently growi ng the market operating prices. Coming to light commercial vehicles. What is ailing? I think yes, the ind ustry has remained ■at and in my view there are two things. First is, I think in terms of percentage increase over the base price, this segment has seen a signi■cant increase when we move from BS3 to BS4, then BS4 to BS6 Phase I and then BS6 Phase 1 to Pha se II and as a result I think the ticket size has gone up. Comparatively, I think the freight rates have not followed to that extent and the second thing I would say is I think the ■nancing environment, I think post COVID all the financiers have been a bit wary, if I may say so and cautious and therefore all this put together is keeping this industry ■at. But I must say, as the result of this, I think the quality of books of all the financiers has been consistently improving, at least on our counter. But we do believe in the growth potential of this segment and I think once the economics for the operators balance out, once again I think the industry will start growing. Coming to ACE EV, I think your question was on PLI. Yes. As I mentioned, we have received the PLI certi■cate just two days back for the ACE EV . Regarding the order book, so if you recollect during the launch, we had signed up with 5 customers for gradual deployment of vehicles. Out of those 5 customers, I think one customer is out of operation as of now. But, we continue to deploy vehicles in res t of the four customers month over month. But in addition to that, I'm very pleased to tell you that we are also seeing good traction for the ACE EV in some of the retail segments. You know and at some p oint of ti

me later I can also speak
about this in detail, but we see good traction happening there. Of course, range anxiety, charging infrastructure, ■nancing environment are some of the issues which remain in the minds of the customers , which we are tack ling by incr easing the ■nancing period , by increasing the warranty on these vehicles, and we continue to improve the charging infrastructure and I think gradually we see retails of ACE EV growing month over month. We also are coming up with quite a few var iants on ACE EV to address multiple requirements. Balaji?

P.B. Balaji

Thanks Girish. A comment on PLI's . We have got the certi■cates, but obviously there's a lot of scrutiny from the authorities in terms of the cap ex spends , what contributes as Cape x tha t needs to be considered. So right now we haven't got the PLI's monies yet. I think we expect - internal expectation Q4 is when it should probably come through. Let's wait and see. We are, of course, in intense conversations with the government on that.

Okay, let me go to next question, this is coming from Raghu , Nuvama Research. For JLR how do expect the order book rundown -- the pace of 5000 per month that we indicated earlier? Does that continue? Any other comment on that? Adrian, would you want to take that?

Adrain Mardell

Yes, let me take that Balaji. Look, we've consistently run down the order book by about 5000 a month, not only in our quarter two, but actually for the last nine months. We are building more cars in the second half of the year; Rich ard covered that we have more production days. So I think it's reasonable to assume that the order book will fall a little bit more sharply over the next 6 months. Our intention is to get it back to pre -pandemic levels, which we've referenced before, aroun d 110,000 units and our expectation is that will happen somewhere between the end of this ■scal year and the start of next. So I expect a marginal acceleration because we're building more cars and therefore ful■lling more of the existing orders.

P.B. Bala ji

From an input cost side, given the higher wage hikes that we are seeing in suppliers like IAC, do you expect input procurement costs to go up?

Richard Molyneux

Okay, I'll take that one. We are seeing some areas where there is still in■ation, be that wage in■ation or other cost in■ation. But as I referenced in the charts, actually, certainly on a year by year basis, there's considerable elements that are improving. We are spending vastly less on broker buys of chips than we were beforehand and there ar e many other elements in relation to commodity costs and even utility costs that are going down. So no, I don't think that is likely to be the case. In fact, I think the dynamic that you're going to see over the coming time is that we will have to spend ma rginally more in terms of VME and FMI in terms of order generation, but we will o■set those costs by reductions versus last year's levels in our material cost and operational costs.

P.B. Balaji

Thanks Ric hard. I think Shailesh, Girish, let me put this to you. What would be the outlook f or M&HCV and PV growth for FY 2025? I think it's coming to both of you - growth outlook for next year

Girish Wagh

So, let me take like this. M&HCV I think YoY we will see continued growth in Q3 , would be almost double digit. I think Q4 could be ■attish or little growth because Q4 of last year was pretty good. I think talking about FY 2025 in my view, it is too early to speak about it because we have key monitorable, which is the general elections happening in Q1 of next year. To talk about Q1 or Q2 demand for next year of M&HCV, we'll have to wait at least for one quarter to see how the order book of the ■eet owners and the
i

nfrastructure builders is panning out and we will come to know something about that when we meet next quarter.

Shailesh Chandra

So for PV again, as Girish also mentioned, too early to really comment on that. We need to see where we end this year, which is looking strong, touching 4 million or so. The base is very high. We nee d to understand that the last ■nancial year the growth was nearly 25% and that is very di■cult to sustain. Typically the PV industry mid -to-long term grows by at a CAGR of 6% to 7%. So, I would still imagine that the demand would remain strong but would be still a single digit in FY 2025 but I must say that it is still very speculative. These are the numbers that we see with the projections that we get from various agencies. So, I think, let's see where the year ends is what I would say.

P.B. Balaji

Thanks Shailesh. A question on the royalty for this. I think I would just say that these are reasonable royalties and obviously at an arm's length basis. So, that's how we would respond to that.

PV-EV the chargers, 7800 chargers that we have put out there, how many of them would be fast chargers? What are the customer behavior of using them or charging at home?

Girish Wagh

I think most of these 78 00 chargers, especially I'm saying are the fast chargers these are on high ways . And this would be, I would say if my guess could be right, it is about 4000 to 4500 is CCS2 chargers which are either 25 -kilowatt or 50 -kilowatt chargers. As far as the charging behavior is concerned, we clearly see through our telematics data that more than 90% of the customers are cha rging their car at home. So, the use of public chargers is less. It is only being used if they are on the highway but primarily the mode of charging is the home chargers which is either a dedicated charger in the parking slot or residential welfare associa tion common chargers which are provided.

P.B. Balaji

Next question coming from Hitesh Go el. I think Richard this is coming your way. How are you seeing the Jaguar portfolio? Will you run down Jagua r in calendar year 2024 second half before Jaguar Electri c is launched? And does this mean major savings on JLR EBITDA? How do you see the Jaguar transition?

Richard Molyneux

So, look, Jaguar is still performing strongly. We sold nearly 25,000 Jaguars in the ■rst half of the year. Yes, we will wind the product ion of the current cars down as we move to the new fully electric Jaguar, which, as you know, we're saying is a copy of nothing. It is nothing like the existing set of Jaguar cars. So we don't really want those to overlap. We haven't been speci■c as to exa ctly when we're going to end each vehicle because some of them are built in Castle Bromwich, some of them are built in Solihull, some of them are built in Austria. So it will vary by plant but it is reasonably safe to assume that we will run those down

before we launch the entirely new all electric copy of nothing Jaguar. In terms of the impact that, that will have on our EBITDA, yes, we're anticipating that new Jaguar will be a really pro■table business. So it will be part of our growth plan of EBITDA and EBIT as we go forward, as we move from the old Jaguar to the new.

P.B. Balaji

Thanks, Richard. Next question. Probably one of the most eagerly awaited question is Shailesh coming your way. This is from Gunjan, Bank of America . Can you talk about the EV outlook in India? There's been some pause in momentum. So can you talk about the pace of adoption that we see now and what are the key drivers for stepping it up?

Shailesh Chandra

Yeah, Balaji, thi

s is a question which in the last one month I would hav e been asked by multiple people. I completely understand where this is coming from, some of the negative articles which have come on this, but if you really s ee the facts, in H1, we have seen a growth of 107% in EVs. For us it has been about 76%. So it is very strong I would say. There has been a quarter on quarter decline and impact, primarily because one, if you remember, there were several launches which happened in the EV industry in the late quarter four of last ■nancial year, quarter one of this ■nanc ial year and you know that whenever there is a launch, there is a spike in the demand and there is a ■lling of the channel with supplies for those new mode ls and then you see it stabilizing at lower levels. That is the phenomena that you are seeing in quar ter two that's number one.

Number two, remember that Nexon EV has been one of the highest selling models in the EV industry and I covered in the presentation, Balaji also spoke about that we had to ramp down the volumes of Nexon EV because of the transiti on to the new model and therefore it impacted in the quarter two. The Third impact I also covered in the presentation is that Telangana, which is nearly 10% to 15% of the EV industry, the road tax waiver was taken away. It is not because it has been taken away, the demand came down but in anticipation that it will be reverted, it still remains down. I would say these were the three big factors why you have seen quarter on quarter, but these are not structural reasons, right. Now, coming to mid to long term, what will be the EV outlook where the drivers of growth are going to come from? See, the biggest opportunity I see is that 75% of the sales of EVs today is coming from only 25 cities. So all the manufacturers, including us being the market leader, are yet to expand into the larger part of the country where there is a huge demand which is lying there.

Second, I would say that we are already seeing announcement of multiple EVs by di■erent players. And remember that whenever there is a new price point or a n ew body style that you o■er in the market, there is all of a sudden jump. And let me elaborate what I'm saying. Just take Tiago EV. Before Tiago EV got launched every quarter, the industry used to sell about 14,000 to 15,000. After Tiago, EV got launched, it moved up to 25,000 because it was a new price point that you brought into the market. In the coming quarters and years, you are going to see EVs covering the entire spectrum of price range, which is going

to really increase the volumes signi■cantly I wo uld say that's the second big driver and the third one is the charging infra. We all know that the biggest impediment to the growth of EV has been the charging infra. And the very fact that 93% of the people are charging at home also signi■es that people a re right now comfortable driving in the cities but there's drastic increase in public charging, which we are anticipating especially on the highways in the next 2 years or so. This will unleash the mainstream customers because today it is early adopter or early majority which is buying. A mainstream buyer will only buy when they get the comfort on the highways and why I'm saying that it is going to drastically increase because see, number one would be the oil marketing companies. I'm not even talking about Tata Power which also has an aggressive plan and there are certain CPOs also who are going very aggressive. But oil marketing companies have Rs. 800 crore of subsidy provided by the government to put 22,000 chargers on the highways by 2024. And this is goi ng to really signi■cantly provide us tailwind to tap to the mainstream bias, so I think mid to long term and in the coming quarters you will see EV growin

g very strong.

P.B. Balaji

Thanks Shailesh. PLI we already answered about the status of PLI. Mayb e another question coming your way and Adrian, feel free to chip in if anything Shailesh missed. The whole signi■cance of this platform sharing with JLR on the EMA side for the AVINYA range of products.

Shailesh Chandra

I think this is a very signi■cant development you are already aware that we had showcased AVINYA in Auto Expo also and prior to that one year back, we had unveiled it for the ■rst time. This is the ■rst time that we will be entering into the premium e -SUV segment and we evaluated multiple platforms, including doing a grounds up skateboard ourselves. But when we got the opportunity to evaluate EMA, we thought that while our positioning is going to be di■erent than JLR positioning, but this unleashes a big opportunity for us to access state o f the art features. The new age features which we'll be requiring in the coming years, which comes from the electrical / electronic architecture and a very mature platform which has been developed by JLR, which will really improve the reliability, predictab ility, future readiness of this platform. So this is a big game to us to position ourselves on a very strong pedigree of JLR EMA platform so that's number one.

Number two is that the two companies have an opportunity to really derive the synergies on the cost side. Certain parts we will be unique, we'll be localizing ourselves, so that will give us the cost advantage. But that also gives the opportunity to JLR to also tap some of those cost bene■ts. But at the same time, when it comes to the high tech com ponents, I think JLR negotiating power with the supplier also bene■ts us. So it's a bene■t on both the sides. So cost becomes a big game and most importantly, given the maturity of the platform, it also helps us reduce the time. So, we see multiple bene■ts of working together. And for us particularly, I think we will bring a very premium electric SUV which will be on a very strong pedigree of JLR platform.

P.B. Balaji

Adrian, anything to add from your side on this?

Adrain Mardell

Agree with all of tho se three things and I think the only thing I'd like to add is we've talked for at least four years about the increasing collaboration between JLR and the broader Tata group and I think with the announcements in July around Agratas, and now this announcemen t hopefully everybody listening is starting to understand the power of that relationship which will continue going forward and I'm sure grow beyond the levels we've announced already. So, I'm delighted with the progress in the last six months to twelve mon ths that we've made as a group.

P.B. Balaji

Thank you. Another ■avor of the question, maybe Richard, this coming your way. Can you refresh any view to the 10% EBIT margin that you've given for FY 2026 given that you have updated the guidance for the cu rrent year to 8%?

Richard Molyneux

No. There's no change in our guidance that we will get to double digit margins FY 2026.

P.B. Balaji

Thanks. Yeah. Okay, next question I think there are two or three ■avors of the question , Girish, coming your way. The M&HCV market share gain that you're currently seeing, can you give more color to it? Where is this coming from? Why do you think you're winning? And this is likely to sustain?

Girish Wagh

Okay, so I think in M&HCV and for that matter, I would say the en tire truck segment, which I'm including ICVs also, our focus has been to improve the value proposition consistently, right because ■nally, whatever we are selling has to make sense for the customer, right. I mean, while we are looking at it as more of disc ount reduction, VME reduction, I think it is more about

improving the value being delivered
to the customers. So in the value delivered to the customer, let me talk about the product, I think our position and our strategy on consistently improving the prod uct at every emission compliance or regulatory gate has been vindicated. So we improved the TCO signi■cantly in BS6 Phase I , we did that again in BS6 Phase II, and I think in Q1, as the products got established and with lot of back to back trials, I think the TCO improvement got established, which therefore led to good value improvement for the customer.

In addition to that, I think we've also given higher performance or higher power to weight ratio, which also I spoke about in the last quarter. I think th at is also leading to very good traction, especially in the Tipper segment. In addition to that, I think over t he years we have improved our service o■erings signi■cantly so, we have a very attractive annual maintenance contract and I think in the BS6 elec tronic era, the annual maintenance contract is also making signi■cant di■erence along with the key account engagement that we have put in place. Finally, I think I must add that ■eet edge now is also helping the customers to actually accrue value in real l ife usage of the vehicles and this is clearly becoming a di■erentiator in the marketplace, especially in the cargo segment and in a di■erent manner in the tipper segment. So, I think all these put together, therefore it's a strong value proposition for the customers.

And you also asked about what we will do for the future. I think we will stay comm itted to this with every model year as we call in trucks and as also with every regulatory change, I think we will continue to improve the value proposition for the customer.

P.B. Balaji

Thanks Giris h. Sorry, this question came, the M&HCV question came from Abhinav and I remember Kapil also asked this question earlier, another question from Abhinav on the PV festive sales. How do you see it performing, how's mar ket demand?

Shailesh Chandra

Yeah, so when I talk about Navaratra, especially, even the last Navaratra was very strong for us. We already had a very high base but very happy to share that we saw nearly 30% growth in the last, what to say 15 days or so w hich has passed since the start of Navaratra in terms of registration and 16% growth in terms of delivery. So it has been a very strong festive period for us on the back of new launches, success of CNG.

P.B. Balaji

Yes, thanks. Next question from Chandra mouli, Goldman Sachs, some of those questions have already been answered. I'll just pick up the ones that are not yet answered. Again Shailesh to your side what are the initial trends on the new Nexon versus the old Nexon? How are orders picking up?

Shail esh Chandra

Very strong, very strong response to Nexon. As I said, that three months to four months of waiting period depending on the variant. But as far as EVs is also concerned, these are like 2 times to 3 times increase in the booking rates as compare d to the normal times. But we'll have to then see in the next one month or two months how this volume stabilizes but excellent response to both the products.

P.B. Balaji

Great. Again, staying with you, the EV margins, what are the key contributors for th e quarter on quarter improvement in that margins?

Shailesh Chandra

Yes, I think there ar e at least four factors underlying that. Number one is the cell cost reduction which we have already seen about 15% to 20% and we are going to see further reduction o f signi■cant amount I would say in the quarter three also and going

forward we are also optimis tic. Then we have also the non
cell cost reduction which is pack minus c ell items and a lot of these items were imported. But as we been working on the PLI, ther e is a lot of localization action which has happe ned, which is another source of cost reduction that we have seen. The third is also the use of new generation and compact aggregate s when we launch for example when Nexon EV was launched, we shifted to the n ew generation power electronics as well as some of the aggregates which really helped us in not only improving the performance e■ciency but also cost. And the last one would be there's a massive cost reduction program which is also going into PV side so, t he donor vehicle cost reduction actions on that side has also bene■ted so these would be the four factors.

P.B. Balaji

Thank you, I think question Girish, coming your way. Price hikes that you have announced in October, can you give us a sense of what ma gnitude it is and how do you see the raw material environment? Maybe you can combine the two?

Girish Wagh

Yeah yes, Balaji. So see, I think we should also look at this in a context, right. And as I mentioned sometime back, since last September we had not taken any price increase, right which is the list price increase. There was no price increase whatsoever for more than 12 months right and this is despite the in■ationary environment that one saw on the commodities and especially steel and precious metals , right. The entire journey during these 12 months was about realization improvement. Now, in the month of October after one year we have taken a list price increase and we will pass -through this price increase gradually during this quarter and we are alre ady on track for that. In terms of commodity environment, as I spoke, I think we are looking at some headwind on the steel, right, and we are keeping a close watch on that. There could be some impact on precious metals but that is more for petrol engine ve hicles so the impact on CV will be lesser.

P.B. Balaji

Thanks Girish. Richard, Adrian, this is coming again a very thematic question coming in, in terms of slowdown in global markets. A couple of course asked them do you agree that it will slow down? But let me leave it to you to answer that. Are there any visible signs and due to this also the EV penetration

slowdown, many OEMs are pushing out their launches. What is your perspective? And in order to turbocharge demand in this slowing down environment, h ow much of VME/FME rise can happen? How will you plan to manage this?

Adrain Mardell

Yes. So, there is a slowdown which we see in some markets. I shouldn't say too much about other OEMs because obviously I'm not close to their particular circumstances, b ut with the levels of discountin g that happening, it generally only happens when supplies signi■cantly over levels of natural demand. So. I suspect that's one of the causes behind much of that discounting. Interest rates clearly are very high a lot of the incentive deals are underpinning those interest rates, 8% in the US which a lot of the OEMs are subventing and we're not right. So, I think the big point here is there's a huge di■erentiation between our positioning in the marketplace , their VME in the 1 p ercentage plus level compared to others. And the big reason for that still, of course, is back to the earlier discussion. We have a huge amount of pent up demand, which we're slowly, slowly working through, and a huge capability to increase incentives and be signi■cantly lower than in the marketplace going forward in FY 2025, which we will look to do as we close out the balance of this year. So I think we're in a really healthy place, a really good place in a very, very di■cult market, but we're

very wary a bout the di■culties in the marketplace as well. So our intention is to stay in front of the problem here.

P.B. Balaji

Thank you Adrian. The next question comes from Nishit Jalan , on the PV business a lot of those questions have been answered, maybe o ne speci■c one, I would say, has there been any production constraint as dispatches appear to be lower in the last two months and when do we start the production in the Sanand plant and when should we expect Curvv and Sierra?

Shailesh Chandra

So, as far as last two months is concerned, I think last month we were the highest ever in terms of o■take. So that was the highest production month for us. But still, we lost opportunity because it was the ■rst month of ramp up of Harrier and Safari, so we could not fully produce what we would have intended to. A month prior to that again, it was also a month of signi■cant ramp down of Harrier and Safari and some of the models in, say, compact sedan and hatches so that's been the case, but I think exit number is more important, which has been the highest ever. The second question was Balaji , on Curvv right? So Curvv and Sierra. So Curvv and Sierra is planned to be launched in 2024 and 202 5 respectively . And as far as Sanand is concerned, so that's also slated for in ■ rst half of 2024.

P.B. Balaji

Thanks Shailesh. Question on Freight TIger, this is from Pramod Amthe InCred. What are the transaction valuation and the burn rate and the funding needed for the next two, three years? See the way the transaction has been structured, if you recollect, we had paid about Rs.150 crores for a 26 point some percent stake. That values business at roughly about Rs. 420 crores so that's a transaction valuation. And we also know over the next two years, three years, whatever the ca sh burn is there, we're estimating roughly about Rs. 100 crores will burn in that and therefore that is what we are ready with the funding for that as well. So that business is well funded and ready to meet its objectives and we obviously will want to work closely between Freight Tiger and Fleet Edge to ensure we drive maximum synergies and those synergistic business cases and how that can in turn manage this burn rate and step up growth rates is something that we'll be working with them in the coming days.

Next question from Kapil Singh, I ndian PV some of your competition has seen sharp clearance of order books. How is it in your case for the various ICE , EVs and CNGs?

Shailesh Chandra

So you know, it was very much expected because the order book was be ing created prior to the festive season and festive season has released most of them for competition and in general for the industry, I would say. In our portfolio, I would say for certain models, the regular models, of course, we have also seen the deplet ion of the order book in the festive period because it was the phase of delivery and we are re-working on creating fresh orders. But it has been more than o■set I would say, with the new launches that we had in the last two months. Harrier, Safari , Nexon s o it's pretty balanced, I would say.

P.B. Balaji

And therefore how do you see the PV volume run rates in the second half?

Shailesh Chandra

So, second half as Balaji, you also mentioned in your presentation that it should be strong on the back of launc hes that we had and which we will have in the coming quarters.

P.B. Balaji

Yeah, Auto PLI, this coming from N ishit again, auto PLI as I said earlier, Q4 is when we are expecting to see the cash starting to come through but let's wait for that and then we should be there. But everybody around, all stakeholders committed to make it happen so let's wait for that.

Ashish Jain, Macquaire next one, Rich

ard this is coming your way. When do we see the JLR working capital cycle reverse given the GBP 1.4 billion build that we saw in FY 2022 -23?

Richard Molyneux

So we will see some of that reverse during the second half of this year. Our working capital cycle tends to improve as our volumes improve. So, some of that will reverse through the next six months and it 's part of our delivery of our GBP 1.25 billion of operating cash.

P.B. Balaji

Thanks. Next one coming from Pramod, UBS, battery plant. Can you please share the status of the battery plants?

In July we announced the UK tie up for setting up a battery p lant there and India is also on schedule at this point in time on the internal plans. Obviously you should expect to hear more on th ese plants in the coming days. So wait for the news for the same piece.

India same from Pramod, India EV arm , do you have any update on fundraising? Currently there are no plans for fundraise on EV arm and therefore -- and how we are placed on Cape x funding for this business? Absolutely secured the Rs. 7500 Crore that came through from TPG secures 50% of the 2 billion funding then PLI is the other one. So between the two , we are well funded.

Let's give me a minute please. I think Safari and Harrier is already answered so let me leave that out. Can you detail out the PLI bene■t is restricted to Cape x spending.

Lot of questi ons on trying to understand PLI bene■t, Shailesh if you want to give it a try ■rst and I go next.

Shailesh Chandra

I think you have covered it Balaji.

P.B. Balaji

No, no, no it's mentioned what is this PLI bene■t all about? Okay, let me start, you can chip in. There are three aspects to the PLI that is there. Numbe r one, there is a threshold Cape x is about Rs. 120 crores which we comfortably meet and then there is a target Cape x that need to be spent which is about Rs. 2,000 crores. Anything is Rs. 2,000 crores spent over the Rs. 120 crores is treated as eligibility for a PLI bene■t number one. Number two, there has to be a 50% localization that needs to happen other than batteries. So that, that is what the ARAI certi■cation is all about going through t he entire space there and this Cape x has to be eligible Cape x on speci■c areas . It's not like any and all Cape x there.

Then once you're eligible for this, you get a bene■t anywhere from 13% to 18% of the EV sales that y ou do which t he legal entities are already precleared with the authorities. So this is the construct of the PV setup. Right now we have got the ARAI certi■cation con■rming 50% compliance, 50% localization for Tiago and ACV EV and the reason we did not put the Nexon because the new Nexon has just been launched so therefore we would rather take because it's quite an elaborate process of getting it right. So we will now be putting up Nexon for approval then the respective new brands will also come on to it.

So, we are con■dent of getting the D VA requirement and once this is there then obviously they scrutinize you for understanding di d you meet all the eligible Cape x and that tick o■ is currently underway once that is done then you are eligible for PLI. Your EV sales has to be authorized by the statutory auditor of yours certi■cation given to IFC. IFC is the one that approves these numbers and then the Ministry of Heavy Industry makes the payment on that. This is the process. Obviously I may have missed a few steps in this but by and large this is what it is.

Shailesh Chandra

If there are any supplie r claims so then that is o■set.

P.B. Balaji

Any supplier who claims on that will be o■set ag

ainst you. So this is the broad schem e Hitesh. What else?
Pramod, JLR ■rst half margin - is the full yea r guidance conservative, we've already talked about so let me skip that. I think we are now coming to an end of all the questions, right? Just give us a minute, please, in case there's anything we are missing. Sanand plant , Kapil Singh. Sanand plant , can this cause a dip in PV business margin? What are the optimum volume at which it will not be margin dilutive and by which when you can already reach it? I think Kapil, these costs are already in my P&L, because the factory has been bought over when? Ea rly January and therefore this cost is already in our P&L therefore nothing to talk about there. And our volumes are anyway picking up. If you recollect, we sold 48,000 last month, our max capacities will stretch up to 55,000. So we are already at absolute ly at a limit in terms of our capacities hence this is only going to add as volumes pick up.

I think, with this. No – here's Gautam from B&K securities. Do you feel the biggest impediment to EV growth is absence of secondhand EV market? Very interesting question. You want to pick that up?

Shailesh Chandra

I think you know, it is an important aspect, but I would not say that this is the biggest impediment. There are other barriers and roadblocks to adoption as far as mainstream buyers are concerned and talked about it, but this is an important aspect. Frankly, when we talk about the early adopters, they really don't worry too much about this. But also you know that we launched Nexon EV, which is the Nexon EV Prime with the low range in Jan 2020. So stil l a lot of this is not in supply. So once it comes in supply, then we'll be able to assess the market for this. There will be market, because if there is a market for new car, there are a lot of people who are considering EVs who would like to buy a car in a good

condition at a much lower price , availing the bene■ts of operating cost, lower maintenance cost and so on. We intend to help the customers when they think of selling off their car and pushing in the used car market by transferring the warranty bene fit to the next buyer so that , that constraint is not there but I think still you know the car is not in the inventory given that it’s hardly three years since we launched the car .
P.B. Balaji
I think , with that we are done with the questions. Thank you f or the searching questions , really we enjoyed answering t hese questions and more than happy to take any further questions that you may have off -line. Do reach out to investor relation s team and we are happy to reach out to you . Once again , thanks for takin g the time to attend the session and look forward to speaking to you, Thanks to JLR team and everyone present here, thanks bye. Thanks.

Call: Feb 2024

February 8 , 2024
Sc - 18133
Dear S ir/Madam ,
Sub: Transcript o f Q3 FY 2024 Earnings D iscussion/Conference call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with further reference to our lett er sc no. 18089 dated January 17, 2024 , enclosing herewith the transcript of the earnings/conference call for the quarter ended December 31, 2023 conducted after the meeting of Board of Directors held on Friday , February 2 , 2024.
The t ranscript of th e earnings/conference call is av ailable on the website of t he C ompany a t www.tatamotors.com
This i s for y our information and records.
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Tata Motors Limited
February 2, 2024

Tata Motors Group
Q3 FY24 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
MS. NAMRATA DIVEKAR – HEAD , TREASURY , IR, M&A, TATA MOTORS LIMITED

Presentation

Anish Gurav

Good day and welcome to Tata Motors Q 3 FY24 earnings call. With me today are PB Balaji, Group CFO, Tata Motors; Mr. Girish Wagh , Executive Director, Tata Motors ; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Pass enger Electric Mobility Limited ; Mr. Adrian Mardell, C EO, Jaguar Land Rover ; Mr. Richard Molyneux , CFO, Jaguar Land Rover and our colleagues from the Investor relations team.

Today we plan to walk you through the results presentation followed by Q&A. As a reminder, all participant lines will be in listen onl y mode and we will be taking questions via the Teams platform which is already open for you to submit your questions. You are requested to mention your name and the name of your organization while submitting the question s.

I now hand over to Balaji to tak e this forward. Over to you, Sir.

P.B. Balaji

Thanks, Anish. Firstly, welcome all of you for the earnings call. Once again, it is our pleasure to take you through the results of the quarter. If I were to leave one message with you as to how we see this quarter, we see this as one of consistent delivery - six quarters in a row and that gives us tremendous satisfaction that we are executing on our strategies in all our businesses. So that is probably the broad me ssage I want to leave you with. Let us get into the details. Can I have the next slide, please?
Safe Harbor Statement, standard, nothing delta here. I think from a product o■ensive as well as other interventions, it continues to be an intense piece of action for us. We had almost 150 launches happening from the commercial vehicle side, multiple VCs. Very happy to say that the plant that we acquired from Ford, we are calling Sanand 2 has commenced production. In fact, we sold 900 vehicles out of Sanand this particular month. So coming through ve ry nicely and done in a record one year's time period. We also introduced Punch.ev on the advanced Pure EV architecture, which I am sure Shailesh would love to talk about in his section as well as in Q&A that may come. And from a focus completely on build ing out the EV ecosystem, signed MOUs for almost 17,000 public ch

arges and also started with the ■rst dedicated EV
showrooms in India. On JLR side, the exciting Range Rover Electric has opened. We teased it earlier in the quarter and almost 16,000 clients have signed up in the ■rst 28 days and we decided that Nitra will produce electric vehicle by 2030 and Defender, of course, continues to win accolades across the board with a new set of awards on What Car? Being the Car of the year there. Okay, next slide .
On numbers I think before I get into the details of the numbers, one clear call out. I see some confusion in the Twitter feed that is there. The TTL sale that we did, the pro■ts from the sale on TTL does not get recognized at a consolidated level because it is still a subsidiary of Tata Motors and its results are getting consolidated into TML, and therefore, it is only a shareholder -to-shareholder transaction. And therefore, in the minority interest, you will see a reduction in the minority interest number one. And number two, it goes via whatever the pro■t is there is coming via OCI. So the PBT numbers that you see do not include TTL pro■ts in the consolidated books. However, in the standalone books, it is a company -to-company transaction in which ca se the pro■t gets recognized there. That is just for abundant clarity. So going on to the numbers, on that basis, we had a 25% growth on revenues and an EBIT of 8.3%, up 390 bps and pro■t before tax and exceptional items of almost Rs. 7,600 crores in the quarter and a free cash ■ow of Rs. 6,400 crores. More strikingly, on a YTD basis, just to show the consistency in performance, we have had about Rs. 3 lakh crores of revenue growing 32% on a YTD basis so far and we had a PBT before exceptional item of Rs. 19,000 crores up almost Rs. 22,000 crores over the previous year same time and almost Rs. 16,000 crores of delta cash has come through. Due to this, the net debt is now down to Rs. 29,200 crores. Go to the next slide.
And if I look at the source of reve nue where it came from, out of the 25% growth, 18% came from volume and mix. Price contributed just 1.7%. Translation because a pound -sterling appreciated vis -a-vis the rupee that's giving us about a 4.5%. And from a pro■tability perspective, JLR, CV , PV, all of them are positive, but JLR in particular - a standout in terms of absolute increase that you see there. The debt is now down to

Rs. 29,200 crores, of which Tata Motors India is Rs. 3,500 crores and we are con■dent that this will go to near zero by end of this quarter in line with what we had guided. And JLR is now just GBP 1.6 billion, that is at Rs. 16,000 crores there, that should also get cleaned out in the coming ■nancial year. So we are well on track to deliver the reduction there. Just as a memo point, the last 12 months, we have reduced our net debt by almost Rs. 28,000 crores , so we are con■dent that the next 12 months, this Rs. 29,000 crores should get cleaned out. Next slide.
Let me hand it over to Richard and Adrian. Over to y ou, Richard.
Richard Molyneux:
Okay, thank you. Yes, I will take you through the JLR results. So next chart, please. And it’s not often you get to present a chart like this, every metric up versus every comparator. And it goes to show that we are now consistently delivering in line with our commitments. So I will talk very quickly through the columns, left to right. So revenue, GBP 7.4 billion in the quarter, GBP 21.1 billion year to date. Those are both records for JLR. On a quarterly basis, we are up 22%, and on a year -to-date basis, we are up 35% versus prior year. EBIT margin has now doubled year -over -year. We are at 8.8% EB IT and 16% EBITDA and pretty much at 16% EBITDA on a three quarter cumulative basis as well. PBT at GBP 627 million is the best Q3 we have had since 2016

, and we are at GBP 1.5 billion just over for the ■rst three quarters. Cash ■ow as well, GBP 626 million in the quarter is the best Q3 cash ■ow we have ever had. And we're at GBP 1.4 billion cumulative cash ■ow in nine months. So as I say, it’s not often you get to pre sent charts like that. Next chart.

So this chart has some verbatim s. I won't go through it in detail because all the points on it I will cover in the following charts. So next chart, please.

So this one shows our wholesales. Wholesales in the quarter at 101,000 units. That's 27% up year -on-year. And this is the ■rst quarter for som e time where we have had wholesales, retails and pro duction all over 100,000 units. In terms of the graphs, Range Rover continues to succeed and our production capacity for producing these vehicles also increases. So we were running at 2,900 cars per week this quarter versus 2,800 the previous week. Defender is down, but this is not any demand issue. We have had some supply constraints on engines which are common between Range Rover and Defender, so we biased the production towards Range Rover. So those a re supply issues that will come back. There's no demand issue whatsoever in terms of Defender. Discover y and Jaguar, you can see there. I think interestingly the year -to-date numbers, if you look at percent, Range Rover is up 29% year -over -year, Defender is up 46% year -over -year. And even those vehicles which are slightly more mature in terms of their life cycle, the Jaguars and the Discover ies, are up 9% year -on-year. So even the really mature ones are up year -over -year. Next chart.

I won't spend considerable detail on this either, as each region has its own slightly di■erent seasonality. I think when you look at the bottom part of this chart, it su■ces to say that all regions year to date are up at least 17%. So what we have is a very consistent, broad -based growth across our client base. Next chart.

So this starts to look at the ■nancial walk, it takes PBT from a year ago to the GBP 627 million this quarter. Obviously, volume and the recovery of our ability to produce is the most signi■cant part of the variance. However, I think there is a little bit of a story to tell in relation to net pricing and contribution costs because those columns look quite di■erent to the ones that we presented in prior quarters. So it is getting a little bit more cost ly to acquire customers, particularly as we try to smooth our order bank in the future. So net pricing is still positive, but not as positive as it has been in previous quarters. However, contribution costs are not as bad as they were 12 months ago. This i s largely a result of the fact that as the semiconductor sector has come back a bit more towards normality, we are not having to spend anywhere near the amount of money that we were spending this time last year on broker buys of chips. We've moved much more into long -term, stable, mutually bene■cial relationships with chip manufacturers. So that transition of having slightly less positive net pricing but more positive material cost is de■nitely re■ective of a change in the industry dynamic.

Structural costs are going up. I mentioned beforehand that FME which is our marketing expense and selling , that's essentially the same as VME . Those two parts tog ether are us investing more in terms of demand acquisition than we needed to do in the past. Admin is also up. Over half of that is our digital transformation . FX largely, as would expect it to be, sterling strengthened considerably in the quarter and most of our operational FX was o■set by our derivative cover. So that is largely the message here , we are deliveri ng in terms of volume, we're still net price positive and the serious in■ation pain that we had this

time last year is starting to ameliorate. Next chart .

This takes our PBT to cash, actually GBP 627 million to GBP 626 million , so it is not a great deal of net di■erence. What is important here, I think though, is the cash pro■t after tax column in the middle there, GBP 1.24 billion. That is also a record for JLR. Delivering that level of cash pro■ts does allow us to fund investment spend ing that is increasing as we move towards the delivery of our new BEV and electrical architectures. So delivery of that is important. Working capital was favorable in the quarter as we had higher volume. But if you note the row below, cumulatively our GBP 1.4 billion year -to-date cash ■ow, only GBP 0.2 billion of that is due to working capital. Most of it is due to cash pro■t after tax. Next chart.

Investment. So investment GBP 862 million for the quarter. Our capitalization rate remains ■at at the same rate that it has been for the past two quarters at 63%. I think interesting in here is our engineering spend is up 3% quarter -on-quarter, but our capital investment is up 34% quarter -on-quarter. And that re■ects the fact that we are now moving into the ind ustrialization phase of all of our new vehicles. That is a later phase to engineering, obviously engineering ■rst, industrialized second. But it gives the indication that these vehicles are now well down t he chute in terms of being delivered. Next chart.

I will take you into a quick business update. So let's move ahead. So what's important here, I think, is this word “consistently ”. If you look at our EBIT over the last four quarters was 6.5%, then 8.6%, then 7.3%, then 8.8%. We are consistently deliverin g strong and improving EBIT. And that's really important for our operating model because we are inevitably going to face challenges, some we know about and I am sure there's some we don't yet know about. We will have to keep focusing on the order book to make sure that we build demand as the supply constraints ease. There will be supply constraints, be it natural disasters, accidents, constraints, as some of our suppliers ■nd it more di■cult to keep pace with our volumes rising. So we will see these things and we will see continued in■ation, even if not in commodity prices and energy prices, there will be in■ation, and there remains in■ation in terms of labor costs, which we will have to manage and o■set. Red Sea is obviously an issue for us. It so far has not caused us serious concern. We have some suppliers that have also transporting parts the other way that we're also keeping a very close eye on. At the moment, it is not having a m aterial impact on our business. Next chart.

So I did want to give an update on our electri■cation journey as this is also something that we did at the same meeting last year. Bottom line is there is very little change. Range Rover is coming soon, followed by Jaguar and our EMA architecture, such that by the end of 2026, Jag uar and four landmark BEVs will be available. Two others will follow a little bit later. Partly is we do continue to see very strong demand, particularly for PHEVs. As a transition technology, PHEVs do seem to be taking an increasing share of consumer dema nd. So we are focusing on that a little bit more as a transition technology. But fundamentally no real change. And if you look at the right -hand side of that chart, BEV available on all models by 2030, a 100% sales , zero tailpipe emissions in 2036 and net carbon zero in 2039 remain e xactly as they were beforehand. Next chart.

This is the exciting one. The Range Rover Electric, our order bank and our waiting list is open and we have 16,000 people that have already signed up to that waiting list. This car, it is a Range Rover ■rst, but it is electric. We are driving pr

ototypes and what we're ■nding is that very, very powerful, but also quiet and serene BEV system. It is actually perfect for what the brand of Range Rover stands for. In many ways, it is going to be the ultimate Range Rover. It will be technically peerless. If you see on the chart, we have ■led more patents with Range Rover Electric than any other Range Rover before. It is got an 800 -volt architecture. But it is not just technically peerless. It does what all Range Rovers can that others can't, such as wade through 850 mils of water. So we're really looking forward to this car. We are investing GBP 70 million now in an underbody facility in order to produce the slightly speci■c underbody that veh icle requires. We are preparing. It is coming. It is going to be amazing . Next chart.

So just looking ahead in terms of guidance. We expect our EBIT margin to be over the 8% number that we targeted beforehand. We expect investments to be around GBP 3.2 billion this year. And we continue to expect operating cash ■ow to support under GBP 1 billion of net debt by the end of this ■nancial year a nd positive net cash in FY 2025.

As it says, our priorities are to focus on brand activation, to continue to mo nitor and improve supply, and respond where the challenges emerge, and to continue to execute our plans ■awlessly.

That's all I think I had to say at this poi nt. I will hand back to Balaji.

PB Balaji

Thanks, Richard. Moving on to commercial vehicles and th e next slide, please.

The market shares, particularly in the heavy and medium sections, are consistently gaining . On the heavies , fundamentally , products are performing much better than competition and very much meeting the needs of the customers. And hence you can see a consistent increase in market share despite discounts being wheeled back. And we are also seeing in the intermediates is what yo u see as MGV here, with the product availability starting to increase, we are seeing step up in market shares here as well. Li ght commercial vehicles, we do have a challenge. We are addressing it. It'll take a few quarters for us to get our act right, but we are committed to ensure this shape of this graph is turned as well. And passenger, as the orders start coming in, we do not expect any challenge on this front . Once school season opens up you sho uld see this coming back again. Next slide please .

On the ■nancial performance, 19% revenue growth, with an EBITDA now touching 11.1%. On a full -year basis, this EBITDA is now 10.4%, so very much well and truly double -digit EBITDA margin, a milestone that we set for ourselves has been secured and we intend to build on this. EBIT of 8.6% which is a 270 bps improvement and almost Rs. 1,700 crores of pro■t in this quarter and Rs. 4,100 crores on a full -year basis so far. So CV clearly coming back from a ■nancial persp ective in a very healthy space. Next slide.

Source of where the money has come from, as on strategy, volume, mix and realizations. That's where it is. Investments in products and investments as the activity levels pick up on employee costs is the ones that you see there.

Let me now hand t his over to Girish to talk about the business.

Girish Wagh:

Thank you Balaji. So initially, let's look at the segment wise growth. We have seen a year -over -year growth in the truck, that is heavy commercial vehicles, intermediate light and medium commer cial vehicles as well as the buses, in the last line. I think it is just the small commercial vehicle line which has declined year -on-year. I think quarter -on-quarter we saw a marginal decline in t rucks as well as in SCV pickup. But as far as revenue is concerned, I think we had our highest ever revenue for third quarter at Rs. 18,538 crores, surpassed our earlier hig h

est in Q3 FY 2019 . As Balaji mentioned, the market shares continue to move up in the heavy commercial v ehicles and also in the intermediate and light -medium commercial vehicles as we continue on our realization improvement journey. I think on SCV pickup, yes, the market shares have disappointed us but I think we are on a longer -term journey here. I think w e have improved the unit economics very aggressively and we are happy with the scale that we are in - in terms of the breakeven for this business and we are making a lot of structural transformation on the front end in this business to then gradually impro ve th e volumes through a pull basis. Non -vehicle business, which has been our focus consistently over last eight quarters, continued to grow and grew by around 12% yoy. Some of the bright spots, I think in Q3 when we measured the customer sentiment index, a very good improvement in the tippers. Rest of the segments have kind of remained ■at which in a manner augers well for the business. On digital, I think we are conti nuously ramping up our activity, and in Q3, we had

20% of our sales leads coming from digital sources, from digital channels. And in small commercial vehicle, which is one of the important transformation we're doing, 23% leads came from digital and in vans and buses it was almost 28%. We introduced more than 150 variants in Q3, and with that, I think we are now positioned very well in all the product lines, in all the segm ents. As far as the commodity scenario is concerned, I think we saw some softening ac ross the non -ferrous metals which was o■set by hardening in the ferrous metal prices. But I think we had a signi■cant push in cost reduction, and therefore, very healthy outcomes which in fact helped us to negate most of the cost increases that had happene d when we migrated to BS6 Phase 2. Going ahead, we will continue to improve our realization s. So this is a track that we have taken, a transformative track and we'll continue to look at this. We will drive innovations to address some of the speci■c micro -segments. So while we launch ed 150 variants in Q3, we will continue to come up with newer products. We will continue to create demand by judicious mix of ATL, BTL and digital will keep on i ncreasing quarter -over -quarter. I will speak about the electric ve hicles on the next slide, but I think we continue to ramp up our e■orts in terms of generating demand and ful■lling the same. We will continue to increase our penetration in service and spares. In International markets, I think while the total industry vol umes in most of the markets remain subdued, we are maintaining our market shares, and in fact, grown our margins signi■cantly YoY and we are also ensuring channel pro■tability till the industry volumes come back in these markets. Next slide.

On electric mobility, we now have, as of yesterday, more than 2,700 vehicles (ACE EV’s) now plying on the roads and we continue to gain traction in Tier 2 and Tier 3 cities. We are working on demand creation initiatives here so more than 500 fast chargers have been in stalled pan India. We are working with the ■nanci ers on very innovative ■nancing solutions backed up by increased battery warranty, which is actually giving a favorable total cost of ownership comparison with respect to internalized engine combustion varia nts (ICE variants). We have been able to crack ■rst few deals in the municipal garbage collection application. So till now, we were focusing on last -mile distribution e -commerce. I think we are now getting into municipal applications also. The vehicles have been demonstrating signi■cantly better performance and reliability in the market compared with some of the other vehicles which otherwise are serving this need. We've also pu

t up more than 150 EV dedicated support centers across the country, which are helping manage the health of all these vehicles proa ctively. Coming to our Smart City Mobility Solutions business, continues to grow strength from strength and now we have more than 1,200 buses deployed till December and total now more than 2,000 buses a re operating, out of which 1,000 are as a part of the CESL tender 1 that we had won and we have delivered buses to DTC, that is Delhi Transport Corporation, Bangalore , as well as Jammu and Kashmir. Now our e -bus ■eet cumulatively has covered more tha n 110 million kilometers, delivering consistently more than 95% uptime. We have been consistently meeting the outstanding requirements across all the depots and we are working on improving energy e■ciency with all these kilometers that we have under the be lt now, which is therefore improving our operating economics in this business. We are also working with government and made a good progress on the payment security mechanism. There are few last issues, which are being solved with respect to the balance she et with which I think we will get back into the new te nders aggressively. On digital businesses, pleased to inform that the ■eet edge continues to build momentum. Now more than

530,000 vehicles are on fleet edge. We started the subscription modules which are very well received and we have more than 50% penetration in the trucks and buses in the subscription model. We've also seen the engagement times increasing month over month. The fleet edge continues to give enhanced insights on operations, vehicle healt h, etc. to the fleet owners. We have also completed integration of F ASTag into the fleet edge, with which a truck owner can seamlessly mov e from one F ASTag to another. As far as further value -added products, we have launched now fuel efficiency consu ltancy in fleet edge, which is branded as Mileage Saarthi , and there are two, three versions in this. The first one being part of subscription itself and kind of do it yo urself and rest are paid basis. On Freight Tiger, we are on our track to do the integration with Fleet Edge. The first integration which is happening is the carrier matching of platform of Freight Tiger with that of Fleet Edge who have a native journey. On E -Dukaan, our online marketplace for spare parts growing leaps and bounds. I thi nk it grew 4.5 times YoY. I spoke about the digitally sourced leads. We also have our online sales platform, very happy to tell you that we had more than 6,000 leads originated from this online sales platform. And we now have five financiers whic h are integrated on this platform. So that's the progress on the digital businesses.
Back to you Balaji.
PB Balaji
Thank you, Girish. Moving on to PV, next slide please.
The market shares, Vahan is now, the focus is squarely to drive that and that is yielding very good results for us. And we have this quarter delivered 14.6 % share and now consistently for a few months have been number two in the country and we intend to su stain that. The other on the EVs as well as CNG, the penetrations of CNG, I draw your attention to now at 14%, EV at 12% and therefore, this is really delivering the CAFE compliance for us , against our calculated target of 118.9 g /km, we are trending at 93.8 g/km, and therefore, there's a significant headroom that we hav e on the CAFE compliance piece. Next slide please.
On EVs, of course the overall volumes continue to be strong, delivering almost 21% growth. This is not enough for us and we will be stepping this up further , as the new cars come in, the networks increase, charging networks go up. So the task on hand as far as EV is concerned, is squarely to develop the markets. And you would see us intervening in this in a compl

ete 360 -degree manner, which we'll be more than
happy to talk about subsequent ly. Shailesh will be more t han happy to elaborate on that. Next slide.
On the numbers per se. The full year YTD so far delivering a 6% growth, delivered EBITDA margin flat at about 6.1 %. And I will tell you why it is happening that way. And as far as EBIT margins are concerned, operating leverage kicking in to deliver a 70 bps improvement. And even on the current quarter, we're now sitting at an EBIT margin of 2.1%. And the bus iness is now almost Rs. 900 crores of profits has been made this year. Next slide.

This is a very important slide in terms of how the PV mix is starting to play around. Obviously, as guided last time a lso, we do see significant savings coming through in the variable cost line and hence you see that stepping up and therefore this is then translating into the PV EBITDA no w nearing almost double - digits. And on the EV EBITDA before product development expenses, we are now break even. And once we include t he step up in product development expenses as new cars are getting created and will get launched in due course, you see the EBITDA sitting at minus 8.2 %. But on an overall basis, we are still comfortable in terms of overall EBIT being 2.1% or Rs. 400 crore s of profit in the quarter. So that's how this is coming through. And as battery prices come off, you would expect to see the EBITDA excluding PV expenses to continue to keep inching up. And overall EBITDA destination is to take it to break even sooner rathe r than later. Next slide. Shailesh?
Shailesh Chandra:
Yeah, thank you Balaji. Let me start with the key highlights of the industry. Rather I will start with the calendar year 2023. This was the calendar year where we saw that every quarter the industry po sted 1 million unit or more. And therefore for the entire calendar year 2023, the industry sold 4.1 million units, which was roughly 8% growth. Specifically in Q3, the wholesale volume grew by 9% year -on-year, again hitting a 1 million mark. There was a hig h level of discounting also that we saw in Q3 right from the festive season and peaking in the month of December. And I would say, this was mostly because the festive period was slightly below expectation, and therefore, there was a pressure of clearing the inventory in the industry. Vahan actually grew at 7%, which was 2% lesser than the wholesale growth of 9%. And that pretty much indicates the situation of why the stock was slightly higher, and therefore, the channel stock

while it ended in December end to lower levels than what we had been seeing for last two quarters, but still it was higher than, say if you compare with the 1st Jan 2023 inventory. As far as PV-EV is concerned, Tata Motors performance, the calendar year 2023 was the third successive year of our highest ever sales and we touched 553,000 units. Unlike the industry, our Vahan actually grew by 15% as compared to just a 5% wholesale incre ase. And this, we did it deliberately because we wanted to go for a steeper red uction in channel stock to create a very healthy situation for us in Q4 of this ■nancial year. The focus on Vahan really helped us in ensuring that in Q3 we were ranked number two with a 14.6% Vahan market share which was nearly a 190 bps growth over quart er two. And this has happened because we also had a very strong performance during the festive period, unlike the industry where it was slightly moderate, I would say. Coming to bright spots in the industry, if you really see the growth rates in CY 2023 to understand the trend of di■erent powertrains, while the overall growth I said for calendar year 2023 for the industry was 8%, CNG grew by 25% and EVs nearly doubled at growth rate of about 95% to 100%. And I think this

trend
is likely to continue. So companies with stronger portfolio in CNG and EVs will grow . Market is responding well to new launches. So we have seen that all the players who actually went for new nameplate launch have driven the growth b etter than the industry growth. Coming to Tata Motors. The bright spot for us is a very healthy channel stock, as I mentioned earlier, because we have taken a steeper correction of stock in quarter three and therefore, we have seen that in Jan 2024, which was last month, we did the highest ever o■ take at 53,600 in domestic market. There's a strong traction of the facelifted products and the

iCNG range. As you know that in Q3 and Q2 , we launched Nexon, Harrier, Safari and also the Punch CNG. All these four products have sold the highest i n Jan 2024. So there's con tinued traction for all these three products which is helping us go to a higher level of volumes. Launch of Punch EV has been taken well in the market and I think this is going to help us drive EV sales going forward. In Jan, we posted 69% growth as far as EV sales are concerned. We also launched the ■rst two TATA .ev exclusive channels in Gurugram. Very good footfalls we are seeing and these , we have a plan to expand this in the coming months. In the next 18 months, we believe that in most of the high - selling cities, we would have these exclusive channels and we plan to only sell EVs through these chan nels in the cities where we open this. Coming to challenges as far as industry is concerned, we had seen a very strong growth in FY 2023 of 25% which is likely to moderate in FY 2024 to about 8%, and therefore, we are seeing with this high base e■ect, the FY 2025 will be slightly challenging with less than 5% growth rate is what we anticipate. As far as EVs are concerned, I think biggest challenge here is the pace at which the charging infra is growing. It is lagging behind the pace at whic h the EV adoption is happening. We have seen that the commodity prices have been stable in the past one quarter or so, but there is a risk going forward of this going up for certain commodities. So we are keeping very close track of that. For PV and EV going forward, our f ocus will be to maintain ICE market share with continued focus on the new models. We will be working on driving the penetration and expansion of electric vehicle market and there are speci■c initiatives that we have taken to fundamentally expand this indus try through micro market focus. So we are focusing on about 15 to 20 cities and also leveraging the expanded range of products. With Punch launch, we have now four promising products in the personal segment so we'll be utilizing that. And given that the ch arging infra is crucial to the growth and expansion of EV market, we have gone for an open collaboration approach with all charge point operators as well as the oil marketing companies who are focusing on expansion of charging infra. So I think with these initiatives, we should continue to do well in future.
Back to you Balaji.
PB Balaji:
Yeah, thanks, Shailesh. So at an overall level, let me step up the pace here. Go to the next slide please. The Capex spends, we are trending towards the Rs. 8,000 crores t hat we identi■ed as a spend for the year. So we therefore expect that Capex to be funded completely out of cash pro■t. So don't see a stress there . Next slide.
This is what I guided, saying that Rs. 6,000 crores is spent so far, so we should be in the Rs. 8,000 crore zone for the year. Next slide.
On Tata Motors Finance , the call out is the continued reduction in GNPA. The collection e■ciencies have been trending well. Even January has been a good month for us. GNPA has now reduced to 6.5 % and both the early delinquency as well as the roll forward rate

s are now performing well. And disburs als, of course,
have declined 11% as the focus has been completely on building the quality. This will now start changing from now onwards. As the portfolio quality is ■ne th rough prudent sourcing, we will now step up the ROA

by focusing on growth. But we want to do it in a prudent manner. At the same time, we will want to diversify the book further to reduce portfolio risks and digitalize the business for lower TAT. So the fundamentals of the business are strengthening, and therefore, we are now gradually stepped back on to the growth story. Next slide, please.
So looking ahead, I think all three businesses are performing well and we continue to remain positive on that, and th erefore, our Q4 should see an improvement because of the traditional seasonality. Q4 is normally the strongest quarters for us, new launches that are there in Shailesh's area and Girish's area, and of course, improving supplies at JLR, which Richard talked about. And therefore, we are quite con■dent of delivering on the deleveraging plans that we have laid out. And the priorities is there for all of you to see. The only delta which is compared to earlier, that is there is the whole focus on EVs to step up the market, develop the market and drive portfolio penetration to 15% plus from the current 12%. So products, charging infra, ecosystem and everything that Shailesh just talked about. So that's what we had to say.
And we'll probably go into questions and t he queue has already formed. So let me take the ■rst set of question , Just give me a minute, please.
Questions and Answers session:
Okay. Maybe the ■rst question. JLR, Richard, coming your way in terms of outlook. This is from Mumuksh from Anand Rathi. Can you share the outlook for the demand in the US and Europe? And how do you see this industry , the fact that the volumes are still below 2019, how do you see that performance around? And also a lot of noise around EV penetration slowing down in developed ma rkets? How are you going to respond to that in your plans?

Richard Molyneux
Yeah, let me take that. So, at the moment, certainly, we are not seeing any demand issues in the US. It remains extremely strong, Defender and Range Rover in particular are very s trong brands over there and doing really well. Europe, I think, a little bit more stable, and we're probably keeping more of an eye on. EV penetration over the medium term, I don't think there's any change in the end game here. The speed as to exactly how and what the curve looks like to get there , I think there have been many predictions in the past that it would be a very S -curve focused transition, and now some of those are being tailored back a bit. Certainly most of the recent forecasts have come back. But it doesn't change our plans at all. We have targets for our sustainability, our CO2 emissions in 2030, 2036 and 2039. So we are not going to change our plans. I am sure in a year or so's time those forecasts around EV penetration will change again. But as I say, for us, we have our plans. We know our plans. We're executing our plan .

PB Balaji :
Thank you, Richard. Next one, Girish, coming your way. Again, a question has been asked in di■erent forms. Demand in commercial vehicles, particularly for medium and heavies, as well as the small commercial vehicles. How do you see it?
Girish Wagh:
Let me talk about a few macro factors ■rst. So I think if we trend the history for last ■ve years, we see that the demand in billion ton kilometers has been growing ev ery year and actually the fleet utilizations continue to be at good levels and th

ere is a steady balance between demand and supply. The transporter
pro■tability actually remains stable. As I spoke in my presentation, the customer sentiment index is also quite stable, the freight rates are steady, but we have seen a YoY decline in volumes in Q3 to som e extent and mostly in January. In the third quarter we have seen some drop in the government expenditure and also due to the elections in the ■ve states, there was some impact and therefore, we do expect a pause in growth in Q4. And also, as you know, last Q4 was a very robust Q4 for us because of the transition from BS6 Phase 1 to Phase 2. So we do expect a single -digit kind of decline over Q4 of last year. Due to the general elections, we do see that the Q1 at least of next year should be a bit soft and when we meet next I think we will have visibility post that also. But this is a common phenomenon. Whenever there is general election we see an impact for aroun d three to six months. But at a larger level, if you see, I think at an overall level, GDP growth continues to be strong, the capital expenditure by government continues to be strong, the infra push is there and this will therefore ensure that the CV deman d will be there. Because whether it is ■eet utilization, freight rates, demand/supply balance, I think all these factors remain pretty steady. Now, within that, we have always seen that generally the medium and heavies have higher amplitudes, but this time we see that most of the segments seem to be moving together. So that's the

outlook that we have for the demand. Balaji?
PB Balaji
Thanks, Girish. Richard, this coming your way. I think two types of questions on the margins. One is gross margins have seen an improvement. Are these sustainable? Any one -o■s there? And what were the realized revenue hedges that you have? So one around gross margin. The other is around the employee cost at your end? The numbers have trended up a bit. Is there any one -o■s there, anything that you'd like to call out?
Richard Molyneux
Yes, sure. So let me deal with that. So, look, our gross margin, there is a little bit of seasonality in there, dependent on where we sell vehicles and what we sell. So in Q3, we had slightly higher m ix in China and also slightly higher mix in terms of pure Range Rover i.e. big Range Rover. So I don't expect massive changes. But Q3 mix was more favorable for us than you w ould expect in an average year. The next question was about Employee cost. Employe e costs. So, yes, there are some one -o■s in there. We have just concluded a deal with the UK unions , this is a two -year deal. The ■rst year is 3% base pay increase

plus a ■xed bonus for the employees. The second year is 3.5% plus also a bonus, but this tim e more variable to company performance. So some of the accounting for that deal has led to a bit of a one -o■ that we've taken in Q3. So that is one e■ect that will reverse back out as we go through into the future quarters.
PB Balaji
Thank you. Again, stay ing with you, Richard, the UK government's electri■cation policy change, does that change anything on your plans, given their decision to delay ICE sales ban to 2035?
Richard Molyneux
As I mentioned before, no, it doesn't. We have our own targets. We will be net carbon zero 2039 and we will have all vehicles on BEV on 2 030. So no UK government policy will change our plans. We're also obviously, for notes, a global manufacturer. And so U K is 20% or so of our business.
PB Balaji
Sure. Second one, just stayin g on the Red Sea shipping issues for a while, is there a challenge ? What percentage of your shipments do you think will face this impact, both on the inbound as well as the outbound?
Richard Molyneux
So for us, in terms of outbound, we have 15% of our sale s

in China. Obviously, that goes through that
route and a proportion of our sales in overseas. So overseas in the quarter was about 18% of our sales. Not all of those will now be forced to go around the Cape, but a proportion of them will. So we're keeping an eye on it. Look, at the moment, it is having a little bit of an e■ect on us in terms of Q4. We obviously have more vehicles on the water than we would normally expect to have. I think the one that we're keeping an eye out is the sort of derivative e■ec t of that in terms of container capacity and shipping capacity and timing coming back from the Far East, where we have several suppliers. So no actual issues yet, but something we're keeping an eye on. At the moment, I'd say the impact of the re d sea issue s on our business up till this point are manageable.
PB Balaji
Thanks. Girish, slightly a di■erent kind of a question. Can you go back to the Freight Tiger acquisition and just talk about what bene■ts you expect out of that?
Girish Wagh
Right. So I think, as we said in the last call, also, I think we are focusing on building digital platforms at scale with the purpose of reducing or eliminating the friction points and actually bringing e■ciencies in the logistics ecosystem. Now, we already have a very power ful platform which is Fleet Edge. As I said, we have more than 0.5 million vehicles on this platform, and this platform plays in the trucking ecosystem

and is contributing signi■cantly in terms of TCO, that is total cost of ownership, and therefore, busine ss pro■tability improvement for our customers. The Freight Tiger, as we explained, is a platform which will scale up and operates in the logistics ecosystem and has a carrier matching as well as a trucker 's management system, transport management system as two platforms within. We are now focusing on integrating the Freight Tiger and Fleet Edge - 2 platforms which will connect the trucking ecosystem with the logistics ecosystem . Therefore , the customers of Fleet Edge will now have a native access to the logis tics, and therefore, freight in the market. And the shippers on the Freight Tiger platform will have seamless access to the truckers. So this will ensure that both the sides of the continu um will actually have access to each other, and therefore, improve e ■ciencies. So with this, we believe that we can create a signi■cant value for the shippers as well as the ■eet owners as we integrate these two platforms going ahead. Balaji?

PB Balaji

Yeah, thanks, Girish. Shailesh, Sanand 2 with the capacity now starting to ■re, what is your magnitude and timeline for phase -wise addition of capacity there?

Shailesh Chandra

See, we have installed capacity of 3 00,000 in Sanand 2 and we can potentially add further 120,000 to take it up to 4,20,000 . But as of now, I think 300,000 is what we are ■rst thinking of utilizing. We have started the production from 10th Jan onwards, and the target is that in the ■rst phase, which is this quarter, we would target about 20% to 25% production of Nexon from Sanan d 2, and progressively, in the next six, seven months, we would completely shift the production of Nexon, both ICE as well as EVs, to Sanand 2. That's broadly the plan. We have already identi■ed the products which we have to make in Sanand 2, and I think t hat is something which I would not like to disclose today. But that plan means that in the next two to three years, this will be completely utilized.

PB Balaji

Thanks, Shailesh. Again, I will take that question – thought process on any other monetization opportunities ther e. Currently, there is nothing that we are actively working on. If and when something comes up, we will let you know. So that's the set of questions. Let me move to the next one.

I thin

k Ben or Richard, this is coming your way. Post reporting, there were GBP 650 million due on 15 Jan, which I presume you repaid with cash. You have another GBP 500 million in the next 12 months. Any plans for debt once you achieve your GBP 1 billion target?

Bennet Birgbauer

Do you want me to pick that up, Richard?

Richard Molyne ux

Yup, go for it.

Bennet Birgbauer

Yeah. Okay. So we did pay the EUR 650 million bond that matured in January out of cash. It is probably worth pointing out that we target obviously getting to net debt of GBP 1 billion or better by the end of March. Movi ng from GBP 1.6 billion at the end of December to that would mean that we'd be generating cash ■ow su■cient to cover that. As far as next year, the next maturity that we have is a bond maturity of EUR 500 million in November. Again, we have said that we ex pect to get to net debt zero in FY 2025. So that would imply that we are generating su■cient cash ■ow to also cover that. I think we continue to evaluate our funding plans when we might next come to market, but I don't really have any comments on that righ t now.

PB Balaji

Thank you, Ben. Moving again, staying with JLR for a while. On demand , order book, VME, basically saying, considering expectations of mild recession, would you expect the order book rundown pace at 10 K per month or higher? VME, how muc h do you expect it to increase from the current 2.5%? And is there any cap that you are working with? And of course, when would supplies commence for Range Rover BEV?

Richard Molyneux

Okay. So let me try and take those. We started the quarter with an order bank of 168,000. We ended just under 150,000, so 19,000 o■ in the three months period. We have said before that our sort of pre -COVID natur al level of order bank is about 110,000 and we would expect to sort of glide down towards that level over coming mon ths. So I don't think there is any change in our plans as to how we manage that. We will start to focus, as I mentioned before, more on demand generation to make that transition smooth. In terms of VME, we are at 2.5%. I do expect that to increase over com ing quarters but nowhere near the levels that we've seen from JLR in the past. Range Rover and Defender, in particular, continue to have really strong demand at extremely low, if not zero levels of VME. So, yes, I do expect it to increase from 2.5% but not in leaps and bounds.

PB Balaji

Yeah. And Range Rover BEV?

Richard Molyneux

Sorry, Range Rover BEV, yes , with sort of c. 12 months from now they will be around. We are driving prototypes now and they are amazing .

PB Balaji
Thanks, Richard. Shailesh, this coming your way. Tata Motors acquired this Sanand plant from Ford. The number stands corrected. There's also stamp duty to be added to this, roughly about Rs. 1,100 crores outflo w. What are the additional Capex incurred to make this operational and how will the productivity be of this plant?
Shailesh Chandra
Yeah, I would not like to share the exact Capex number because it is, I would say, still work in progress given that we have ■rst only started with one nameplate. There are more nameplates to come. But broadly, if I have to give a ballpark understanding of what it means, the bene■t that we would have, if I compare it with a green■eld of similar capacity and the nameplates that we have in mind, this investment would come down to ab out 40% to 45% of what we would have otherwise incurred for a green■eld project. From a productivity perspective, this plant is highly automated, especially when I talk about weld shop, paint shop, speci■cally in these sh

ops, I believe that the productivit y would be better by 10% to 15% as a ballpark.
PB Balaji
Thank you. Again, Richard, this is coming your way on JLR. Do you expect any release from working capital in Q4? And how do you see the marketing expenses developing for coming year? You've answered VME. Can you also talk abou t FME?
Richard Molyneux
Yes, of course. So I would expect a little bit of working capital in Q4 . FY 2025, if you look at the cumulative four quarters of that year, I w ould not necessarily expect any cash ■ow impact on working capit al, certainly not a material one. Marketing expense is pretty much the same answer as I gave in terms of VME, VME and ■xed marketing expense combined is essentially the cost of acquiring new customers. And we do expect that together, VME and FME to increas e marginally as we go start of next year, but as I've said, not in massive amounts.
PB Balaji
Yeah. So, two additional questions, again, BEV versus ICE margin, since BEV tends to be lower margin, how do you see this mix playing out in your overall portfol io? And second is, break evens, can you just comment on that?
Richard Molyneux
Yeah, sure. So we've spoken about the Range Rover Electric, and we should note we have a di■erent strategy to many in the industry. This is a Range Rover that is electric. An el ectric powertrain in a Range Rover is more powerful, more serene, more quiet than the ICE ones. Actually, to many respects, this car
Tata Motors Limited
February 2, 2024

is going to be the ultimate expression of what a Range Rover is. So if you look at it from that perspective, I don't think there is a reason to necessarily assume that the margins are going to be lower. So we have a di■erent way of approaching BEVs on our products and the interaction of what a BEV is with our brand, that probably puts us in a sli ghtly better place than others. In terms of breakeven, I think we do expect that to increase a little bit over the next 18 months or so as our mix moves probably a little bit away from Range Rover and Defender towards some of our other nameplates. But I would not again say that it would materially shift.
PB Balaji
Okay. Staying with you, Richard, for a minute, two additional questions. 10% EBIT margin by 2026. Still comfortable with that? Is there any risks that you see to this target?
Richard Molyneux
Yes, we're not going to change our guidance in that. That's de■nitely what we are aiming for. There are always risks, particularly when you're talking about FY 2026, it is a way away. We don't know what is going to happen to geopolitics and to global demand, but it is still our target and n othing particular I want to note in terms of risks.
PB Balaji
Yeah, and the other one is e■ective tax rate for JLR. Let me take that. E■ective tax rate in a quarter is normally volatile. Full year basis on a consol, we are still trending at about 22%. So that number seems realistic in terms of how you should plan your e■ective tax rate for the company. 25% is a sensible number to go with.

Question Girish, coming your way. How's the pricing environment for M&HC V? I think the demand environment you talked about pricing, can you talk about?
Girish Wagh
I think, as we have been indicating for past four quarters now, we continue to improve the value of our products, we continue to deliver more and more services using Fleet Edge and beyond. And there fore, I think we are in a very good position delivering higher value to the customer. And we remain focused on that. And with this, I think we are happy to keep on improving realization quarter -over -quarter. So I think that's the journey that we have taken and we will stay on that journey.
PB Balaji
Thank you. The other one on Tata Motors Finance. Can you also talk about the reduction in CV market

share in Tata Motors Finance and the overall AUM of TMFL? I think the focus has been squarely on quality and en suring that we get our act right on sourcing. So we have consciously not targeted the business on CV market share. And Girish and team have been very supportive to ensure that we have other financiers

coming up and picking up the slack. This, of course, goi ng forward, now that we've got our business model right, sourcing strategies right, we will start building back our share as far as CV is concerned, but done in a prudent manner. And AUM for TMFL is fundamentally a mirror image of the view that we take on disbursements. So we should expect to see AUM also to pick up going forward.
Then again on demand. I think we have already covered this point, so let me probably skip that. P V, Shailesh coming your way. In the recent budget, the PLI incentive allocation wa s only Rs. 35 billion. This is extremely small considering the entire auto industry will claim it. How do you see it?
Shailesh Chandra
I believe that Rs. 3,500 crore is su■cient, given that there are not many players who have been able to get the PLI certi ■cate. And therefore, I believe, for us, we already have one product which has got the certi■cate and rest of the products, the work is underway to get the certi■cate. I believe that this should be okay as far as we are concerned.
PB Balaji
Okay. Again, Ri chard, this coming your way, a little bit more on Range Rover BEV, who's the target customer? And for this, what we are showing as people who are registering interest, can you say, are you taking any deposits from them? Is it to be treated as orders? How s hould one treat it?
Richard Molyneux
Okay. So on the l ater part of that, no, we are not taking deposits and we are asking them to sign up to a waiting list. We do collect information in relation to that waiting list as to who those customers are and how they break down. I don't have the details to hand. But it is a mix, including a large numb er of people who drive electric variants of other OEMs. So we are anticipating quite some incrementality as a result of this and looking forward to delivering cars to those customers, as I say, c.12 months from now.
PB Balaji
Thanks, Richard. Coming from Chirag, I think the one on VME you already answered so I will skip that. Order book we have covered. So Girish, this is yours. How do you look at the tonnage growt h versus volume growth in M&HCV in FY 2025 as compared to FY 2024?

Girish Wagh
Okay, let me take HCVs and MCVs separately. As far as heavy commercial vehicles are concerned, I think the transition to higher tonnage multi -axle vehicles which is the 48 -ton and then beyond that to the 55 -ton tractor to a large extent has happened. And n ow most of the demand, which is amenable to these kind of vehicles, that is 48 -ton and 55 -ton has already happened this year, the other tonnage vehicles which are sold currently are meant for speci■c applications and they need to be in that tonnage node.

Therefore, I think in my view the migration to a higher tonnage node has happened to a large extent. As far as volume projection is concerned for FY 25, as I mentioned, I think we will see some slowdown in Q1 and probably H1, a pause. But after I think the new government comes in place and the investments and infrastructure capex starts again, I think we will see the next year H2 or Q2 onwards we will see a YoY growth again. Balaji?
PB Balaji
Yeah. Girish, the next one again with you. This is on small co mmercial vehicles from Amyn Pirani. Your India SCV market share has been impacted by weakness in the

category of less than 2 tons. However, in
the categories which are doing well, your market share remains quite low. Are there any product interventions tha t we can expect here?

Girish Wagh

Right. So let me answer it on two fronts. First of all, I think your assessment of the situation there is right. See ■rst of all, in SCV pickup, as we have done in other businesses, we are focusing on improving our ■nancia ls and unit economics very aggressively and I think I am happy that we have actually made a very good progress. It is a transformation that we are on to and we are committe d to it.

Now, coming to the volumes. Yes, the small vehicles has two categories, the SCVs and the pickups. And as you rightly put up, I think the SCVs are facing a challenge because the overall segment is declining. The main reason for this is with BS6 Phase 1 and BS6 Phase 2, there has been a signi■cant increase in the prices of the vehi cles. And as we have seen globally, in both cars as well as commercial vehicles, I think with such kind of an increase, the smallest segment actually starts facing pressure. I think to address this, what we have done is, we have actually launched the ACE i n gasoline variant, which actually comes at BS4 prices and BS4 total cost of ownership. So it is a completely new value proposition and we see a continuously increasing traction for this. So we are trying to build good traction for this product, improving the consideration amongst the customers, because it is gasoline and gasoline is seen as not suitable for commercial applicat ion. So this is the ■rst thing. Second thing, we are also facing a lot of ■nancing challenges for the smallest commercial vehicles, post COVID especially. And the ■rst time users are ■nding it di■cult to get higher loan -to-value ratios. Therefore, the down payment requirements are higher. And while we do get very good leads, I think the conversion rates are currently low. So we are wor king with the financiers to improve the availability of ■nancing here. And third, of course, as Balaji mentioned, I think with Tata Motor Finance coming back on track and being very healthy, I think we are working with them to see how we can start helping t he ■rst -time users once again. So these are the things that we are doing in small commercial vehicles to increase its salience once again.

Coming to pickups, I think your question is whether any product intervention is going to happen here. So in pickups, we believe that we actually have a very good product portfolio. In the intra -family, we have a very strong platform which has vehicles with all powertrains, whether it is petrol, diesel, CNG. And I think the focus that we have here is now to improve the awareness and be in the consideration set. See, in the

SCV and pickup category, we've always seen that there is a lot of brand loyalty becaus e when customers buy this vehicle, it is a signi■cant purchase for them and their earning actually depends on this. So generally they tend to depend on a vehicle which has been there in the market for quite some time, and therefore, any new vehicle takes t ime to get established. So our focus here has been to improve awareness and be in the consideration set and start creating a brand pull. Towards this, we are also working on in■uencer ecosystem to ensure that they talk positive about these products and als o on making network e■ective and pro■table for this particular type of business. So we are also, therefore, creating a separate network from the heavy commercial vehicle business. So I think these are the actions that we are taking on the small commercial vehicle and the pickup business, Balaji.

PB Balaji

So, just to hold it with you for a minute, I think if I look at Gunjan's questions, most of it we have ans

wered.

There's one on in small commercial vehicle, is there any impact of electric three -wheelers o n your SCV portfolio?

Girish Wagh

So if you look at the electric three -wheelers, bulk of those are actually getting sold in the passenger application. The salience of the goods electric three -vehicles is pretty low. But initially, yes, I think the customer s were comparing this with ACE EV. And gradually, what I think there has been a realization that ACE EV is actually far better on performance, far better on reliability, and therefore far better on pro■tability. And I think, we had an issue about ■nancing, again, in ACE EV and what should be the end -of-life value that should be considered. So I think here we have worked with the ■nanciers, we have come up with the ■rst in the industry, seven -year battery warranty, which has helped to actually give very attractive ■nancing schemes, as a result of which we see very good traction for ACE EV. So in a nutshell, I think electric three -wheelers, for some time, goods carrier did show some impact on this, but not to such an extent. Now, I think the customers are comi ng back to the ICE portfolio or otherwise the ACE EV. Balaji?

PB Balaji

Yeah. Thanks, Girish. Shailesh, coming your way. When is Curvv commercial launch planned? One. And if you can comment, if possible, on other product launches that you're planning this year? And how's the Punch.ev - How has it picked up and how's the order intake there? I think ACE EV, you already answered.

Shailesh Chandra

So if we talk about the full calendar year 2024, so this calendar year will see three electric vehicle launches, one Punch EV, which happened already in Jan. And I will talk about the order intake of Punch EV at last.

The second would be Curvv, which will come in second quarter of the ■nancial year 2025. And the third would be Harrier EV. The ICE Curvv would get launch ed, say, three to four months after the launch of the EV version. So that's what has been plan ned for the calendar year 2024. As far as Punch is concerned, you know, this was our ■rst product on the Pure EV architecture, which is “acti.ev ”. Solid product, und er 15

lakh, giving 400 kilometer range was expected to create lot of demand for us and that is what we are seeing. Very strong demand and bookings that we have received for the product, and we are ramping up our capacity also. Can't share the numbers becau se we have not been sharing booking numbers for the simple reason that that should not create any kind of concern for the customers in terms of their waiting period and all. So the idea is that we take into account the bookings that have come and ramp up t he production as fast as possible.

PB Balaji

Yeah. Thank you. And moving to Richard, this is probably coming your way. Proportion of buyers who bought Jaguar and Land Rover for the ■rst time and how many already own a Jaguar or LR, has there been any changes to these numbers f rom 2019? Would you track this?

Richard Molyneux

I don't have that info rmation in front of me. I am not aware of any material change in our mix of buyers between loyal and conquest .

PB Balaji

Okay, thank you. The other one coming your way, Girish. I think you touched upon a little bit, maybe worthwhile given a number of quest ions that have come. With the payment security mechanism now there in place for EV buses, would you be participating more aggressively, are there any discussion with the government, probably buses that are being made locally, those kind of things?

Girish Wagh

Yeah. So I think two things here. First is I think we have been the OEM which started deploying the buses after winning the ■rst tender of C ESL, which we had built very aggressively with an objective of making the government's intention

successful of electri■cation. And you know, as I explained, we have actually
good amount of experience under our belt now, which gives us very good data to decide what we should be quoting. Now, coming to payment security mechanism, actually, we must appreciate the open ness of the government to listen to the industry and accept this requirement. So this payment security mechanism is more or less agreed upon. I think there are a few things that are remaining which need to be sorted out which will ensure that our balance s heet remains lighter and which will help us to get into this business very, very aggressively. So I think good experience under the belt, product range ready. The scheme is becoming what we need. Just a last mile thing that needs to be addressed, and we'll be there.

PB Balaji

So one more coming your way, Shailesh. Punch EV, Nexon EV, do you see an overlap and is there any cannibalization risk that you see?

Shailesh Chandra

You know, there's always some cannibalization risks in adjacent segments and that is okay for us. But these are two very distinct segments at very distinct price points. If you compare a 450 -kilometer Nexon that is costing around Rs. 18 lakh to Rs. 19 lakhs as a weighted average price, whereas Punch is with the similar kind of ranges, bein g priced between Rs. 13 lakh to Rs. 15 lakh, so there's very less chance of cannibalization, a very di■erent customer segment as far as EV is concerned. So I don't see a big risk of cannibalization and that's what we have been observing in Jan uary also pos t the launch.

PB Balaji

Yeah. Thank you. Thanks, Shailesh. I think with this, we have come to the end of the questions. I think we have covered most of the questions that people are very keen to understand. So if there's anything that's still left, feel fr ee to contact our Investor Relations team, we will be mor e than happy to respond to you. With this, I woul d like to draw this results call to a close. Thanks all for your time and patience in going through the results. Look forward to catching up with you. Thank you. Bye -bye and thanks, guys who are on the call. Thanks.

Call: May 2024

May 16 , 2024
Sc no - 18273

Dear Sir/Madam ,

Sub: Transcript of the Earnings Discussion /Conference call for the quarter and
financial year ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with further reference to our lett er bearing sc no. 18240 dated April 25 , 2024 , enclosing herewith the transcript of the earnings/ conference call for the quarter and financial year ended March 31, 2024 conducted after the meeting of Board of Directors held on Friday, May 10, 2024 .

The trans cript of the e arnings/conference call is available on the website of the Company at www.tatamotors.com

This is for your information and records.

Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Company Secretary

Encl: as above

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Tata Motors Limited
May 10, 2024

Tata Motors Group
Q4 FY24 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
MS. NAMRATA DIVEKAR – HEAD, TREASURY, IR, M&A, TATA MOTORS LIMITED

Presentation

Anish Gurav
Good day, and welcome to Tata Motors Q4 and Full Year e nded FY 20 24 Earnings Call. With me today are P.B. Balaji; Group CFO, Tata Motors; Mr. Girish Wagh, Executive Director, Tata Motors; Mr. Shailesh Chandra, MD - Tata Motors Passenger Vehicles Limited, and Tata Passenger Electric

Mobility Limited; Mr. Adrian Mardell, CEO, Jaguar Land Rover; Mr. Richard Mo lyneux, CFO, Jaguar Land Rover and our colleagues from the Investor Relations team. Today we plan to walk you through the results presentation followed by Q&A. As a reminder, all participant lines will be in listen -only mode and we will be taking the qu estions via the Team's platform , which is already open for you to submit your questions. You are requested to mention your name and the name of your organization while submitting the questions. I now hand over to Balaji to take this forward.
Over to you, sir.

P.B. Balaji
Thanks, Anish. Good evening everybody and good morning wherever you are from. Standard safe harbor statement coming up, nothing new to report here. Next.
I think it's a year which has been pretty intense at all ends, be it on the business side or the

corporate action s side. And I'd particularly li ke to call out in the CV side , the BS VI Phase 2 transition that has been a roaring success for us in terms of product delivery and market share pickup. We also had a very good work happening on Fleet Edge in terms of connecting almost 600,000 vehicles. And on the EV side, host of actions and particularly to call out the new EV dedicated stores that are starting to open up and of course, launch of the next architecture in our framework, the Pure EV architecture, and of course commencing of production on the new facility in Sanand and the rest is there for you to see. So a very satisfying year from a product and the business side as well.

Going on to JLR, equally intense actions at their end, where of course performance from a ■nancial perspective has really picked up and there's a level of stability into the performance coming throu

gh. And Reimagine Transformation which Richard and Adrian are going to talk about is progressing quit e well. And we also announced , I think the big one was announcement of the Agratas battery manufacturing setup which will be a very key vendor to JLR. And of course, the products continue to do exceedingly well. And with the kind of cash that got generated, more than GBP 1.8 billion of debt has been repaid out of operating cash ■ows in JLR.
Next slide, please.

The corporate action side of course, equally intense there. The ADRs have been delisted, Tata Technolog ies had a very successf ul IPO. We picked up 27% stake in Freight Tiger, all of which you are well aware of. Additional one is the DVR EGM , where we had greater than 99.5% majority of minority approval for the scheme. It just tells you how well it has been received by the shareholders of both the “A” Ordinary and the O rdinary shareholders. And of course, on the demerger , we are working at frenetic pace to bring the scheme to the Board for approval . Next slide.

Moving on to ■nancials, really a satisfying and a very pleasing performance after many years of challenging performances. And ■nally, on a full - year basis, revenue grew almost 27% with an EBITDA of 14.3% and an EBIT of 8.3%. In quarter, of course, it was Rs. 120,000 Cr of revenue. On a full -year basis, we're now touching the Rs. 4.4 lakh Cr of revenue, almost $50 billion of revenue starting to come through in this business. And call out your attention on the PBT numbers of before exceptional item of almost Rs. 29,000 Cr for the year, with the highest ever that we have done and I will talk about the numbe rs in context in a little while and of course, the reasons being the volume ramp up in JLR, as well as, India. Pricing actions across the board are done in a surgical manner and of course, mix continuing to play a very big role for this. And with Auto Free cash ■ow of almost Rs. 14,000 Cr for the quarter, another Rs. 27,000 Cr for the full year, that managed to help reduce the automotive debt. Next slide, please.

Thanks to this performance, the Board has recommended a dividend of Rs. 3 for the ordinary shareholders, Rs. 3.1 for the DVR shareholder s, which is the normal divide nd and there is also a special dividend in lieu of the successful TTL IPO of Rs. 3 per share for Ordinary and Rs. 3.1 for the DVR holders . So together is about Rs. 6 and Rs. 6.2 resulting in a cash ■ow of almost Rs. 2,300 Cr, the highest ever dividend that Tata Motors has paid out. Next slide.

This is just to summarize of our performance, the slides are there for you to see, but maybe the next slide brings it alive even more. Why? This is really a year for all of us in Tata Mo tors to be satis■ed. Revenue at its highest ever, EBITDA now touching Rs. 63,000 Cr of EBITDA in a year, and an EBIT of 8.3%. And if you see the prior high achieved, there's still some distance to go and therefore our journey continues. And PBT (bei) at the highest ever of Rs. 29,000 Cr. The second section is even more interesting because we did our highest ever investment spend of Rs. 42,000 Cr and still delivered our highest ever free cash ■ows after investment and after interest cost of Rs. 27,000 Cr. And thanks to this, now the ROCE is really starting to switch gears and ended the year at an 18.7% ROCE. So this, in a nutshell, is the performance and the rest of the slides basically bring this alive as to how we manage d to do it. Next slide, please.

So a 13.3% growth for the quarter came from volume and mix as a lead at 9.3% and translation of 3.4%, every business contributed to the improvement in pro■tability as you can see in the numbers. And automotive debt is now Rs. 16,000 Cr, of it Rs. 7,

300 Cr is the external debt a nd
Rs. 8,700 Cr is ■nancial leases. And split di■erently, the India business is now Rs. 1,000 Cr positive cash. JLR and Singapore are the two places where we have the debt to be knocked out, and the plan is to ensure this year we take that out completely. Obviously at a gross level and then the individual line items will be there , because Singapore may take slightly longer to take out, but between TML,JLR, overall we should be moving into net cash. Next slide, please.

Let me now hand it over to Richard to take you through the JLR performance. Richard, over to you.

Richard Molyneux
Okay, thank you. Go to the next chart, please. Right. So look the headline is we've continued to perform v ery strongly, both ■nancially and operationally. Q4, if you look at the shaded section in the middle, is the best quarter of a very successful year. In fact, every metric is higher than each of the previous four quarters. So just a couple of highlights. Record revenue in the quarter of GBP 7.86 billion, that's up 11% year -on-year. Full-year revenue also a record. EBIT, 9.2% in the quarter and 8.5% full -year, that's in line with our updated and increased guidance at the end of H1. And free cash ■ow, GBP 892 million (Q4) or GBP 2.27 billion for the full year that's a record for JLR and a record by a large margin. And that has allowed us to exceed our net debt commitment and bring net debt down to a closing value of GBP 732 million at year -end. And that's f rom GBP 3 billion a year ago . Next, chart.
So I won't go through this in detail, I'll cover the majority of the points through the rest of the presentation. However, I did want to reference the point at the bottom around deferred tax asset. So after a ser ies of sign i■cant UK PBT losses in the FY 2019 to 20 22 period, we demonstrated sustainable pro■tability and this triggered a review resulting in a UK DTA of GBP 1 billion being recognized on the balance sheet. It means the pro■t after tax in the quarter was GBP 1.4 billion, and the full -year pro■t after tax GBP 2.6 billion. Next, chart.

So, to go through the wholesales, in each quarter and you'll see at the top, each of our brands is improving , allow ing us to get to 110,000 wholesales in the quarter. And if you look annually on the bottom side of the chart, Range Rover is up 27%, that's driven by progressive improvements in both our production system and those of our suppliers, allowing us to move up capacity levels in our Solihull plant. That level of 201,000 units is a record sales for the Range Rover brand. Also Defender, 115,000 units, that's in its fourth year, it is up 32%, which is an exceptional performance. That 115,000 is the highest sales level for Defender ever in its 76 years of history, since 1948. Next, chart.
This loo ks at the same thing regionally. S easonally Q4 is always strong in the UK and a little bit weaker in China, largely due to Chinese New Year timing. But it's also typically strong sales performance for us in North America, even though that number was impacted right at the very end of the quarter by the Baltimore Bridge disaster. If you look annually on the bottom of this chart, every region is up, the UK, the U.S., and overseas, by about 30%. Even China which is almost certainly the most competitive car market in the world at the moment, was up 17% year -over - year and actually up 27% on FY 20 22. Next , chart.
This looks at our PBT walk from Q4 FY 2023 to Q4 FY 20 24, where we delivered the GBP 661 million. You can see a large part of it is volume, we did sell 16,000 units more than we did in the same quarter last year. Also see interestingly, there is some price pressure in the market, price is now a negative

in this walk, whereas historically for the last few quarters, it's been positive. That
is due to slow increases in our VME rates from 0.5% a year ago to 3%, that 3% is still very light in comparison to many others in the market. Those increases in VME have however been more than

o■set by material cost improvements versus a year ago. About half of that GBP 267 million is related to raw materials, which were quite benign in terms of cost in the fourth quarter. The other half relates to a non -repeat of costs f rom a year ago, where we were having to spend very heavily on both semiconductor supply and supplier volume claims. Within the structural cost element, you can also see we are spending more in terms of FMI & selling. That is, trying to make sure that we ge nerate the orders going forward. So you can sort of see that in combination with the VME as being an increase in our costs to acquire customers, which we are o■setting through our own contribution costs. FX and commodities, not a major element in this walk , Sterling moved from about 1 .24 again st the dollar at the end of FY 20 23 to 1 .27. So a small adverse for us, but our hedging policy managed to protect us from most of it. Next, chart.
The top half of this takes the same PBT GBP 661 million and walks it to free cash ■ow. You can see within that cash pro■t after tax of GBP 1,357 million . That is a record for us. And even with very high investment spending required to deliver our cycle plan over the next couple of years, it still allowed us to generate free cash ■ow of GBP 892 million. A part of that was very favorable working capital, we do expect that to be a little bit seasonal, so to reverse back out in Q1, however, in Q4 it was very helpful for us. Bottom half of the chart looks at the same thing on a full-year basis, essentially says the same story, so I will not go through it again. Next, chart.
This looks at our total investment level. The total investment for the year was just under GBP 3.3 billion, of that GBP 2.3 billion was engineering. Engineer ing is in the hot phase of developing all of the future vehicles. Over time, that number will come down a little bit and the capital

investment required to actually produce those vehicles will increase. Within our total engineering, 62% of it was capitalized, that is fairly stable as we've gone through this year. I also expect it to be relatively stable in the next few quarters. Next, chart.
All right, we go into the business update. So , next page.
So something's coming. Range Rover Electric, it is coming. We're doing it di■erently, this is not a BEV which is going to get sold as a Range Rover. This is the Range Rover with a BEV powertrain. And BEV happens to give the exact combination of power, quietness and serenity that is perfect for the Range Rover brand. So this will be the top end of Range Rover. This will not be any other thing than probably the best performing Range Rover that you can get. We have opened a waiting list for this vehicle, as of earlier on today there were 33,000 people who h ave signed up to that waiting list. In the middle, we will keep developing our SV o■erings on Range Rover and Range Rover Sport. We are continuing to push price points up in that sector. So, for example, Range Rover SV doubled its volume in FY 20 24 with an average sales price of GBP 202,000. And actually within that, there were 30 SV Bespoke Sadaf editions which were sold at over GBP 330,000 each. On the right -hand side, Defender OCTA, which will get launched later this year. This is the ultimate still with everything on every terrain that a Defender can do, but with the fastest and most powerful Defender that there is. I've seen this c ar and it absolutely passes the I rea

lly want
one test, this will be a big success for us. Next, chart.
Takes us to our look ahead. fSo we expect EBIT margin for this year to be around the level of FY 2024. We do expect to have to spend a little bit more in terms of demand generation, and we will o■set that operationally with cost reduction. We expect investment spend to be around GBP 3.5 billion, and we are holding our target to be net debt zero by the end of this ■nancial year. However, I did note that with the reversal of some of the working capital e■ects that we've seen in Q4, Q1 cash ■ow will be broadly breakeven. Ou r priorities, we've written customer love to be at the heart of what we do, and we don't just mean this as words on a page. This will actually guide us in what we do and how we prioritize our time this year. It is crucial for us that we focus on this element of our strategy. We will continue to focus on brand activa tion to maintain our order bank and we will deliver our cycle plan.

With that, thank you very much for your time. I'll hand back to Balaji.

P.B. Balaji

Thanks, Richard. Let's get on with commercial vehicles. Next slide, please.

On the market shares, I think it's starting to stabilize with the trucks continuing to do well and the intermediates also starting to do well. And there are green shoots starting to emerge in a small commercial vehicle space as well, which is something that we said, we will continue to work upon. So it's going to take a few m ore quarters, but it's nice to see this now starting to turn , and it is seen to have bottomed out. Next slide, please.

Overall numbers, it's been again a very strong year, there's a highest ever revenues, highest ever pro■ts as far as this business is concerned as well. And we ended at Rs. 78,800 Cr revenue with a double -digit EBITDA that we had co mmitted. And for the quarter the EBITDA came in stronger at about 12%, and overall the business generated a PBT (bei) of almost Rs. 6,000 Cr. And it also delivered about $1 billion of EBITDA, which is also a new high for this business. And as we demerge th is business, you will start hearing more and more granular details about this as we go forward. Next slide, please.

Source of margins, we speci■cally called out the pivot towards a demand -pull strategy and improving realization that ’s exactly what is you see in the numbers. So the English and the math are in tandem. Next slide, please.

Girish, you want to cover this.

Girish Wagh
Thanks, Balaji. So I think the wholesale volumes grew by 14% over Q3. However, as we had indicated, there was a decline of 7% in Q4 and almost 4% on an entire year basis. Balaji spoke I think highest ever quarterly revenue also in Q4, surpassing the previ ous high which was in Q4 of FY 2 023. On the shares, I think we improved the market share quarter -on-quarter. SCV pickup I think seems to have bottomed out in Q3 and we started the movement up. The transformation in SCV pickup is underway and we should start seeing results as we go ahead. In the non -vehicle business, we grew the revenue by 13% in Q4 and almost 17% on a year -on-year basis. And we've also seen a healthy growth in the annual maintenance contracts, which is an attractive business. Some of the bright spots, I think heavy commercial vehicles grew 5% Y -o-Y. Passenger carriers grew once again 26% Y-o-Y. And just in Q4 , I think we had 38% growth, so the capacity increase actions that we have taken , have also started panning out. Going ahead on the customer sentiment index, I think they have remained ■rm and in fact, slightly grown in the Tipper segment, remained ■rm in ILCV. They dropped marginally, which is seasonal for HCV Cargo and SCV. Happy to report that the percent

age of digitally generated leads and the sales grew to
almost 26% now in Q4. So this is becoming a signi■cant part of our lead generation mechanism and we will continue to ramp this up. I think this is giving a signi■cant convenience to the customers. Net promoter score continued to improve and is now at a hi ghest -ever level of 72, so we'll continue to maintain and grow this. During the year we launch more than 140 new products, more than 700 variants, and we will continue the same momentum. We saw in the commodities, the ferrous metals had some softening , while barring aluminum which has gone up, I think all other non -ferrous metals have stabilized. And I think the cost optimization e■orts and realization improvement have helped to improve the margins. I think , during the year the ■eet utilizations also improved, freight rates also stabilized. I think so we actually e xited the year on a strong note. Go ing ahead we will continue our agenda of driving realization improvement by delivering more value to the custome rs and thereby have growth in the Vahan share. I think the demand generation, as we have been saying now will ha ve a judicious mix of ATL, BTL and Di gital , with digital becoming a key part of our demand generation. In electric vehicles, we are now looking at generating the demand in the post FAME environment, in the

sense for ACE kind of a segment. There is a pause in the FAME incentives. And to address that we've actually launched a new variant of AC E EV which can carry a payload of 1 tonne. So the price i n the hands of the customers will b e around 17% more without FAME for a 1 tonne variant as compared to the earlier 600 kg variant which had FAME incentives and it will deliver almost 30% better TCOs. So it's far better business proposition for the customer . So we were preparing for this post FAME environment and have launched an exciting range of products. In the downstream business, we will continue the growth with increase in the spares and service penetration which has been continuously growing now for t he last four years. Value added services penetration continues to grow and that will be our focus now. Essentially it also delivers higher customer value and also therefore helps us to improve the realizations. International markets, I think while the top line has remained ■at, we have been able to maintain the market shares and in fact improve pro■tability quite a bit and we will also continue to maintain the health of the channel in these countries. Next, slide.
Coming to the Electr ic Mobility, I think d uring FY 20 24 we deployed more than 1,700 electric buses, so now we have more than 2,600 electric buses on the road covering more than 140 million kilometers cumulative. ACE EV , we improved the retails month -over -month during the year , and overall we hav e now more than 4,300 vehicles pl ying on the road. Here we have

clocked more than 16 million kilometers, so strong set of experience under the belt. In Q4 you will see the retails were at a high of 2,115, so good numbers on retail. In the market, the vehicle is delivering more than 99% uptime and happy to let you know that we are getting a large number of repeat purchase orders. I spoke about this higher payload variant being launched and it becomes a better business proposition for the customers despite the FAME incentive being paused for some time till we get to know about FAME III. Smart city, I spoke about the buses covering more than 140 million kilometers and consistently delivering more than 95% uptime. We continue d to deploy the buses in CESL tender in Delhi, Bangalore. In addition, we have also started in Jammu and Srinagar now, where 150 buses have been operationalized. Going ahead , we continue the engagement with the

government agencies. Happy to note that
payment security mech anism is mostly in place. We are now working on options for the asset -light business model. And I think with this you should see us participating in the future tenders. On digital, Balaji spoke on the ■rst slide itself. Fleet Edge has now more than 600,000 vehicles on the platform and it's amongst the top three globally in terms of customers on platform. In our quest to keep on introducing value -added options, we launched a machine learning -based model which gives live inputs to the drivers and the owners a bout fuel e■ciency. We have branded it as Mileage S arathi and I think it is giving a very good fuel e■ciency improvement in real-life operating conditions. Fleet Edge now is providing a lot of contextual insights to both the drivers and the customers about vehicle health, driving behavior , as well as overall operations a nd thereby enabling them to improve the business. We also completed integration of Fastags , so we ■nally want Fleet edge to become a one -stop shop for managing the entire logistics business. E-Dukaan , which is our online marketplace for spare parts, grew a very healthy 3.8 times in revenue , and we have onboarded many more customers as well as retailers on the platform. So the convenience being provided by this platform is actually enabling us to improve the penetration of the spare parts. During the year, we also launched the online sales platform for vehicles. I'm very happy to tell you that we had total retail on the platform of almost 24,000. And just platform generated retail was almost 9,0 00 commercial vehicles. So I

think on digital also, we are moving pretty well and we are committed to accelerating the pace of deployment as we go ahead.

Balaji, back to you.

P.B. Balaji
Thank you. Girish. Moving quickly on to Passenger Vehicles . Next slide, please.
I think the real heartening feature is a consistency in share improvement that you see. And second half actually at 14.3%, we were the number two player in the market for a good six months, which is nice to be . And othe r piece that's striking is the level of, I mean Shailesh had talked extensively about the multi -powertrain strategy. You do see it exactly playing out in the numbers . With petrol at 58 %, diesel at 13 %, 13% EVs, and 16 % CNGs , so we are playing all the power trains and it's coming through very nicely. And that has ensured those green emissions friendly vehicles also mean that our CAFE headroom that we have is substantial at this point in time , and well -prepared for the next phase of CAFE introductions as well. Next slide, please.
On the EV side, it's a slight disappointment when it comes to the 73,800. We would love to do something more on that, but that's ■ne , because markets do stabilize a bit and pull forward thereafter. So we just redoubled our e■orts to bring in the early majority of people coming in. So therefore the charging network is a big piece of work that's underway . 10,000 charge rs have come in, another 22,000 charges coming in the next 18 months which we are working with the various charge point operators. On the market share at 73% needs to be seen in the context of 14 models having coming in. And that's actually welcome news because more and more models coming in, the EVs become more and more dinner table conversations, which is what we would like to see. Next slide, please.
Financials, strong set of numbers coming through on the revenue line, close to now almost Rs. 52,000 Cr is the size of this business now or selling 573,000 vehicles. EBITDA at 6.5%, I'll peel it out for you in terms of PV and EV, because the mix of PV, EV as it changes, that is something that we will play out. And despite all the

investment we are making in EV, the business is now
comfortably pro■table and doing well. Next slide, please.
A very important slide in terms of the split between PV and EV. Firstly, is a signi■cant achievement for the PV business to become double -digit EBITDA. You recollect not so long back we were looking at EBITDA breakevens in this business and we have really come through a long way. The team has really put in a stupendous e■ort to bring this double -digit EBITDA

business. And the business is now comfortably generating Rs. 1,800 Cr of pro■t, which is substantial. On the EV side, we are continuing to improve our pro■tability. You will notice that this is a quarter, we also took price cuts to pass on the bene■ts of the battery price reduction, some of them . And that's the reason you will see the EBITDA starting to increase now at 1.1% after we remove the PD E expenses , and PBT(bei) negative about Rs. 100 odd Cr, which is extremely manageable in the grand scheme of things that we're taking there. More importantly, the revenue is now almost Rs. 9,000 Cr, which not so long back was the size of the PV business

itself. So we have created a new PV business out of this EV. Next slide, please.
Let me now hand it to Shailesh to give you a sense of the market and the perf ormance of TML .

Shailesh Chandra
Thank you, Balaji. First, I would like to start with the ■rst comment that you see on the table that we witnessed highest ever who lesale and Vahan in Q4 as well as in FY 20 24. So happy to share that two of ■ve highest -selling models were Tata PV cars. Starting with also the key highlights on industry, it was the highest ever wholesale, which was 4.2 million with a growth rate of 8.6%. However, the Vahan growth was slower at 6.1% and that really led to addition of channel inventory last year. SUVs further strengthen ed, we have been seeing this segmental shift, and that trend continued in FY 20 24, the share increasing now to 51% at the cost of hatches of course, which fell down to 28%. But the other main observation was that the emission -friendly vehicles , mainly CNG and EVs , contributed to signi■cant growth in the last ■nancial year.

Coming to Tata Motors, this was the third successive year of posting highest ever wholesale, 573,000. And Balaji already spoke about, we being ranked 2 in second half of FY 2024 in terms of Vahan with a 14.3% market share. EV volumes grew by 48% and also we crossed the milestone of 1.5 lakh EV production cumulatively since the time we started selling EVs. Also Balaji talked about the double -digit EBITDA margin in Q4 for the PV business and this has been driven by a richer mix, str uctural cost reduction actions and of course, the operating leverage that we got in quarter four because of the increase in the sales volume. Coming to bright spots for the industry, I think, SUV is continuing to d o very well and there is a huge traction that we see for the new launches, especially in the 4.3 meters segment and the subcompact category. As I mentioned about CNG and EV volumes , in terms of number it has grown by 55% and 70% respectively, in a market w hich has grown otherwise at 8.6%. So which clearly shows that the growth will be driven in future by the emission -friendly vehicles. And therefore for PV and EV business, it means that with the leverage that we will have of having a wide range of products in CNG and EV portfolio , it will really be upon us to capitalize upon. Good thing is also that all our products in the seven products that we have in our portfolio, most of them are in top two in their respective segment and therefore the traction for all the products continue for us. Also, we are going to introduce the new nam eplate later in this calendar year w

hich is Curvv . This is
one segment where we had not been present, which is the 4.3 -meter mid -size SUV segment. Last year if you see this was a segm ent which grew very strongly by 42% and therefore this would be the product which would be helping us get into this high -growth segment. Talking in terms of challenges for the industry, after triangulating the projections from multiple places, we clearly see that the industry will moderate and grow less than 5%, given that the pent -up demand has got exhausted, the channel inventory is high a nd in the ■rst quarter, we will face certain factors like that of elections, heat wave which might dampen the demand temporarily for quarter one, I would say. For us, you know, we would be focusing on driving higher penetrations of EVs and CNG. And here we are actually focusing on certain cities which we have identi■ed where EVs and CNG have a greater propensity of selli ng. And we are also coming with exciting product interventions. In the next month, you will see one of our cars coming

with what we call as the New Forever intervention. So this will continue for other models also. To drive the charging infra growth and I think we have been doing this for the last six months and it is working out to be very well in terms of accelerating the growth of charging infra through the charge point operators and oil marketing companies, the latter being more aggressive, I would say. And that has ensured that in the second half of the last ■nancial year, we have doubled what was done in the ■rst half of the last ■nancial year. So going forward this is going to accelerate much faster. The public charging infra has already crossed 12,00 0, and we intend to further increase with this partnership through the open collaboration route that we have taken to increase it by 20,000 -22,000 numbers in the next 18 months. And of course, the razor -sharp focus on pro■tability is going to remain through the structural cost reduction initiatives.

So back to you, Balaji.

P.B. Balaji
Thanks, Shailesh. Quickly wrapping up the rest of the slides.
Overall, CV, PV, t he main one to call out is, Cape x is well funded by the operating cash, and nothing abnormal there. And the investment spending , we ended the year at Rs. 8,300 Cr. There are some sure questions, I already see what is likely to be JLR's investment and what is ours - about GBP 3.5 billion in JLR and broadly similar lines for Tata Motors. So that's what our Cape x for next year is also going to be. So I think we have stabilized broadly on our capex spends .
Next slide.
And on Tata Motors Finance, l et me quite quickly take that, we don't comment on market rumors that have come in this morning, but more importantly the performance of this business, underlying performance is starting to do good. Prudent sourcing and the concerted collection e■ort, the teams have been over the last 1 8 months working to get their house in order and accordingly work the system, resulting in very healthy early delinquency rates that we are seeing today. Collection e■ciency continues to improve and that's why GNPA has now reduced to 5.6% and NNPA is 3.2%. So from that perspective, the portfolio is back under control. And therefore we are now focusing on pro■table growth in a steady manner, that's how we want to build this business, and disbursals are starting to pick up. And also a fair amount of asset div ersi■cation underway in terms of used vehicles, structured ■nancing, all this starting to improve the mix and support the NIMs as well. Capital adequacy and liquidity both adequate. No trouble there. Next slide, please.
So on the ratings, we are there . So nothing further to add other than we'll continue to work with the agenci

es to explain our performance and keep improving this number even further.
Next slide.
Overall, outlook we remain cautiously optimistic on the domestic side, particularly in the ■ rst half, and do expect premium luxury demand to be relatively resilient. But of course, there are emerging concerns in the overall demand, which I'm sure Adrian and Richard will be talking

about, but nothing that is going to a■ect as far as continuing to deliver a strong ■nancial performance. But I think the business is now structurally di■erent to what it was earlier. And therefore, the resilience built -in each of the businesses. JLR on the breakeven, CV on each and every vertical starting to work, P V del ivering double -digit EBITDA. So there is a fundamental correction that has happened to this business and therefore expectation of a strong ■nancial performance to continue is absolutely natural. These are the priorities for the business. I won't talk through them, you can read it for yourself. But overall a pleasing set of numbers coming through after a long time. So pretty happy about it.
With this happy to take any questions that have come through. There are already about 21 of them that have come th rough. Let me start and I'll probably mix it up between JLR, PV, and CV. And let me probably start with PV, Shailesh

Questions and Answers section

P.B. Balaji
Let's talk about demand. This is coming from Kapil Singh, Nomura. What are the negative factors which are a■ecting your demand? And the SIAM seems to be even below GDP growth. So can you give a sense of how demand is planning to play out?

Shailesh Chandra
Yeah. Thanks, Balaji. So as far as PV demand is concerned, I already mentioned that this is going to be less than 5%. So that's right, that it is going to be less than GDP and mainly because it has been two very strong years of growth. Just remember, three years back th e demand or the sales of industry was at 2.73 million and this has grown to 4.2 million. So it is natural that the growth will moderate to some extent. Also because the possibility of further re■lling the channel is low this year because already the channe l inventory is high. So, therefore, it will be all about creating demand every month and then selling. So this will remain slightly low this year. But going forward, as we have always seen that secular growth trend for the passenger vehicle industry has be en in the 6% to 8% zone. So it is coming to that level. It is slightly lesser than the secular growth rate because of two very steep growths that we had seen in the previous two ■nancial years.

P.B. Balaji
Thanks, Shailesh. Richard, this is coming your way, again a lot of questions on this front in terms of margins. One, which started by talking about, I think it came from Goldman Sachs, Chandramouli. We went from 6% guidance to an 8% guidance and delivered that. So why is a ■attish guidance of 8.5%? And what is your roadmap to the 10% in FY 20 26? What should be the margin drivers that will make this change from 8.5% to 10%?
Richard Molyneux
Okay, so let me cover that sequentially. So if I look from the year that we've just reported into our

current year. On the one side, the downside we will spend more in terms of variable marketing expense and FME, not a lot more than we spent in Q4 in terms of VME. But we will have to invest in deman d generation. O■setting that, we've said in these meetings previously, we've been growing during the course of the year, our production capacity on Range Rover and Range Rover Sport. Obviously, now we have got that capacity close to where we want i

t to be. So we'll get a full
year of production of Range Rover and Range Rover Sport, and that we're anticipating will o■set any e■ects that we've got in terms of extra spend on demand generation. So that's at a very top level, what we're expecting to happen durin g the course of this ■nancial year. Moving then up to 10% in FY 2026. FY 2026 is the year when our new product starts to hit. So we will have Range Rover BEV in the market by then and other products as well. So at that point in time, we start to replace some of the vehicles on which we make less money with brand -new vehicles, which normally helps EBIT levels. We will also continue to focus on the next 18 months in terms of making sure our cost base is appropriate, both in terms of material cost and struct ural cost. So we're going to focus operationally and we have new vehicles to deliver, and that should enable us to get up towards the 10% number that we committed beforehand and are still committing to now.

P.B. Balaji
Thanks, Richard. Then I probably move back to PV because another burning question that is there. Amyn Pirani, J.P. Morgan. Does your India business PV plan include launches of strong hybrid? Given there's a lot of noise of regulation change favoring hybrids, how would you prepare for such an outcome?

Shailesh Chandra
Yeah, so thanks for the question. I think, we have been very clear, one, that this is a speculation that the hybrids are going to get any bene■t from a GST perspective because we have seen that government has been ■rmly behind EVs, given most of the issues that the country is facing in terms of acute pollution or import dependence on fossil fuel. And also given that there is a net carbon zero stand that the country has taken, and therefore it's an imperative to accelerate EV adoption. And that is how we have been seeing the government considering the GST rates for EV's being lower, and that has only been for EV. And also the recent discussions that we are having with the government bodies, you know when we talk about CAFE -III and CAFE -IV. Right now we are in CAFE -II regime. It becomes imperative to have a certain percentage of vehicles that you need to have as EVs . So, therefore, the direction seems to be very clear that EV will have to be accelerated. For us, as Balaji had already shown in one of the charts, that there is a signi■cant headroom that we have right now in the CAFE -II regime. And we are going to study and keep a very close watch, whether there is a need for additional emission -friendly or a fuel e■ciency improvement tech to meet the stringent future CAFE norms based on what our growth plans are. So far, we don't even see the need of that even with CAFE -III regime. A lso we'll watch the com petitiveness of our products in each of the segments in which we operate. But I think there should be no confusion, we have the ability to develop any technology which will be needed in future. But as of now, we are very sharply focused on electric vehicle s because we feel that, that's the destination technology in the auto industry.

P.B. Balaji
Thanks, Shailesh. Just staying on, this came from Gunjan. In terms of EV volumes, seem to have taken a hit in India particularly this was April. Is it a slowdown? How should we see this evolving?

Shailesh Chandra
Yeah. I think I know where this question is coming from, all the negative commentary on gloom

and doom around EVs globally, as well as then being picked in Indian media also, but let's talk based on the facts.

You know, we just saw, in the charts that I presented, that while the P V industry just grew by 8.5%, the EV industry grew by a whopping 70%. And one can say that it was for the full year, maybe it was in

the first half of the year, but even if you see quarter four, the growth rate was 40% for electric vehicles. So this is sign ificantly higher than where the P V industry is. But it's all around this negative commentary which is being driven by certain section which unfortunately is confusing the customers and all the stakeholders and readers who are reading those news articles. We must know that the barriers to adoption actually has been reducing, earlier there were lack of choices in electric veh icles, today you have 14 models as Balaji had shown in one of the charts. The charging infra from nothing has gone up to more than 12,000 now, in these three, four years. And earlier, the car prices were very high if you had to buy an electric car, it used to be at Rs. 20 lakhs or so. Now you get cars, you know, starting at Rs. 8 lakhs, Rs. 12 lakhs, Rs. 15 lakhs, and so on. So you have multiple cars available. So, therefore, if the commentary rather was on how the ba rriers to adoption is being reduced, the perception would have been different. And therefore I would say, it is more to do with the negative commentary rather than the fact saying whether it is slowing down or not. So I clearly see a strong growth, and if I were to talk about the future also, we are going to see slew of launches coming in the current financia l year also and beyond that, by not only Tata Motors but other players also. So there will be intensity of pitch in favor of electric vehicles. The charging infra growth ha s significantly stepped up after the open collaboration that we have started. And as I said, these products which are going to get launched ar e going to come with significantly higher range also, c rossing 400 kilometers real range and also 500 kilometers real range. So therefore the barriers to adoption will even further go down. So I believe that the story of electric vehicles will really accelerate fast. We should definitely not compare with what is happening in the U.S. or anywhere e lse, because those are for other factors which is not applicable to India. So that would be my response.

P.B. Balaji
Thank you. I think the next set of questions, Richard, probably coming your way. In terms of the demand situation in U.S., Europe, China, there is a clutch of questions around that. And therefore linking that to the order book of 133,000. How do you expect to see that rundown? And in this, the implication on VME, FME, coul d you just cover this in the entire arc of these questions?

Richard Molyneux
Yep, sure. And I'll do some of it in reverse. So we did end the year with an order book of 133,000 units, that includes orders for SV vehicles that does not include the 33,000 people I mentioned to have signed up to the waiting list on Range Rover BEV. Pre -COVID, our order bank sort of averaged a normalized level, of around 110,000 units. So we're still operating 25,000 or so higher than what we would consider to be our n atural level, which allows us to still build that down over the coming months. In terms of demand situation, we're very much a pull organization in terms of demand. We are not going to oversupply the market. But at the moment, we do see that some of the ma rkets are struggling a little bit, probably Europe, and we have some issues in the UK that we are very much on top of resolving. Other markets Overseas and North America are still remaining strong, and China, in the sections in which we operate from an imp ort business, is also strong. I mentioned we're up 17% year -over -year and 27% up versus FY '2022. So still fairly stable in China. So one of the advantages that we've got is we do have a situation where our sales are fairly flat across our five regions. We are not overly dependent on

any one of them. And there is always going to be a situation where some are stronger than others and we have the ability to flex between that. So I think that's probably the important point. Every year, you're going to have winne rs and losers in terms of demand, but we've got the structural setup to be able to cope with that.

P.B. Balaji
Okay. Thanks, Richard. Moving on to CVs. M&HCV trucking demand, can you talk about that?

Girish Wagh
Okay. So I think, as we have said in the last analyst call, we expect Q1 to be a bit slow and then

the demand to pick up very well from second half of Q2. And I think as we see right now, actually the first month of Q1 has panned out well. So we expect, I think, the same way to continue. But I think overall, for the whole year, as we had said earlier, we remain cautiously optimistic. I think we will see a flat to maybe a slight decline in the overall volumes for the year. That's what we see. But otherwise, I think most of the parameters do remain healthy in terms of the sentiment index, the freight index, and the usage per month wh ile it has gone down seasonally but I think it remains at a good level.

P.B. Balaji
Just a double -click on that. I think over the next three years, if you look at it, there's a strong, we just see the up elevators, down elevators, it's coming from Nishit. The strong econo mic cycle and the pickup in Cape x cycles are positive. But t hen, of course, there's DFC and others that are also there. And with the pluses and minuses that we expect the cycle to be less prominent this time compared to the earlier cycles.

Girish Wagh
So, Nishit, I think this is a very good question. And I think let us look at some of the factors which can impact the demand. First of all, I think, for next three years, there is no major regulation or regulatory change on the horizon. Even if BS VII comes, I think probably it will be closer to the end of this decade. So I think it appears there is no uncertainty there. And I think that has also led to ups and downs in the past five, six years because we went through two big changes. Second, macro I think as you rightly put, there is a good infrastructural growth which is happening due to the government's intervention and investment. Consumption continues to do well, and another engine which seems to be ticking now is the manufacturing. I think increase in manufacturing is leading to good demand and therefore that should help. I thin k beyond this, what we need to keep a watch on is not just overall GDP growth, but I would also say, generally the fuel prices, which has a significant impact with 50% of the cost is from the fuel. The freight rates which I think have been continuing to do well over 18 months, I would say. And the utilizations which are also doing well over 18 months. So finally it appears that all these parameters are doing well and therefore with this kind of a macro picture, I think yes, the cycle should be less fluctuating one. As far as the dedicated freight corridor is concerned, I think, the way we have been saying, the Northeast corridor is not likely to have such a large impact because the Northeast corridor has a large amount of transportation of minerals and coal which anyway goes on train. So I think the regular route material will move to dedicated freight corridor. And on the Northwest corridor it is likely to impact, we have a lot of container traffi c on this, especially supporting trade, that is export import . But it appears that with the export - import anyway going up and growing much faster, while the dedicated freight corridor may take some demand from the road, still we will see growth happening on the road freight. So I think overall it shoul

d do well. And n eedless to add, railways are all said and done, hub -to-hub.
I think for first -mile, last -mile, we do need ILCVs and SCVs. So growth in dedicated freight corridor will actually lead to higher growth in ILCVs and SCVs. I think that's how I will sum up, Balaji .

P.B. Balaji
Thanks, Girish. Richard, a different topic coming your way. One is what will be the dividend paid by JLR to TML this year, one. And two, the tax rate, what we should assume for next stable ETR that you will have. And is there any further tax credits that you are expecting?

Richard Molyneux
Okay. So, yes, there will be a dividend paid by JLR in the region of GBP 400 million, and that is being transacted pretty much as we speak. Second question in terms of guidance for reported tax. So the advantage of putting the DTA back on the books is our tax profile becomes a bit more predictable. We would expect it normally to be in the range of 25% to 29%. Actually, if you w ere just o ut for the DTA in FY 20 24, it was 28.5%. And we will be working overtime through particularly the UK patent box strategy to see if there is anything that we can do to get that towards the lower end of the range. We paid cash tax, GBP 333 million quid in the year.

P.B. Balaji
Super. Just mixing it up a bit again now. Shailesh, coming your way. And then, Richard, back to you. Product launch timings. What should we assume for Curvv and Sierra in India? And Richard, at your end, I think a little bit mor e color on the Range Rover Electric. What does that waitlist mean? How much of deposit are you taking? When should we expect the launch to happen? Is it going to be mix accretive?

So, Shailesh, you want to go ■rst, and Richard next.

Shailesh Chandra
Yes. Curvv is going to be launched in the second half of this calendar year, and Sierra will be launched in the second half of 2025.

Richard Molyneux
Okay. So, yeah, we have a large number of product launches coming our way. So let me focus on the Range Rover BEV ■rst. So those vehicles are up in the Arctic Circle testing as we speak. So we're in sort of prototype build. We will expect to take those people who have signed up to the waiting list into orders early next year and then to deliver, start delivering the vehicles during the course of next year. We will star t, also up in the Arctic Circle, the ■rst of our vehicles of our EMA electrical -only architecture. They will also start towards the very end of next year . And then ■nally, Jaguar. So we're going to probably put a little bit more prominence as to what we 're doing in terms of Jaguar now. As we're actually going to launch the completely reimagined brand this summer. And towards the end of the year, we'll reveal a design vision, possibly in the states not decided yet, but we'll reveal that vision. And then you'll be able to see what we've been up to in terms of reimagining that brand as exuberant, progressive, fearless, and a copy of no other. So, yes, a lot coming our way.

P.B. Balaji
Yeah. Thanks, Richard. In terms of quick clari■cation on what does a wai tlist mean, do you take a deposit?

Richard Molyneux
Well, we haven't decided whether we're going to take a deposit yet or not. We have 33,000 people signed up to the waitlist, we will turn those waitlists into orders very early next year.

P.B. Balaji
Got it. Girish, coming your way on small commercial vehicles, especially EVs is a B2B play versus B2C model. How does this in■uence your product o■ering and the business proposition? Will you be expanding to E -3 wheeler as well, considering the B2B aspect coming from there?

Girish Wagh

So, I think this question is from Pramod, right?

P.B. Balaji
Yeah.

Girish Wagh
So, thanks, Pramod, I think it's a very good question. And ■rst of all, I must say, I think SCV electric vehicles is indeed higher B2B percentage. From whatever we sold, 80% of the sale has been B2B. But I will, you know, qualify it is actually more of B2B to B2C, in the sense we have to convince a corporate, kind of a customer, but almost half of their purchase actually is then given to retail customers only. But the bene■t i s that, once this customer is convinced, then I think the follow -on purchase is quite fast. And we are working with more than 45 such brands who have already purchased our vehicles, 45 corporates or brands who have purchased the vehicles. And all of them a re quite keen to progress towards their net zero goals. And decarbonizing their logistics helps them to reduce their Scope 3 emissions. So I would say that, the discussions are at higher level in our organization as well as customer organization, it become s probably tough during negotiations, but once convinced, I think the order pipeline is quite good. But I must also add, Pramod, that there is a good pull, which is happening even in the retail customers. And whether it is, for example, carrying milk, one of the examples. I mean, these segments are also

doing well and customers are actually enjoying the bene■t of lower operating costs. And once they get con■dence in the range, the load it can carry, and that the vehicle can be charged every night, overnight at their home, I think a lot of customers are coming there also. So that's how we are looking at the ACE EV market.

Your question about electric three -wheeler, I would say that, since the BS VI transition, I think the electric three -wheelers have become more relevant. Till the BS VI transition happened, I think electric three -wheeler rather three -wheeler market cargo was going down and electric three -wheeler has started bringing it back. So we are working on two fronts. One is how do we make ACE a much be tter business proposition as compared to a three -wheeler. But beyond that, yes, we continue to track every segment, even if it is adjacent to our current commercial vehicle portfolio, and we keep on analyzing as we go ahead. Balaji.

P.B. Balaji
Thanks, Girish. Richard, there's one question that is available, you have answered the remaining. This is on CJLR. CJLR has seen a sharp improvement in margin, despite considerably lower volumes. What is driving this i mprovement? And how do you see the volume shaping up for CJLR?

Richard Molyneux
So, CJLR, we sold around 45,000 units in the year. It did achieve pro■tability, both at the EBITDA and EBIT level. But it does operate in some segments in China which are more price competitive than the vehicles which we import from outside of China. So we have done a lot over the last three or four years. Three or four years ago, the JV was losing money. So we have focuse d a lot

on operational e■ciency and the distribution systems through China to be able to get that back to pro■tability, even at 45,000 unit volume. So at the moment, we're expecting it to stay there. But as I've said before, particularly in some of those l ower segments, China is an extraordinary positive market at the moment.

P.B. Balaji
Thanks, Richard. Shailesh, this one coming in. You talked about good response to the upgraded Harrier and Safari, but this hasn’t yet translated in any material uptick in volumes. Is there any capacity constraint leading to higher orderbook? That's one. And a nother question on PV is also any update on the incentives under PLI. And when are we starting to claim them?
Shailesh Chandra
Balaji, so thanks for the

question. There's no name, so I can't thank the person by his name. So, see Harrier and Safari, if you would have seen, we launched the car in October, the facelift version of Harrier and Safari. When I see the average volume per month of Harrier, Safari in the ■rst half of the year, which was before the facelift, it used to be ab out 3,500. And in H2, the average has been 4,500. So roughly 30% more. So it's really doing well, I would say. And remember that we are still present only in the Diesel segment here. We have not unleashed the multi -power train strategy here as yet. But as we had also shared externally that we are going to come with a petrol version and that comes in 2025 and additionally the EV version also comes. So the growth of Harrier , Safari is going to come in the coming quarters and years. And from a capacity perspective, we are fully geared up to meet the requirement of growth that will come, with the current phase of diesel version, as well as the futu re versions of petrol etc .

P.B. Balaji
Thanks. PLI, would you want to quickly cover?

Shailesh Chandra
Yes. So, PLI, so far we have got the cer ti■cate for Tiago EV. And right now the SOP for disbursement is being ■nalized. And we are hoping that in the second half of this ■nancial year, we may start getting the disbursement. We are also going to apply for additi onal two products in Q1 and for the addi tional one product in Q2 also.

P.B. Balaji
Got it. And there's another question on the TPG monies that have come in. How much of it has been deployed? So far about 35% odd has been deployed so far, 35% to 40% has been deployed so far. So, question on commodities coming, Girish coming your way. How do you see them and how do you intend to plan for any commodity in■ation that's coming through?

Girish Wagh
Okay. So I think if you look at Q1 and maybe the entire year, we do see some commodity increase s happening this year. In Q1 itself, we are seeing some increase in casting , forgings, aluminum, tires. Fore x will also have some impact. So, yes, Balaji, I think we will have some impact due to commodities, which we will pass through appropriate price increases at the right time.

P.B. Balaji
Yeah. Got it. Shailesh, speaking of the pace here, in terms of network how big is the network for Tata Motors versus market leader, and what are the network expansion plans?

Shailesh Chandra
Yeah, I think, ■rst I would like to thank Kapil for congratulating us on Punch. And I think the question is, in that context, yes, we are one -third of the network that th e market leader has. So we do take pride, you know, of the multi powertrain strategy on Punch really playing out well and creating that kind of impact. So our network size is today about 1,450 outlets on the sales side, and this compares to 4,000 that the market leader has. See, we are very cautiously increasing the network because we want to see the combination of pro■tability of our dealers. But we plan to increase by a couple of hundreds in this ■nancial year because we are also going to come with new products. So it's a balance of pro■tability of our dealers versus network. But we do rigorous mapping of our competition network, as well as the need from a market share perspective in di■erent territories. So that is a very well -managed network expansion pl an that we have.

P.B. Balaji
Thank you. Richard/ Oliver, one coming in a bunch of questions around debt maturities. And is there any plans you have for any fundraise?

Oliver Wolfensberger
Thank you for the question. At the moment there are no plans to access the bond markets, but in due course, we will of course do funding again, but no direct, no immediate plans.

Richard M

olyneux
And our next maturity is in November.

P.B. Balaji
Yeah. Okay. I think I'm now running out of questions. Let me quickly run through that. Give me a minute, guys . Battery costs, I think this is one coming your way, Shailesh. Are you seeing a trend of battery costs coming o■ and how do you see it going forward?

Shailesh Chandra
So far, you know, we have been seeing the battery prices still coming down. We have secured the best possible battery costs from our supplier. Going forward, I think this is going to still go down to some extent, but I think this would be more or less reaching the level of what we can think as the best possible reduction of sale prices. But this quarter onwards, I think we shou ld be getting better realizations of the reduction that we have achieved.

P.B. Balaji
Got it. I think there is a bunch of questions around breakup of gross debt between CV and PV. We had about Rs. 6,000 Cr odd as debt in the CV company, o■set by about Rs. 7,000 Cr of cash between PV and EV, and therefore net number of about Rs. 1,000 Cr odd. So that's a broad number there.
Then in terms of battery prices we talked about, what else do we have?

Shailesh Chandra
I just want to …

P.B. Balaji
Go for it.

Shailesh Chandra
I did not see three, four years. I was just saying for this cycle of where we are seeing the sell prices for three, four years, definitely the trend is going to be a similar reduction in cost. I just saw the three – four year timeframe.

P.B. Balaji
Okay. so much of repetition, I was trying to call out the repetition in that is there. Marke ts we've talked about, I think , Richard, we had generated about GBP 300 million FCF every quarter last year. Why do you expect to see only a breakeven cash flow in Q1 this year? Is it lower volumes, working capital, or higher Cape x?

Richard Molyneux
It's largely working capital. As I've said in Q4, we had a large pickup in working capital. A chunk of that will reverse out in Q1 just naturally as a result of our timing of our wholesales and our production systems.

P.B. Balaji
Yeah. And this next one, Shailesh, again coming your way. Where are we at the ramp - up of the new Sanand facility and its margin impact? And I think we didn't talk about the EV customer,

anything has changed from your previous characterization.

Shailesh Chandra
So, you know, Sanand facility, we started in Jan, we did about less than 1,000 production in Jan, but we have progressively ramped up. And last month we crossed 6,000, to be specific, 6,500. And soon the production ramp -up is going to attain a level of 10,000. And going forward then, you know, further improvement up to 15,000 to 16,000 numbers. So that's the progress as far as Sanand is concerned. As far as margin is concerned, a lot of cost was already factored in the last year itself. But because the utilization of the factory is going to happen this year, so it should be better from a margin perspective.

What was the next question, Balaji, on the profile of EV?

P.B. Balaji
Yeah, EV customer.

Shailesh Chandra
So, we are seeing more first -time buyers coming in, more professionals after the launch of Punch, I would say, because we had seen earlier, more richer people with luxury cars buying Nexon. And then we had on the other extreme, Tiago EV which was being bought as the second - third car in the family. But Punch because of delivering 400-kilometer range below 13 lakh, it has really opened up the segment of professionals and sm all family, which now sees the freedom of not only using EVs as thei

r intra -city used car but also inter -city. So we are seeing
change in profile, but broadly otherwise the profiles have been a lot of doctors, businessmen, sales professionals, homemakers. You know, cars being used for dropping school kids also like Tiago. And also these are the mix of customers that we have seen.

P.B. Balaji
Thanks, Shailesh. Girish set of questions, even in the other ones which we have covered. One is on the whole e -buses portfolio. How are you seeing it? What is the situation? Tenders? What are your open orders, one space.
The other is on non - vehicular business, the growth that you are likely to see, maybe we want to combine the two in terms of also your plan on volatili ty.

Girish Wagh
Okay, so let me take the electric bus one first. As I said earlier in the presentation, we have now more than 2,600 buses deployed, more than 140 million kilometers experience. As far as the tender orders in hand, we have around 1,200 more buses to be supplied this year. In the last year we have not participated in any new tender, we have clarified our position, we've been looking for two things. One is the payment security mechanism and second is the possibility of an asset - light business model. The payment security mechanism has been addressed. I think we

are now in the last lap of resolving the requirement of asset -light business model. And with this, I think you can see us participating in some of the future tenders. I must say, that while this has been happening, there is completely new set of capabil ities that the organization has developed. And a good amount of operational excellence is being developed in this Smart City business. A digital infrastructure backbone is being rolled out which will give us signi■cant capabilities. So I think we are well placed to participate in future orders. In addition to that, we are focusing on customer acquisition in the retail space. And when I say retail, it is more of the corporate employee travel. So there is a lot of interest which is being seen there. Again, I think these corporates want to accelerate their journey of Scope 3 greenhouse gas emission and reduction. And therefore they are looking at their employee travel being moved to electric buses. So we have been engaging with quite a few corporates. There is one order which we've already packed, there are quite a few in the pipeline. So we are looking at even this side of the business to do well. So that's about the electric buses. Second part of the question, Balaji, you asked about the non-vehicle business. I think let me qualify this as the vehicle business in India being cyclical. I think we have been intentionally and consistently trying to increase share of business beyond the domestic vehicle businesses. I think last year we have reached a good healthy level of around 20%. So that's all the non -domestic vehicle businesses. We w ill continue to grow this with higher rate of growth in these non -vehicle businesses. And in fact when we see some kind of a downturn in the vehicle business if at all, whenever it happens, I think we will be even better placed because this business being linked to more the part size and not the volume for that year, the percentage will actually increase. So I think we seem to be on the right track in terms of the non- vehicle busin ess. Balaji?

P.B. Balaji
Maybe one ■nal question to you.

Girish Wagh
Yeah.

P.B. Balaji
In terms of M&HCV, do you hold on to the tonnage growth to be similar or lower than unit growth?

Girish Wagh
So I think actually the movement towards higher tonnage vehicles continues to be there. I think last we spoke I had mentioned about more of 48 tonne multi -axle vehicles growin g at a faster rate with a lo

t of movement happening there. In addition to that, we are also now seeing movement happening towards 55-tonne tractors. So I think this movement does continue towards the higher tonnage vehicle and I believe this is how it will continue going ahead. Needless to say, I think there will be many applications which will need speci■c vehicles, either two-axle, three -axle, four vehicles, multi -axle vehicles. So that will also continue to grow, but we will have higher growth in higher tonnage vehicles. Balaji?

P.B. Balaji
Got it. I think one question about the interest cost at a consolidated level has not seen a signi■cant reduction despite gross debt coming o■. There is on a year -on- year basis also a fair amount of translation coming through in the P&L and that's what you're seeing there. But once that stabilized, you could see the reduction in gross debt translating in interest cost.
I think with this we have covered more or less all the key questions that are coming up there, and o f course, there are some speci■c questions that are there, feel free to reach out to the Investor Relations team. We'll be able to address them as well.
Once again, thanks to all of you for your patient listening and your probing questions as always. We do have the Investor Day coming up in Tata Motors and JLR. Look forward to seeing you there on June 11 in Tata Motors in India. And JLR is on the 19th at Gaydon. So look forward to seeing you there.
In the meanwhile, thanks once again, and of course, thanks to the team here in Mumbai, as well as the JLR team out there. Have a nice weekend guys. Take care. Bye-bye.

Call: Aug 2024

Tata Motors Group
Q1 FY25 earnings call transcript

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MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
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MR. DHIMAN GUPTA, VICE PRESIDENT FINANCE , TMPVL AND TPEML.
MS. NAMRATA DIVEKAR – HEAD, TREASURY, IR, M&A, TATA MOTORS LIMITED

Presentation

Anish Gurav
Good day and welcome to Tata Motors Q1 FY 2025 earnings call. Today, with us are Mr. P.B. Balaji, Group CFO, Tata Motors, Mr. Girish Wagh, Executive Director, Tata Motors , Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited, Mr. G.V. Ramanan, Vice President, Finance, Tata Motors Limited, Mr. Dhiman Gupta, Vice President, Finance, TMPVL and TP EML, Mr. Adrian Mardell, CEO, Jaguar Land Rover, Mr. Richard Molyneux, CFO, Jaguar Land Rover and we also have our colleagues from the Investor Relations team. Today, we plan to walk you through the results presentation followed by Q&A. As a reminder, all participant lines will be in listen -only mode and we will be taking questions via the Teams platform. The same is already open for you to submit your questions. You are requested to mention your name and the name of the organization while sub mitting the questions.
I now hand over to Balaji sir to take over. Over to you, sir

P.B. Balaji
Thank you, Anish. Welcome to the call. Standard safe harbor statement. We will quickly run through the deck and then spend as much time as possible on the questions .

It's been an intense, action packed quarter. The most exciting one coming up is the Tata Curvv, that is set to be launched, August 7th is the date , watch the space . And of course, last week, the most excit ing thing in JLR was the Jaguar TCS racing winning the World E -racing Championships. So, an exciting journey out there, a nd of course, the Defender OCTA coming up pretty soon. So lots of action underway and intend to keep this action at this level of intensity. Next slide please.

From a revenue perspective, the quarter was a decent quarter with a revenue of 5.7% growth, though the volumes grew only 2.5%. Mix obviously coming to play. PBT before exceptional items showed a very strong increase to Rs. 8,800 Cr , driven by favorable commoditie s both in JLR and in Tata Motors here. EBITDA was ■at at 14.4% and obviously, the volume growth feeding into the EBIT numbers at 30 -odd bps operating leverage and very satisfying to see a positive cash ■ow in the ■rst quarter, which is seasonally our weake st quarter and therefore, that's come through well.

Sources of growth where it came from, most of it coming from volume and mix. A little bit drop on pricing. Translation of the pound sterling going up at 1.6% and most of the businesses came to the party in terms of improving their pro■tability on the EBIT line. Net debt marginally up, basically, because of the dividends that went out from Tata Motors and of course, seasonally, for Tata Motors, Q1 is alwa ys a negative cash ■ow, which I wi ll show you subsequently as well. That's what's the net debt going up there. But no stress, it will come back under control, and JLR on track to go net debt free as well. Next slide.

Spending a little bit time on the corporate action before I

hand it over to the busi nesses
to take them through the numbers. One is the demerger. Maybe take a minute to explain the transaction. The way the demerger will happen is in two steps. Step one, we are demerging the CV business undertaking out of the existing Tata Motors Company into the new CV List Co. Immediately after that, the Passenger Vehicle business, which is a subsidiary of the existing List Co called TML, will be merged into the TML existing Company. That is important to get done because you don't want the top Company to be construed as a CIC and hence this becomes a proper operating company. These will be the two listed companies and obviously along with the CV business undertaking, all its investments will also move and whatever is left behind will all be submerged into the TMPV Company . This is what i s happening.

Along with that, the CV Company , the newly formed CV Company will be renamed as TML and the existing TML Company will be renamed as Tata Motors Passenger Vehicles. All of this is expected to happen in the next 12 months to 15 months and the appointed date for this tran saction we are targeting the 1st July, 2025. And when the demerger happens, whoever is on the record date, the shareholder of Tata Motors will be eligible for one share each of the CV Company , that is TML, and one share in the existing TML, which will be called TMPV. This is the nature of the transaction. One of the most important number in this entitlement ratio is obviously 1:1. One of the most important number is the asset ratio as on the appointed date, we expect it to be broadly 60:40, that is 60% as CV 40% as the residual PV that will be there. That is how the TML standalone will cut out and this will be tax -neutral for the CV and PV undertakings as well as the shareholders. And the next 12 months to 15 months is there. This share entitlement report has been ■led by PWC and the fairness opinion for the same given by SBI Capital Markets. Next slide.

This is just the listing. I don't want to go through this. I will leave it to you. Reach out to us if there's anything that you would like us to clarify upon. Otherwise, it is just the listing out of all the companies where it is going to go. I am more than happy to clarify anything o■ine that you may require. Next slide please.

Second set of corporate actions is the merger of Tata Motors Finance, the NBF C with Tata Capital. The Boards, as we announced in June, have already approved it. The scheme is already been ■led, it's with the stock exchanges and we expect to get this tran saction completed in the next nine to twelve months. We are in advanced discussions with RBI for securing their approvals as well as the stock exchanges. And the last one, which is the cancellation of DVRs and the issuance of ordinary sh ares. The NCLT hearing has been completed and the NCLT order is reserved for ■nal judgment. We have a hearing tomorrow, where we expect to receive the orders, ■ngers crossed. And upon ■nal judgment and of course, all other steps will start o■. And we are hoping to comple te this in the next two months, so that the DVRs get cancelled and we have ordinary shares issued in the return. So all the corporate actions are running at full speed and we intend to get all of them closed before the demerger. Next slide, please.

With t his, let me hand it over to Richard to take you through the JLR performance. Richard, over to you.

Richard Molyneux

Okay, thank you, Balaji. And if we could move to the next chart.

So, the bottom line for us is we continue to deliver strong and consi

stent ■nancial results.
This is based of wholesale number in the quarter, it was 97.8K, that's up 4.8% over the prior

year, we produced 100,000 vehicles and we retailed 111,000, including our joint venture in China. That 4.8% increase in wholesales turned into a 5.4% increase in revenue to GBP 7.27 billion. That is a record quarter one revenue level for JLR. It also turned into a really strong PBT number of GBP 693 million, which I will explain later. EBIT 8.9%. This is the 6th quarter in a row that we have had EBIT of over 6%. That's the consistency of our delivery, and also at this 8.9% level, it is consistent with our full year guidance of greater than 8.5% EBIT. In terms of cash ■ow, GBP 230 million favorable. This is our 7th consecutive quarter of free cash ■ow. That is something that JLR has never done in its history before. It's also the second highest ever Q1 cash ■ow behind the GBP 451 million that we recorded last year. We ha ve added ROCE to our metrics on a twelve -month rolling basis at 21.2%. That is consistent with our full year target of 22%. So next chart, please.

And I won't go through this, this will get covered in entirety as I go through the rest of the pack. So next chart, please.
There we go. So this looks at our wholesale and retail performance by brand. Range Rover, a strong success, wholesales were up 25% YoY and retail's up 20% YoY, driven largely by the removal of production constraints as we ■nished the ramp up at our Solihull plant. Defender a little bit weaker in terms of wholesales, but that is just the timing e■ect. If you look at the retail line for De fender, it is fairly ■at and fairly ■at at a very healthy level , signi■cantly over 100,000 units per year for us. Discovery retail is also fairly consistent and Jaguar, as expected, wholesales are down. We ceased production of XE, XF and F-TYPE during the quarter. That obviously translates into lower wholesales. The retail number is fairly ■at as we then start to sell through the stock levels. So no surprise in terms of where we are in terms of Jaguar. Next chart.

So, this is the same thing, but by region. The UK, up 36% YoY. It is down versus Q4, but that's a very natural seasonality in the UK, driven by registration plate changes. US, up

38% YoY. That's really strong brand performance and the US is now nearly a third of our quarterly wholesale volume. Europe is a bit tougher and there are high competitor discounts in that market at the moment. However, if look at the retail performance, it's in fact slightly improved over the same course last year. China, ■at YoY. Certainly in terms of the imported cars, it is a market we're paying close attention to. Overseas, again, on a retail level is fairly ■at, a modest decline YoY, but that is from a truly exceptional year in FY 2024 . The next chart.

This shows the walk of PBT from the same quarter last year, so a walk from GBP 435 million to GBP 693 million. Volum e and mix, favorable. Volume we ha ve spoken about. Mix is the increased production and hence wholesales of Range Rover, Range Rover Sport as we ramp through the launch curve to full capacity at our Solihull plant. We do see increased sales allowances on a retail incurred level. They were at 3.2% in the quarter and that is up versus the previous quarter, which was at 2.4% in the previous year. The biggest increase has been in the UK, to counter, amongst other things, the higher insurance rates following targeted thefts by organized crime gangs. Material cost compensated the vast majority of the incremental VME. So if y ou look at net pricing and contribution costs together, they are fairly ■at. That is the result of true cost reduction and also re

duced
supplier claims as the global in■ation environment becomes less penal. Structural costs, up slightly, half of that is in relation to FMI and selling costs to drive demand, the other half in relation to systems development and deployment. I guess the big variance is FX and commodities. Sterling did strengthen during the quarter, hence the operational FX adverse that was more than o■set by our hedging portfolio. The big point here is the unrealized commodity derivatives. So both aluminum and copper rose by about 10% during the quarter and we have a signi■cant hedge portfolio. So that hedge portfolio gained GBP 58 million in th e quarter and that compared to a GBP 79 million loss in Q1 the previous year. Hence the delta quarter -by-quarter of GBP 137 million. Next chart.

Okay, so in terms of how that GBP 693 million turns into free cash ■ow, if you look at cash pro■t after tax, GBP 1.298 billion, that is up 14% versus Q1 FY 2024 . We are spending more on executing our plans, GBP 951 million on investment and we did get a small working capital hit in the quarter. That hit is actually a little bit lower than we were expecting as we did manage to turn most of the month end receivables into cash. So the receivables change was less penal than we had hoped, than we had feared and that led to GBP 230 million worth of free cash ■ow in the quar ter. Next chart.

So investment, I mentioned GBP 951 million, of that GBP 678 million is engineering with a capitalization rate of 66%. That capitalization rate is up slightly versus the average in FY 2024 as the vast majority of the programs that we are now engineering are approaching their launch timing, I expect engineering to stay close to peaking at these levels and then to slowly come down. Next chart.

Right, business update. So I have got two main updates for you. The ■rst is an important announcem ent for our China JV, which will license the Freelander brand from JLR and blend together with Chery's EV e ngineering to create new products for the China market, initially, but that do have the potential for global retail. This is a real win -win. It's the best of what we do in terms of brands with the best of what Chery do. It's complementary to both companies, so it's independent from Chery's existing portfolio and it's independent of our house of brands. This arrangement is highly accretive. I ac tually think the markets

have underestimated the signi■cance of this announcement.

Next, and equally, if not more exciting, I can provide a little bit more clarity on the rebirth of Jaguar. This is a once -in-a-generation opportunity. We get to reset, rede■ ne and relaunch a truly iconic British brand for a new audience, for a new set of customer s. We have done the ■rst phase and we are now starting the launch of the brand. That will happen towards the back end of this year, most likely in the US, and we will launch it as a brand ■rst, with the vehicles to follow. New Jaguar will be a copy of nothing. It will b e exuberant, modernist, unique, fearless and very progressive. We are actually seriously looking forward to revealing new Jag to the world. Next p age.

So, looking ahead, we've had a successful Q1, a very successful Q1. But FY 2025 is not without its challenges. Most front of mind is that one of our key aluminum suppliers has been impacted badly by a ■ood, and this will disrupt our inbound supply. It's not impacting us currently but we do expect it to constrain our production through the balance of Q2 and into Q3. We a re working very hard to ■nd solutions, but it will have a short -term impact. We will hold our guidance on our key full -year ■nancial deliverables of greater or equal to 8.5% EBIT, and ach

ieving net cash. And we wi ll update you further at the end of Q2. Guidance beyond FY 2025 is unchanged.

So, summary. We remain committed to sustainable, cash -generative growth. We're delivering our promises, unlocking opportunities for growth, be that OCTA or be that Freelander. We're growing and doing so responsibly, focusing on ROCE and capital alloc ation, for example, between BEVs and ICE. We are convinced the best is still to come.

With that, I will hand back to Balaji.

P.B. Balaji
Thank you. Thanks, Richard. Let me now hand it over to Girish and Raman an. Ramanan , I will just introduce , he i s the CFO of the Commercial Vehicle Business . Let me give it to Girish and Ramanan. Ramanan over to you. You can start o■.

G. V. Ramanan

Thank you, Balaji. Just to kind of take you quickly through the market share for commercial vehicles, I think the headline is overall market share is in line with the range that we had last year. So we had around 39% and it's been growing in all these segments except that on the light goods vehicle that we have, we've had a drop of around 120 bps.

A quick ■nancial snapshot for Q1. Overall, wholesales has been a year -on-year growth of around close to 6%. Revenue at Rs. 17.8K Cr is a 5% growth over last year same time. Healthy PBT in Q1 of around Rs. 1.5K Cr. EBITDA at 11.6% is at 220 bps growth over last year and an EBIT of 8.9% is 240 bps growth over last year. All this, cumulatively, leading to a good improved ■nancial performance re■ecting in the ROCE, going close to 40%. Go to the next page.

In terms of our EBIT walk versus Q1 last year to now, I think key factors which have really in■uenced , a good volume mix, favorable volume coming in from M&HCV is kind of

impacting to the extent of around 100 bps and then realization and variable cost largely driven by commodities gain is helping us to the extent of around 270 bps. So t hose have largely kind of helped towards improved pro■tability versus last year.

For business update, I would hand this over to Girish now.

Girish Wagh
Than k you, Ramanan and good evening everyone. So let me start with the highlights for the quarter gone by. So the wholesale volumes for Tata Motors grew 7% YoY and within that M&HCV and CV passenger carriers also grew and we performed better than the industry. We had highest ever revenue in Q1 at around Rs. 17,849 Cr. And also as Ramanan mentioned, highest ever Q1 EBITDA and EBIT. On the market share front, heavy commercial vehicles, intermediate light medium commercial vehicles and the CV passenger segments, I think all these, we grew month -over -month in Q1, surpassing the FY 2024 exit market share also. I think overall, CV share was marg inally impacted, essentially due to the small commercial vehicle and pickup segment, which continues to face headwinds in terms of ■nancing for the ■rst time users, especially for the mini truck segment. The non-vehicle business revenue grew by 8% year -on-year basis. Some of the bright spots, I think contrary to expectations, the demand remained robust with industry volumes growing. And within that, I think for Tata Motors, the M&HCV volumes grew by 10%, whereas the passenger carrie r, including buses, grew by 39% , but within that, let me tell you that bulk of the growth in M&HCV was actually led by the medium commercial vehicle segment, the 19 ton segment. The ■eet utilizations remained at healthy levels in Q1, post Q4. Generally, Q1 utilizations may be a b it down after Q4 but remained at a healthy level. We've seen healthy monsoon and expecting the policy c ontinuity now with a lot of cape x allocation for infrastructure projects . We expec

t that the CV demand should
graduall y keep up pace with all these ma cro factors. We have seen enhanced contribution of digital lead generation to our retail , almost at 28% now. We continue to launch new products and variants, so 25 plus product s and 70 varia nts were launched in Q1 . We continued our cost optimizatio n e■orts and also realization improvement from the market in Q1.

Going ahead, our focus areas for trucks and buses, yes, we will continue to introduce new variants for the white spaces and we'll have aggressive market activation as well as promotion of th e value added services to drive the volumes. On small commercial vehicle, as I've spoken in the past, we are doing this entire front -end transformation from a B2B organization to B2 B2C. So, we continue this deployment. We will continue growth in downstream by increasing our penetration of service and spare parts. International markets, we continue to maintain the market shares in the markets where we play while improving our margins as well as channel health. Cost reduction e■orts, as I said, was a bright spot in the quarters gone by and in fact, the commodities also remained ■at in Q1 and likely to remain at an overall ■at level in Q2 as well. We are accelerating our sustainability initiatives, whether it is about Net Zero, greenhouse gas emissions or circularity.

Going next on the electric mobility. So we deployed more than 160 buses in Q1. So now we have more than 2900 buses deployed till date. On Ace EV, you know, after the discontinuation of FAME I I, we intr oduced the new product Ace EV 1 ton payload and have

been able to sell more than 800 units in ■rst quarter, which actually delivers better operating economics to the customer. So I think this has helped us to stem the reduct ion in volumes in the post FAME environment. We now have more t han 5400 vehicles plying and cumulatively clocked 26 million kms. We have received the PLI certi■cate for the 1 ton variant of Ace EV also.

On the Smart City Mobility Solutions, so cumulative, 2900 plus buses have crossed now more than 160 million kms and we continue to improve the operational e■ciency having 95% uptime for the buses. We c ontinue the deployment under th e CESL tender that we won, within Delhi and Bangalore more than 1300 buses are deployed, and in Jammu and Srinagar we have deployed almost 200 buses. For the new tender, we continue the discussion with the government authorities for payment security mechanism, which has been accepted but awaiting cabinet approval. We are working with the government authorities to ■nd out ways and means to come up with an asset -light business model and once this is done, I think we will be participating in the upcoming tender.

On the Digital businesses, Fleet Edge now has more than 690,000 vehicles on the platform and the machine -learning -enabled fuel e ■ciency Mileage Sarathi model that we have introduced, we have now cumulatively more than 40,000 vehicles signed up and 18,000 vehicles signed up in previous quarter, and the vehicles are experiencing anywhere between 5% to 6% real -life fuel e■ciency imp rovement. On the Fleet Edge, we continue to see improved engagement time, as we keep on adding enhanced, informative and contextual insights, whether it is on operations, vehicle health as well as driving behaviour . E-dukaan, our online marketplace for sel ling spare parts, cont inues to do well and we had 2.6 x growth in the revenue over Q1 of FY 2024 . And Fleetverse, which is our online platform for selling vehicles, we had 9800 platform -assisted retails, and this continues to grow month -over -month.

Back to you, Balaji.

P.B. Balaji
Thanks, Girish. Let me now i

nvite Shailesh and also introduce Dhiman Gupta, the CFO of the Passenger Vehicle business and EV business. Shailesh, Dhiman, over to you. Dhiman?

Dhiman Gupta
Thank you, Balaji. Moving on to the PV side of the business, it has been quite comforting to see the consistency in our Vahan market shares, hovering close to 14% over a sustained period now. This has been ac hieved despite no new nameplate additions in our portfolio for some time. This augurs w ell for our New Forever strategy, which has helped in keeping our existing portfolio always fresh and desirable. With the launch of Curvv, India's ■rst SUV Coup e this month, we expect further market share wins from here. Our multi powertrain strategy conti nues to come through nicely, with mix of CNG and EV now covering nearly one-third of our portfolio. The build towards an emission -friendly portfolio ensures our CAFE headroom is substantial at this point of time and we are also future -ready for the next wave of CAFE introductions that happen . Next slide please.

On the EV side, while the personal segment has remained steady, we ha ve seen a sharp year -on-year decline in the ■eet demand post expiry of the FAME II in March 20 24, a quarter in which we saw a substantial amount of pre -buys. This is re■ected in our lower

offtakes and market share for the quarter. Our journey towards increasing EV penetration expanding product portfolio at various price point continues. Curvv EV, our ■rst, EV -■rst nameplate is expected to further bring in new set of customers who are looking for a bigger EV and a higher driving range. Do watch out for the launch event we have planned on the 7th August and for all the exciting new bene■ts that this new nameplate will unlock. Another big piece of the work underway to support the growth of our portfolio is the intensity at which we continue to work with charge -point operators t o expand the, charging infrastructure in the country, the pace, we continue to intensify and we saw addition of another 2000 odd chargers this quarter.

Shailesh is going to cover the market scenario in greater detail in the coming slides, but the ■nancials are re■ective of the subdued market demand that we've seen this quarter, where industry retails have de-grown for two consecutive months, in May and June, due to a combination of peak summer in various parts of the country and the elections. This led to a step up in VMEs by OEMs due to the higher levels of ch annel stock. For TML, as we have seen in the past couple of quarters, the focus continues to remain on maintaining Vahan market share and correcting our wholesales for having optimal level of channel inventory. While our wholesales were down 1%, the revenues are down 7% due to lower EV sales and the weaker mix in general on the ICE side. We've maintained our pre -tax pro■tability on a year -on-year basis. The EBITDA margin uplift that you see on a year - on-year basis is largely a f unction of the ICE -EV mix and I wi ll just peel it out further in the next slide. Next slide please.

The s egment ■nancial split of EV-ICE and EV pro■tability. On the ICE part of the business, we've been able to maintain our EBITDA margin on a year -on-year basis at about 8.5% and substantially improved our EV pre R&D EBITDA margins by 6% on a year -on-year basis. This has been achieved on the back of the structural material cost reductions that we continue to make, further aided by the tailwinds that we ha ve seen in the battery prices. This has helped o■set the adverse impact of VME and mix, and the loss in operating leverage due to the lower than anti cipated volumes that we have seen this quarter. On the ICE side, we expec

t to see sequential improvement in margin s in the coming quarters on the back of improved festive demand and the launch of Curvv.

Shailesh, over to you.

Shailesh Chandra
Thank you, Dhiman. So let me take you through the quick update ■rst, starting with the industry. You know, after witnessing 15% growth year -on-year in April, primarily because of festivities, the industry did face stress . From a registration perspective, we saw sequential fall in retail from 1% to 7% in May and June respectively. However, the industry regis tered wholesale growth year -on-year of 4% in May and June, that has resulted in increased channel inventories and we have seen that high channel stock led to discounting action s towards the end of Q1.

Coming to Tata Motors, as was also mentioned by Dhiman, that our wholesale growth in Q1 was ■at, with steep correction that we took in June to keep the channel inventory under check. We maintained our Vahan market share at 13.7%, driven by sustained dem and for Punch, CNG vehicles etc. Financial performance was sustained despite industry headwind and through multiple measures including the o■setting measures like

structural cost, etc.

And talking about the bright spots in the industry, it was actual ly interesting to see that the inquiries remained ■rm in May and June despite the declining retail and that pretty much indicated that in the coming months the retail is going to come back. It was customers who are taking slightly more time in terms of con verting to retail and we did see some level of bounce back in July. And we expect that in the upcoming festive season, the demand growth is going to come.

For Tata Motors, Punch has sustained itself as number one model in the industry, with 56,000 plus sales in Q1 . We also took several marketing actions that helped in generating strong bookings in June as well as in July, last month. And as Dhiman mentioned, that we are going to enter the mid -size SUV segment for the ■rst time, with the launch of Curvv, which will further help us through our volumes.

In terms of challenges for the industry, we have an all -time high channel inventory with further buildup which happened in Q1, did add stress on the wholesale s. Also, there has been moderation in the EV ■eet segment demand due to the expiry of FAME II in March 2024. As far as we are concerned, in terms of actions, we focus on retail acceleration backed by e■ective marketing campaigns, micro market focus, targeted product interventions, which are going to come in this coming months. There are new upcoming launches primarily to drive customer excitement and of course, it is also going to help us improve footfalls in the showroom. We are also going to expand the customer ■eet, you know, ■eet customer base and als o strengthen our o■erings. And the focus on cost reduction will be paramount. We will continue the rigor on tight control on ■xed cost and continued e■ort on structural cost reduction within the organization.

So back to you, Balaji.

P.B. Balaji

Thanks, Shalish. Thanks, Dhiman. Just quickly covering the overall numbers. Next slide please.
On a free cash ■ow basis this is seasonally a weak quarter for us. So we had out■ow of Rs. 1300 Cr but heartening with the cash pro■t after tax, well more t han covering for the capex spends . That discipline continues and therefore, this Rs. 2000 Cr of cash out■ow and working capital should reverse as the year progresses. So no stress here. Next slide please.

Investment spends. The details are there for you to see. We are cloc king at the Rs. 8000 Cr rate that we had committed and we'll be there in that zone. Next slide

Tata Motors Finance, as I've said earli

er, the e■ective date as far as the appointed date
for this merger is going to be April 1st 2024. So this year's ■nancials of Tata Motors Finance, the NBFC, will be merged with Tata Capital as and when the NCLT approval is secured. That is just for information . But on an overall basis, the focus on growing the AUM while holding the portfolio quality continues. Disbursals are stepping up. We grew about 33% YoY basis, and all the quality metrics, and the pricing discipline, all of them

are trending in the right way. It's seasonally a weak quarter from a collection perspective after a blockbuster Q4 that comes through. Despite that, we had solid colle ctions coming through at 97% and this needs to be seen in the contex t of a general election as well, which will a■ect typically the cash ■ows of most customers. And of course, the concerte d collection e■orts are helping to contain GNP on an absolute basis and capital adequacy is under control. So this business is managing through this transition quite well. Next slide, please.

Overall, from a from a demand perspective, we do anticipate as far as the global demand is concerned, it is likely to remain muted. It has been that way. It's likely to remain muted. No immediate changes there. Domestically, we expect a gradual improvement in the domestic demand during the rest of the year as the inve stments in infrastructure, healthy monsoons, favorable macros, new launches, festive demand, all of that is coming through. So there is a need for absolute reason why there is an optimism as far as the domestic demand buildup is concerne d, how gradual it's going to be, we wi ll have to wait and see. Commodities are also likely to remain range bound and therefore, in this situation, we are con■dent of sustaining the performance in the coming quarters, and delivering a strong year. So ■nancials wise, this business is on a strong wicket and is likely to remain that way in the coming quarters and the full year as well. The respective priorities for each of the businesses is there for you to see.

Let me now turn it over for the questions which are piling up on other side.

Give me a minute, please.

Questions and Answers section

P.B. Balaji

Okay, let's start with commercial vehicles. This is a question from Kapil from Nomura. This is on commercial vehicles, so, Girish, on M&HCV July data seems to be a bit weak, compared to ■rst quarter. Any sudden changes you have noticed and should we expect improvement post elections and heat wave and how you see the full year?

Girish Wagh
Right. So I think, as I mentioned in the presentation, in Q1, we actually have seen a very good ■eet utilization and we are also able to track the kilometers run by the trucks which are on Fleet Edge, which also showed a good positive improvement over Q4. However, in the month of July, we have seen that the kilometer running has gone down for obvious reason, which is heavy rains, I think that impacted most of the infrastructure projects, mining operations, and it also impacted, to some extent, goods tr ansported on h ighways. Now, we ha ve also seen, due to this, that the customers have postponed purchases from the month and that has led to a drop in volume in July. If you see the our pipeline, demand pipeline that we have now as compared to a year back, that has not dr opped to the extent

that we have seen the drop in the wholesale volume in the month of July. Secondly, I think what we ha ve seen is in the infrastructure projects, quite a few of the customers have informed us about payments being awaited and they are expe cting the payments to get released starting this month from the government. So that should also lead to action. Now, beyond this

, if you see at an overall level, I think good monsoons, while they have

impacted the demand unfavorably in July, will actually mean good in the long term. The policy continuity as well as higher allocation to infrastructure projects, we expect that once this gets into execution mod e, it should start helping the M&HCV demand again . Balaji.

P.B. Balaji
Thanks Girish. Next question from Amyn Pirani. Let me take that. This is more an accounting question regarding where did the money go? If there is a Rs. 2600 Cr debt increase quarter -on-quarter? Let me explain the numbers. As far as JLR is concerned, to th e extent of the dividend that went out of JLR, that is neutr al at a consolidated level, you a re absolutely right. And therefore, it's only payout that went to the vendor that we have referred to in the notes to accounts. India is a negative FCF to some extent, that is, I ha ve explained that earlier, and the debt increase that you see at an overall level is basically the dividend that went out of Tata Motors to its shareholders. And that's why you see it also in the Tata Motors net debt as we ll. That's the only reason why the debt has gone up, which is temporary. And as the pro■ts come through the quarters, you will see that correcting.

Question now, this is coming, Shailesh, your way. What's the current dealer inventory in the India PV busin ess? How does it compare with the industry as well as Tata Motors own normalized historical numbers?

Shailesh Chandra
Our current dealer inventory would be in between 35 days to 40 days. We do track or we do estimate the industry inventory levels, but since it's not a published data, I would not like to really share that information. In terms of normalized inventory, typically, we target about 30 days, so it is on a higher side.

P.B. Balaji
Thanks, Shailesh. Richard, this is coming your way. This is from Jinesh Gandhi, Ambit. With 8.9% EBIT margin in a seasonally the weakest quarter for JLR, are we expecting any headwinds for margins for the remaining of FY 2025 ? And this is also con nects to another question. I think it comes from Pramod in terms of the guidance for the year, is there anything that you would like to reiterate? And then the question on the Freelander brand to JLR, how does it ■t into the JLR's modern luxury house of brands approach and maybe that could be for Adrian. And also, can you talk about the timelines and any investments from JLR or the royalty to be paid to Chery for the EV architecture? And the last one is on the VME, which in JLR is at 3.2%, till what le vel do you plan to invest?
Richard Molyneux
Okay, so let me take the ■rst one. So, 8.9% is consistent with our full year guidance, which was greater than or equal to 8.5%. Headwinds, I think I've mentioned, the biggest headwind that we face is in relation to supply of aluminum. And we will do our damnedest to make sure that that does not stop us hitting our EBIT targets for the year.

P.B. Balaji
Can you also comment on the Freelander brand?
Richard Molyneux
Yeah, let me do that if Adrian's not around. So, it is outside of our house of brands. This is going to be a license agreement where the JV in China licenses the brand from JLR

and combines it with technology from Chery to produce vehicles under the Freelander brand for the Chinese market initially. It is completely outside of JLR's house of brands and the distribution system, when we announce it will re■ect that.

P.B. Balaji
Yeah, a nd maybe just to add to that po int, remembe

r that CJLR is a 50: 50 joint venture
between Cherry and JLR. To that extent, whatever pro■t CJLR derives because of the sales of Freelander brand, 50% of the pro■t is attributable to JLR. That's another answer there.
Richard Molyneux
Yes. So, JLR will receive from that a royalty and our share of the pro■ts in that business. And if you think Freelander up until n ow has been a dormant brand and we turn it into a royalty ■ow, a 50% share of pro■ts of a Chinese based EV with a British brand, you can see the potential that this has to be accretive to our performance therefore.

P.B. Balaji
Thanks. The last one is on the VME, which is at 3.2% and what level do you plan to invest?
Richard Molyneux
So we think it will rise a little bit further, but only marginally from these levels as we work through the e■ect of the reduced supply that we will receive in the next couple of quarters. That hopefully, should cap the growth of VME not that much higher than the Q1 level.

P.B. Balaji
Thanks, Richard. I'm going to stay with you for a while. This is on all things , China. You explained the Freelander transaction, park that aside for the time being, but the underlying performance, CJLR wholesale decli ned by Q1. This came from Aditya Jhawar , Investec. CJLR wholesale declined Q1. Even volumes for the car shipped from UK to China were ■attish. Any sense on demand outlook in China, as well as any market share indications you could give, as well as the EV penetration and luxury cars in China? Anything that you see in that?
Richard Molyneux
Sure. The wholesale volumes in Q1 for the domestic vehicles were 11,800. That's higher than Q4, although lower than the same quarter last year. So it's certainly more di■cult and more di■cult at the lower price points in China at the moment. However, the import business we still see as strong. We don't measure or refer to market share, but we note that our sales are increasing YoY in China. So it re ■ects the strength of the brands, particularly Range Rover and Defender. We are paying close attention to it as there are certainly signals that demand is not at the level that we would like to see it going forward and it will be a focal point for us for t he balance of the year to make sure that we take the necessary action. So it is absolutely a focal point for us. EV penetration is right at our end . To be honest, it is very limited at the moment. Chinese customers for Range Rover and Defender are st ill very much ICE customers.

P.B. Balaji
Got it. Thank you. I think the next question. Sorry, Richard, I'm going to stay with you again. This is from Gunjan, Bank of America. Couple of questions on JLR. How substantial can the impact of aluminum shortage in Q2 and Q3 be? And also, can you give some c olor

on the CO2 emissions norms in EU in 2025 and how it a■ects us and how do you mitigate the risk . I think you already covered that.
Richard Molyneux
Yeah. So on the aluminium shortage, it is relatively new news and we are still working through how we can compensate. We a re normally fairly good at that. Our industrial operations team are very good at ■nding alternative sources and we are also leveraging the Tata ecosystem to he lp us in this. So we a re not going to give speci■c numbers. What I will say is within our full year number set, we are aiming to compensate for it such that we can still hit our EBIT and net cash position at the end of this year. We will work through it ov er the next few weeks. We wi ll give you a better update at the next quarterly meeting. But we recognize it's a problem and we have all resource focused on short term mitigation and then medium term mitigation to make sure we can hold our full year EBIT and net ca

sh targets.

P.B. Balaji
Thank you. This next question probably I'll take it. This is from Jinesh Gandhi. Clari■cation

of asset ratio for demerger at 60:40 CV: PV. This is just for the India business and not including JLR. Absolutely correct. It is just the standalone entity of TML that is getting demerged. CV is coming out of that. So for whatever is remaining is the 40%, they are basically investments that company holds into the PV comp any, EV company JLR. It is the investment value which is all at book value.
Next question is from Chandra mouli again, to JLR. Richard, what i s the quantum of price hike that was taken at the start of 20 25? And also can you give us some pointers on from this 8.9% that is there, how should we think about the journey to the 15%. How do you build the building blocks, any color on that? And maybe let me park and then take the remaining questions when you ■nish this. Or else I'll just be asking questions.

Richard Molyneux
Okay, so look, pricing, we haven't taken a great deal of net pricing. So within the numbers that I showed you in terms of the variance, pricing is not more than about 1% net. How should we think about the journey to 15% EBIT margin? I'll refer that to the comments that I made during the investor day, where we cover that o■ in some detail, driving the slight c ut in FCF outlook for JLR FY25 . What I've said is that we are going to hit net cash and we will work through the e■ects of the aluminum issue that I referenced in terms of free cash and update you next t ime around.

P.B. Balaji
Thank you. So I think next question I think is coming into CV , LCV segment growth potential after a period of ■atness, how are you seeing that?

Girish Wagh
So I think like we mentioned at the beginning of Q1, we see that for the year, the LCV, we call it a small commercial vehicle segment - SCV Pick-up should actually remain ■at wi th respect to the last year. We wi ll see higher growth or double digit growth in the CV passenger, that is, buses and van segment. And HCV and ILMCV is something we need to keep a watch on a quarterly basis. I think in ILCMV we do see growth continuing, which happened in the ■rst quarter also. HCV is something I think we need to keep a watch and how demand picks up. This is some of the factors that I spoke in the question which I

answered before. Balaji.

P.B. Balaji
Yeah, thank you. I think this. I'll bring it into you Shailesh. EV softness in the ■eet segment. Can you just explain what's happening there?

Shailesh Chandra
Yeah. So, you know, there are many questions that I have been seeing around ■eet segment. So let me ■rst give some facts. Fleet segment is typically i n EV, 10% of the EV sales. That is how it had been in FY 20 24, which dropped to 5% to 6% in Q1. The reason is that in Q4, because FAME II was expiring , in Q4, we saw two to three times jump in the ■eet sales as a pre buy and that actually led to Q1 declining signi■cantly to the extent of 45-50%. And that has continued and over■own to July also because there is also an expectation of FAME III announcement, which ■eet owners would like to wait for. So this is what's really happening as far as ■eet segment is concerned. This was the question?

P.B. Balaji
Yeah, absolutely. Then questi on from Gunjan on electric business , can you give a better color on the volume break up between personal and ■eet? Go for it Shailesh.

Shailesh Chandra
So I already just mentioned that it is 10% is the ■eet segment, which currently has dropped to 5% to 6%. Also, the question asked for FAME policy continuity. It would not be right to speak about it. Although we have been in continuous discussion w

ith the government, we
are hoping that the same FAME II categories of vehicles which were given the FAME bene■t would continue. And it is very important that this segment is promoted because the direction of Niti Aayog, when they framed the EV policy, it was focused on connected , electric and shared mobility. So I think government is very much focused on shared mobility.

So we do expect, but we have to really wait and see as and when it comes.

P.B. Balaji
I think Dhiman, this is probably coming to you. How are we treating PLI? How are you accounting for it? Are you accruing it? Can you just give us some color?

Dhiman Gupta
Sure. Auto PLI SOP, after a long wait has been ■nalized and issued by the MHI on 25th July. As of now, on the Passenger Vehicle side, Tiago.ev is AAT certi■ed and for wh ich techno commercial audit has also been co mpleted. So all the sales in FY 20 24 done for this vehicle for the select trims is eligible for claiming PLI incentive. We are in the process of going through the SOP in detail because there have been certain changes from the last version that the OEMs had seen and we are studying it for all necessary compliances and we are planning to ■le t he claims by 30th September. We normally take a very conservative accounting policy when it comes to accruals towards any new incentive schemes of the government and we typically take this only when the entire certi■cation claims and the cash disbursal process is fully veri■ed and established end -to-end. You know, all our EV products that have been introduced are DVA compliant and the process for AAT certi■cation is underway. So we plan to complete it this quarter.

P.B. Balaji
Thanks, Dhiman. I think a bunch of questions, Shailesh, on the ASPs of PV, pro■tability of PV. What we saw this quarter, there's been a drop even vis -a-vis competition. How are you seeing it?

Shailesh Chandra
You know, in the presentation, Dhiman already talk ed about it that in Q1, because of EV volumes dropping as well as, in the ICE side also there was a model mix which was under pressure. I think we are very con■dent of recovering back. We ha ve already seen the recovery i n July and henceforth in the coming months and with the new launches that we have, they should come back very strongly.

P.B. Balaji
Yeah, and similarly on the CV side, Girish, despite price hikes and higher M&HCV contribution, CV ASPs declined on a YoY basis. Could you give us some color? Is there any other speci■c point, are we seeing any increase in discounting?

Girish Wagh
Yeah. So actually, Jinesh, from Q1 FY 2024 to FY 20 25, the ASPs have gone up in CV, point number one. Point number two, actually, the heavy commercial vehicle salience has gone down. It was 30% in Q1 last year. This year it is 28%. And third, I think, which probabl y you would not have noticed is, within heavy commercial vehicles, there is a shift happening from multi axle vehicles to tractor trailers and that also leads to drop in average ASP. But despite all this, we have seen an increase in ASP YoY basis.

P.B. Balaji
Thanks, Girish. Next is from Binay , Morgan Stanley. Question coming to you, Richard, and one more person also asked down below, JLR depreci ation dropped Q -o-Q. Could you explain, give us the reason? And secondly, your gross margins also came o■ Q-o-Q despite better mix, what drove that? And the rest of his questions have been answered.

Richard Molyneux
Okay, so depreciation QoQ. So we stopped product ion of the Jaguar XE, XF and F -TYPE in Castle Bromwich during the quarter. So those assets are now fully depreciated. So that is the main cause of the drop in depreciation. Gross margin, the only e■ect I woul d call out

is, we did increase VME during the quarter as we ha ve referenced the 3.2% on a retail basis, we had to take a GBP 60 million stock revaluation hit for that, for vehicles that we had wholesaled but not yet retailed. So on top of what I've referenced before, those the two items I would call out.

P.B. Balaji
Yeah, got that. Thank you. I think the next question is on the cape x for the current quarter. And is there any risk to your overall guidance? You spent a billion pounds almost this quarter. How does that speak to the GBP 3.5 billion that we had guided for the year?

Richard Molyneux
Yes. So we are running a bit higher than target. That's partly because we have to continue development of both BEV, PHEV and ICE powertrains. Given the global transition to BEV is

going, let me say, slower and more globally patchy than many expected. We a re also making sure we bring to market BEV solutions that are perfect for our bran ds, with their o■ road mastery, their luxury drive credentials. So we a re learning from others that have gone before us, making sure our powertrains are perfect, and we will get close to GBP 3.5 billion by the end of the year, as I said, I expect engineeri ng to be peaking at the level we ha ve shown in Q1 and start to reduce from there.

P.B. Balaji
Got it. Thank you. And the FCF for the current quarter is weak. How do you plan to reach the full year plan? I think you ha ve covered it in your slides . You just want to give it a little bit more color?

Richard Molyneux
Yes, but if you net out the working capital, as you mentioned beforehand, will net out actually sort of free cash ■ow before working capital is at the GBP 350 million level per quarter, and that's o■ 98,000 units. So it's not far o■ the type of run rate that we need.

P.B. Balaji
Got it, thanks. Staying with you, I think you talked about the timelines for discontinuing the Jaguar model. This is from Rishi Vora. Can yo u share the volume guidance FY 20 25? Most of the global OEMs have cut their guidance. Is there any demand pressures the company is witnessing? Let me clarify. We did not give a volume guidance and we are moving into revenue as our main measure. Having said that, anything on the demand pressure, Richard, that you would like to talk about?

Richard Molyneux
So I mentioned there is demand pressure in some regions of the world. Other regions of the world are absolutely strong. We a re probably at the point now with the supply constraints coming our way, but certainly f or the next few months, we a re going to move into a supply constrained environment rather than demand constrained environment, and that will give us more time through our FMI and marketing to build, build orders back up for the time that we can produce them. So it's an environment where we do have some demand pressures, but I actually think in the next cou ple of quarters, the supply constraints are going to dominate.

P.B. Balaji
Got it. This from Chirag, White Pine on JLR, the LR mix is at 91% and in that Range Rover plus Defender is at an all time high. Is this a new normal? If not, how will it a■ect impact ASPs?

Richard Molyneux
91% certainly is a new normal until we launc h the new Jaguars. Range Rover and Defender at all all time highs, is that a new norm? I very much hope so, and I expect so. So our sales during the quarter were 68%, Range Rover, Range Rover Sport and Defender. That's up from 64% for the same quarter last year. Again, it shows the strengths of those products and will allow us to continue to raise our average transaction price as we move forward.

P.B. Balaji
Got it. Thank you. Ramanan, this is coming your way, on CV, margins . A strong
pe

rformance in Q1 , are there any one o■s? If not, then ideally margin should improve further with increase in volumes in the subsequent quarters due to seasonality, steady pricing and commodity prices. Is that a fair assumption to make?

G. V. Ramanan
Yeah, I think it's a fair assumption to make. And in the Q1 results, there's no specific one offs.

P.B. Balaji
Got it.

Girish Wagh
Let me add to this. So there is certainly no one off in the first quarter results, I think we have been running a robust margin improvement program, focusing on both realizations as well as the cost part. On the realization front, I think as I ha ve spoken, it's all about improving the competitiveness of the products, value selling and therefore improving the value proposition for the customer and therefore, moving the focus from discounting to value. And on the cost front, I think we are looking a t each and every cost element, including material cost and we are driving that down. And all this put together, therefore, has helped us. Now, looking forward. Yes, I think traditionally Q1 onwards, the volumes keep on increasing and we will also look forw ard to the same, that should happen. But once that happens, I think, it should help us.

P.B. Balaji
Thank s, Girish . I think the next one from Nishit Jalan on Nexon sales. PV volumes for Nexon have come down significantly in the last few months. Is this more because of new launches in the compact SUV segment or some shift in demand towa rds subcompact SUV Punch? Shailesh ?

Shailesh Chandra
You know, this was only for a month or so, if I remember. That was in May, but in June, again, it bounced back. And this month, the sales have been very strong for Nexon, while the numbers would not have got published, but from a retail perspective, this crossed 15,000 this month. So Nexon is doing rea lly strong and Punch is equally doing strong. So customers for Punch and Nexon are completely different. Both the volumes in both these products are sustaining over a long period of time.

P.B. Balaji
Thank you . Richard , next one coming your way. The second part is from Kapil Singh. Firstly, he congratulates us on the Jaguar racing. What an achievement. I agree with you, Kapil, couldn't agree more. Question on China and EU. What are the demand conditions particularly in these two geographies? Is de mand at its bottom or dropping further in your segment? And do you see a need to raise incentives here? And aluminum supply you already covered.

Richard Molyneux
I think I ha ve probably covered the China and certainly China demand condition s. We do see it as muted and we ha ve performed fairly well through Q1. We're going to keep a very close eye on it through Q2 an d Q3. EU, our performance, as I ha ve mentioned, is pretty flat in t erms of retail in EU. We do see it as a market where there is a slight trend upwards in terms of the level of VME that's going to be required as some of the European

manufacturers refocus their sales efforts to that market. So, yes, those are probably the two toughest regions for us going forward. On the flip side, the US remains extremely strong, as does overseas, and the UK is recovering very well from a difficult situation a few months ago. So the world is not moving at one speed in the same direction in terms of demand.

P.B. Balaji
Yeah. And just staying with you for a minute, Richard, on the order backlog from Pramod, UBS. Can you, can you just comment on your order backlog at JLR?

Richard Molyneux
Order backlog at the end

of the quarter was 104,000 units. So still in line with where we would be expecting it to be.

P.B. Balaji
I think second is from Ashish , Macquarie. Does JLR run the risk of a YoY ■attish volume given the supply disruption? I think the larger point is making is, are we just dependent on one vendor and given this will hurt other players also, is it really possible to resolve the issue?

Richard Molyneux
Sorry, I've lost the question. Where is it?

P.B. Balaji
This is on your aluminum supplies, Ashish , Macquarie.

Richard Molyneux
Oh, there we are. Yeah, this is. This is one vendor that has had a ■ood at a major aluminum processing plant. I think you wi ll have spotted in the press. We may not be th e only recipient of this issue. We are normally very good at ■nding solutions to these types of issues and we are working on them aggressively, both with Novelis and with all of our other aluminium suppliers and within the Tata ecosystem. So we think we ha ve a decent chance of being able to minimize the impact on us.

P.B. Balaji
Got it, Richard, thank you. The next question from Raghunandan , Nuvama. You have answered most of his questions, barring the one at the end. Girish, this is coming your way. On India CV, do you expect a ny favorable support for CVs in FAME III?

Girish Wagh
So yes, R aghunandan, I think FAME II was meant for buses and small commercial vehicles. And that's where we have seen the demand beginning in electric commercial vehicles. We e xpect similar suppor t to be extended to trucks also and that will help seeding the electric trucks in some of the use cases. Some of the customers are anyway coming forward for that. We also expect some support or similar support to be given even to hydrog en as a fuel because that's also near zero -emission fuel. And that kind of support will also he lp because especially for long -distance trucking, hydrogen may be better suited for it. So we are looking forward to this.

P.B. Balaji
Thank you. The other one is an interesting question from Sonal , HSBC Mutual Fund. Can you explain why Tata Motors only got 4.7% of th e merged capital while by assets were almost 20%? Are there any legs to this transaction?

P.B. Balaji
I think look at the two di■erent books that are there, Tata Capital Books and Tata Motors Finance books. You will ■nd very di■erent return pro■les which are there in each of these books. And second is the level of concentration that is there. It's not a diversi■ed book in Tata Motors Finance. The third thing we should look at, for us to diversify that book before we take it to IPO, Tata Motors will have to start infusing capital into that. Then comes the whole regulatory framework that is there, which also needs to be managed. So from a Tata Motors ■nance perspective, the Tata Motors perspective, I think it's a peach of a deal in term s of going into a fully diversi■ed entity, and adding with our assets going in there with almost no overlap, it increases the diversi■cation of that asset book and that is going to IPO next year, which should then give us an ability to actually monetize this. And we are con■dent that we will recoup our investments in Tata Motors' ■nance comfortably. So it's a clean deal and obviously, the valuers have looked at it compre hensively, the Board has looked at it comprehensively, and we quite like the way it is currently being structured.

I think we are nearing the end of the question queue. Let me quickly take a look at anything that is missing here. One is on the JLR plant at Ranipet. We have not commented on that plant at all and at an appropriate time and we are ready, we will de■nitely talk about it. Just 1 minute, please.

P

.B. Balaji
This is from Nishit. Richard , coming your way. The JLR GBP 60 million revaluation impact that the Company has highlighted, was it only for the Jaguar models or includes LR as well?
Richard Molyneux
Both.

P.B. Balaji
This is the commodity reval, right, that he is referring to?
Richard Molyneux
I think the reval that that's referring to is stock revaluation in terms of variable marketing expense.

P.B. Balaji
Oh, okay, cool. I think with that we are more or less done with the questions. Are we missing anything out there? Just a minute, guys. We'll just ensure there's nothing not covered. So I think we are done with this. So thank you for your time, thank you for your probing questions and look forward to catching up with you in the coming quarters as well. Thank you, and of -course, thanks Team JLR, Tata Motors here. Have a lovely evening Bye-bye.

Call: Aug 2024

August 7, 2024
Sc no - 18389

Dear Sir s/Madam ,

Sub: Transcript of the Earnings Discussion /Conference call for the first quarter ended June 30 , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with further reference to our letter bearing sc no. 18362 dated July 19 , 2024 , we are enclosing herewith the transcript of the earnings/ conference call for the first quarter ended June 30 , 2024 conducted after the meeting of Board of Directors held o n Thursday , August 1 , 2024 .

The trans cript of the earnings/conference call is available on the website of the Company at www.tatamotors.com

This is for information of the Exchange and the Members.

Yours faithfu lly,
Tata Motors Limited

Maloy Kumar Gupta
Company Secretary

Encl: as above

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Tata Motors Group
Q1 FY25 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD, TMPVL AND TPEML
MR. RICHARD MOLYNEUX – CFO, JAGUAR LAND ROVER
MR. G.V. RAMANAN, VICE PRESIDENT FINANCE , TATA MOTORS LIMITED
MR. DHIMAN GUPTA, VICE PRESIDENT FINANCE , TMPVL AND TPEML.
MS. NAMRATA DIVEKAR – HEAD, TREASURY, IR, M&A, TATA MOTORS LIMITED

Presentation

Anish Gurav
Good day and welcome to Tata Motors Q1 FY 2025 earnings call. Today, with us are Mr. P.B. Balaji, Group CFO, Tata Motors, Mr. Girish Wagh, Executive Director, Tata Motors , Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited, Mr. G.V. Ramanan, Vice President, Finance, Tata Motors Limited, Mr. Dhiman Gupta, Vice President, Finance, TMPVL and TP EML, Mr. Adrian Mardell, CEO, Jaguar Land Rover, Mr. Richard Molyneux, CFO, Jaguar Land Rover and we also have our colleagues from the Investor Relations team. Today, we plan to walk you through the results presentation followed by Q&A. As a reminder, all participant lines will be in listen -only mode and we will be taking questions via the Teams platform. The same is already open for you to submit your questions. You are requested to mention your name and the name of the organization while sub mitting the questions.
I now hand over to Balaji sir to take over. Over to you, sir

P.B. Balaji
Thank you, Anish. Welcome to the call. Standard safe harbor statement. We will quickly run through the deck and then spend as much time as possible on the questions .

It's been an intense, action packed quarter. The most exciting one coming up is the Tata Curvv, that is set to be launched, August 7th is the date , watch the space . And of course, last week, the most excit ing thing in JLR was the Jaguar TCS racing winning the World E -racing Championships. So, an exciting journey out there, a nd of course, the Defender OCTA coming up pretty soon. So lots of action underway and intend to keep this action at this level of intensity. Next slide please.

From a revenue perspective, the quarter was a decent quarter with a revenue of 5.7% growth, though the volumes grew only 2.5%. Mix obviously comi

ng to play. PBT before
exceptional items showed a very strong increase to Rs. 8,800 Cr , driven by favorable commoditie s both in JLR and in Tata Motors here. EBITDA was ■at at 14.4% and obviously, the volume growth feeding into the EBIT numbers at 30 -odd bps operating leverage and very satisfying to see a positive cash ■ow in the ■rst quarter, which is seasonally our weake st quarter and therefore, that's come through well.

Sources of growth where it came from, most of it coming from volume and mix. A little bit drop on pricing. Translation of the pound sterling going up at 1.6% and most of the businesses came to the party in terms of improving their pro■tability on the EBIT line. Net debt marginally up, basically, because of the dividends that went out from Tata Motors and of course, seasonally, for Tata Motors, Q1 is alwa ys a negative cash ■ow, which I wi ll show you subsequently as well. That's what's the net debt going up there. But no stress, it will come back under control, and JLR on track to go net debt free as well. Next slide.

Spending a little bit time on the corporate action before I hand it over to the busi nesses to take them through the numbers. One is the demerger. Maybe take a minute to explain the transaction. The way the demerger will happen is in two steps. Step one, we are demerging the CV business undertaking out of the existing Tata Motors Company into the new CV List Co. Immediately after that, the Passenger Vehicle business, which is a subsidiary of the existing List Co called TML, will be merged into the TML existing Company. That is important to get done because you don't want the top Company to be construed as a CIC and hence this becomes a proper operating company. These will be the two listed companies and obviously along with the CV business undertaking, all its investments will also move and whatever is left behind will all be submerged into the TMPV Company . This is what i s happening.

Along with that, the CV Company , the newly formed CV Company will be renamed as TML and the existing TML Company will be renamed as Tata Motors Passenger Vehicles. All of this is expected to happen in the next 12 months to 15 months and the appointed date for this tran saction we are targeting the 1st July, 2025. And when the demerger happens, whoever is on the record date, the shareholder of Tata Motors will be eligible for one share each of the CV Company , that is TML, and one share in the existing TML, which will be called TMPV. This is the nature of the transaction. One of the most important number in this entitlement ratio is obviously 1:1. One of the most important number is the asset ratio as on the appointed date, we expect it to be broadly 60:40, that is 60% as CV 40% as the residual PV that will be there. That is how the TML standalone will cut out and this will be tax -neutral for the CV and PV undertakings as well as the shareholders. And the next 12 months to 15 months is there. This share entitlement report has been ■led by PWC and the fairness opinion for the same given by SBI Capital Markets. Next slide.

This is just the listing. I don't want to go through this. I will leave it to you. Reach out to us if there's anything that you would like us to clarify upon. Otherwise, it is just the listing out of all the companies where it is going to go. I am more than happy to clarify anything o■ine that you may require. Next slide please.

Second set of corporate actions is the merger of Tata Motors Finance, the NBF C with Tata Capital. The Boards, as we announced in June, have already approved it. The

scheme is
already been ■led, it's with the stock exchanges and we expect to get this tran saction completed in the next nine to twelve months. We are in advanced discussions with RBI for securing their approvals as well as the stock exchanges. And the last one, which is the cancellation of DVRs and the issuance of ordinary sh ares. The NCLT hearing has been completed and the NCLT order is reserved for ■nal judgment. We have a hearing tomorrow, where we expect to receive the orders, ■ngers crossed. And upon ■nal judgment and of course, all other steps will start o■. And we are hoping to comple te this in the next two months, so that the DVRs get cancelled and we have ordinary shares issued in the return. So all the corporate actions are running at full speed and we intend to get all of them closed before the demerger. Next slide, please.

With t his, let me hand it over to Richard to take you through the JLR performance. Richard, over to you.

Richard Molyneux

Okay, thank you, Balaji. And if we could move to the next chart.

So, the bottom line for us is we continue to deliver strong and consistent ■nancial results. This is based of wholesale number in the quarter, it was 97.8K, that's up 4.8% over the prior year, we produced 100,000 vehicles and we retailed 111,000, including our joint venture in China. That 4.8% increase in wholesales turned into a 5.4% increase in revenue to GBP 7.27 billion. That is a record quarter one revenue level for JLR. It also turned into a really strong PBT number of GBP 693 million, which I will explain later. EBIT 8.9%. This is the 6th quarter in a row that we have had EBIT of over 6%. That's the consistency of our delivery, and also at this 8.9% level, it is consistent with our full year guidance of greater than 8.5% EBIT. In terms of cash ■ow, GBP 230 million favorable. This is our 7th consecutive quarter of free cash ■ow. That is something that JLR has never done in its history before. It's also the second highest ever Q1 cash ■ow behind the GBP 451 million that we recorded last year. We ha ve added ROCE to our metrics on a twelve -month rolling basis at 21.2%. That is consistent with our full year target of 22%. So next chart, please.

And I won't go through this, this will get covered in entirety as I go through the rest of the pack. So next chart, please.
There we go. So this looks at our wholesale and retail performance by brand. Range Rover, a strong success, wholesales were up 25% YoY and retail's up 20% YoY, driven largely by the removal of production constraints as we ■nished the ramp up at our Solihull plant. Defender a little bit weaker in terms of wholesales, but that is just the timing e■ect. If you look at the retail line for De fender, it is fairly ■at and fairly ■at at a very healthy level , signi■cantly over 100,000 units per year for us. Discovery retail is also fairly consistent and Jaguar, as expected, wholesales are down. We ceased production of XE, XF and F-TYPE during the quarter. That obviously translates into lower wholesales. The retail number is fairly ■at as we then start to sell through the stock levels. So no surprise in terms of where

we are in terms of Jaguar. Next chart.

So, this is the same thing, but by region. The UK, up 36% YoY. It is down versus Q4, but that's a very natural seasonality in the UK, driven by registration plate changes. US, up

38% YoY. That's really strong brand performance and the US is now nearly a third of our quarterly wholesale volume. Europe is a bit tougher and there are high competitor discounts in that market at the moment. However, if look at the retail performance, it's in fact slightly improved over the same course last year. China, ■at YoY. C

ertainly in terms
of the imported cars, it is a market we're paying close attention to. Overseas, again, on a retail level is fairly ■at, a modest decline YoY, but that is from a truly exceptional year in FY 2024 . The next chart.

This shows the walk of PBT from the same quarter last year, so a walk from GBP 435 million to GBP 693 million. Volum e and mix, favorable. Volume we ha ve spoken about. Mix is the increased production and hence wholesales of Range Rover, Range Rover Sport as we ramp through the launch curve to full capacity at our Solihull plant. We do see increased sales allowances on a retail incurred level. They were at 3.2% in the quarter and that is up versus the previous quarter, which was at 2.4% in the previous year. The biggest increase has been in the UK, to counter, amongst other things, the higher insurance rates following targeted thefts by organized crime gangs. Material cost compensated the vast majority of the incremental VME. So if y ou look at net pricing and contribution costs together, they are fairly ■at. That is the result of true cost reduction and also reduced supplier claims as the global in■ation environment becomes less penal. Structural costs, up slightly, half of that is in relation to FMI and selling costs to drive demand, the other half in relation to systems development and deployment. I guess the big variance is FX and commodities. Sterling did strengthen during the quarter, hence the operational FX adverse that was more than o■set by our hedging portfolio. The big point here is the unrealized commodity derivatives. So both aluminum and copper rose by about 10% during the quarter and we have a signi■cant hedge portfolio. So that hedge portfolio gained GBP 58 million in th e quarter and that compared to a GBP 79 million loss in Q1 the previous year. Hence the delta quarter -by-quarter of GBP 137 million. Next chart.

Okay, so in terms of how that GBP 693 million turns into free cash ■ow, if you look at cash pro■t after tax, GBP 1.298 billion, that is up 14% versus Q1 FY 2024 . We are spending more on executing our plans, GBP 951 million on investment and we did get a small working capital hit in the quarter. That hit is actually a little bit lower than we were expecting as we did manage to turn most of the month end receivables into cash. So the receivables change was less penal than we had hoped, than we had feared and that led to GBP 230 million worth of free cash ■ow in the quar ter. Next chart.

So investment, I mentioned GBP 951 million, of that GBP 678 million is engineering with a capitalization rate of 66%. That capitalization rate is up slightly versus the average in FY 2024 as the vast majority of the programs that we are now engineering are approaching their launch timing, I expect engineering to stay close to peaking at these levels and then to slowly come down. Next chart.

Right, business update. So I have got two main updates for you. The ■rst is an important announcem ent for our China JV, which will license the Freelander brand from JLR and blend together with Chery's EV e ngineering to create new products for the China market, initially, but that do have the potential for global retail. This is a real win -win. It's the best of what we do in terms of brands with the best of what Chery do. It's complementary to both companies, so it's independent from Chery's existing portfolio and it's independent of our house of brands. This arrangement is highly accretive. I ac tually think the markets

have underestimated the signi■cance of this announcement.

Next, and equally, if not more exciting, I can provide a little bit more clarity on the rebirth of Jaguar. This is a once -in-a-generat

ion opportunity. We get to reset, rede■ ne and
relaunch a truly iconic British brand for a new audience, for a new set of customer s. We have done the ■rst phase and we are now starting the launch of the brand. That will happen towards the back end of this year, most likely in the US, and we will launch it as a brand ■rst, with the vehicles to follow. New Jaguar will be a copy of nothing. It will b e exuberant, modernist, unique, fearless and very progressive. We are actually seriously looking forward to revealing new Jag to the world. Next p age.

So, looking ahead, we've had a successful Q1, a very successful Q1. But FY 2025 is not without its challenges. Most front of mind is that one of our key aluminum suppliers has been impacted badly by a ■ood, and this will disrupt our inbound supply. It's not impacting us currently but we do expect it to constrain our production through the balance of Q2 and into Q3. We a re working very hard to ■nd solutions, but it will have a short -term impact. We will hold our guidance on our key full -year ■nancial deliverables of greater or equal to 8.5% EBIT, and achieving net cash. And we wi ll update you further at the end of Q2. Guidance beyond FY 2025 is unchanged.

So, summary. We remain committed to sustainable, cash -generative growth. We're delivering our promises, unlocking opportunities for growth, be that OCTA or be that Freelander. We're growing and doing so responsibly, focusing on ROCE and capital alloc ation, for example, between BEVs and ICE. We are convinced the best is still to come.

With that, I will hand back to Balaji.

P.B. Balaji
Thank you. Thanks, Richard. Let me now hand it over to Girish and Raman an. Ramanan , I will just introduce , he i s the CFO of the Commercial Vehicle Business . Let me give it to Girish and Ramanan. Ramanan over to you. You can start o■.

G. V. Ramanan

Thank you, Balaji. Just to kind of take you quickly through the market share for commercial vehicles, I think the headline is overall market share is in line with the range that we had last year. So we had around 39% and it's been growing in all these segments except that on the light goods vehicle that we have, we've had a drop of around 120 bps.

A quick ■nancial snapshot for Q1. Overall, wholesales has been a year -on-year growth of around close to 6%. Revenue at Rs. 17.8K Cr is a 5% growth over last year same time. Healthy PBT in Q1 of around Rs. 1.5K Cr. EBITDA at 11.6% is at 220 bps growth over last year and an EBIT of 8.9% is 240 bps growth over last year. All this, cumulatively, leading to a good improved ■nancial performance re■ecting in the ROCE, going close to 40%. Go to the next page.

In terms of our EBIT walk versus Q1 last year to now, I think key factors which have really in■uenced , a good volume mix, favorable volume coming in from M&HCV is kind of

impacting to the extent of around 100 bps and then realization and variable cost largely driven by commodities gain is helping us to the extent of around 270 bps. So t hose have largely kind of helped towards improved pro■tability versus last year.

For business update, I would hand this over to Girish now.

Girish Wagh
Than k you, Ramanan and good evening everyone. So let me start with the highlights for the quarter gone by. So the wholesale volumes for Tata Motors grew 7% YoY and within that M&HCV and CV passenger carriers also grew and we performed better than the industry. We had highest ever revenue in Q1 at around Rs. 17,849 Cr. And also as Ramanan mentioned, highest ever Q1 EBITDA and EBIT. On the market share front, heavy commercial vehicles, intermediate light medium commercial vehicles and the CV passenger

segments, I think all these, we grew month -over -month in Q1, surpassing the FY 2024 exit market share also. I think overall, CV share was marg inally impacted, essentially due to the small commercial vehicle and pickup segment, which continues to face headwinds in terms of ■nancing for the ■rst time users, especially for the mini truck segment. The non-vehicle business revenue grew by 8% year -on-year basis. Some of the bright spots, I think contrary to expectations, the demand remained robust with industry volumes growing. And within that, I think for Tata Motors, the M&HCV volumes grew by 10%, whereas the passenger carrie r, including buses, grew by 39% , but within that, let me tell you that bulk of the growth in M&HCV was actually led by the medium commercial vehicle segment, the 19 ton segment. The ■eet utilizations remained at healthy levels in Q1, post Q4. Generally, Q1 utilizations may be a b it down after Q4 but remained at a healthy level. We've seen healthy monsoon and expecting the policy c ontinuity now with a lot of cape x allocation for infrastructure projects . We expect that the CV demand should graduall y keep up pace with all these ma cro factors. We have seen enhanced contribution of digital lead generation to our retail , almost at 28% now. We continue to launch new products and variants, so 25 plus product s and 70 varia nts were launched in Q1 . We continued our cost optimizatio n e■orts and also realization improvement from the market in Q1.

Going ahead, our focus areas for trucks and buses, yes, we will continue to introduce new variants for the white spaces and we'll have aggressive market activation as well as promotion of th e value added services to drive the volumes. On small commercial vehicle, as I've spoken in the past, we are doing this entire front -end transformation from a B2B organization to B2 B2C. So, we continue this deployment. We will continue growth in downstream by increasing our penetration of service and spare parts. International markets, we continue to maintain the market shares in the markets where we play while improving our margins as well as channel health. Cost reduction e■orts, as I said, was a bright spot in the quarters gone by and in fact, the commodities also remained ■at in Q1 and likely to remain at an overall ■at level in Q2 as well. We are accelerating our sustainability initiatives, whether it is about Net Zero, greenhouse gas emissions or circularity.

Going next on the electric mobility. So we deployed more than 160 buses in Q1. So now we have more than 2900 buses deployed till date. On Ace EV, you know, after the discontinuation of FAME I I, we intr oduced the new product Ace EV 1 ton payload and have

been able to sell more than 800 units in ■rst quarter, which actually delivers better operating economics to the customer. So I think this has helped us to stem the reduct ion in volumes in the post FAME environment. We now have more t han 5400 vehicles plying and cumulatively clocked 26 million kms. We have received the PLI certi■cate for the 1 ton variant of Ace EV also.

On the Smart City Mobility Solutions, so cumulative, 2900 plus buses have crossed now more than 160 million kms and we continue to improve the operational e■ciency having 95% uptime for the buses. We c ontinue the deployment under th e CESL tender that we won, within Delhi and Bangalore more than 1300 buses are deployed, and in Jammu and Srinagar we have deployed almost 200 buses. For the new tender, we continue the discussion with the government authorities for payment security mechanism, which has been accepted but awaiting cabinet approval. We are working with the government authoritie

s to ■nd out ways and means to come up with an asset -light business model and once this is done, I think we will be participating in the upcoming tender.

On the Digital businesses, Fleet Edge now has more than 690,000 vehicles on the platform and the machine -learning -enabled fuel e ■ciency Mileage Sarathi model that we have introduced, we have now cumulatively more than 40,000 vehicles signed up and 18,000 vehicles signed up in previous quarter, and the vehicles are experiencing anywhere between 5% to 6% real -life fuel e■ciency imp rovement. On the Fleet Edge, we continue to see improved engagement time, as we keep on adding enhanced, informative and contextual insights, whether it is on operations, vehicle health as well as driving behaviour . E-dukaan, our online marketplace for sel ling spare parts, cont inues to do well and we had 2.6 x growth in the revenue over Q1 of FY 2024 . And Fleetverse, which is our online platform for selling vehicles, we had 9800 platform -assisted retails, and this continues to grow month -over -month.

Back to you, Balaji.

P.B. Balaji
Thanks, Girish. Let me now invite Shailesh and also introduce Dhiman Gupta, the CFO of the Passenger Vehicle business and EV business. Shailesh, Dhiman, over to you. Dhiman?

Dhiman Gupta
Thank you, Balaji. Moving on to the PV side of the business, it has been quite comforting to see the consistency in our Vahan market shares, hovering close to 14% over a sustained period now. This has been ac hieved despite no new nameplate additions in our portfolio for some time. This augurs w ell for our New Forever strategy, which has helped in keeping our existing portfolio always fresh and desirable. With the launch of Curvv, India's ■rst SUV Coup e this month, we expect further market share wins from here. Our multi powertrain strategy conti nues to come through nicely, with mix of CNG and EV now covering nearly one-third of our portfolio. The build towards an emission -friendly portfolio ensures our CAFE headroom is substantial at this point of time and we are also future -ready for the next wave of CAFE introductions that happen . Next slide please.

On the EV side, while the personal segment has remained steady, we ha ve seen a sharp year -on-year decline in the ■eet demand post expiry of the FAME II in March 20 24, a quarter in which we saw a substantial amount of pre -buys. This is re■ected in our lower

offtakes and market share for the quarter. Our journey towards increasing EV penetration expanding product portfolio at various price point continues. Curvv EV, our ■rst, EV -■rst nameplate is expected to further bring in new set of customers who are looking for a bigger EV and a higher driving range. Do watch out for the launch event we have planned on the 7th August and for all the exciting new bene■ts that this new nameplate will unlock. Another big piece of the work underway to support the growth of our portfolio is the intensity at which we continue to work with charge -point operators t o expand the, charging infrastructure in the country, the pace, we continue to intensify and we saw addition of another 2000 odd chargers this quarter.

Shailesh is going to cover the market scenario in greater detail in the coming slides, but the ■nancials are re■ective of the subdued market demand that we've seen this quarter, where industry retails have de-grown for two consecutive months, in May and June, due to a combination of peak summer in various parts of the country and the elections. This led to a step up in VMEs by OEMs due to the higher levels of ch annel stock. For TML, as we have seen in the past couple of quarters, the focus continues to remain on maintaining Vahan m

arket share and correcting our wholesales for having optimal level of channel inventory. While our wholesales were down 1%, the revenues are down 7% due to lower EV sales and the weaker mix in general on the ICE side. We've maintained our pre -tax pro■tability on a year -on-year basis. The EBITDA margin uplift that you see on a year - on-year basis is largely a f unction of the ICE -EV mix and I wi ll just peel it out further in the next slide. Next slide please.

The s egment ■nancial split of EV-ICE and EV pro■tability. On the ICE part of the business, we've been able to maintain our EBITDA margin on a year -on-year basis at about 8.5% and substantially improved our EV pre R&D EBITDA margins by 6% on a year -on-year basis. This has been achieved on the back of the structural material cost reductions that we continue to make, further aided by the tailwinds that we ha ve seen in the battery prices. This has helped o■set the adverse impact of VME and mix, and the loss in operating leverage due to the lower than anti cipated volumes that we have seen this quarter. On the ICE side, we expect to see sequential improvement in margin s in the coming quarters on the back of improved festive demand and the launch of Curvv.

Shailesh, over to you.

Shailesh Chandra
Thank you, Dhiman. So let me take you through the quick update ■rst, starting with the industry. You know, after witnessing 15% growth year -on-year in April, primarily because of festivities, the industry did face stress . From a registration perspective, we saw sequential fall in retail from 1% to 7% in May and June respectively. However, the industry regis tered wholesale growth year -on-year of 4% in May and June, that has resulted in increased channel inventories and we have seen that high channel stock led to discounting

action s towards the end of Q1.

Coming to Tata Motors, as was also mentioned by Dhiman, that our wholesale growth in Q1 was ■at, with steep correction that we took in June to keep the channel inventory under check. We maintained our Vahan market share at 13.7%, driven by sustained dem and for Punch, CNG vehicles etc. Financial performance was sustained despite industry headwind and through multiple measures including the o■setting measures like

structural cost, etc.

And talking about the bright spots in the industry, it was actual ly interesting to see that the inquiries remained ■rm in May and June despite the declining retail and that pretty much indicated that in the coming months the retail is going to come back. It was customers who are taking slightly more time in terms of con verting to retail and we did see some level of bounce back in July. And we expect that in the upcoming festive season, the demand growth is going to come.

For Tata Motors, Punch has sustained itself as number one model in the industry, with 56,000 plus sales in Q1 . We also took several marketing actions that helped in generating strong bookings in June as well as in July, last month. And as Dhiman mentioned, that we are going to enter the mid -size SUV segment for the ■rst time, with the launch of Curvv, which will further help us through our volumes.

In terms of challenges for the industry, we have an all -time high channel inventory with further buildup which happened in Q1, did add stress on the wholesale s. Also, there has been moderation in the EV ■eet segment demand due to the expiry of FAME II in March 2024. As far as we are concerned, in terms of actions, we focus on retail acceleration backed by e■ective marketing campaigns, micro market focus, targeted product interventions, which are going to come in this coming months. There are new upcoming launches pr

imarily to drive customer excitement and of course, it is also going to help us improve footfalls in the showroom. We are also going to expand the customer ■eet, you know, ■eet customer base and als o strengthen our o■erings. And the focus on cost reduction will be paramount. We will continue the rigor on tight control on ■xed cost and continued e■ort on structural cost reduction within the organization.

So back to you, Balaji.

P.B. Balaji
Thanks, Shalish. Thanks, Dhiman. Just quickly covering the overall numbers. Next slide please.
On a free cash ■ow basis this is seasonally a weak quarter for us. So we had out■ow of Rs. 1300 Cr but heartening with the cash pro■t after tax, well more t han covering for the capex spends . That discipline continues and therefore, this Rs. 2000 Cr of cash out■ow and working capital should reverse as the year progresses. So no stress here. Next slide please.

Investment spends. The details are there for you to see. We are cloc king at the Rs. 8000 Cr rate that we had committed and we'll be there in that zone. Next slide

Tata Motors Finance, as I've said earlier, the e■ective date as far as the appointed date for this merger is going to be April 1st 2024. So this year's ■nancials of Tata Motors Finance, the NBFC, will be merged with Tata Capital as and when the NCLT approval is secured. That is just for information . But on an overall basis, the focus on growing the AUM while holding the portfolio quality continues. Disbursals are stepping up. We grew about 33% YoY basis, and all the quality metrics, and the pricing discipline, all of them

are trending in the right way. It's seasonally a weak quarter from a collection perspective after a blockbuster Q4 that comes through. Despite that, we had solid colle ctions coming through at 97% and this needs to be seen in the contex t of a general election as well, which will a■ect typically the cash ■ows of most customers. And of course, the concerte d collection e■orts are helping to contain GNP on an absolute basis and capital adequacy is under control. So this business is managing through this transition quite well. Next slide, please.

Overall, from a from a demand perspective, we do anticipate as far as the global demand is concerned, it is likely to remain muted. It has been that way. It's likely to remain muted. No immediate changes there. Domestically, we expect a gradual improvement in the domestic demand during the rest of the year as the inve stments in infrastructure, healthy monsoons, favorable macros, new launches, festive demand, all of that is coming through. So there is a need for absolute reason why there is an optimism as far as the domestic demand buildup is concerne d, how gradual it's going to be, we wi ll have to wait and see. Commodities are also likely to remain range bound and therefore, in this situation, we are con■dent of sustaining the performance in the coming quarters, and delivering a strong year. So ■nancials wise, this business is on a strong wicket and is likely to remain that way in the coming quarters and the full year as well. The respective priorities for each of the businesses is there for you to see.

Let me now turn it over for the questions which are piling up on other side.

Give me a minute, please.

Questions and Answers section

P.B. Balaji

Okay, let's start with commercial vehicles. This is a question from Kapil from Nomura. This is on commercial vehicles, so, Girish, on M&HCV July data seems to be a bit weak, compared to ■rst quarter. Any sudden changes you have noticed and should we expect improvement post elections and heat wave and how you see the full year?

Girish Wagh
Right. So I think, as I mentioned in the

presentation, in Q1, we actually have seen a very good ■eet utilization and we are also able to track the kilometers run by the trucks which are on Fleet Edge, which also showed a good positive improvement over Q4. However, in the month of July, we have seen that the kilometer running has gone down for obvious reason, which is heavy rains, I think that impacted most of the infrastructure projects, mining operations, and it also impacted, to some extent, goods tr ansported on h ighways. Now, we ha ve also seen, due to this, that the customers have postponed purchases from the month and that has led to a drop in volume in July. If you see the our pipeline, demand pipeline that we have now as compared to a year back, that has not dr opped to the extent that we have seen the drop in the wholesale volume in the month of July. Secondly, I think what we ha ve seen is in the infrastructure projects, quite a few of the customers have informed us about payments being awaited and they are expe cting the payments to get released starting this month from the government. So that should also lead to action. Now, beyond this, if you see at an overall level, I think good monsoons, while they have

impacted the demand unfavorably in July, will actually mean good in the long term. The policy continuity as well as higher allocation to infrastructure projects, we expect that once this gets into execution mod e, it should start helping the M&HCV demand again . Balaji.

P.B. Balaji
Thanks Girish. Next question from Amyn Pirani. Let me take that. This is more an accounting question regarding where did the money go? If there is a Rs. 2600 Cr debt increase quarter -on-quarter? Let me explain the numbers. As far as JLR is concerned, to th e extent of the dividend that went out of JLR, that is neutr al at a consolidated level, you a re absolutely right. And therefore, it's only payout that went to the vendor that we have referred to in the notes to accounts. India is a negative FCF to some extent, that is, I ha ve explained that earlier, and the debt increase that you see at an overall level is basically the dividend that went out of Tata Motors to its shareholders. And that's why you see it also in the Tata

Motors net debt as we ll. That's the only reason why the debt has gone up, which is temporary. And as the profits come through the quarters, you will see that correcting.

Question now, this is coming, Shailesh, your way. What's the current dealer inventory in the India PV busin ess? How does it compare with the industry as well as Tata Motors own normalized historical numbers?

Shailesh Chandra
Our current dealer inventory would be in between 35 days to 40 days. We do track or we do estimate the industry inventory levels, but since it's not a published data, I would not like to really share that information. In terms of normalized inventory, typically, we target about 30 days, so it is on a higher side.

P.B. Balaji
Thanks, Shailesh. Richard, this is coming your way. This is from Jinesh Gandhi, Ambit. With 8.9% EBIT margin in a seasonally the weakest quarter for JLR, are we expecting any headwinds for margins for the remaining of FY 2025 ? And this is also con nects to another question. I think it comes from Pramod in terms of the guidance for the year, is there anything that you would like to reiterate? And then the question on the Freelander brand to JLR, how does it fit into the JLR's modern luxury house of brands approach and maybe that could be for Adrian. And also, can you talk about the timelines and any investments from JLR or the royalty to be paid to Chery for the EV architecture? And the last one is on the VME, which in JLR is at 3.2%, till what le vel do you pla

n to invest?
Richard Molyneux
Okay, so let me take the first one. So, 8.9% is consistent with our full year guidance, which was greater than or equal to 8.5%. Headwinds, I think I've mentioned, the biggest headwind that we face is in relation to supply of aluminum. And we will do our damnedest to make sure that that does not stop us hitting our EBIT targets for the year.

P.B. Balaji
Can you also comment on the Freelander brand?
Richard Molyneux
Yeah, let me do that if Adrian's not around. So, it is outside of our house of brands. This is going to be a license agreement where the JV in China licenses the brand from JLR

and combines it with technology from Chery to produce vehicles under the Freelander brand for the Chinese market initially. It is completely outside of JLR's house of brands and the distribution system, when we announce it will reflect that.

P.B. Balaji
Yeah, a nd maybe just to add to that po int, remember that CJLR is a 50: 50 joint venture between Cherry and JLR. To that extent, whatever profit CJLR derives because of the sales of Freelander brand, 50% of the profit is attributable to JLR. That's another answer there.
Richard Molyneux
Yes. So, JLR will receive from that a royalty and our share of the profits in that business. And if you think Freelander up until n ow has been a dormant brand and we turn it into a royalty flow, a 50% share of profits of a Chinese based EV with a British brand, you can see the potential that this has to be accretive to our performance therefore.

P.B. Balaji
Thanks. The last one is on the VME, which is at 3.2% and what level do you plan to invest?
Richard Molyneux
So we think it will rise a little bit further, but only marginally from these levels as we work through the effect of the reduced supply that we will receive in the next couple of quarters. That hopefully, should cap the growth of VME not that much higher than the Q1 level.

P.B. Balaji
Thanks, Richard. I'm going to stay with you for a while. This is on all things , China. You explained the Freelander transaction, park that aside for the time being, but the underlying performance, CJLR wholesale decli ned by Q1. This came from Aditya Jhawar , Investec. CJLR wholesale declined Q1. Even volumes for the car shipped from UK to China

were ■attish. Any sense on demand outlook in China, as well as any market share indications you could give, as well as the EV penetration and luxury cars in China? Anything that you see in that?
Richard Molyneux
Sure. The wholesale volumes in Q1 for the domestic vehicles were 11,800. That's higher than Q4, although lower than the same quarter last year. So it's certainly more di■cult and more di■cult at the lower price points in China at the moment. However, the import business we still see as strong. We don't measure or refer to market share, but we note that our sales are increasing YoY in China. So it re ■ects the strength of the brands, particularly Range Rover and Defender. We are paying close attention to it as there are certainly signals that demand is not at the level that we would like to see it going forward and it will be a focal point for us for t he balance of the year to make sure that we take the necessary action. So it is absolutely a focal point for us. EV penetration is right at our end . To be honest, it is very limited at the moment. Chinese customers for Range Rover and Defender are st ill very much ICE customers.

P.B. Balaji
Got it. Thank you. I think the next question. Sorry, Richard, I'm going to stay with you again. This is from Gunjan, Bank of America. Couple of questions on JLR. How substantial can the impact of aluminum shortage in Q2 and Q3 be? And also, can you give some c olor

on the CO2 emissions norms in EU in 2025 and how it a■ects us and how do you mitigate the risk . I think you already covered that.
Richard Molyneux
Yeah. So on the aluminium shortage, it is relatively new news and we are still working through how we can compensate. We a re normally fairly good at that. Our industrial operations team are very good at ■nding alternative sources and we are also leveraging the Tata ecosystem to he lp us in this. So we a re not going to give speci■c numbers. What I will say is within our full year number set, we are aiming to compensate for it such that we can still hit our EBIT and net cash position at the end of this year. We will work through it ov er the next few weeks. We wi ll give you a better update at the next quarterly meeting. But we recognize it's a problem and we have all resource focused on short term mitigation and then medium term mitigation to make sure we can hold our full year EBIT and net cash targets.

P.B. Balaji
Thank you. This next question probably I'll take it. This is from Jinesh Gandhi. Clari■cation of asset ratio for demerger at 60:40 CV: PV. This is just for the India business and not including JLR. Absolutely correct. It is just the standalone entity of TML that is getting demerged. CV is coming out of that. So for whatever is remaining is the 40%, they are basically investments that company holds into the PV comp any, EV company JLR. It is the investment value which is all at book value.
Next question is from Chandra mouli again, to JLR. Richard, what i s the quantum of price hike that was taken at the start of 20 25? And also can you give us some pointers on from this 8.9% that is there, how should we think about the journey to the 15%. How do you build the building blocks, any color on that? And maybe let me park and then take the remaining questions when you ■nish this. Or else I'll just be asking questions.

Richard Molyneux
Okay, so look, pricing, we haven't taken a great deal of net pricing. So within the numbers that I showed you in terms of the variance, pricing is not more than about 1% net. How should we think about the journey to 15% EBIT margin? I'll refer that to the comments that I made during the investor day, where we cover that o■ in some detail, driving the slight c ut in FCF outlook for JLR FY25 . What I've said is that we are going to hit net cash and we will work through the e■ects of the aluminum issue that I referenced in terms of free cash and update you next t ime around.

P.B. Balaji
Thank you. So I think next question I think is coming into CV , LCV segment growth potential after a period of ■atness, how are you seeing that?

Girish Wagh

So I think like we mentioned at the beginning of Q1, we see that for the year, the LCV, we call it a small commercial vehicle segment - SCV Pick-up should actually remain ■at wi th respect to the last year. We wi ll see higher growth or double digit growth in the CV passenger, that is, buses and van segment. And HCV and ILMCV is something we need to keep a watch on a quarterly basis. I think in ILCMV we do see growth continuing, which happened in the ■rst quarter also. HCV is something I think we need to keep a watch and how demand picks up. This is some of the factors that I spoke in the question which I

answered before. Balaji.

P.B. Balaji
Yeah, thank you. I think this. I'll bring it into you Shailesh. EV softness in the ■eet segment. Can you just explain what's happening there?

Shailesh Chandra
Yeah. So, you know, there are m

any questions that I have been seeing around ■eet segment. So let me ■rst give some facts. Fleet segment is typically i n EV, 10% of the EV sales. That is how it had been in FY 20 24, which dropped to 5% to 6% in Q1. The reason is that in Q4, because FAME II was expiring , in Q4, we saw two to three times jump in the ■eet sales as a pre buy and that actually led to Q1 declining signi■cantly to the extent of 45-50%. And that has continued and over■own to July also because there is also an expectation of FAME III announcement, which ■eet owners would like to wait for. So this is what's really happening as far as ■eet segment is concerned. This was the question?

P.B. Balaji
Yeah, absolutely. Then questi on from Gunjan on electric business , can you give a better color on the volume break up between personal and ■eet? Go for it Shailesh.

Shailesh Chandra
So I already just mentioned that it is 10% is the ■eet segment, which currently has dropped to 5% to 6%. Also, the question asked for FAME policy continuity. It would not be right to speak about it. Although we have been in continuous discussion with the government, we are hoping that the same FAME II categories of vehicles which were given the FAME bene■t would continue. And it is very important that this segment is promoted because the direction of Niti Aayog, when they framed the EV policy, it was focused on connected , electric and shared mobility. So I think government is very much focused on shared mobility. So we do expect, but we have to really wait and see as and when it comes.

P.B. Balaji
I think Dhiman, this is probably coming to you. How are we treating PLI? How are you accounting for it? Are you accruing it? Can you just give us some color?

Dhiman Gupta
Sure. Auto PLI SOP, after a long wait has been ■nalized and issued by the MHI on 25th July. As of now, on the Passenger Vehicle side, Tiago.ev is AAT certi■ed and for wh ich techno commercial audit has also been co mpleted. So all the sales in FY 20 24 done for this vehicle for the select trims is eligible for claiming PLI incentive. We are in the process of going through the SOP in detail because there have been certain changes from the last version that the OEMs had seen and we are studying it for all necessary compliances and we are planning to ■le t he claims by 30th September. We normally take a very conservative accounting policy when it comes to accruals towards any new incentive schemes of the government and we typically take this only when the entire certi■cation claims and the cash disbursal process is fully veri■ed and established end -to-end. You know, all our EV products that have been introduced are DVA compliant and the process for AAT certi■cation is underway. So we plan to complete it this quarter.

P.B. Balaji
Thanks, Dhiman. I think a bunch of questions, Shailesh, on the ASPs of PV, profitability of PV. What we saw this quarter, there's been a drop even vis -a-vis competition. How are you seeing it?

Shailesh Chandra
You know, in the presentation, Dhiman already talk ed about it that in Q1, because of EV volumes dropping as well as, in the ICE side also there was a model mix which was under pressure. I think we are very confident of recovering back. We ha ve already seen the recovery i n July and henceforth in the coming months and with the new launches that we have, they should come back very strongly.

P.B. Balaji
Yeah, and similarly on the CV side, Girish, despite price hikes and higher M&HCV contribution, CV ASPs declined on a YoY basis. Could you give us some color? Is there any other specific point, are we seeing any increase in discounting?

Girish Wagh
Yeah. So actually, Jinesh, from Q1 F

Y 2024 to FY 20 25, the ASPs have gone up in CV, point number one. Point number two, actually, the heavy commercial vehicle salience has gone down. It was 30% in Q1 last year. This year it is 28%. And third, I think, which probabl y you would not have noticed is, within heavy commercial vehicles, there is a shift happening from multi axle vehicles to tractor trailers and that also leads to drop in average ASP. But despite all this, we have seen an increase in ASP YoY basis.

P.B. Balaji
Thanks, Girish. Next is from Binay , Morgan Stanley. Question coming to you, Richard, and one more person also asked down below, JLR depreci ation dropped Q -o-Q. Could you explain, give us the reason? And secondly, your gross margins also came off Q-o-Q despite better mix, what drove that? And the rest of his questions have been answered.

Richard Molyneux
Okay, so depreciation QoQ. So we stopped product ion of the Jaguar XE, XF and F -TYPE in Castle Bromwich during the quarter. So those assets are now fully depreciated. So that is the main cause of the drop in depreciation. Gross margin, the only effect I woul d call out is, we did increase VME during the quarter as we ha ve referenced the 3.2% on a retail basis, we had to take a GBP 60 million stock revaluation hit for that, for vehicles that we had wholesaled but not yet retailed. So on top of what I've referenced before, those the two items I would call out.

P.B. Balaji
Yeah, got that. Thank you. I think the next question is on the cape x for the current quarter. And is there any risk to your overall guidance? You spent a billion pounds almost this quarter. How does that speak to the GBP 3.5 billion that we had guided for the year?

Richard Molyneux
Yes. So we are running a bit higher than target. That's partly because we have to continue development of both BEV, PHEV and ICE powertrains. Given the global transition to BEV is

going, let me say, slower and more globally patchy than many expected. We a re also making sure we bring to market BEV solutions that are perfect for our bran ds, with their off road mastery, their luxury drive credentials. So we a re learning from others that have gone before us, making sure our powertrains are perfect, and we will get close to GBP 3.5 billion by the end of the year, as I said, I expect engineeri ng to be peaking at the level we ha ve shown in Q1 and start to reduce from there.

P.B. Balaji
Got it. Thank you. And the FCF for the current quarter is weak. How do you plan to reach the full year plan? I think you ha ve covered it in your slides . You just want to give it a little bit more color?

Richard Molyneux

Yes, but if you net out the working capital, as you mentioned beforehand, will net out actually sort of free cash flow before working capital is at the GBP 350 million level per quarter, and that's off 98,000 units. So it's not far off the type of run rate that we need.

P.B. Balaji
Got it, thanks. Staying with you, I think you talked about the timelines for discontinuing the Jaguar model. This is from Rishi Vora. Can yo u share the volume guidance FY 20 25? Most of the global OEMs have cut their guidance. Is there any demand pressures the company is witnessing? Let me clarify. We did not give a volume guidance and we are moving into revenue as our main measure. Having said that, anything on the demand pressure, Richard, that you would like to talk about?

Richard Molyneux
So I mentioned there is demand pressure in some regions of the world. Other regions of the world are absolutely strong. We a re probably at the point now with the supply constraints coming our way, but certainly f or the next few months, we a re going to move into a supply constrained

environment rather than demand constrained environment,
and that will give us more time through our FMI and marketing to build, build orders back up for the time that we can produce them. So it's an environment where we do have some demand pressures, but I actually think in the next cou ple of quarters, the supply constraints are going to dominate.

P.B. Balaji
Got it. This from Chirag, White Pine on JLR, the LR mix is at 91% and in that Range Rover plus Defender is at an all time high. Is this a new normal? If not, how will it affect impact ASPs?

Richard Molyneux
91% certainly is a new normal until we launc h the new Jaguars. Range Rover and Defender at all all time highs, is that a new norm? I very much hope so, and I expect so. So our sales during the quarter were 68%, Range Rover, Range Rover Sport and Defender. That's up from 64% for the same quarter last year. Again, it shows the strengths of those products and will allow us to continue to raise our average transaction price as we move forward.

P.B. Balaji
Got it. Thank you. Ramanan, this is coming your way, on CV, margins . A strong performance in Q1 , are there any one offs? If not, then ideally margin should improve further with increase in volumes in the subsequent quarters due to seasonality, steady

pricing and commodity prices. Is that a fair assumption to make?

G. V. Ramanan
Yeah, I think it's a fair assumption to make. And in the Q1 results, there's no specific one offs.

P.B. Balaji
Got it.

Girish Wagh
Let me add to this. So there is certainly no one off in the first quarter results, I think we have been running a robust margin improvement program, focusing on both realizations as well as the cost part. On the realization front, I think as I ha ve spoken, it's all about improving the competitiveness of the products, value selling and therefore improving the value proposition for the customer and therefore, moving the focus from discounting to value. And on the cost front, I think we are looking a t each and every cost element, including material cost and we are driving that down. And all this put together, therefore, has helped us. Now, looking forward. Yes, I think traditionally Q1 onwards, the volumes keep on increasing and we will also look forw ard to the same, that should happen. But once that happens, I think, it should help us.

P.B. Balaji
Thank s, Girish . I think the next one from Nishit Jalan on Nexon sales. PV volumes for Nexon have come down significantly in the last few months. Is this more because of new

launches in the compact SUV segment or some shift in demand towa rds subcompact SUV Punch? Shailesh ?

Shailesh Chandra
You know, this was only for a month or so, if I remember. That was in May, but in June, again, it bounced back. And this month, the sales have been very strong for Nexon, while the numbers would not have got published, but from a retail perspective, this crossed 15,000 this month. So Nexon is doing rea lly strong and Punch is equally doing strong. So customers for Punch and Nexon are completely di■erent. Both the volumes in both these products are sustaining over a long period of time.

P.B. Balaji
Thank you . Richard , next one coming your way. The second part is from Kapil Singh. Firstly, he congratulates us on the Jaguar racing. What an achievement. I agree with you, Kapil, couldn't agree more. Question on China and EU. What are the demand conditions particularly in these two geographies? Is de mand at its bottom or dropping further in your segment? And do you see a need to raise incentives here? And aluminum supply you already covered.

Richard Molyneux
I think I ha ve probably covered the China and certainly China demand conditi

on s. We do
see it as muted and we ha ve performed fairly well through Q1. We're going to keep a very close eye on it through Q2 an d Q3. EU, our performance, as I ha ve mentioned, is pretty ■at in t erms of retail in EU. We do see it as a market where there is a slight trend upwards in terms of the level of VME that's going to be required as some of the European

manufacturers refocus their sales e■orts to that market. So, yes, those are probably the two toughest regions for us going forward. On the ■ip side, the US remains extremely strong, as does overseas, and the UK is recovering very well from a di■cult situation a few months ago. So the world is not moving at one speed in the same direction in terms of demand.

P.B. Balaji
Yeah. And just staying with you for a minute, Richard, on the order backlog from Pramod, UBS. Can you, can you just comment on your order backlog at JLR?

Richard Molyneux
Order backlog at the end of the quarter was 104,000 units. So still in line with where we would be expecting it to be.

P.B. Balaji
I think second is from Ashish , Macquarie. Does JLR run the risk of a YoY ■attish volume given the supply disruption? I think the larger point is making is, are we just dependent on one vendor and given this will hurt other players also, is it really possible to resolve the issue?

Richard Molyneux
Sorry, I've lost the question. Where is it?

P.B. Balaji
This is on your aluminum supplies, Ashish , Macquarie.

Richard Molyneux
Oh, there we are. Yeah, this is. This is one vendor that has had a ■ood at a major aluminum processing plant. I think you wi ll have spotted in the press. We may not be th e only recipient of this issue. We are normally very good at ■nding solutions to these types of issues and we are working on them aggressively, both with Novelis and with all of our other aluminium suppliers and within the Tata ecosystem. So we think we ha ve a decent chance of being able to minimize the impact on us.

P.B. Balaji
Got it, Richard, thank you. The next question from Raghunandan , Nuvama. You have

answered most of his questions, barring the one at the end. Girish, this is coming your way. On India CV, do you expect a ny favorable support for CVs in FAME III?

Girish Wagh
So yes, R aghunandan, I think FAME II was meant for buses and small commercial vehicles. And that's where we have seen the demand beginning in electric commercial vehicles. We e xpect similar suppor t to be extended to trucks also and that will help seeding the electric trucks in some of the use cases. Some of the customers are anyway coming forward for that. We also expect some support or similar support to be given even to hydrog en as a fuel because that's also near zero -emission fuel. And that kind of support will also he lp because especially for long -distance trucking, hydrogen may be better suited for it. So we are looking forward to this.

P.B. Balaji
Thank you. The other one is an interesting question from Sonal , HSBC Mutual Fund. Can you explain why Tata Motors only got 4.7% of th e merged capital while by assets were almost 20%? Are there any legs to this transaction?

P.B. Balaji
I think look at the two di■erent books that are there, Tata Capital Books and Tata Motors Finance books. You will ■nd very di■erent return pro■les which are there in each of these books. And second is the level of concentration that is there. It's not a diversi■ed book in Tata Motors Finance. The third thing we should look at, for us to diversify that book before we take it to IPO, Tata Motors will have to start infusing capital into that. Then comes the whole regulatory framework that is there, which also needs to be managed. So from a Tata Motors ■nance perspective, the Tata Motors perspective, I think it's a peach of a deal in term s of going into a fully diversi■ed entity, and adding with our assets going in there with almost no overlap, it increases the diversi■cation of that asset book and that is going to IPO next year, which should then give us an ability to actually monetize this. And we are con■dent that we will recoup our investments in Tata Motors' ■nance comfortably. So it's a clean deal and obviously, the valuers have looked at it compre hensively, the Board has looked at it comprehensively, and we quite like the way it is currently being structured.

I think we are nearing the end of the question queue. Let me quickly take a look at anything that is missing here. One is on the JLR plant at Ranipet. We have not commented on that plant at all and at an appropriate time and we are ready, we will de■nitely talk about it. Just 1 minute, please.

P.B. Balaji
This is from Nishit. Richard , coming your way. The JLR GBP 60 million revaluation impact that the Company has highlighted, was it only for the Jaguar models or includes LR as well?
Richard Molyneux
Both.

P.B. Balaji
This is the commodity reval, right, that he is referring to?
Richard Molyneux
I think the reval that that's referring to is stock revaluation in terms of variable marketing expense.

P.B. Balaji
Oh, okay, cool. I think with that we are more or less done with the questions. Are we missing anything out there? Just a minute, guys. We'll just ensure there's nothing not covered. So I think we are done with this. So thank you for your time, thank you for your probing questions and look forward to catching up with you in the coming quarters as well. Thank you, and of -course, thanks Team JLR, Tata Motors here. Have a lovely evening Bye-bye.

Call: Nov 2024

November 14, 2024
Sc no - 18523

Dear Sir s/Madam ,

Sub: Transcript of the Earnings Discussion /Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 and further to our letter bearing sc no. 18485 dated October 11 , 2024 intimating that post announcement of Financial Results for the second quarter and half year ended September 30, 2024, Tata Motors Limited (“the Company”) will host an Earnings D iscussion/Conference Call on Friday , November 8 , 2024.

The trans cript of the earnings/conference call is available on the website of the Company at www.tatamotors.com

This is for information of the Exchange and the Members.

Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Company Secretary

Encl: as above

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Tata Motors Group
Q2 FY25 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
Mr. G.V. RAMANAN, VICE PRES IDENT FINANCE, TATA MOTORS LIMITED
Mr. DHIMAN GUPTA, VICE PRESIDENT , FINANCE , TMPVL and TPEML
MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER

Presentation

Anish Gurav

Good day and welcome to Tata Motors Q2 FY25 Earnings Call. Today with us are Mr. P. B.

Balaji, Group CFO, Tata Motors; Mr. Girish Wagh, Executive Director, Tata Motors; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited; Mr. G. V. Ramanan, Vice President, Finance, Tata Motors Limited; Mr. Dhiman Gupta, Vice President, Finance, TMPVL and TPEML; Mr. Adrian M ardell, CEO, Jaguar Land Rover; Mr. Richard Molyneux, CFO, Jaguar Land Rover and we also have our colleagues from the Investor Relations Team.

Today we plan to walk you through the results presentation followed by O&A. As a reminder, all participant lines will be in listen -only mode and we will be taking the questions via Teams platform. The same is already open for you to submit the questions. You are requested to mention your name and the name of organization while submitting the questions.

I now hand over to Balaji Sir to take over. Over to you, Sir.
P.B. Balaji
Thank you, Anish. Good evening, everybody. Good morning to people in the U.S. It's obviously a very sad quarter for all of us here in Tata Motors. On the passing away of Mr. Tata, this company owes its existence to him and we thought we'll take this opportunity to continue to pay our respects to him. Thank you, sir, for continuing to inspire us. Next slide, please.
To the standard Safe Harbor statement, nothing new to report here. Next one.

It's been a pretty intensive quarter for us in terms of products and as well as other highlights for the business there. You already have seen some of these pictures already, but I think the call outs, I would say, as far as domestic is concerned, I think the launch of the Nexon iCNG and Nexon.ev 45 kWh has been an excellent success followed by Curvv. We also had an extremely warm ceremon

y for groundbreaking of the new Chennai plant that we had.
We had the Honorable Chief Minister of Tamil Nadu as well as the Industr ies minister with us, and the Chairman as well. This is a project that we are all very proud of. It's something that we are going to create between Tata Motors and JLR to get products to market there. So look forward to continuing to work in the space. And JLR side, of course, substantial efforts underway for the whole EV transition with the Halewood factory getting ready for introducing EMA products there. And from a financing side, of course, both the RCF term refinanced and as well as the ratings continue to keep improving. So overall, a satisfying quarter from that perspective.

Of course, not so satisfying as far as the current quarter is concerned. Nothing new. We did call this out last quarter , of the supply issues that we have faced in JLR and one unforeseen last minute holdback that we had to do in JLR and continuing demand situation that we did indicate in domestic Indian business. Therefore, despite these situations, the first half is broadly held, but for the quarter, it's been a disappointing quarter with revenues down 3.5%, EBIT at at 5.6%, down 190 bps and profit before tax and exceptional items at ~Rs. 5,800 crores, down about Rs. 400 crores. Free cash flow, more on a full year basis with a lot of working capital movement between first quarter, second quarter. On a full year basis, marginally down at Rs. 1,700 crores. And we would expect to see this reverse going forward. Next slide, please.

Where did the growth come from? We declined by about 3.5% , 6.2% out of that came out of volume and mix, primarily out of JLR and as well as at an overall level. And of course, we did see impacts in other parts of the business I'll cover subsequently. Translation with the pound appreciating vis -a-vis the Indian rupee, you did see a 3.3% increase on the translation side. And on a margin perspective, thanks to the decline in revenue growth, we did see operating d eleverage that go right through and we'll talk about that in greater detail subsequently. Net debt marginally inched up, not particularly concerned about it. We should expect to see this reverse and go into net cash by end of the year.

With this, let me hand you over to Richard to walk you through the JLR performance. Richard, over to you.
Richard Molyneux

Thank you, Balaji. So we go to the next chart, please.

So the summary for JLR is that we were held back by outside forces in Q2, particularly the flood at Novelis, which restricted our production to 86,000 units in the quarter.

The good news is even with these headwinds, we delivered robust profitability, which does show the underlying resilience of our business. And we expect to bounce back strongly in H2. So the top row in this chart shows the financial results in Q2. The bottom half is H1, and each of the following charts will follow the same format. So, with 86,000 units of production driving 87,000 wholesales, this is what's driven revenue down by 6% in the quarter. But even with this, we posted the ninth quarter of positive EBIT in a row, and the seventh quarter of EBIT over 5%. So in addition, even though PBT was down by 10% in the quarter,

on a full year basis, it's actually up year -over -year. Operating cash in the quarter was GBP256 million negative. That puts us fairly much flat for H 1. But even with flat H 1 cash, we're still holding our guidance of net cash at year -end. The bottom half of the page, revenue is flat for H 1 year -over -year, but with lower volume, this means revenue per unit

continues to
rise. EBIT is down a little bit as a percentage driven by increased levels of sales support. But we also expect EBIT to recover in H2, allowing us to hit our commitment of 8.5%. Next chart, please.

So I won't go through this in detail. Most of the points on here I'll cover in the following charts. Next chart.

So looking at wholesales by brand, we mentioned the impact of the Novelis flood. This impacted particularly Range Rover and Range Rover Sport as MLA is our most aluminum intensive architecture. We only sold 30,000 Range Rover and Range Rover Sport's in the quarter versus a normal run rate of at least 40,000. Defender did benefit a little bit in the quarter , as we allocated components. Discovery was flat and Jaguar, as you know, is in run out phase as we move towards the extremely exciting launch of the new brand next month in Miami. From an H 1 perspective, Range Rover is still really strong, 14% up year -on-year, and Defender is also really robust. Next page.

This looks at the same data, but by region. And a second impact on top of the aluminum supply issue we had was a temporary quality hold, we put on 6,000 primarily U.K. and EU cars. These cars will be wholesaled in Q3. This was the main reason why U.K., EU performance is down year -over -year for the quarter, though the EU market is becoming increasingly competitive as others allocate unsold units to their home markets. The U.S. continues to perform really well and China remains strong in Q2. I should say, however, and I'll cover China in a bit more detail later on, that the market and the retailer network are showing considerable stress and this will impact H2 sales in the region. But for Q2, we did really well. Wholesales were up. From an H 1 perspective, it's a fairly similar profile, but this does emphasize the emergence of the U.S. as the market where our brand strength and product appeal is growing mo re strongly. Next chart.

So, this chart walks from our PBT in Q2 last year of GBP442 million to the GBP398 million we recorded in Q2 this year. And if you think at a total level that's a wholesale level of 97,000 going down to a wholesale level of 87,000, that's actually quite resilient financial performance in a very fixed cost business. If I look at the walk, obviously, the big negative, the first big negative there is volume. We lost 10,000 units, so just by about GBP214 million. Net pricing was also negative for us. So, variable marketing expense or sales support on an incurred basis was 4% in the quarter versus 1.1% in the same quarter last year. Normally, in the past few quarters, we've been able to more than compensate such moves with contribution cost reductions. And as you can see there, material cost is continuing to come down quite strongly. The high warranty costs in the quarter dragged our net revenue to contribution cost performance negative for the quarter. And be assured, material cost , quality and the cost of quality are major focus areas for us as we move the business forward. On a structural basis, you can see our structural costs are falling, even though we're investing more in marketing. This is driven largely by reduced D&A as we extend our ICE life cycles in response to slowing global demand for BEVs. From an FX and commodities perspective, the strengthening of sterling hurt our operational FX, but gave us a strong revaluation effect on debt, so no surprises there. Next page.

This takes our H1 PBT and walks it to cash. So, you can see at GBP2. 14 billion in the middle, that strong operating cash after tax, even given the low wholesales in Q 2. And although

not
the case in Q2 individually, on an H1 basis, investment spending does remain significantly lower than the amount of free cash flow our business generates. Looking at the working capital side, the lower production has a sort of a double hit on us because it also means the working capital goes negative as payables fall with reduced production. This has impacted overall free cash flow, which was roughly flat for the first half. Those working capital effects are going to reverse back out in H2, which will give us a much stronger cash flow in the second half of the year. Next chart.

Turning to investment, investment in H1 was just under GBP 1.9 billion, about GBP400 million higher than the same period last year. This was driven by our BEV transition and our very forward and very exciting new product cadence over the next few years. Engineering capitalization ratio was stable at circa 65%. Okay, so if I move on to a business update, which I think is next.

Let's move straight in, straight into China. So definitely worth giving an update of our perspective on China and what's playing out over there. So I think there's two main themes. On the left -hand side, there has been industry -wide discounting and overstocking for quite some time. And this has really started to put extreme levels of stress into the retailer industry, automotive retailer industry across China. We are seeing considerable insolvencies in that space. And that means the loss of retail points for us and other manufacturers to access the market. It also tends to have a bit of a domino effect because the fact that some retail groups are not able to survive reduces the amount of new funding and credit that the other ones can get. So there is extreme stress in the distribution structures for vehicles in China. And that's partly related in the middle section where there are also demand challenges, both industry -wide and in the sectors in which we operate. So, premium market down 12%, the ICE market down 22%. In that context, our performance in the first half of the year, we haven't done badly. Retails on our imported cars was down 4%. Wholesales were actually up. And we've managed dealer inventory very well and coped really quickly with the loss of retail points. So what we'll find is, look, China is not something that's going to get solved very, very quickly. And it will definitely give us some weakness in that market in the second half of the year. But from where we stand now in Q2, we've done a reasonable job. Next chart.

So we continue to invest and invest strongly in our reimagine strategy. So this picture is the BEV lines up in Halewood. It's an amazing facility dedicated to BEV production, and it'll eliminate tailpipe emissions, but also you'll see near the bottom of the text on the right, it will also reduce our own emissions. So we're taking maybe 40,000 tons of CO_2e out of Halewood's industrial footprint. So we reconfirm our commitment to our strategy, which means that we will be net carbon zero by 2039, only BEVs by 2036, and have a BEV derivative of all of our brands by 2030. Next chart.

So financial outlook, looking ahead. We have mentioned Q2 was hurt by factors largely out of our control, and we expect to bounce back strongly in H2. Though the headroom to holding these commitments, which are GBP30 billion worth of revenue, greater than or equal to 8.5% EBIT and net cash positive, they are still our commitments. It is worthwhile saying, however, that the headroom to achieving those is tighter than I would like. Next page.

Tata Commercial Vehicles, back to you Balaji.

P.B. Balaji
Thank

you, Richard. Let me now hand it over to Ramanan and Girish to do the sections on the Commercial Vehicle s. Ramanan, do you want to start?

G. V. Ramanan

Thank you, Balaji. I think Q2, the CV industry saw 11% decline year -on-year in terms of volume, largely impacted on external factors of infra slow down and reduction in mining. If you see in terms of registration market shares have been kind of steady. On a half -year basis, it's at 38.1% despite this decline, and the passenger segment has also seen a growth. Next page.

On the revenue and financials, we did witness a slide in revenue, largely on account of the market conditions, but have sustained a double -digit EBITDA with 40 bps growth over yoy . And also, on a half-yearly basis, the EBITDA has improved. It's a double -digit EBITDA that we've been able to manage. EBITDA has improved by 120 bps, and this is leading to a strong PBT, resulting in a good ROCE at around 37.4%.

Let me just take you through the walk on the PBT, Q2 of last year to the current year Q2. Coming to this walk, you will see that lower volume has kind of impacted us adversely, but favorable pricing and the variable cost benefits have adequately helped us bridge the gap. Overall, we sustained the margin well. And I would now request Girish to kind of share more insights.

Girish Wagh

Thank you, Ramanan.

So as Ramanan mentioned, I think the industry volumes declined by around 11% mainly due to the slowdown in infra activities, reduction in mining and also heavy rain impacting the movement of freight. In heavy commercials, intermediate, light, medium commercial vehicles and SCV pickup, the volumes declined by around 24%, 13% and 10%, respectively, whereas passenger carriers grew by 5%. Passenger carriers continue d to do well. Interesting data which we are now able to track live, I think the kilometers run by vehicles on a daily basis did decline significantly and on a year -on-year basis , on the lowest level there was a decline of almost 15% to 17%. And we have also seen that the diesel consumption has reduced to almost 15% on a quarter -on-quarter basis. The good thing though is in October, which was also a festive month, I think the running of vehicles have come back to the previous October levels. So , now we need to watch for remaining months as to how do they continue at the same level going ahead . Another good part was despite this year -on-year drop in utilization and a significant drop in utilization, I think the freight rates moderated just marginally, which therefore ensured that transporter profitability , while it came down a bit, but still continued to be at a good level, which is, I would say, a healthy sign for the industry. Customer sentiment index, which is a metric that we track internally, it did moderate due to the seasonal dip, so it is expected to go down in Q2, but it continues to remain at a good level. On the commodities, whatever increase we had seen in Q1 has more or less retracted in Q2, especially steel, which has a higher impact in commercial

vehicles.

Going next, so Tata Motors Commercial Vehicles, our overall volumes declined 19% on a year - on-year basis in quarter two and around 8% year -on-year basis for the entire first half. And within that, heavy commercial vehicles, intermediate, light, medium commercial vehicles and the passenger carriers, we have been able to perform better than the industry in the first half of this financial year. Within this, the MCV trucks, that is the 19 ton trucks actually grew in double digits on year -on-year basis, while the overall industry declined. Passenger carriers also grew by 3%. We were able to further improve the contribution of digitally generated leads by up to almost 27%. We are running now at the 30% higher level as compared to first half of last year. We continue to launch new products and variants to get into micro segments and niche markets. We further accelerated the cost reduction efforts and also improved and maintained realizations across the range despite lower volume. We continue to increase the spares and service penetration, both on a Y-o-Y, of course, and quarter -on-quarter basis. In electric mobility, we delivered and registered 550 electric buses in the quarter gone by. And till now, we have more than 3,300 buses registered and running. Ace EV, I think despite the FAME2 not being there, with the launch of new variants and new value propositions in Ace EV with 1 ton payload, we continue to do well and have shown a Y-o-Y growth both in Q1 as well as Q2. And now we have more than 6,400 vehicles running on roads with cumulative coverage of more than 50 million kilometers. We continue to deliver 99% uptime, leading to very high customer satisfaction levels. And as I said, the volumes have seen a 17% growth on a yoy basis. On sustainability, I think we are on track for all our plans, meet the decarbonization roadmap in line with the SBTi glide path or the circular economy and within that you will see that our Pantnagar plant actually received the 'Zero Waste To Landfill ' certification. On the smart city mobility, now there are more than 3,300 buses , which have crossed more than 200 million kilometers cumulatively and we continue to deliver higher than 95% of uptime. So, we are now at the last leg of deployment of buses under the CESL tender that we had won and more than 2,000 buses have been deployed. We have also deployed 200 electric buses in Jammu and Srinagar , and running very well. On the PM E -Drive, we welcome it, it's a good scheme. It does address the payment security mechanism that we have been talking about, but we await further details on some of the other points that we have raised in the pre-bid meetings and especially related to an asset -light model. On the Digital business, I think we continue to build the scale and have also established the revenue model . Fleetedge now has more than 710,000 active vehicles on the platform and a very healthy daily, weekly and monthly active usage, almost 78% monthly active users and 52% weekly active users. Our machine learning based fuel efficiency solution, the Mileage Sarathi is now live on more than 340,000 vehicles and we continue to deliver a median fuel efficiency improvement of around 4.8%. In the quarter gone by, we also launched a unique service, 'API as service ' with which fleet owners are now able to share live location as well as the status of the freight to the shippers. So, the shippers can therefore integrate it into their system and have a better track with respect to the freight. E-Dukaan, our digital storefront has now 34,000 registered buyers and we are selling more than 28,000 SKUs and significant penetration in our retail segment for spare parts. Fleetverse, which is our online vehicle purchase commerce platform, we have achieved now more than 1 0,000 retails in Q2 and almost half of those are absolutely unique retails. Delighted to note that both Fleetedge and Fleetverse, now we have native mobile apps launch ed with which I think people can work on it on the move.

Looking ahead, we expect the gradual increase in infrastructure spending to boost the consumption and therefore improve the demand as we go ahead. October has been a fai

rly good month with a marginal increase on a Y-o-Y basis. Within trucks and buses, we will continue to introduce new variants, drive our value selling agenda , of course by improving the value propositions being delivered to the customer. On small commercial vehicles where we are challenged on the volumes, we are working on a three -pronged agenda. First is improving the value proposition, product value proposition across the range wherein we will increase the payload and therefore improve operating economics for the customers. Conversion challenges which are being seen in this segment, we have been working closely with the financiers to unlock this through attractive schemes.
And then
there is a whole set of front -end transformation , in set of initiatives which are being deployed to improve the entire operating rhythm. On service and spares, we will continue to drive growth, and increase penetration by leveraging our digital storefront. International markets, we continue to maintain the shares, margins and, of course, the channel health. We will continue with the cost reduction efforts which have been helping us well in entire first half. And on sustainability, as I said, we will continue execution of all three that is net zero, circularity as well as biodiversity initiatives.

So that's about CV, Balaji back to you.

P.B. Balaji
Thanks, Girish. Shailesh, Dhiman, can you take on the PV piece?

Dhiman Gupta

Yeah. Thank you, Balaji.
Tata Motors in H1 FY25 , market share stood at 13.3%, flattish on a year - on-year basis. There was a slight decline in our market share due to adverse salience of hatches . However, we

saw strong growth during the festive period in October with our market share bouncing back to Q1 of 13.7%, as we secured our highest ever monthly registrations of 68,500 units.

Our powertrain mix is becoming more emission -friendly and is likely to grow further with the launch of Curvv .ev and Nexon iCNG, both of which have been very well -received in the market. Our CAFE compliance is very below threshold , and we have a headroom of 25 gram per kilometer, which goes to show the impact of our multi -powertrain strategy. Next slide, please.

Overall, EV industry volumes have been impacted by the challenges in the broader PV industry and the withdrawal of certain subsidies, especially in the Fleet segment. While there has been a sharp decline in the Fleet segment post -expiry of the FAME2 incentive, we have been able to sustain our personal segment market share at 67%, despite an intensifying competitive environment with new product launches. We continue to work on driving growth in ecosystem to holistically enable mainstreaming of EVs, and the consistent growth in charging infrastructure will be a major tailwind going forward. Next slide, please.

Our revenues declined by 4% on a year -on-year basis, reflecting the broader slowdown in consumer demand and the moderation of offtakes we did to keep our channel inventory under control. While our EBITDA margins were steady, EBIT margins declined due to higher D&A charges that we took on our new product launches. Next slide, Anish .

This is the profitability walk on a year -on-year basis. The slowdown in consumer demand and the high industry channel inventories have led to a higher state of price discounting in the market. We have, however, been able to offset much of the adverse impact through consistent mix improvements and material cost reductions. What has impacted our profitability is the higher D&A and production development expenses, which we haven't been able to fully absorb

due to the loss in operating leverage, and some of the new launches happened only for part of the quarter. So, their volume ramp -up is still in progress, so we've not got the full benefit of volumes there. For the PV ICE business margins, they've remained steady on a quarter -on-quarter basis, while the EV business profitability has shown consistent improvement on the back of battery price reductions and the profits of new product launches. Shailesh?

Shailesh Chandra

Thank you, Dhiman.
Let me start with the industry highlights. The industry registrations and wholesale de -grew by 5% and 2% year -on-year, and industry registrations were actually 26 month low in September. Sustained wholesale, which has been happening in the industry at the rate of nearly 350,000 a month, led to build -up of channel inventory and high levels of discounting ahead of the festive season. SUVs have been sustaining volumes, boasting nearly 8% growth year -on-year, while, as Dhiman also spoke about, hatches and sedans, which continue to lose salience with 20% de-growth that we have seen. However, it was heartening to see that the new launches have been able to create excitement in the market and drive footfalls for various OEMs who have launched new products. EV industry faced headwinds due to PV industry slowdown and withdrawal of key incentives, particularly for fleet, as was also mentioned by Dhiman, FAME2 got discontinued. And in certain states, the road tax benefit also was temporarily, kind of, it had expired and did not get continued in certain states. Coming to Tata Motors, in quarter two, our registrations and wholesale de-grew by 4.5% and 5.8%, respectively. While we had a strong booking pipeline built up by the new launches, that is, Curvv and Nexon CNG, we were only limited to the supply during the quarter. It was only limited deliveries that we could do in the quarter. And therefore, the full benefit of the new launches could not get reflected in quarter two. Punch has sustained as the top selling model in the industry in first half, with more than 100,000 units which got sold. However, market share gains from new products was offset by adverse salient shifts in the industry, which is hatches and sedans. We maintained our market leadership in EV

segment despite growing competition. And in the personal segment, as Dhiman mentioned in the slide, that we sustained, but in fleet segment, we had to take a hit because of the fleet segment not getting the benefit of FAME after March. Next slide, please.

Talking about industry outlook and TML actions, in quarter three, we expect retail to be strong, driven by festivities and the year end demand. Industry wholesale may be lower than retail, so as to reduce the channel inventory ahead of the new calendar year. That is for the industry. Tata Motors will focus on driving significant growth in retail on the back of new model launches and will be backed by marketing campaigns.

We would strengthen our dealership network in terms of health as well as reach. Continued effort will be taken forward as far as mainstream ing of EVs are concerned with focused market development and ecosystem actions. And we will continue to intensify the cost reduction efforts to maintain profitability in the intensifying competition environment.

Balaji, over to you.

P.B. Balaji
Thanks, Shailesh . Thanks, Dhiman. Just to quickly wrap this up.
Cash flows -wise, despite a challenging quarter, I think cash profits after tax are sustaining the cap ex spends . And very similar to JLR, we do expect the working cap ital to continue to reverse as the growth

picks up during the quarters coming ahead. Next slide, please.

Ratings have been coming through both at the domestic level as well as international level, both here and in JLR. So therefore, that is heartening, but of course, we still continue to, as performance keeps picking up, we will continue to keep working with the rating agencies to step this up further. Next slide.

So overall, looking ahead, I think from an outlook perspective, we do remain cautious on the near -term domestic demand. But the festive season that has just gone by as well, which is a pretty strong one, and the infrastructure investments of the government starting to come through, this should help domestic demand going forward. And , as far as JLR is concerned, the wholesales will improve sharply as the supply challenges ease. However, we do remain watchful on the global demand situation . And we expect the second half of the year to improve significantly and the business to become net debt free as these issu es work themselves out. Priorities are there, has been covered extensively in the business.

And let me therefore now quickly cut to the Q&A that is there.

Questions and Answers section

P.B. Balaji
I think a lot of questions coming through on the guidance and why are we confident to do it on the JLR side. Let me start with the first one on that one, Kapil from Nomura.

I think it is a tough quarter for the industry and several luxury OEMs have reduced guidance. Please give us some color on how is JLR able to maintain this guidance in this market condition? Then are you still on track for the 10% EBIT margin in FY 26? Is there any change that you're thinking about it?

Richard Molyneux

Okay, so let me obviously, let me cover that. So we are holding our guidance, but with very limited headroom left. If you look at P&L, so we've mentioned that we had a quality hold on 6,000 vehicles in Q2. Those will be wholesaled in Q3. So that will just reverse back in from timing. In addition, we did suffer in the quarter , real supply constraints as a result of the flood at our aluminum supplier. We only were able to produce 86,000 vehicles in the quarter. Those constraints are largely over now. So we also expect to increase production to allow us to wholesale more rapidly. So there's a couple of things that lead us to expect that P&L wise will pick up. On the cash side, I did mention the working capital pick up, that will definitely reverse back to working capital favorable in the second half of the year. Also, take a look at the natural seasonality in our business. Q4 last year, I think our cash generation was around GBP900 million and we would expect Q4 to be really our dominant quarter for cash generation again this time round. So, both natural seasonality and not only the elimination, but the reversal of some of the constraints that we had in Q2, mean we are still holding on to our guidance.

P.B. Balaji
Can you also comment on FY 26, Richard?
Richard Molyneux

Yes, FY26 follows a similar thought pattern, to be entirely honest with you. 10% is still possible, particularly as the D&A effects of extending out the end point of our ICE products will still be very relevant in that year. But again, it is getting tighter.

P.B. Balaji
Thanks, Richard. Shailesh, this is coming your way in terms of, this is from Pramod , Incred . Your car business profitability has been vulnerable to industry slowdown. What structural changes are you taking to ease the situation in the medium term, including strengthening car dealership networks to handle the current slowdown, as we

ll as
reliance on new products is pretty high in this business. How would you diversify?
Shailesh Chandra

Okay, so, and the third part I also see in the question, which is on the EV sector. Let me answer one by one. So, as far as profitability is concerned, I think Dhiman covered that in quite detail with that waterfall chart that was shown. The whole industry environment was that of discounting in the first half, and therefore, we had to also discount to compete in different segments in which we have our products positioned. However, that was more than offset with the cost reduction efforts that we have been driving in the organization. Nevertheless, since we could not have the benefit of the volume growth, and there was
increased D&A, it had an adverse impact as far as profitability is concerned.
Having said
that, I think the cost reduction actions in the company is being expedited , and we see that it is going to deliver better than what we have delivered in H1. So, that is going to be favorable for the profitability. At the same time some of the new model launches that have happened makes our volume mix also richer. So, that should also help. So, broadly, I see that in the H2, also with volume growth and leverage benefit that we might get, the profitability should have a favorable impact.

As far as strengthening of car dealership network is concerned, I think we were one manufacturer who have taken sharper offtake cuts as compared to the industry and that has enabled us with the strongest ever retail that we had in October in the festive season that has allowed us to significantly bring down the inventory levels to now for majority of our dealers less than 30 days and median holding days of inventory would now have reduced to 30, 31 days. So therefore, dealers with those reduced inventory , their finance cost and all would have significantly reduced and we are very particular about the profitability of our dealership. So I think , after October, we have significantly been able to bring back a very positive health of our dealership, so that was on the second question. The third is on the launches and diversification of our product portfolio. We have already shared our launches for two years and all we have already launched Curvv, there will be hopefully Harrier EV which will also be launched in the EV segment and then we have a

Sierra also which is going to come in the second half or late 2025. So these are the products which are going to come in FY 26 and of course it will also include the MCE (Mid Cycle Enhancements) especially in the car segment.

As then the third question is on EV segment which is about product price changes, how do you think the pricing change cost? Okay, so it has been a bit volatile as far as price is concerned globally, I would say for EVs and the simple reason for that has been steep reduction in the prices of cells . And as manufacturer and leading manufacturer in the country, we have tried to pass that on to the customers, so that we bring the price of electric vehicles closer to the automatic ca r prices in the ICE segment. So I don't see that now there should be any significant price corrections going forward because now we have come to more stable level of c ell prices. So therefore, now we should see the price stability as far as EVs are concerned.

P.B. Balaji

Thanks, Shailesh. Richard, this is coming your way. This is from Nishit Jalan. Could you quantify the impact of this production loss on your EBIT as well as holding back the 6,000 units. How much of production got impacted and what do you belie

ve is the underlying EBIT
if you are just for these two? That is one.

Second, the quality issue per se, could you just give a bit of color on what this issue was and has it been resolved? And lastly, can you also talk about warranty costs that you have alluded to saying it's gone up. Anything that we should be highlighting there further?

Richard Molyneux

Yeah, okay, let me take those in turn. So, production was only 86,000 units in the quarter, which is at least 10,000 south of where we would have expected it to be. If you take the aluminum supply issue and the effect of the 6,000 units, the best thing to do, I think, would be to look at our EBIT range over the last seven quarters. It's been in the range of 6.5%, 8.8%. We would have been fairly much in that range had those issues not happened.

Next question, what was the issue with the 6,000 units? It was a specific part that we needed to run some additional tests on. It occurred very late in the quarter and we took a conservative approach of not recognizing that revenue at that point in time. The issue is resolved. Parts , where they need to be replaced are in process. So, those 6,000 units will appear in Q3 wholesales.

The impact of warranty. Warranty is going up for us, strangely, even though quality is also improving. So even though 12-month in service and 24-month in service sort of repairs in terms of numbers is coming down, warranty expense in cash and accruals is going up. That's partly due to inflation in terms of the labor rates at our dealers. That is partly due to the nature of the repairs. And it's something that we're very much focused on. So it's a strange environment where the quality of the vehicles is improving, but the amount of money in cash that we're spending on warranty is simultaneously rising.

P.B. Balaji

Can you just continue to talk about FME as well as dealer compensation in China? It's part of the same question. All of them are new angles.

Richard Molyneux

Yes. So, FME has been higher in Q 2 and we would expect it to continue at high levels. I mean, essentially, if you look at FME or marketing and our selling expense as one entity in terms of demand generation, both are going up and we would expect FME to flatten out at roughly these rates. We'd expect VME to rise a little bit further in the second half of the year. But for us, remember VME, although we only show you one number, it really is a split of still , industry -leading in terms of low VME on Range Rover, Range Rover Sport and Defender and higher VME for us, considerably higher VME on the models that we're running out in terms of Jaguar and also those models that are later in their lifecycle that will get replaced when we launch the EMA architecture.

So we only quote one number, but there is a big sort of discrepancy between our car lines and between our regions in terms of where we spend our VME. Overall, I do expect it to be a little bit higher in the second half of the year, but not massively so.

P.B. Balaji
And last one in terms of compensation of dealers in China, is there a challenge there?
Richard Molyneux

Look, there is definitely a challenge with the dealer network, and we're having to be very proactive in how we manage both those where the retail points are closing, because those dealer groups can't survive, and to support the ones that do remain. Obviously, those that do remain have higher areas in terms of where they can sell to. So we're doing it on a one -by-one basis, we're not doing anything generic across the country.

P.B. Balaji
Actually, just staying with you for the next question from Aditya

Jhawar, Investec. This is
about the industry in China between ICE and EV. While it seems that the ICE industry has declined, overall PV industry has reported modest growth led by NEVs. On the ground, feedback suggests some loss of market share to EVs. Looking at the intensive competition across price points, what's your strategy of positioning our EVs in the Chinese market?

Richard Molyneux

So I think, excuse me, there is, again, a difference you can draw between those vehicles that we produce and sell locally, which tend to be in the lower price segments. Lower price for us is still quite high industry -wide, but they are definitely suffering from NEV competition. And remember, NEV is not BEV. By the way, we have to make sure that that NEV covers PHEV, range extenders, and BEV. And actually, its range extenders and PHEVs that are quite high in that area. But regardless of that, in the lower segments, absolutely, there is very strong competition from the new entry BEVs impacting the available market for ICE vehicles. In the top end, there really isn't yet. So there are no local BEVs competing at the price points. All the performance, all the brand that we have with Range Rover, Range Rover Sport, Defender, and we will have with Jaguar once we relaunch the brand , so that area is still to be tested. And most of the competition, I'll use the phrase in the killing fields, but you know what I mean. In the mass sector of the market, that is really, really nasty. It is not so nasty yet in the segments of the industry where we really play and where we really rely for our profitability.

P.B. Balaji
Thank you, Richard. I'll probably give you a break for now . I'll shift gears to CV which we have not had all the questions that towards the rear end. This is from Abhinav Ganeshan from SBI Pension Funds.

I think you have covered about the festive season demand, but can you talk about discounting? Can you also speak about the discounting that we are currently seeing? Can we comment on the pricing discipline in the market going forward?

Girish Wagh

Right, okay, so I think as far as the festive season is concerned, we did see a very good improvement in the utilization of the trucks, possibility due to increased consumption. At the same time, I think October was the first month which was post the rainy season. So we've also seen the tipper utilization going up, which also indicates that the infrastructure projects have also started doing well. So that's on the heavy trucks.

As far as actual vehicle demand is concerned, I think the festive season did see an increased volumes in the small commercial vehicle segment. And we did see around 30% month -over -month growth in volumes in the month gone by. Now, as far as pricing is concerned, I think we maintain our position. We continue to have a very disciplined approach with price being only one part of the value proposition. The many other aspects and attributes which add value to the customer, starting from product, cost of ownership, the entire annual maintenance contract package, the Fleetedge and the kind of benefits that Fleetedge delivers. So I think we focus on delivering improving value propositions to the customer. And on the back of that, I have a very, very disciplined pricing approach which has continued in the entire second quarter's, despite the volumes going down. Balaji?

P.B. Balaji
Thank you, Girish. Staying with you for a while. Next qu

estion is from Jinesh Gandhi. You
covered this first part of the question. Can you also talk about some banks and NBFCs are highlighting increase in NPA's in the CV portfolio. Are you seeing any signs of stress on availability of finance for M&HCV? And also, what's your outstanding order book of ACE EV? How's your capacity?

Girish Wagh
Yeah. So Balaji, I think Jinesh has also asked for outlook.

P.B. Balaji
Yeah, please.

Girish Wagh

So I think let me go segment by segment. So amongst the four segments that we see in commercial vehicles, the passenger commercial vehicles, that is buses and vans, should see the higher growth in second half, followed by growth in intermediate, light, medium commercial vehicles. And I think small commercial vehicles and heavy commercial vehicles is something that we'll have to keep a watch on how things pan out. October has been a good departure from Q2, which had seen a Y -o-Y decline. So that's something that we need to keep a track. And as I said, the daily running of trucks, which we track, has done well in October. Need to keep a track of that as we go ahead and see that it continues at that level.

Now, coming to your second question about financing, we don't see any stress in medium and heavy commercial vehicles, even intermediate commercial vehicles at all. But yes, there has been a stress in the small commercial vehicles. We have seen from whatever engagements we have been having with the financiers that the NPAs have gone up to some extent. And that's why, as I mentioned in my presentation, for small commercial vehicles specifically, I think we have come up with financing schemes which improve the value proposition both for the customer as well as the financier. And I think that's something which we are seeing good traction starting from the last month. Coming to Ace EV, see, we have been working with quite a few anchor customers. Now , we have total 62 anchor customers who are our repeat buyers. So, they are essentially corporates who are deploying electric vehicles for their last mile distribution to meet their decarbonization target. In the last quarter, we have added eight such anchor customers and we continue to increase this. We are also working with quite a few municipalities across the country for decarbonizing their intracity transport. And we also continue to work with a few retail customers who have been taking to Ace EV once they are sure about the load carrying capability as well as the range. So that's how we are growing the demand on Ace EV. I think as far as capacity is concerned, we are placed well. We can produce thousands a month and as and when required, we can go on increasing the capacity. Balaji?
P.B. Balaji
Yeah. Thank you, Girish. Shailesh, this is coming your way. India PVs, any comment on growth in festives period and dealer inventory levels?

Shailesh Chandra

Yeah. So, in the earlier question, I commented that it was our highest ever retail/registration. And we focused on reducing the dealer inventory levels to normal level. And therefore, we moderated our offtake also to do that in October and even in the earlier months. So now it is down to 30, 31 days, as I said.

P.B. Balaji
There are a lot of questions on Curvv split between EV, PV, sorry EV versus ICE, as well as how is the current response and can you just take all those questions together.

Shailesh Chandra

So the ratio of EV as far as all the penetration of bookings as far as EVs are concerned and Curvv has been about 20%, very strong bookings. Be aware that the supplies really started in the second

half of September and therefore before the test drive could reach, we could not really leverage the Curvv sales in quarter two, but we had very strong bookings that we received both for EVs as well as for ICE. And from October really we started seeing the ramp up of our production also. There have been ramp up issues in Ranjangaon where we have been making these vehicles. Also, there are three or four critical variants which are yet to be launched. So that had got delayed, which should get productionized in December. So real supplies , and leveraging all the variants that we have announced as far as Curvv is concerned will start being seen from January. So it has been strong and as I said, 20% is the booking penetration of Curvv .ev.

P.B. Balaji
Thank you, Shailesh. Richard, this is coming your way. It is from Rakesh Kumar, BNP Paribas. Does your investment plans have flexibility to be recalibrated if overall demand environment, especially EV demand comes under sustained pressure? Jaguar is obviously committed to be an EV only vehicle and incremental launch es on Land Rover appears also to be EV heav y? Could you comment on that ?
Richard Molyneux

Sure. So we're in the development of three architectures in parallel. So we have MLA which is the one which Range Rover, Range Rover Sport is based ; EMA which will be the replacement of the cars below those segments and JEA for Jaguar. So each of those will get BEV offerings . So the Range Rover, Range Rover Sport will be the first to get a BEV and it will be on exactly the same architecture as the ICE derivatives. The BEV there will come out towards the end of next year . But that will mean that basically you can go into a retailer and buy Range Rover that is either a diesel, a six -cylinder petrol and eight -cylinder petrol, a PHEV or BEV they all look the same. Next will be the vehicles of the EMA architecture.

Those are the ones that are produced in Halewood where I showed you the picture of the lines earlier on. They will come in early 2026, the first of those will come in early 2026, the new Jaguar will come just after that.

So do we have flexibility? Yes, because all of those things are ahead of us and there are second and third derivative vehicles in each of those circumstances that we can also push back. So, we do have some flexibility, but we are simultaneously making sure that we can offer BEVs for each of our brands, because there are still indications to the market that are going to go that way and we require that for emissions compliance in many places as well. So yes, we have flexibility largely because our BEV roll -out is ahead of us, and I guess that's one advantage of that statement being true.
P.B. Balaji
Thanks, Richard. Dhiman, this is coming your way . Kapil Singh on PLI . What are the current status of the application , that we put out there including for this Curvv as well as a CV? And what's accounting policy that we are following?
Dhiman Gupta

So thanks, Balaji. I think for P LI, the last date for submission of the P LI application was 30th September. We've filed all the documentation on time . The government has already looked at all the submissions , that's been accepted. The various agencies will now be visiting our factories to confirm and go through the physical verification. The timelines intended for the government for disbursement of PLI funds are 60 days from 30th September. So since it's already in progress , we expect the funds to come in, in the coming months. In terms of our accounting policy, whenever there is a new scheme announced by the government wh

ere
the process is still to be established, we don't accrue it in our P&L and we typically recognize it when the cash is either disbursed or when there is a certainty of the timing of the cash disburs al.

P.B. Balaji
Thanks, Dhiman. Girish, this is on CV growth expectation from Gunjan , BOFA . How do you expect full year growth now to pan out for the CV industry? And any color on the segment -wise trends?

Girish Wagh

Yeah. So I think let me give an outlook only for H2 because we know what has happened in H1 on a Y-o-Y basis. So in H2 as I said, segment -wise I do expect the passenger, i.e. buses and vans to do better than last year , followed by intermediate, light, medium commercial vehicles is same to better than last year . I think S CV Pick up and heavy commercial vehicles is something will keep a watch and I think based on the October numbers, we have a positive bias on H2 numbers for these two segments flat to positive bias . Segment -wise trends, I would say that buses are seeing very healthy utilization both for school buses as well as intra -city, inter -city buses seeing healthy utilization and therefore, there is a fair bit of demand here.

In intermediate, light, medium commercial vehicles, there is a clear shift which is happening towards 19 ton, the largest segment, sub -segment in that overall line. In heavy commercial vehicles also, we continue to see a shift happening towards the 55 ton tractor -trailers for cargo movement. And in small commercial vehicles, pickups also, we see a shift happening towards pickup with higher payload. I think so, in each of the sub-segment, there has been

a movement happening towards vehicles with higher load carrying capability. So, that's the segment -wise trend that we see. Balaji?

P.B. Balaji
Yeah. Thanks, Girish. Shailesh, this is coming down your way. Sorry, give me a minute, please. Yeah. This is from Gunjan , BOFA . You have answered the first part of the question on Curvv and orderbooks. Can you also talk in terms of Nexon cannibalization, is there any impact of that? As well as understanding the price cuts that we took on the PV portfolio, the rationale for that, as well as the impact on the profitability?

Shailesh Chandra

Yeah. Thanks, Balaji. First, on the cannibalization, frankly, we have just seen one month. If I have to go by bookings and the retail that we saw in October, we have not seen any cannibalization as far as Nexon is concerned. Actually, we had the highest ever retail of Nexon since 2017 in the month of October alongside Curvv also, which had a very strong retail as the supplies came in that month.

The second one is on the pricing cut. Frankly, the discounting in the first quarter had gone up for all the manufacturers and we took a conscious decision to rather cut the prices rather than keep the discount very heavy because it impacts the brand. That is on the PV side.

But as far as EV is concerned, we have taken the price cut because as one of the levers for mainstream ing EVs, it was also needed that the EV prices come closer to the ICE prices and we had the benefit of significant reduction in cell prices and some significant efforts in the localization which allowed us to do that. And actually, you have seen that despite those steep price cuts that we have taken, our margins in EV business has improved. So, that was the rationale.

P.B. Balaji

Thanks, Shailesh. Richard, this is coming your way on the mix from Rakesh. JLR mix has inversed in the recent years . 10 years back the lowest price d model Discovery Sport used to be the highest selling model and Defender

used to be the lowest volume model, it's reversed now. How much of it is supply constraint led or is this the new normal? Can it reverse as demand normalizes and JLR volume grows?

Richard Molyneux

It's the result of our new strategy. So many years ago we were very focused on volume and very focused on the car lines that deliver us the volume. Now we're very focused on value and the car lines that deliver the value. So we will not be returning to the old model, we'll be focusing on Range Rover, Range Rover Sport, Defender, new Jaguar and Discovery to drive value ahead of volume.

P.B. Balaji

Yeah, staying with you, could you also, this is from Kapil Singh . JLR FCF guidance, any reason for the reduction in guidance from GBP 1.8 billion to GBP 1.3 billion for the current year?

Richard Molyneux

There's a couple of reasons. First of all, the market is a little bit tougher than we had envisaged it to be and also the scale of the investment that's required to keep the ICE portfolio of vehicles going for longer and simultaneously to invest in three architectures worth of BEVs is a little bit higher than we had originally envisaged. Those are the two biggest reasons.

P.B. Balaji

Thanks again, staying with you, two more questions coming your way. One is from Amy n Pirani and the other is from Joseph George, IIFL. Amyn, JPM - you mentioned the headroom of achieving the targets has become very tight. Could you just reflect on the key risks that you are worried about and what could take this ultimate margin number lower? And how do we intend, and obviously, it's not set in th e question, but how do you intend to manage it to deliver your guidance that you've called out?

Richard Molyneux

Yeah, so look, I think you have to be a little bit prosaic in this. If you look at what the industry has had to go through and what JLR has had to go through in the last five years or so, we've had a series of very major challenges, each of which has hurt us and then we've recovered and we've come out of it.

You can think through COVID. You can think then through the semiconductor crisis. You can think through what happened in the U.K. in terms of thefts and insurance. Each of those three, they've happened, they hurt us, we've recovered. China, I think has happened, it's hurt us, but still has a little bit of time to play out and then who knows, who knows what the next one's going to be.

So look, I think if you had to focus any points in terms of where there might be risk for the balance of the year, it would be China. We are therefore very aware of that and very focused on making sure that sure that we take whatever actions we need in China in order to defend our positions and also, obviously, look to see whether there are any opportunities in other market s to offset that. Simultaneously, we increase our diligence in terms of cost management to make sure that we don't rely everything on the revenue side of the business.

P.B. Balaji

Thanks, Richard. Just staying with you, the comment on the depreciation numbers, those have come down quarter -on-quarter. What should be the sustainable level as we look into the second half of the year? And a quick clarification, is the reiteration of EBIT margin driven by lower depreciation rather than strength in EBITDA?

Richard Molyneux
So I don't think there is a sustainable level of D&A. D&A, we would expect it to be lo

wer
in the second half of the year than the first half of the year. For exactly the reason I mentioned beforehand, we continue to extend the period of time for which we build ICE vehicles.

It will increase significantly when we get to the launch of those vehicles, which as I've mentioned, is from the back end of 2025 onwards. In terms of our EBIT margin, look, you're absolutely right. And you could point out that EBITDA in the quarter that's just passed was only 12%, which is very low for us.

So we expect part of the recovery in EBIT margin for the balance of the year to be lower D&A, but the majority of it to be improvements in EBITDA as well as volume recovers. And we are, as you know, a very volume sensitive business.

P.B. Balaji
Thank you. Shailesh, this is probably coming your way in terms of, it's from Ashish Jain, Macquarie. You have spoken of increasing the PV salience to 80% versus 55% currently. Any timelines for the new launches and the white spaces?

Shailesh Chandra

What we have announced so far is beyond Curvv. Some of the EV models that we talked about, which is Harrier EV, which is going to come at the end of this financial year. But also Sierra, both in EV as well as ICE version is what is going to be launched. So in the next two financial years, we should start reaching a penetration level of about 70%. And we have said 80% by FY30 is what we have committed. It will, of course, include a few white space products, but that is not something which we can share at this stage.
P.B. Balaji
Yeah, thank you. Richard, I'll probably close with you, given the questions that are coming. There are two types of questions that are there. I'll probably go to the one that's come to
us on WhatsApp . In terms of, given the limited headroom, which you have highlighted in terms of the guidance that is out there, could you just talk to, I know you've covered it many times in the current call, but I think there's still a little bit of clarity needed and reassurance needed, as well as outlining the risks needed. Could you just take us through your thought process for holding the guidance? And I'll probably come to it at the end of it, Richard, after you're done.

Richard Molyneux

Yeah, sure. And again, I'll treat it P&L and cash. So P&L wise, we only wholesaled 87,000 units

in the quarter. Hit significantly by two effects, which are timing reversing. 6,000 units of wholesale hold , and I mentioned beforehand that we had at least 10,000 units of lower production driven by the issues we had with aluminum supplies . Parts of those two things obviously do overlap a little bit.

So it's not just that that disappears in the second half of the year, it reverses. So we should get considerably higher volumes in the second half of the year, and we are a volume sensitive business. I mentioned also beforehand that in our industry, when volumes reduce, you get a double whammy hit through working capital, as your payables fall dramatically. And if you look through the balance sheet where we ended up the quarter is with payables of just under GBP900 million, whereas in the normal circumstance, they would be north of GBP 1.2 billion. So that will also reverse. So just as you get a double whammy hit when the volumes go down, you get a double whammy improvement when the volumes go up.

So, those are largely the things that drive us to think that H2 is going to be considerably better than H1. I have mentioned that the thing out there , that concerns me the most is China, but we are holding our guidance and we will do our damnedest to get there.

P.B. Balaji

Yeah, just to add to what Richard just said, we should also keep in mind that the inventory levels for JLR in its markets are quite under control. We've been absolutely paranoid about ensuring that those inventory levels are kept tight.

And that has ensured that the VMEs on the cars that we are actually pushing are completely under control, which is the three biggies, Range Rover, Range Rover Sport and Defender. And with the breakevens having been substantially reduced, as volumes come through, this immediately starts flowing through into the P&L. So therefore, there is a fair amount of focus in terms of how we intend to deliver it.

What can get this go off track? I think ensuring that China stays and improves from where it is today, is an important one. If things deteriorate there dramatically, then that could skew the pitch. Other markets that are currently holding on for us in the current levels, we have not dramatically shifted volumes over the last few years and therefore it has been a gradual increase, as long as that trend continues, we should be there. But the overall demand situation does remain something that we need to watch out for. So we don't see anything that is currently necessitating any shift in guidance given our current inventory situation and the supply issues that we have had. And obviously, we'll continue to remain watchful on that particular front.

Probably am I missing anything? So Adrian, Richard, from your side?

Richard Molyneux

No, I think that's fair add to what I said.

P.B. Balaji

Okay, maybe then probably the last question that is out there. This is from Chandramouli,

Goldman Sachs. A little bit more on the China side. In the context of European OEMs cutting guidance due to China exposure, could you share what share of JLR, excluding the JV, the revenue and profit is coming from China? As well as what you're thinking on Chinese OEMs looking to compete with JLR's European geography EV business? And this probably the next one is more to Shailesh, which I'll come to separately.

Richard Molyneux

Yeah, okay. So look, China is an important market for us, not as important as others. So we sold in terms of wholesales 28,000 in the first half of the year out of a total of 185,000. So that's the relevant percentage.

I think as with other OEMs, normally revenue is proportionally higher in China than it is in other markets with the FX rates as they are currently standing. So I won't give you a specific number, but you should be able to work it out from there. Our thinking in terms of Chinese OEMs looking to compete within Europe, yes, but again, at the moment, it's focused on sections of the market. Don't just treat the European market as one and the Chinese are coming after all of it. They're not, they're coming after a very specific segment of it, at least at the moment. That is a segment that ties with the lower end of our existing product portfolio. So that will have a little bit of competition, but it is mainly targeted at other segments of the market. There's another question there about battery packs.

P.B. Balaji

I'll take that, Richard, which is more for the Indian business. Are battery pack costs below $75 per kilowatt hour , presently ; what's the rough r ange at which we are currently here?

Fair to say that the battery pack costs have come down significantly from what they were before. The exact number, for obvious reasons, I'll not be in a position to share. But you've already seen that in the EBITDA pre -PDE starting to increase of the EV business. It just tells you that as we are getting t

he battery price reductions, we are passing through in terms of pricing , at the same time, we're also improving the profitability of the business. So that's how we are looking at it

With this, I think we have covered all the key questions that are there. If there is anything specific that we have missed out, please feel free to reach out to our Investor Relations team. Once again, thank you all for your support and patiently grilling us with your questions , appreciate that. And of course, to the teams both here in the room here, as well as the JLR team there. Thanks guys and see you soon. Thank you.

Call: Feb 2025

February 3, 2025
Sc no - 18585
Dear S irs/Madam ,
Sub: Transcript o f the Earnings Discussion/Conference call
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our letter bearing sc no. 18571 dated January 15, 2025, we are enclosing herewith the transcript of the earnings/c onference call for the third quarter and nine months ended December 31, 2024, conducted after the meeting of Board of Directors held on January 29 , 2025.
The above information i s also available on the website of t he Company at www.tatamotors.com .
This is f or information of the Exchange s and the M embers.
Yours f aithfull y,
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Listing Compliance Department
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Tata Motors Limited
January 29, 2025

Tata Motors Group
Q3 FY25 earnings call transcript

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MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
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MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
Presentation

Anish Gurav

Good day, and welcome to Tata Motors Q3 FY25 Earnings Call. Today with us are Mr. P. B. Balaji, Group CFO, Tata Motors; Mr. Girish Wagh, Executive Director, Tata Motors; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited; Mr. G. V. Ramanan, Vice President, Finance, Tata Motors Limited; Mr. Dhiman Gupta, Vice President Finance Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited; Mr. Adrian Mardell, CEO, Jaguar Land Rover; Mr. Richard Molyneux, CFO, Jaguar Land Rover, and we also have our colleagues from the Investor Relations Team.
Today, we plan to walk you through the results presentation followed by Q&A. As a reminder, all participants will be in listen -only mode and we will be taking questions via the Teams platform. The same is already open for you to submit the questions. You are requested to mention your name and the name of organization while submitting the questions.
I now hand over to Balaji Sir to take over. Over to you, Sir.
P.B. Balaji

Thanks, Anish . Welcome, ever ybody. Standard Safe Harbor statement. I'll just draw your attention to the reported EBIT number de■nition that is out there where aligning with the TTL accounting treatment on the particular transaction with BMW that was there. So, just draw your attentio n on the EBIT. Any clari■cations , feel free to reach out to the Investor Relations team. Next slide, please.
An intensive quarter that was there and most importantly, quite an exciting Auto Expo that happened here in India and people who were there witness ed a fair amount of action on both the CV side and

the PV side. Substantial amount of alternate powertrains, particularly on the Heav ies that were put

out and a lot of intelligent solutions , ADAS components that were also demoed on the CV side. And as far as the PV side, the standout was the launch of the all new Tata Sierra, as well as the Harrier EV

that was there. And , of course, we showcased the concept, the next concept car on Avinya as well. So, a lot of action there, good excitement and the product o■ensive continues from our side. And of course, on the JLR side, who would have missed the Jaguar launch? And I'm sure Richard and Adrian are going to talk about it in the coming slides as well. Also on the Range Rover Electric, it's now getting closer and closer to the launch and a very, very exciting launch coming up on that front. Next slide, please.

On the numbers side, as far as the year is concerned, we are looking at a strong performance for the full year. Therefore , this quarter was an important one to deliver as far as our internal plans are concerned and overall, happy that we managed to deliver on the internal plan that we had guided you towards. Revenue was up 2.7% as well as EBIT, up 60 bps, and pro■t before tax and exceptional items broadly ■at vis -a-vis last year, sequential improvement on these numbers and free cash ■ow was Rs. 4,700 crores, resulting in a net debt closing at Rs. 19,200 crores . And on a year -on-year basis, the PBT is now a very strong Rs. 22,300 crores, up almost Rs. 3,000 crores over last year. Next slide, please.

Source of growth , coming in from volume , mix and of course a lot of translation also in that, thanks to the recent rupee depreciation that we had as well as pound versus the dollar as well. And , overall, PBT improvement , JLR contributed handsomely to those numbers and EBIT going from 8.3% to 8.9% this quarter. Net automotive debt is Rs. 19,000 crores of which the dome stic Indian business is back to net cash at Rs. 700 crores and JLR the remaining Rs. 12,300 crores, and Tata Motors Holdings Singapore. This debt reduction is obviously also translating into a sharp drop as far as the automotive ■nancing cost, interest cos t is concerned both on a gross and net basis. And this is reassuring in terms of the more levers coming into play as far as the overall PBT is concerned. Next slide, please.

On the corporate action s, before I hand it over to the businesses, the demerger is progressing well. We are expecting the NOC from the Stock Exchange and SEBI any time now, all ■led and done. Operational activities are in an advanced stage and progressing as per plan. And , therefore, we are expecting to have the appointed date as July 1st. If all goes well in terms of just dates from the honorable NCLT and e■ective date is likely to be more like October this year. Tata Motors Finance, the creditors meeting completed. Final orders awaited from NCLT, and we do expect closure for this by en d of this ■nancial year. And , on production -linked incentives, PLI, which has been an area of a lot of questions and interest in the last meeting, happy to say that we have received the eligibility certi■cate , and on that basis, we also whatever we claimed for last year of Rs. 142 crores has been fully received as cash and this came in the beginning of the year. It also gives us now the reason to also accrue for the past. And , therefore, wherever the DVA criteria has been met and techno - commercial audit com pleted, we have accrued that . On that basis , we recorded Rs. 142 crores received and Rs. 209 crores for the accrual. And you also see on the slide, the contribution of that in the individual CV and PV.

Let me now hand this over to Richard to take you throu gh the JLR performance. Richard, over to you.

Richard Molyneux

Let's stop on this chart. This stunning car was certainly one of the highlights of the quarter. Okay. So let's move to t he numbers. Next chart. So the summary for JLR is that Q3 was a solid robust quarter delivered in what's a very challenging market environment . At GBP7.5 billion, revenue is the highest Q3 revenue we have ever achieved o■ a wholesale volume of 104,000. EBIT at 9% is the highest Q3

EBIT percent in a decade. PBT also remained strong, and we did deliver positive cash ■ow. It's also relevant, however, to the year -to-date numbers in the botto m row of the chart, as Q2 was impacted by a quality hold, and this did bene■t Q3. So looking at the bottom half of the chart, wholesales within 1% of last year, and revenue marginally up. EBIT is down 0.5 point, but PBT up. Cash ■ow is materially lower, and I'll talk about that speci■cally on a later chart. Next chart.

So I won't go through this chart in detail, as per usual. All the points that are mentioned on it I'll cover

in the following charts. That's for your reference. So next chart.
And this looks at wholesale performance. The narrative here is best also shown in the year -to- date numbers below. The wholesales, 290,000 units virtually ■at last year, but Jag volumes, as we progressively end the existing range, did fall by 16,000. Discovery was ■at, so the compensating gains are in the higher margin Range Rover brand in particular. The same story is for the quarter in the top half of the page. Jaguar down, Discovery ■at, Defender and Range Rover up, and that really helps our mix as we drive our busine ss forward.
The next chart looks exactly the same, but on a regional basis. I won't say performance was solid for most regions, but there are two that stands out. Firstly, China in Q3 did see noticeably lower sales as we acted to normalize retailer stock p ositions and stabilize our retailer network in a very tough market. Even with that year -to-date on wholesales, we're only 4.5% down in China on our import vehicles. However, secondly, I'd like to call out the strong o■setting performance in the U.S. There have been some homologation and timing bene■ts in Q3, but year -to-date we're up 25% in the U.S. as our brands continue to really resonate with U.S. clients. Next pag e.
So this page takes our pro■t before tax in the same quarter last year, GBP627 million, to the pro■t before tax this quarter of GBP 523 million. From the left, the volume and mix was strongly positive. We sold 3,400 more cars, but more importantly, 70% o f the cars we sold in the quarter were Range Rover, Range Rover Sport, and Defender, versus only 62% in the prior year. That mix e■ect more than o■set the adverse e■ect from lower China sales. You'd also note that in this quarter that we took a charge of G BP 30 million re■ecting increasing price expectations of U.S. emissions credits as BEV sales penetrations in the U.S. slows, impacting the availability of those credits. In the next column, VME was up versus last year at 4.2% versus 1.7%. We are not immune to the market conditions, but the real focus on building brand equity does provide some shield, and the VME on Range Rover, Range Rover Sport and Defender is below that average. In the next column, we do have the goal of o■setting VME changes with cost sa vings, which, as you can see in the middle column, was not the case this quarter. We did have material cost and manufacturing savings of GBP37 million, but we know we need to do more to drive those levels up. The bigger adverse within contribution costs wa s a signi■cant warranty charge in the quarter. About half of this variance was either mix, that's more cars sold in the U.S., where warranty costs are high, annual in■ation adjustments or other one -o■s. The balance, however, re■ects the fact that although quality is improving and the number of repairs is falling, the type of repairs and the cost to ■x them is rising. And from an accounting perspective, this has to be re■ected in the provision forecast . Bringing down the cost of quality and further improving our levels of quality are signi■cant areas of management focus. O■setting this in the next colu

mn
within structural costs is lower D&A, as we've ceased car manufacture at C B and extended the life of our ICE portfolio. Operational FX was negative, though o ■set by a very e■ective hedge portfolio, but the weakness in sterling in the quarter did impact our balance sheet revals, as you can see there. So, bottom line, some really strong points in the quarter, but some obvious care points that we're well aware of and very actively tackling. Next chart.

This chart, which walks PBT to cash ■ow, also shows a generally positive picture. Cash pro■t after tax remained very strong. Second best Q3 ever for JLR and only 6% below the record of GBP1.24 billion last year. So even though investment was higher and more of that on next page and working capital neutral, free cash ■ow was GBP 157 million and GBP 131 million year -to-date. This is down on our bump er year last year, and you can see why in the data rows below the grap h. Firstly, cash pro■t after tax was cumulatively GBP 250 million lower, which is essentially the e■ect of higher VME. Investment was GBP 560 million , higher as our main products launches now approach, and there was GBP 440 million of working capital timin g di■erences that will reverse back out in Q4. Net of those timing di■erences free cash ■ow would have been considerably higher. Next chart.
So this looks at investment, and investment did peak just over a GBP1 billion in Q3. That is largely around timing of the very signi■cant number of prototype builds we have going on at the moment for our EMA architecture, our MLA architecture, and our JEA architecture, but also supplier milestone payments. Cumulatively, year -to-date, we've spent GBP 2.9 billion, and I expect Q4 return to at or below H1 levels. We've got capitalization rates in the quarter were 67%, which is fairly much in line with H1. Next chart.
So looking to the future, as we look forward, we see a market that is as challenging as it is unpredictable . China will remain a theme, less for us about the impact of their BEVs on our global markets, but more in terms of how, when, if the domestic market and the retailer environment can improve. Tari■s and a progressive breakdown of global free trade are a concern, as is the disconnect between consumer demand for BEVs and government emission regulations. We're not standing

still on any of these. I'll talk more about China in a minute, and we are in very close discussions with, for example, the U.K. government on the other points. But it is also down to us to respond on the cost side, to improve our resilience through driving material cost, cost of quality, and our structural base down, and we're very well aware of this.

So if I move to the next chart, I turn to breakeven on the left -hand side. We worked very hard to get it down, and we will work equally hard to keep it down. And this, despite an investment peak this year and next, you c an see our main focal points on the right -hand side, keep driving brand pro■tability and top -end o■erings. We are, for example, we're in a situation, we've just launched the Defender OCTA. We already have six months order cover. We're increasing further ou r rigor on capital allocation and stopping projects that aren't meeting hurdle rates. We will drive material cost, cost of quality, and our footprint down, and our focus on after sales pro■t will be very strong after a year, particularly badly hit by wareh ouse consolidation issues. And , we will focus on bringing up working capital in all areas of our business. These things are necessary for us to succeed in the world we will face, and we are committed to do them. Next page.

So, two very speci■c updates as

p romised. Jaguar next, but ■rst China. China was only 9% of our wholesale mix in Q3, down from 15% last year. And this is due to a market that's the premium ICE segments in which we operate, that have been down markedly as you can see on the left hand side in the graphics. This along with high discounting, dealer insolvencies and credit availability have all had an e■ect. On balance, our 6% year -to-date retail decline on imported cars doesn't look that bad, but our locally produced cars operating in more com petitive BEV impacted segments su■ered more, down 27% as you can see. We focused on responding with speed, with impact. We are supporting retailers by focusing marketing and sales e■ort on the higher margin Range Rover. We ha d Range Rover retails up 33% in the quarter and we're also reducing day's supply to lessen discount pressure.

Our existing local Jaguars are coming towards the end of their production and our exciting Freelander launch in 2026. There'll be new energy vehicles with a China cost base and an amazing market

potential. Next chart.

Jaguar, I doubt you would have missed the brand relaunch. It was always our intent to be bold and disruptive and get people talking about Jaguar again. Being noticed, not forgotten. And remember new Jaguar is very d i■erent. Repositioned a luxury, for exuberance, for sportiness, where it always was successful. You can see the launch numbers below. Almost 1 billion opportunities to see, 15,000 press articles and already 26,000 customers with expressions of interest. We know that the customer base of the new cars needs to evolve, to be wealthier, be younger. And you can see bottom right, this is exactly what we've achieved. New Jaguar in the dark color is much more focused on the 18 to 44 year -old pro■le and 56% of those that search new Jag online are higher income households. So we've taken the ■rst step. We've broken the inertia and cut through. Now, it's down to the cars. I actually drove it yesterday around our test track. Not only does it look amazing, with 1,000 PS, it's incredible to drive. I got out buzzing and remember I work in ■nance. Next chart.

Back to the numbers. Looking ahead, please focus on the headline. We are holding full year guidance for EBIT margin and net cash positive. It does mean we need a stella r Q4, but seasonality is always strong for us in Q4. So with the following wind and no surprises, we can do it. That means cash generation of GBP1.143 billion versus the GBP892 million last year. And it means Q4 EBIT of over 10% versus 9.2% last year. It's tough but it's possible and what a successful year that would make it. That's where I wanted to end. I'll be around obviously for any questions after we conclude the rest of the presentations. Thank you.

P.B. Balaji

Thanks, Richard. Let me now hand it over to Girish and Ramanan to take you through the CV section.

Ramanan GV

Thank you, Balaji. So on the Vahan market share if you look at our YTD performance, trucks and passengers continue to perform better and are trending higher than FY 24 from a mark et share perspective. However, there has been a drop in the SCV market share versus FY24 and actions are underway to improve competitiveness. Can we go to the next page please?

On the overall ■nancials, Q3 revenue of Rs.18 .4K Crores was 8.4% lower year -on-year. But despite lower revenue, there is improvement in margin which is led by cost saving and further accretive is PLI bene■t on this. On a Y -o-Y basis, EBITDA and EBIT improved by 130 bps a nd 100 bps, respectively. On a YTD basis too, which you see at the bottom end of the chart, the trend was similar. Overall, the

ROCE remains robust at 38.1%. To the next page,

please.
This kind of shows the EBIT walk. So as we shared in the earlier page, w e delivered a higher EBIT margin despite lower volume. The variable cost saving provided a strong o■set to the volume impact that we had, the dip that we had. And PLI approvals as Balaji had shared in the beginning was secured in the quarter and accrued an d were further EBIT accretive for us. So overall, it helped deliver an EBIT of 9.6%, which is an improvement of 10 0 bps over the same period quarter last year.
I will now request Girish to kind of provide the business update.

Girish Wagh

Go next. Right. So I think after a double -digit decline in Q2 on a Y-o-Y basis, I think the industry if I may say kind of rebounded in terms of volumes and volumes remained ■at on a Y-o-Y basis. But amongst the segments, it is the buses and vans segment which continues to do very well. It grew 11% on a Y -o-Y basis , Small commercial vehicles grew 3%, ILMCV remained ■at, the heavy commercial vehicles declined by 9%. However, th e decline was much higher in Q2, so on a qoq basis, there was a growth in heavy commercial vehicles.
The utilization has started growing in all the segments on a quarter -on-quarter basis, especially towards the end of November, there has been a good growth in utilization. Freight rates have also improved, as you can see in the graphs, which is in line with seasonal trends. The diesel consumption, which had dropped by almost 15% on a Y -o-Y basis, improved in Q3 to a 5% growth on a Y -o-Y basis that is a very good sign indicating higher utilization. Transporter pro■tability has improved marginally, of course, with improved utilization levels. Our internal metric, which is Customer Sentiment Index, has also improved, although marginally, but after a good monsoon has improved and we have seen a good improvement happening, especially in tippers. Commodity prices remained range -bound in Q3. Going ahead . Highlights for Tata Motors commercial vehicles, so I think our volumes remained ■at or declined by 1% Y -o-Y, which is after a 19% decline in second quarter. As I said, heavy commercial vehicles, intermediate, light, medium and passenger carriers continue to perform better on a YTD basis and therefore growing market shares.
The passenger carriers grew by 30%, ILMCV by 3% and even medium commercial vehicles grew in double digits. For us, the digital contribution to retail is now at a healthy above 20%, so , 24% in Q3, which is 20% higher than the previous year. We continue to launch new products, more than 50 during the q uarter as also followed by a signi■cant showcase happening during Bharat Mobility Global Expo. As Ramanan mentioned, cost reductions as well as the PLI approvals, PLI amount help us improve the margins. On electric mobility, we delivered more than 200 buse s in Q3 and now have more than 3,500 buses operating. In ACE, we have now delivered more than 7,200 vehicles. On a Y-o-Y basis in Q3, the ACE E V volumes have grown by 26%. On a YTD, Y -o-Y basis, the ACE EV volumes have grown by almost 40%. We continue to w ork with corporate customers apart from government as well as retail customers, but we added 10 corporate customers in Q3. We have now total 70 of them and we are helping them on their decarbonization journey . Within the organization, our sustainability ta rgets are on track and very happy to note that one of our plants at Lucknow actually received the Zero Waste to Land■ll Certi■cation, which is a critical component of the circularity initiative. In Smart City Mobility Solutions, we surpassed a very importa nt milestone, which is more than 260 million kilometers were covered with more than 95% uptime

. The deployment under CESL tender is now
towards the end, we should be completing it now and more than 2,400 buses are deployed. Based on the performance of thes e buses, BMTC asked for additional 148 buses, for which we have already signed the contract. And these buses are consistently delivering above the contractual performance , although operating in heat as well as very cold weather of Srinagar.
Coming to digit al business, so Fleet Edge now has more than 760,000 active vehicles on platform, which also translates into more than 300,000 customers and a large share of that are active and engaged users. More than 81% users are active on a monthly basis and almost 61 % on a weekly basis. Fleet Edge subscription continues to grow at a very healthy rate as we keep on adding more and more value adds. Our machine learning based fuel e■ciency solution, the Mileage Sarathi continues to deliver more than 5% improvement in real -life operating cond itions. And we are extending the

presence of this across multiple segments. E-Dukaan, our digital space for selling spares, now has 36,000 registered buyers. And they are selling more than 30,000 stock keeping units. An arti■cial intelligence based image s earch is now live on E -Dukaan, which is leading to signi■cant convenience to the customer. Our online vehicle sales platform, which is Fleet Verse, achieved more than 11,000 platform assisted retails in Q3, so this also continues to grow quarter -over -quart er.
Coming to Bharat Mobility Global Expo, so Balaji has already given a glimpse of what we showcased there. To add to that, we have also unveiled the new theme, brand theme or brand position of Tata Motors Commercial Vehicles , which is Better Always. And , this is in line with the changing demographics of customers, other stakeholders and their expectations of the company. And with this repositioning, we are now endeavoring to deliver better in every moment with an objective to help customers be more succe ssful. In terms of products and o■erings, we had six battery electric vehicles, many of which are close to commercial launch. We also demonstrated the ■rst hydrogen internal combustion engine truck, which will now take part in hydrogen pilot as a part of g overnment's hydrogen mission plan. We also demonstrated the range of alternate fuel options, so biofuel, ■ex -fuel, CNG, LNG. We also showcased two new generation architectures, modular architectures and also two very high -end special applications, especial ly in heavy commercial vehicles. In terms of the solutions, we also had showcase of Fleet Edge, Fleet Care, E -Dukaan, Smart City Mobility , as also Re.Wi.Re , which attracted lot of attention during the entire expo. That's it.
I think that's the last one. I think going ahead , for the last quarter, a very important one for the commercial vehicle industry, and as you know, the Q4 is generally seasonally strong quarter. I also spoke about some of the green shoots in terms of utilization, customer sentiment, diesel consumption, et c. So we are looking forward to this quarter in terms of improved Y -o-Y performance as we have seen moving from Q2 to Q3. I think , our focus will be to continue to drive the value selling agenda in trucks and buses and thereby deliveri ng more value propositions for customers. Within SCV pickup, our focus is on increasing penetration in pickups to the front -end transformation as also leveraging some of the newly launched vehicles. We will continue to grow in the downstream business in te rms of service and spare penetration. In international market, we will continue to maintain shares and improve channel health. And of course, we will continue our execution of net zero and circul

arity
initiatives. So that's all from commercial vehicles. Ba laji, back to you.

P.B. Balaji

Yes, thanks, Girish. Let me now hand it over to the PV team, Dhiman and Shailesh. Dhiman, over to you.

Dhiman Gupta

Thank you, Balaji. Yes. This quarter saw the highest ever retails in the industry on the back of a strong festive period in the month of October and a traditionally strong December before the calendar year -end. We were able to draw strong retails during this period on the back of marketing campaigns around the new launches of Nexon CNG and Curvv, as well as a festive period o■ers. We were able to improve our market shares by 0.7% in this period on a quarter -on-quarter basis. The strong retails in this period also ensured that we were able to exit the year and reduce the dealer inventory to less than 25 days.
Our SUV portfolio continues to grow strongly on the back of Nexon CNG and Curvv, but we have seen negative , i.e. adverse salience on our hatches and sedans, which has meant that our market share

has remained muted. Our multiple powertrain strategy continues to augur well. CNG penetration has now increased to 24% with Nexon CNG being the latest addition to the portfolio. Diesel and EV penetration remains stable. Next slide, please.
In terms of EV offtakes , our o fftakes in the personal segments remain strong wi th a growth of 15% on a year -on-year basis. Overall, EV offtakes growth is lower at 6%. That's largely because of the decline that we have seen in the ■eet segment once the FAME II incentives fell o■ in Q4 last ■scal. Despite the very strong competition th at we have seen in the last few quarters, the new launches from competition, we have still been able to manage our market share at greater than 53% because of the wide portfolio that we have maintained at di■erent price points ranging from Rs. 8 lakh to Rs. 22

lakhs. Next slide, please.
In terms of ■nancials, as I mentioned, this quarter we had very strong retails, but at the same time we balanced our o fftakes to ensure that we exit the year with a lower inventory, which had been a problem in previous quart ers. Our o fftakes , still our o fftakes for the quarter was up by 10,000 and it meant that our quarter -on-quarter revenue and revenues have gone up from Rs. 11 ,700 crores to Rs. 12,400 crores. EBITDA margins for PV and EV put together came in at 7.8%. This o bviously re■ects about 150 bps impact for the PLI approval that we took in Q3 FY 25. Without the PLI, EBITDA margins would have been ■at.
In terms of pro■tability walk on a year -on-year basis, PBT in Q3 FY24 was at Rs. 408 crores. We have seen an adverse r ealizations in this period, partly because of high discounting in the industry and ICE side to clear out inventory. We've also passed on signi■cant localization bene■ts and battery price reductions to the consumers for mainstreaming of EVs. Nearly all of i t, if you see the amount of Rs.300 crore that re■ects the structural cost reductions that we've taken on the ICE side as well as the localization and battery savings kind of o■setting a large part of it. We continue to invest in our existing and future pro ducts and which is why the D&A and PD E has gone - the Rs. 171 crores increase is largely because of the increase of D&A and PD E on a year -on-year basis. But , the PLI approval that we now see coming in will help sustain the investment s going forward. Overal l, Rs. 100 crore decline in pro■tability.
On the ICE segment, our EBITDA margins declined by about 1% from 8.5% to 7.3%. Largely it's an impact of adverse realizations , and on the EV side, our reported EBITDA margin was at 10%. Impact of PLI was about 8.3%. So withou t PLI, our EBITDA

margins would still have been positive at 1.7%.
Structurally, you see a steady improvement in pro■tability on the EV side and without PD E, our EBITDA margin was 1.7%. And this quarter on a like -for-like basis, without PLI, it would have b een about 5%. So, a steady improvement in overall pro■tability on the back of battery cost savings and the structural interventions we keep taking in our portfolio. Next slide, please.

Yes, thank you, Dhiman. So giving an update of Q3. Starting with the i ndustry, I think the demand in quarter three because of festivities and the December, year -end demand was very strong and we saw industry witnessing a recovery to the extent of 8% in terms of registration year -on-year. As far as segments are concerned, SUV s grew by 16% year -on-year and the salience increased from 50% to 54%, but this came at the cost of double -digit de -growth in hatches and sedans. In quarter three, as Dhiman also mentioned that industry saw a channel inventory reduction ahead of the New Ye ar. However, this has come at higher levels of discount in the industry.
As far as EV segment is concerned, we saw an increase in registrations by 23% year -on-year. This has come on the back of new products supporting the growth. As far as Tata Motors is concerned, for us

Calendar Year 24 was the fourth consecutive year of highest ever volumes at 562,000 units. Punc h for the ■rst time was the number one model in the industry in the year 2024, a product which we launched in 2021. And also, we remain strong number one in this ■nancial year also so far. As far as, we also achieved in quarter three the highest ever regis trations and with moderation in wholesale, we were able to bring down the channel inventory below 25 days. Despite all the competition heating up in the EV segment, we maintained our market leadership with highest ever personal segment registrations in qua rter three, although ■eet was challenged. Next slide please.
Talking about Bharat Mobility Global Expo 2025, we participated this month at Bharat Mandapam and we were honored to be visited by Honorable Prime Minister and other senior dignitaries. The them e of our stall was journey to a boundless future on three pillars, which was boundless exploration given the praise of SUVs, boundless pro tection , giving more exposure to the people who came to see the Expo increasing their awareness on safety and what goes behind making safe cars. And also, you know the sustainability, future facing sustainability. So, we showcased Harrier EV, which was received with signi■cant interest. Also, we showcased the Sierra ICE, which became one of the biggest attractions of the show. Also we showcased the new generation luxury Avinya X concept, which was also a crowd favorite. And the newly launched m odel year 2025, Tiago and Tiago.ev, which comes with signi■cant technology enhancements , were also on display.
In addition, we also showcased our multi powertrain capabilities, ■rst time showcasing the Punch ■ex - fuel concept, which is capable of running o n ethanol. We also had an interactive EV zone, which was not about only showing products, but the strong ecosystem that we have been developing, including charging and battery recycling. Also, we revealed a new premium line for our SUV portfolio, which was Stealth, where power and sophistication converge in perfect harmony. Overall, we received about 5 lakh visitors across the exhibition days, who had a signi■cant opportunity to view our products and interact with our teams. This really shows that we contin ue to invest very strongly, both on the ICE

side and the EV side. Next slide please.
So, going forward in Q4, a key focus is going to remain in terms of

driving growth by capitalizing on
the low -channel inventories and healthier dealer network, also levera ging the new refreshes, the Tiago 2025 and Tigor 2025. And also , we came with re -varianted Nexon, signi■cantly bringing down the number of variants and positioning each variant very strongly from a competitiveness perspective. We also identi■ed some key micro -markets, we will focus on driving demand and increasing our market penetration there. And , we are taking structural actions in terms of driving EV penetration, including the Tata.ev charging network.
So, back to you, Balaji.

P.B. Balaji

Thanks, Shailesh. Quickly, wrapping up the rest of the numbers, from a cash p erspective, overall CV and PV going strong. This quarter, on a YTD basis, we delivered about Rs. 2 ,500 crores of cash and we should be now positioned to drive this further in the coming quarter. Apologies, quarter three, we delivered Rs. 2 ,500 crores of ca sh and this is something that is likely to increase even further in the coming quarter because of the seasonal impact that will always be there. And most importantly, all the signi■cant step -up in Capex , completely getting funded by the cash pro■ts. Next s lide, please.
Investments continue at pace, we are on track for delivering the numbers, about Rs. 6 ,000 crores have been spent so far. So, we are in line with the Rs. 8 ,000 -odd crores that we indicated we will be

spending this year. Next slide.
Looking ahe ad, we do expect the underlying domestic demand to improve gradually on account of infra spends, slew of exciting product launches that Shailesh talked about and stable interest rates. And JLR wholesales are likely to improve further in Q4, backed by retai l growth. However, we do remain watchful on the overall demand situation, particularly in China. And the business has taken through the priorities in detail.
Let me now stop here and hand it over for the questions that will be there. With this, let me move into the question queue that is already built up, quite a nice set of queue, very probing questions out there.

Questions and Answers section

P.B. Balaji
Let me ■rst start with JLR, the most liked question is sitting there. Do use the like button to pus h it, that way I will also know that we are answering all your relevant questions out there.
Question coming your way, Richard. For a JLR FY25 revenue and ROCE target, this is from Raghu, Nuwama, ROCE targets have been cut. Can you indicate the reasons, please? Can you also talk of demand expectation for FY26? Would you expect challenges in the key regions? And how much would the inventory levels at dealers be at this point in time? And , other point that is picked up is obviously deprecation has reduced si gni■cantly and you alluded to that in your discussions. Will it continue at these levels?
Richard Molyneux
Okay. Let me try and take those progressively. So revenue and ROCE targets hav e been cut a little bit. This is the e■ect of what happened in China during the course of the year, impacting our volume in China, and hence our revenue. When you take revenue down, then the EBIT impact and the ROCE targets are a natural ■ow through. So it 's driven by the same thing, the move in the China market that I don't think anybody anticipated when we set our target set for FY25 a year or so ago.
Can you talk to demand expectations for FY26?
I think Balaji said it. I think in many regions of the worl d, it is okay. In China, it is not. And we need some time, I think, as the rest of the industry to work out whether what's going on in China is cyclical and it will rebounce, whether it will not rebounce or whether it

will go further down from here. I thin k
the jury's out on that. It would be too easy to say it will just rebound. So we are being cautious in China. And links into your other point, we are very focused on making sure that dealer inventory levels in China are kept at reasonable levels because t hat is what drives retailer margin and retailer margin is key to make sure that the retailer network stays healthy. And that is an important point for us. So maintaining inventory levels at dealers, I think, is also more important in China than it is in so me other parts of the world.

Depreciation has been reducing signi■cantly. It will stay relatively ■at at these new levels next year. We have already taken the moves in terms of moving out our end production of ICE vehicles that we would expect. So we don't have any more moves planned at this time. So I expect D&A will be pretty much at these levels , until we start to launch the BEV vehicles, which will be Range Rover BEV ■rst in November next year. That will start then impacting the D&A charge primarily as of Q4 next

■nancial year. So for the next three quarters, it will stay roughly there.

P.B. Balaji

Thank you. Thanks, Richard. Shailesh, this is coming your way, in terms of India PVs, this is from Kapil Singh. We are hoping for some market share gains wi th the Curvv launch, any thoughts and what kind of volume growth are you expecting next year, both for the industry and for Tata Motors?

Shailesh Chandra

Okay. Thanks, Kapil, for the q uestion. I think Curvv last time also I had mentioned that we were not able to fully leverage this launch because of the ramp -up issues, as well as inability to launch all the variants because of some delays on the supply chain side.

I think ramp -up issue this month has been taken care of, as far as engine s are now concerned. Whereas the new variants, especially the automatic variants have got delayed, but should be launched in this quarter itself, at least one of them. So, that should give the full potenti al of this product to unleash itself.

Having said that, there is also an issue of awareness about the new body style. And typically when you launch a new body style, it grows over a period of time. It needs to be seen on the roads for people to fully under stand the unique styling of this product. And we have gone through this journey in Nexon, as well as Punch, being completely new whitespace products. And we have seen Nexon going from 4,000 to 16,000 since the time of launch, as well as Punch growing from 7,000 odd numbers in 2021 to 16,000, 17,000 or so. So we are very con■dent that as more and more Curvv's are seen on the road, and some of the marketing campaigns that we are going to run, it is going to really see huge traction and should start adding to the market share for the company.

P.B. Balaji

Thank you. And of course, growth rates that you expect for the industry and Tata Motors?

Shailesh Chandra

Yes. So far in this ■nancial ye ar, at least we have seen that industry has been more ■attish. Nine months, we have seen just 2% growth and that is the kind of growth that we are going to see in FY 25. There has been a lot of volatility in the demand that we have seen from a retail persp ective month after month. So one month it goes sharply up and then it goes down. And that's the trend that we have been seeing. It has to do more with the larger macro economy. And hopefully, if there is enough stimulus in the budget and the macroeconomic indicators start turning good, then the industry should come back to 6% to 7% growth rate in FY26, but we have to really watch out the next one quarter, how it pans out and really what government a

nnounces more from a consumption -led growth perspective. So , we have to see that.

P.B. Balaji

Got it. Thank you. Dhiman, maybe I'll just pass this question on to you. PV, EV, this is from Binay, Morgan Stanley . PV, EV India margins, adjusting for PLI incentives, we have seen a sharp quarter - on-quarter margin i mprovement, what's driven that? And what are the sustainable EV margin we should be thinking of? And linked to that is also a question on PLI, where PLI incentive as a percentage of EV sales looks low, how to thin k about this number going ahead .

Dhiman Gup ta

Yes. So, Balaji, as I mentioned in my slides, even without PLI, this is the ■rst time our EBITDA has turned positive, and it's about 1.7% without taking any bene■t of PLI. Structurally, our margins have been improving because of better mix of Curvv and some deep localization bene■ts that have been doing , improvements of battery packs. And some of those interventions we will keep doing in the near term, but a lot of those bene■ts will also get passed on to the customers for mainstreaming of EVs. The way we would look at it that without PLI, we would be breakeven at an EBITDA level, and PLI helps fund some of the capex investments we are doing, as well as some of the market development activities that we need to do.

P.B. Balaji

Yes, that probably address es the question that's later coming through from Kapil saying that how should we be looking at EV margins, including PLI, as you may be factoring it in your pricing, or more could be passed on.

Kapil, to answer that question slightly di■erently, if you recollect, when we did the whole TPG deal, we talked about investments of almost $2 billion in the EV business. About $1 billion of it came from TPG, and I always maintain that close to about $800 millio n would come from the PLI bene■ts. So, PLI was an important part of the investment plan that we are putting through behind EVs. And , therefore, this money that's coming in, just recon■rm s that the intervention that is there, now that the $1 billion has alr eady come in, this also means the rest of the funding is also coming through PLI as we execute our plans for the coming years. So, that augurs well in terms of the continued investment that we see on EVs from our side.

Let me now move to JLR. I think this is from Nishit Jalan. I'm sure there's a question that's been expected by a lot of people saying that in light of the subdued demand and pricing environment, how do you plan to achieve your EBIT margin target of 10% in FY26? What will be the key drivers?

Nishit, before I pass it to Richard, just a clari■cation. Right now, we have con■rmed the guidance for the current year. We always update our guidance only by end of the year as part of the Investor Day. So, until such time, the current guidance stays. Havi ng said that, how we are thinking about the margin improvement from here on, I think that's obviously an extremely relevant question, which Richard, I'll invite you to comment on.

Richar d Molyneux

Yes, sure. So, from EBIT margin, I mean, you'll have worked out that Q4, we need to be over 10% in order to be able to hit our full year EBIT guidance. So, Q4, we should be at that type of level. We will have the depreciation and amortization bene■ts going through next year, and in the back end of next year, we'll have the bene■t of Range Rover BEV sales.

We know that we need to take some action to make sure that we cap the market e■ect of VME and that we recover our warranty spend and drive still further material costs. So, we know we have an

awful lot to do, but if you think where we will be in Q4, I think the walk through to a strong next year is much easier to understand.

P.B. Balaji

Thank you, Richard. The next, again, I'm sure, equally popular question coming up, Shailesh, at your end. For India , this is from Raghu, Nuwama again. For India PV, there are a lot of new EVs being launched. This should expand the size of the EV market. How do you s ee the growth prospects for Tata Motors amidst rising competition?

Shailesh Chandra

Yes, Balaji. So, part of the answer is there that as the market , as more competition products are go ing to come and more choices for the consumers, there's going to be expansion of the industry as well as three things will happen. One, that there will be greater awareness and excitement among the consumers. There will be joint e■ort by all the players no w towards building the ecosystem , it should, which is one of the key barriers behind adoption of EVs . And third, that it will give con■dence to the customers that EV is the future because last one year there had been a lot of negativity around this. So, one, that market is de■nitely going to bene■t from an industry growth perspective. As far as Tata Motors is concerned, I think the biggest advantage that we have, which is not fully unleashed because of the lack of expansion of the market, is the widest port folio, as Dhiman was mentioning, from Rs. 8 lakh price point to Rs. 22 lakh and none of them overlapping with each other. And that's a unique advantage and you are able to take the best advantage of that as the market expands. So, we believe that as the ma rket expands, we will be the biggest bene■ciary. Second, I believe that all the intensity of competition that you're going to see and you would have seen that all are going to be above Rs. 18 lakh price point. So, there's a lot of crowding going to happen in greater than Rs. 18 lakh price point, but we will have a unique advantage of cars which are priced less than Rs. 12 lakh, which are basically city cars, primarily city EVs. This is not where competition intensity is increasing and therefore, we will fully leverage this opportunity to get into even Tier 2, Tier 3 cities, including rural because there is a high propensity of customers going for EVs here and where a lot of the new competition attention is going to be in the Tier 1 cities by the way. The oth er thing which I feel is to our advantage is multiple customers, our EVs are proven vehicles in the Indian market, in very tough environmental conditions in which they operate. And our 2 lakh EVs have covered more than 5 billion kilometers. You will not

believe that 10,000 EV customers have already done more than 1 lakh kilometers, and tens of thousands of customers have done more than 50,000 kilometers. So these are proven EVs and that will de■nitely work to our advantage. And ■nally, I would say that the ecosystem, which we have created on the charging infra side, the entire 18,000 chargers that you see is a work of Tata Power collaboration as well as collaboration with all the charge point operators, and we are going to really continue to work on this to ensure that there is a unique bene■t to our customers on those charging infra. At the same time, it will help in addressing the biggest barrier to EV adoption.
So net -net, I would say that having got the ■rst mover advantage, there are lot of positives on our side. There can be a bit of hiccup because initially for each and every launch there will be temporary excitement around those products also. These products will ■ll the channel for display vehicles and test drive vehicles and so on. So , there will be initial jump in the volumes for these vehicles. So there can be a bit of hiccup in the market share, but eventually, on the other side, when things stabilize, we
s

hould continue to do well as far as market share is concerned.

P.B. Balaji
Thank you, Shai lesh. Just to give a little bit, just to add to what Shailesh said. I think the question on market share in EVs is probably less relevant at this stage. Penetration of EVs in the overall scale of the game is again, how do you upgrade customers from ICE int o EVs, which I think with the advent of this level of intensity of action from every player is only going to improve and therefore that should augur well for us in the long run. Just to add to what Shailesh has said.
Richard, this is coming your way, this is from Kapil Singh. Given the current quarter's performance on VME and warranty, what is the outlook on VME and warranty from here on, how should we look at it?
Richard Molyneux
VME, I think the industry is not showing any signs of becoming less competitive at the moment. So I think there probably is for a couple of quarters a little bit more room to the north on that. On the ■ip side, I would expect warranty to have peaked at the level that it is this quarter and therefore to start coming down as some of the actions that we start to take in that space come true.
So I think there is more say downside risk on VME, but it's not of great signi■cance and we're not talking about going back to the type of levels that were around pre-COVID, but it could rise a little bit from the 4.2% that we saw this quarter. Warranty I think will go the other way.
P.B. Balaji
Thanks, Richard. Just staying with you for a minute. Next question from Nishit Jalan . You already answered the pricing VME question. So ASPs, can you comment on that? ASPs have declined sequentially and also year -on-year despite stronger product mix. Is it purely due to China mix or are there other factors in here?

Richard Molyneux
I don't think the moves here are that significant. So if you look at stat-rev by volume, Q 2 was £74,000, Q3 £72,000 . If you actually look at year to date, we are marginally up on year to date last year. So the moves in ASP aren't that material. You have mentio ned probably the most significant aspect of that which is China price mix. There's also a little bit of FX in that and a little bit of the increase in VME. Those are the type of things. But the moves, they are not material. If you look at to that year to d ate level, we are actually marginally up on where we were last year.
P.B. Balaji
Sorry to put you on a spot. Continuing with you, just comment on emission cost as well. That's the next question from Jinesh Gandhi. You've covered the rest of his questions on the cost drivers. He's got a few more but let's talk emission and I'll cover the others.

Richard Molyneux
Where's the question on emission?
P.B. Balaji
How to think about emission cost and warranty cost in FY26 and beyond. Just comment on emission. You've covered warranty already.

Richard Molyneux
So emissions costs, the most relevant markets for us for emissio ns cost are the U.S. and the U.K. You'll note that the U.K. government has already issued a consultation on the future of the ZEV mandate and so we're very closely working with them on that. And the U.S. may well I guess change as the new administration t akes hold. So those are the two that are most important to us.
I think it would be fair to say that if the regulations do not in some shape, size or form in those two markets change, that emissions cost for us next year will rise. However, I think at some stage this sort of r

ock and a hard place situation that we've got between consumer demands for BEV not accelerating and government emissions regulations being required for them to increase. Sometime that's got to come to fruition and the OEMs are going to avoid being stuck in the middle of that which is currently where we sit. So we're in close discussions with the U.K. government, we're keeping an eye on the U.S. government. Those are the two markets for emissions costs that are important to us. If nothing happens then our costs will rise next year.
P.B. Balaji
Okay. Thank you. Again, some exciting stu■ on the timelines for the Range Rover Electric deliveries and also about the cars that are coming, the EVs that are coming post the RR Electric. Is there an ything you can share with us?
Richard Molyneux
Yes. So I think Adrian covered this in the last call. So Range Rover Electric, very end of this calendar year, that will be followed by th e ■rst BEV of our EMA architecture in mid -2026 and the Jaguar that you saw the photo of will be the very late summer, I think is what we said in terms of 2026. So they're all coming this year or next.
P.B. Balaji
Thank you. Moving Girish on to you, this i s from Pramod, InCred. SCV segment is noticing increased product assault by competition, especially lower tonnage. How do you plan to address it and limit market share impact?

Girish Wagh
Right. So in the SCV segment, as I said we look at two ends of the segment. The lower end we call it a small commercial vehicle and the upper end is more pickups. Now within the small commercial vehicles, post BSVI, this segment has actually contracted having lost some ground to three wheelers on the lower end due to initial pricing and then losing to the pickups on the above , upper end due to inferior total cost of ownership. And this is essentially due to the signi■cant price increase which happened in small commercial vehicles during the BSVI transition in view of the t echnology involved.

I think our approach to this has been to have our own product o■ensive and you would have seen in the Bharat Mobility Global Expo, in fact we introduced a completely new category of small commercial vehicle that is Ace Pro, which will actually get into the earlier proposition of these vehicles which was there in the BSIV era. We will also come up with the products with multi - fuel options, so CNG, petrol as well as electric. I think so that multi -fuel approach will also help to address more number of customers. Now, talking about pickups, I think Intra is our new range of pickups where the range has been widened signi■cantly. And we have seen that there is a signi■cant customer acceptance for this product. So I think now we are into the process of more accelerating the communication piece to increase the consideration and also looking at quite a few actions on the network side, growing rural, which in fact are all upsides for us. I think that's what is our strategy on the small commercial vehicle and pickups.
P.B. Balaji
Thank you, Girish. Dhiman, let me hand this over to you from Kapil Singh on PLI. What should, on the eligible EV products revenue, what is the percentage of revenue you are getting as PLI?

Dhiman Gupta
So, right now we h ave Tiago and Tigor A AT registered and TCA has also received, basis which we have done the accruals. Punch is next in pipeline for which A AT is coming and we expect TCA to be done this quarter. And of course, we have Nexon EV pipeline in future but all our products are DVA compliant at 50%. It's di■cult to give an output in terms of when we will be taking it because there are so many milestones. So, we are refraining fro

m giving an outlook, but for all the vehicles which
are A AT registered, we will be getti ng 13% of revenues as PLI, net of any vendor claims who are supplying to us A AT registered products. For this year at least, we haven't seen any vendor claims, so we are booking the entire 13%.

P.B. Balaji

Yes, and the 13% goes up to 18% progressively as the revenues start increasing.

Okay, so Richard, this is over to you in terms of Europe demand from Pramod once again. Do you see early sign of premium demand recovery in Europe? When do you expect it to re■ect it in premium car demand recovery? He is refe rring to the premium goods demand, luxury goods I presume. And for the new Jag, what is the addressable market volume value that you are looking at? And how should we look at the new Jag addressable market?

Richard Molyneux

Okay. So in terms of premium goods in Europe, I can't really comment. What I will say, it's probably been a little bit surprising. There have been some green shoots in premium automotive demand in Europe in recent we eks. So, I mean, it's not been a particularly easy market, over the last couple of years, but there are some green shoots that things might be turning around. To Jaguar, we really are not focused on market share. A, I think it would be quite di■cult to de■ ne what its market is; and B, market share is not something that drives us. We will make sure that we have share of wallet. We do not have massive volume expectations. This is not something that's going to sell hundreds of thousands of cars. We will target speci■c groups in speci■c countries and go after them. So I would be surprised if you will ever see a Jaguar market share number or comment from our side. It is simply not something we consider relevant.

P.B. Balaji

Thank you, Richard. Let me take you to Shailesh. This is from Nishit Jalan. How do you see the overall EV charging network expansion in India? Is the lack of this the main reason for lower EV demand given that the pricing is not as high for EVs as versus ICE, the di■erential is not great. Will government subsidies for setting up the charging infra help expedite the network expansion? What is your sense?

Shailesh Chandra

I think charging network expansion in India is, there are three parties who are really working on this. One is the OEMs themselves. The other are the oil marketing companies who have subsidy from the government already for the last two years, I would say, to build a charging infra of nearly 22,000. And the th ird are the smaller startups like charge point operators and all. I would believe that number one, which is the OEM themselves will work on the charging infra at least to some extent, but that would not be the predominant one. It will be only to create tha t critical mass for getting attention to their respective brands. But , I think oil marketing companies are going to play a big role. And , I would say, now the charge point operators and the new entrepreneurs would want to get into this space given a signi■ cant activity, launch activity that we are seeing across the OEMs. So, one, because of natural demand growing and market expanding, there will be greater interest because of the market forces itself. But on top of that, you have the Prime Minister E - DRIVE Rs. 2 ,000 crore of subsidy. And we have to see really how this subsidy ■ows and how the government is going to really plan in terms of the locations and where these charging points will be really installed and how it will be incentivized. We are in discus sion with NITI Aayog , as SIAM also. At the same time from Tata Motors we have a lot of data from our telematics and 5 billio

n kilometers that our cars have covered.
So, we are giving inputs to the government to at least ■rst address the highways where we s ee there will be high utilization because already we know the highways where the cars are moving, EVs are moving more. So I think with combination of all this, charging infra growth should really accelerate from here. But as you have rightly said, this is the single biggest barrier to adoption of EVs.

P.B. Balaji

Thank you. Girish, this is on the CV demand for India, India's CV, considering replacement demand, some improvement in infra spending and favorable base, how do you see the domestic M&HCV industry outlook for the coming year?

Girish Wagh

Okay. So before I get into coming year, let me ■rst talk about how this year has behaved. I think we started the ■rst quarter on a very strong note with a Y-o-Y growth. But quarter two did show a

signi■cant decli ne. The decline reduced in quarter three, but still on a YTD basis in nine months, the heavy commercial vehicle industry has actually declined by 13%.
But if I look at the data at the end of Q3, the utilizations have started going up. The consumer sentimen t index has also marginally moved up. We see that the year -on-year pipeline is also better.
And , therefore, I would say that to begin with the Q4 volumes are going to be key. With these kind of indications, we expect Q4 volumes to be ■at, which in itself s hould be good. And if we end Q4 as ■at on the back of the declines in Q2 and Q3, we will actually set a good base for next year.
I think looking into the next year, yes, we do expect government spending on infra and actual progress of infra projects to pic k up, which should help the heavy commercial vehicle industry. In addition to this, we also keep a track of the nine end -use sectors like steel, cement, mining, power, e -commerce, trade, et c. Early indications are that these sectors should do well. So, all these, as of now, point towards a good Q4. And as I said, if the Q4 ends being ■at on a Y -o-Y basis, I think it should set us a good base getting into the next year. Balaji .
P.B. Balaji
Thanks, Girish. Richard, coming your way, this is from Sonal Gupta, HSBC MF, you answered the rest of this questions but there is one thing on North America which I want to pick up with you. What's driven the 48% year -on-year growth in North America retail for Land Rover in Q3? Is there some pre -tari■ imposition surge ?

Richard Molyneux
No, certainly not deliberately. If you look at year -to-date, the U.S. market is 25% up for us, or our sales in the U.S. are 25% up for us. There was some switch between Q 2 and Q3, but that was more due to homologation timing of certain derivatives than any deliberate attempt on tari■s.
So the reality with over a three -quarter period, a 25% rise in wholesales, is that we're performing pretty well in the U.S., and as I say, our brands, particularly Range Rover and Defender, do resonate strongly with U.S. consumers, so it's a good and strong market for us.
P.B. Balaji
Thank you. G irish, this is coming from Abhinav, State Bank of India Pension. On the CV front, could you talk , you have talked about Q4 already, can you talk about buses? Can you speak about our market share and our strategy going forward on buses?

Girish Wagh
Yes, thank you for this question. I think buses, as I said in the beginning, buses and vans have in fact shown the maximum growth on a Y -o-Y basis. We have also grown our market share. I think YTD nine months, our registration VAHAN share is around 38%. I think our strategy here also has been to come up with multi fuel options, so we do have buses in diesel, CNG, as well as electric options, addressing

di■erent customer segments.
Now, if I talk of the MCV buses, essentially there are two end -use segments here. The ■rst is State Transport Undertaking, which is more of a tender business. We will continue to par ticipate in this business and win tenders on pro■tability basis.

In retail MCV buses, which is more of intercity, we see a signi■cant growth happening this year and in fact, we track the utilization of the products. Utilization of these buses, MCV buses, has in fact gone up by almost 30% on a Y -o-Y basis and we see a good growth. We actually have a very good portfolio across MCV, ICV, LCV and that's what we are leveraging now to grow our share in MCV retail customers. In ICV, mostly used for employee trans port and here our focus has been to deliver fully built buses by leveraging two of our bodybuilding subsidiaries and therefore, give ready -to-use options to the customer. Light commercial vehicles and vans are more for school bus application, seasonal, but even this one is going ahead and we are looking forward to a very attractive Q4. Even here, we have a very strong product portfolio, multi -fuel options, fully -built buses and therefore, growing in this segment also.
So I think net -net, we have an improved value proposition across the segments, we have increased capacity of bodybuilding just six months back and therefore, are very well -placed to address this growing segment in Q4 and we also expect this to continue in Q1 of next year.
Balaji?

P.B. Balaji
Thank you, Girish. Just staying with you, you have answered the rest of the question, but there is one we have not talked about, any signs of stress in ■nancing, banks, NBFC, et c., delinquency rates, anything that you are worried about?

Girish Wagh
So let me speak segment by segment. In small commercial vehicle and pickup, I think there has been some stress, especially in the ■rst -time buyers and ■rst -time users, but there has been an improvement during the year as we move towards Q3. I think the ■nanciers have also been selective now in terms of ■nancing and one can see an improvement therefore in their portfolio. We have also been working very closely with the ■nanciers to therefore, prioritize the leads which can also pass their criteria.
If you look at buses, which were certainly under stress, but this year with the kind of utilization the buses are seeing, there is a signi■cant improvement and not a challenge here. If you look at M&HCV, yes, I think there was a challenge, especially towards end of secon d quarter, beginning of third quarter.
In our conversation with the ■nanciers, there we could see challenge happening there, but I think post that with the improvement in utilization, I think this stress in M&HCV is also going behind us. I think that's how we are placed overall in all segments.
P.B. Balaji
Thanks, Girish. One question from Jinesh , in the PLI accounting, you asked whether Rs. 209 crores of the nine -month accrual has been done entirely in third quarter.
Yes, absolutely. We couldn't have done it any other way given that we have received the eligibility certi■cate only in December.
Richard, maybe I will give you the, you have the opportunity to have the last word on this session.
This is from Rakesh Kumar, BNP. If electri■cation journey slows, do you think you will need to continue

to invest in ICE powertrain and the platforms longer, resulting in higher overall Capex than what you had earlier planned?

Richard Molyneux

I think that is a very fair point. As if the way I've probably explained this if you're -- imagine the world where there's only ICE powertrains, and you imagine the world where there's only BEV powertrains sometime post 2030 let's say, those worlds are nice an d simple. You have one powertrain, you optimize it, you go forward exactly as the industry used to be 10, 15, 20 years ago. We're in that period at the moment where you have no choice but to be investing in parallel, in ICE, in PHEV, potentially in REEV an d in BEV. And the longer that period extends, the more di■cult it is to make investment decisions to exit any one of those di■erent markets. You're entirely right, it does increase the pressure on our short to medium term investment. The one thing I would say, and we're not the only manufacturer that is probably looking at this, is it delays the point at which you move the entirety of your architectures to BEV -only architectures. So you do run your let's say, ■exible architectures like EMA a little bit long er. So you push back the point in time where you need to invest in completely new BEV -only architectures.
But in the medium term, you're right, the proliferation of consumer demand and the lack of a binary switch from ICE to BEV globally does make it very di■cult for us to exit any of those sections and we have to invest in those technologies in parallel. It's a fair point.
P.B. Balaji
Thanks, Richard. So we come to the end of the session in a very philosophical note, which leaves a question mark there, don't know how to answer that. That apart, on the Investor Day, we have tentatively signaled these two days for the investor days. The Tata Motors one is going to be on June 9. That's tentative and mostly will be con■rmed in the coming weeks. And the JLR one is on June 16th. So, look forward to seeing you there as well.
So with this, we conclude the session today. Thank you all for your probing questions and look forward to continuing to be in touch. Thank you and thanks teams, JLR here, all you guys, much ap preciated. Thank you.

Call: Jun 2025

May 17, 2025
Sc no - 18669

Dear Sir s/Madam ,

Sub: Transcript of the Earnings Discussion /Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our letter bearing sc no. 18650 dated April 24 , 2025, we are enclosing herewith the transcript of the earnings /conference call for the fourth quarter and financial year ended March 31, 2025 , conducted after the meeting of Board of Direc tors held on May 13 , 2025.

The above information is also available on the website of the Company at www.tatamotors.com .

This is for information of the Exchange s and the Members.

Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Company Secretary
Encl: as above

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National Stock E xchange of India Ltd.
Listing Compliance Department
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Tata Motors Limited
May 13, 2025

Tata Motors Group
Q4 FY25 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
Mr. G.V. RAMANAN, VICE PRESI DENT FINANCE, TATA MOTORS LIMITED
Mr. DHIMAN GUPTA, VICE PRESIDENT, FINANCE, TMPVL and TPEML
MR. ADRIAN MARDELL – CEO, JAGUAR LAND ROVER
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
Presentation

Anish Gurav:
Good day and welcome to Tata Motors Q4 FY25 earnings call . Today we have with us Mr. P B Balaji, Group CFO Tata Motors; Mr. Girish Wagh Executive Director , Tata Motors; Mr. Shailesh Chandra, MD Tata Motors Passenger Vehicles Limi ted and Tata Passenger Electric Mobility Limited ; Mr. G V

Ramanan, Vice President Finance Tata Motors Limited; Mr. Dhiman Gupta, Vice President Finance Tata Motors Passenger Vehicle s Limited and Tata Passenger Electric Mobility Limited; Mr. Adrian Mardell, CEO Jaguar Land Rover; Mr. Richard Molyneux, CFO Jaguar Land Rover, and we also have our colleagues from the investor relations team.

Today we plan to walk you through the results presentation followed by Q&A , As a reminder all participants will be in l isten -only mode and we will be taking questions by the team's platform. The same is already open for you to submit the questions. You are requested to mention your name and the name of organization while submitting the questions.

I now hand over to Balaj i Sir to take over. Over to you, Sir.

PB Balaji:
Thank you Anish.
Standard safe harbor slide. The only di■erence you will notice going forward would be Tata Motors Finance is no more a Subsidiary of Tata Motors , Tata Motors Finance Holding still is . But the N BFC is no more - that's been merged with Tata Capital. So I'm going to talk about the implications of that in the coming slides. Next slide, please .

Overall . it's been an action -packed year both here and in JLR. Those of us who were there at the Auto Expo in Delhi earlier this year saw the full impact of the 11 CVs that were launched. As well as you saw the 'Sierra ' being unveiled there , it is probably the stand out car as far as the Auto Expo is concerned . Also , we saw the new A vinya there as well. We started also shipping our ■rst hydrogen truck s which are now going to ply on specific lanes . I'm sure excited Girish is going to talk

about
that in his session. And lastly , but not the least , Punch emerges the top choice for private buyers to becom e India 's number one SUV in FY 25, a humongous achievement there. Next slide please.
As far as JLR, it's been absolutely a wonderful year coming out of JLR, the net cash positive target has been achieved. We delivered what we committed to our guidance, despite ex tremely challenging situations elsewhere. The Freelander licensing agreement has been announced for CJLR . Range Rover electric testing continues , which is soon to be launched, and of course, Jaguar Type 00, what can we say about it other than the head turner that it was. And Defender Octa is now starting to get delivered to its clients, one more blockbuster vehicle coming our way. Next slide please.
On a n overall numbers basis, for the quarter, revenue was a Rs. 1,19,000 crores with an EBITDA of Rs. 16,700 crores and an auto FC F of Rs. 19,400 crores. This ■nancial year, we delivered our highest ever revenues. We also delivered our highest ever PBT before exceptional item. And Q4 is always a strong quarter, so we did see a sequential recovery. And of course, we did get aided by the INR depreciation, vis -a-vis pound. On a pro■tability line, signi■cant interest savings, I'm going to talk about it in a minute. Better CV pro■tability, lower D&A a t JLR, these are the main ones that drove the pro■tability up , but the underlying pro■tability continued to remain very healthy. And free cash ■ows came in at R s.19,400 crores . On a full year basis , we have delivered very strong FC F of almost Rs. 50,000 crores over the last two years, thereby delivering our delevera ging commitment. Next slide please.
Where did the growth come from? It is there for all you to see, but I'll draw your attention to the net debt number. While we en ded FY23 at R s. 43,000 crores, the peak debt this business had was almost Rs. 60,000 crores. That's now down to minus R s. 1,000 crores i.e. a net cash of R s. 1,000 crores despite ■nancial leases of R s. 9,000 crores. So this is a very strong performance. And this is translating into reduction in net ■nance costs. And why I'm harping on that point is that intrinsically, this business is becoming far more resilient as it takes away debt, and it is able to now have more leeway to take on the headwinds that come our way. Next slide please.
On the corporate actions slide, I'm going to come in a m inute, but before that, these charts tell you the performa nce over a long period, it's FY10 to FY 25, each of the data points in ■ve -year intervals. I just chose some ■ve -year intervals for this, a record high revenue, almost record high EBITDA of almost Rs. 57,000 crores, a record high PBT of Rs. 34,000 crores, and we did our highest ever investment of Rs. 48,000 crores. And despite that generated an FCF of almost R s. 22,000 crores resulting in a debt going down to minus R s. 1,000 crores and all is done with a very strong ROCE of 17.6% . And this business has come a long way from what it was in its turbulent times and a huge call out and a huge thanks to every one who have been working tirelessly in this business to deliver

these set of graphs. Next slid e please.
And , this of course is translating into credit ratings , again two notches upgrade we received this year and we hope to get more as we go forward. Next slide please.
The ■nal dividend . If you recollect last year we had a Rs. 3 ordinary dividend and we had a Rs.

3 special dividend . Delighted to say this year we have gone with a ■nal ordinary dividend of R s. 6 per share , total same as last year but all of this is now ■nal ordinary dividend , 300% of fa

ce value .
And obviously this will have to be approved in the shareholders meeting. The demerger update : we had overwhelming votes in our favor and therefore we are on track for an appointed date of July 1st and an e■ective date of October 1st 2025 .
This year we also ha d the PLI bene■t . These are t he updates that you see : total for the year is almost R s. 500 crores of PLI bene■ts have been secured . Out of which R s. 142 crores we ha d it in the last quarter for FY 24 and for FY 25 we accounted about R s. 385 crores and the implications of margins are the re. Next slide.
Just to take a minute on the Tata Motors ■nance merger that has just been concluded , it is a ■nancing company therefore it earns before interest and its costs are below EBIT and therefore that is why you see a 50 bps Delta in EBIT margin that is there. At the same time there is signi■cant shift in the liabilities line and the ■nance receivables line , where the balance sheet you will see almost a R s. 30,000 crores shift in ■nance receivables and the gross borrowing s is also down by almost Rs. 31,000 crores. So signi■cant shifts in the balance sheet because of this which makes this business less risky as we go forward. Next slide.
Let me now hand this over to Richard to take us through the JLR p erformance. Richard over to
Richard Molyneux:
Can you hear me?
PB Balaji :
Yes, we can. Go ahead.
Richard Molyneux :
Right. So this chart summarises our ■nancial results for the full year on the right and for the quarter in the middle.
Volumes and revenue were relatively ■at over both periods. EBIT was 10.7% in the quarter and just over 8.5% full year , aligned with our guidance. PBT for the quarter of GBP 875 million was the highest quarterly PBT we delivered in nine years and drove full year PBT to GBP2.5 billion. Cash ■ow GBP1.35 billion in the qua rter allowed us to end the year, GBP278 million in net cash. So our other main piece of guidance delivered. The main care point that I will refer to on a later chart is, however, EBITDA, which fell 1% Q-over -Q and 1.6% year -over -year. So to the next chart.
As per usual, I'll skip over this chart as I'll cover all messages as we go through the pack. The key data is, however, here for your reference.
Okay, so in terms of wholesales, wholesales in the quarter were ■at, 110,000 to 111,000 units, and for the full-year also at 401,000 units. In this chart and in the next c hart, Q4 will be at the top, FY 25 at the bottom. And because the full -year and the quarter in this particular case say the same story, I'll just refer to the bottom section of the chart. As we are ceasing the production of the legacy Jaguars, Jaguar volume essentially halved year - over -year from 50,000 to 27,000 units. With that volume moving into Defender and Range Rover, Defender had yet another record year, over 115,000 units. Than agai n, is the highest number of Defenders we have ever sold since 1947 when the car

started. And we also increased volume on Range Rover, Range Rover Sport and Evoque, which drove the Range Rover brand sales to 225,000 units, up 12% year -over -year. Next chart.

So regionally, I'm looking at Q4 data ■rst, so I have the top half of the page. Our recovery in the UK continues from a couple of di■cult causes, closing the year ■at versus FY 24. Europe has been robust for us, up 12% quarter -over -quarter, although on a full-year basis, we're down 9,000 units, most of which is the e■ect of legacy Jaguar cars being removed from sale. China remains a very challenging market, not just for us. Sales were down from 13,000 to 9,000 in the quarter as we adjusted down our day supply stock levels

at the retailers. So our day supply stock levels ended the year both
below Q3 and below the end of FY24 levels. And that is to protect the quality of our sales going forwards. The overseas region was down both quarter and on a full -year basis, although this is from an absolutely stellar FY 24. If you look at the full year numbers in FY 25 of 70, 500 units, actually that year is 21% higher than FY23 and 40% higher than FY22. So, we've been on a real steep increase in overseas, just come back a little bit in FY 25. I skipped one market you may have noticed. The biggest market for us now is North America. 34% of our wholesales in the quarter and 32% full year. This re■ects really strong a■nity with both the Range Rover and Defender brands. We did push hard in Q4 as we feared tari■s were coming, but that shouldn't mask the underlying success of our North American business in recent years. Next page.

So, this chart shows the walk of PBT from th e same quarter last year when we earned GBP661 million to this quarter's GBP875 million. Volume and mix were relatively ■at. Fewer low margin Jaguars but also a lower mix of China cars. We have increased emissions costs and royalties from our China JV fell as local cars get towards their end of life. Net pricing was adverse. VME at 5% versus the 2.6% a year ago and only about half of that e■ect was o■set by variable cost improvements. We did have a big pickup in structural costs, particularly D&A being favo rable GBP200 million versus last year. Over half of this is the cessation of Jaguar production at both Graz and CB (Castle Bromwich) and the associated amortization of the vehicles that were built there. The rest is largely due to the extension of our ICE portfolio as we adjust to global BEV demand. FX and commodities largely moved favorably for us. Sterling was weaker than Q4 last year on average, helping operational FX, but actually dollar weakness took over towards the end, allowing our balance sheet rev al also being positive. Again, on this chart, you can still see the main challenge for us is EBITDA and much of our transformation e■orts I'll cover later in this presentation are in this space. Next page.

Now, on a full year basis, taking PBT through to cash, cash pro■t after tax remains strong at GBP4.5 billion or equivalent to about GBP11,300 per car. This is slightly down on last year, re■ecting the contribution pro■t walk on the prior page. Investment did come in on the forecast at GBP3.8 billion, just a touch below, giving free cash ■ow before working capital of GBP735 million. Working capital was strongly positive as we optimized to reach our net cash target in receivables and in inventory. A big element of other there you can see in the text , that is largely the working capital favorable e■ect we get through warranty and emissions. Next page.

So from a perspective of investment, it fell in Q4, allowing us to come in just below GBP3.8 billion. Of our engineering spend , we capitalized 67% for the year. This is to be expected as most of our engineers are working on cars that are relatively near the end of their development cycle. Next chart.

So, one of my favorite charts. This shows the cash journey over the last three years from a net debt positi on of GBP3.2 billion at the end of FY22 to GBP0.3 billion net cash now. You can also see we've

generally kept cash levels relatively stable to run the business, though do note that with the tari■ uncertainties pending at the end of last year, we deliberately ensured that our most recent cash levels were at the highest end of our range. So we ended the year with GBP4.634 billion worth of cash, and that was deliberate given

the uncertainties that we faced in the market. Right, moving to the future.
Next page.

I've managed to get through all of this without saying tari■s yet. So tari■s. It's certainly been a journey over the last couple of months and a journey that probably still has not reached its end. We welcome the deal between the UK and the US., governments that addresses the 25% sectoral tari■s suddenly imposed on automotive sectors, but also on steel and aluminium, and it brings the automotive sector in line with the other UK businesses in paying a circa 10% tari■ on shipments to the US . We're working through the detail. We continue to o■er the government our support and will also support effort s at a n EU level to address EU -US tari■s, which do impact our Defender and our Discovery product exported from our Slovakia plant to the US . Where w e stand today is that we'll pay a 300%

increase on the tariffs we used to pay in the UK, so going from 2.5% to 10%. We'll also pay a 1000% increase on the prior tariffs on Defender and Discovery out of our EU plant.
On top of this, China will remain difficult and our high investment in future products will continue, so we need to react , business as usual will not work in FY26 and FY 27. So we've launched a series of special focus programs or missions to protect EBIT from the threats of tariffs and the other thre ats that we face. Next page.
Below are some of these transformation missions. Some of those we've set up, some of them we'll go through in more detail at the Investor Day. We know we have to drive ex-works costs down through technical changes, commercial negotiations with suppliers and content rebalancing. Together we spend GBP16 billion a year in this area. So , we are systematically with cross - functional teams identifying opportunities in every area of the car. There were 160 people in a meeting room next to me earlier on today doing precisely that in squads by area of the car. We also know we need to do more to tackle our warranty costs, better quality delivery and a faster response when issues are found, for example. Customer love is the third one. You might be surprised to find that on the list, but it's crucial to improving our customer loyalty along with the warranty issue. And customer loyalty, brand loyalty is a crucial value driver. So customer love is really important. China resilience, we've sp oken about several times. We now have dedicated teams looking at regulations by market to optimise any emissions liabilities that we have. These are just examples. There are more and we'll share more detail a t the Investor Day. Next page.
We built a histo ry of meeting our promises, delivering on our guidance. But the economic fabric of our global industry is in flux. So it would be inappropriate for us now to give firm earnings guidance for FY 26 today, less than a week after the framework of the US -UK trade deal was announced. We'll see you again at our Investor Day on the 16th of June and give you an update then. But what I will say now, however, is that our GBP18 billion investment programme over five years remains in place. It has to , to drive our business forward and that we'll commit to funding that GBP18 billion with operating cash flows in a five -year period. So we'll give you more information at Investor Day. You now have even more of a reason to attend. So I look forward to seeing you then. And in the meantime, I'll hand you back to Balaji.

PB Balaji
Thanks, Richard.
Let me now move to the commercial vehicle business. Girish, Ramanan, would you want to take the lead on this?
Ramanan GV
Thank you, Balaji. Next slide.
Our domestic VAHAN market share

stands at 37.1%. When we look at the market share by product line, trucks are holding on to the market share and passenger is coming back with 100 bps improvement in market share. Both trucks and passengers have performed better than the industry. SCV marke t share has come down and this is an issue. Next slide, please.
On the financial performance, the business has consistently delivered double -digit EBITDA margins quarter -on-quarter and has delivered an EBITDA of around 12.2% and an EBIT of 9.7% in Q4 FY25. This is an improvement of 20 bps and 10 bps respectively over Q4 last year. On a full -year basis, EBITDA was marginally lower than 12% and EBIT was at 9.1% driven by better realization and cost saving. This is an improvement of 100 bps and 90 bps respectiv ely over FY 24 on a full - year basis. The business delivered the highest ever PBT of R s. 6,600 crores and a strong ROC E of 37.7%. Overall, a very strong financial performance. Next slide, please .
Coming to the EBIT walkthrough , this is a comparison of the PBT from Q4 FY24 to Q4 FY25. Mix, optimization and realization improvements have been the key drivers. There has been a slight increase in fixed cost. Overall, a 10 bps improvement in EBIT over the same time last year. With this, I now hand this over to Girish for the industry insights and business highlights.
Girish Wagh
Thank you, Ramanan. So , the total industry volume improved marginally in Q4 on a Y -o-Y basis. And just to give you a perspective, you will recollect that in Q2, the industry had shown a significant double -digit decline on a Y-o-Y basis. This decline reduced in Q3 and therefore, it was a single - digit decline and now in Q4, the TIV has been either flat or slightly growing over the previous year, which is a good sign. Average utilization in trucks and buses has grown quarter -on-quarter and the transporter profitability has also improved marginally. We see that the freight rates have improved

in Q4 by around 1% to 2%, which is supported by better utilization due to strong er commodity movement, stable agri -sentiments, seasonal demand for white goods , and improved infra and mining activity. The customer sentiment index, which we measure quarterly internally , it indicates that Tipper sentiment index has improved marginally, w hich indicates a good mining and infra activity. On the other hand, heavy commercial vehicle cargo and the intermediate light medium commercial vehicle as well as SCV pickup, the sentiment index has almost remained ■at. Commodity prices in the quarter gone by remained range bound. We are now looking at an impact due to the steel safeguarding duty, which has been already implemented. So, we are assessing the impact and should be there in maybe few weeks time.

Going next. On the vehicle business, in quarter four, as I said, the industry volumes improved . Compared with the decline in the earlier quarters , this is a good sign. In Tata Motors, both buses and trucks registered a healthy growth in Q4.

Digital selling, which is something that we have been pushing for, I think the contribution to retail

in terms of leads generated is now almost 27% and has been increasing quarter -on-quarter. On 8th June, the entire truck portfolio, both cabin and cowl is supposed to undergo change over to AC regulation. This is a ma nufacturing date transition and we are getting ready for the entire portfolio to move towards AC ■tment.

In electric mobility, in Q4, we delivered 89 electric buses. So, this is now towards the tail end of the ■rst CESL tender that we had won . We now have more than 3,600 electric buses on the road. We also started supply in private accounts, ■rst few buses being delivered. On small commercial

vehicles, ACE, now we have more than 8,000 electric vehicles plying on the roads. And in Q4, we saw expansion in some new segments like milk and LPG. We also won multiple bulk deals and municipal deals in quarter four. Our overall sustainability targets are on track for decarbonization as well as circularity.

In the smart city mobility business, as I said, our f leet now has crossed more than 310 million kilometers and consistently delivering more than 95% of uptime. Out of these 3,600, we have 2,500 buses in Delhi, Bangalore and Jammu and Srinagar. Deployment has been completed in Jammu Kashmir, Bangalore and Delhi and from Bangalore we also have an additional order of around 148 buses. As I said, I think we have been consistently delivering performance above the contractual terms . We have also entered into the sta■ transportation segment , although within the group r ight now, we are also discussing with few other companies outside the group. Next.

In our digital business, Fleet Edge now has almost 800,000 active vehicles with monthly active usage of 81% and weekly active usage of around 59%. I think apart from deliver ing uptime related services, we are also delivering the machine learning based insights to improve fuel e■ciency in real life. The Solution is named as Mileage Saarathi and we are able to deliver around 5.5% to 6.3% real life fuel e■ciency improvement on m ore than 11,000 vehicles.

E-Dukaan which is our digital parts store is now made open for all B2B users. B2B is our distributors who then supply it to the retail channel , and also some of the key customers. So signi■cant portion of our retail channel now a ctually is ordered through these digital stores. Freight Tiger in which we have taken a stake is now available for tracking all the shipments on E -Dukaan which along with our logistics partnerships is helping us to achieve a very high on - time in full deli very and therefore ensuring there is no loss of sale. Fleet Verse , which is our digital front for selling vehicles, we now have more than 13,000 vehicles being sold with enquiries coming directly on to the Fleet Verse platform.

So that 's about the digit al business. Going ahead for FY 26, I think overall level the macro indicators are on track. As I said the ■eet utilizations are improving, the sentiment index is stable and therefore we anticipate sustained growth despite global headwinds and also there have been local headwinds in past two weeks. I think our focus will be on , ■rst of all ensuring smooth transition of AC regulation for truck s and as has been our past practice, all these trucks will come up with value enhancements and not just introduction of AC. We continue to invest in future technology and new products, especially in alternate fuels, model years for value enhancements. We continue to expand our product portfolio, have smart digital solutions and we will also have some new nameplate launches coming up in the year. In SCV Pick up segment , very clearly, I think the task is cut out for us to, regain the market share that we have lost. And I think there are two things that we are focusing on. One is launching Ace Pro in Q2, which will enable us to get into the lower end of the small commercial vehicle segment, which otherwise has been losing salience in this

industry. And at the same time, post the launch of entire Intra Gold series, we are now having an integrated plan of ATL , Digital, BTL to inc rease consideration of this brand. And ■nally, of course, we will continue to deliver strong double -digit EBITDA margins, cash ■ows and also strong return on capital employed, which Ramanan also touched upon earlier.
With this, Balaji, back t

o you.
PB Bal aji
Thanks Girish.
Can I now hand it over to Shailesh and Dhiman?
Dhiman Gupta
Yeah, thank you Balaji and good evening everyone.
We close d the year with a Vahan market share at 13.2%. While our SUVs portfolio outperformed the industry, we had some losses in our Hatch portfolio, resulting in an overall market share decline on a year -on-year basis. Shailesh is obviously going to touch upon all the actions that we are taking on our Hatch portfolio in our subsequent slides, so I will park it for now.
In terms of powertrain mix, diesel continues to be steady at 13%, signi■cant traction in our CNG portfolio where we have grown 60% year -on-year. Our CNG plus EV penetration at 36% and CAFE well below the target threshold.
Moving on to EVs, our overall volume for t he year was down 13% largely due to the muted traction we had on the ■eet side. The industry has grown by 20% this year, largely on the back of a spurt of new launches from H2 onwards. We ended the year with a 55% market share. Near - term market share, there might be some noise , as the initial launch activities settle down and our launches in the Rs. 20 lakh price segment, as well as the entire enhancement we are doing on our existing product portfolio, kind of ■ows in through the rest of the year. Next slide please.
A di■cult year in terms of pro■tability on account of the muted industry growth that we saw, periods of high dealer inventory and adverse realization . The bright spot was the PLI incentives that we started accruing from last quarter. We now have three of our products TCA certi■ed on which we have accrued R s. 350 crore of PLI incentives this year. Our PBT for the year stood at about R s. 1,100 crores, a R s. 300 crore decline from last year. Next slide.
EBITDA margin for ICE business for FY 25 w as 8.1%, about a percentage point lower than last year. A recovery of margin on the back of cost reductions, better mix and operating leverage through the rest of the next four quarters will be a key focus for us next year. A key call -out for our EV busine ss, despite the signi■cant investments we continue to make in market expansion and our product investments and the price bene■ts that we have passed on to the customers for lower battery cost for the year, the business ended with both EBITDA and PBT positi ve.
Next slide. Shailesh, over to you.

Shailesh Chandra
Yes, thank you, Dhiman.
Let me ■rst start with the industry highlights. So, FY 25 was, growth moderated to 4.3 million units and it was a modest 2% growth over FY 24. We had seen stress in the macro -economy also and it had its re■ection also in the car industry where the growth remained muted. And we also saw that it was a very discount driven market across all the OEMs. We also witnessed segmental shifts and it further strengthened in favor of SUVs, which saw 11% year -on-year growth and the salience increased to 55%, while hatches and sedans de -grew by 12% year -on-year.
CNG has been rocking for last few years and this has seen 30% year -on-year growth despite a 2% growth for the industry. And it is also re■ecting the growing preference among personal segment customers also as the C NG network across the country has been increasing. Dhiman already mentioned about EVs that there was a muted situation in H1 in term s of growth, but in the second

half of the year, with greater participation of various OEMs and the new launches, we did see traction coming back on the EV side, which is aug uring well for the growth in FY 26. As far as we are concerned, it has been a year of hits and misses.

On the hit side, we clearly saw that in SUV segment on the back of strong demand for Punch, wh

ich
was the number one model in 2024, and the launch of Curvv, we had an industry -beating growth. In the CNG segment, which has been growing at a rate of 30% in the industry, at an industry level, we were the fastest -growing player in this segment with 60% growth. And the twin -cylinder technology that we brought, that innovation, has really helped. And also the launch of Nexon CNG has been a roaring success. So we are growing very fast in this segment. And you have seen how the overall share of CNG in our portfolio has gone up to 25% from just 7 -8% two years back. The big problem for us last year where we witnessed the decline in our volumes a nd market share was because of hatches, and mainly two products, which is Tiago and Altroz, which were in their ■fth year. And therefore, it was very aged. And that led to signi■cant decline in our hatches volume.

PB Balaji

Sorry, Shailesh, we seem to have lost you. Just give us a minute, please. We seem to have lost Shailesh. Dhiman, why don't you step in till Shailesh joins us?

Dhiman Gupta

Yeah, I think I will just carry over from where Shailesh left. This was a year of mixed bag for us. I think, Sha ilesh mentioned where I think we have outpaced the industry growth in terms of our SUV sales, the good reception that we've got for Curvv and our re - varianted in Nexon introduced in Q4. We did lose a bit in terms of hatches, especially because of our, agi ng that had happened in the portfolio, both for Tiago and Altroz. Part of it we've corrected . In Q4 we've introduced Tiago, the refreshed model year '25, that has found very good traction in the market, and a lot of you would have seen, we are refreshing t he Altroz. Altroz was introduced in 2021 and we haven't refreshed it for the last four years, and we are coming up with a mid -cycle enhancement, - the launch is planned shortly this month. So , with both the actions, we believe some of the market share decl ine that we had seen through the year , we should be able to recover .

Go for it, Shailesh, We are in the last sec tion . If you can talk about after sales and beyond.

Shailesh Chandra

Yes. Okay.

So, in FY 25, it was the year of consolidation for us, and we spent some disproportionate focus in areas like after sales, where we had an issue of service capacity, and we took an aggressive target in terms of bay addition, especially in the 21 hotspot cities, where we were seeing customer experience really g etting impacted. So , we were able to really expand our presence in these 21 hotspot cities, and we are very comfortable in 16 cities now . On the product quality side, there were certain issues that we faced, especially on the software area, and therefore, we not only took initiatives to ■x them fast, but also have taken signi■cant actions on software integration aspects and the process aspect, and I think that has been a key area of e■ort for us in the H2. Also, the network growth and also network health ha d been a tremendous focus for us in the H2. Not only we increased the number of outlets by 73, but also we took a series of action to ensure that the health of our network remained intact. So , that was broadly in terms of the highlights of the ■nancial year. If we go to the next slide, please.

What will be the focus areas for FY26? I think we have to regain our growth momentum and drive both volumes and pro■tability. FY26, as per the triangulated view that we see from various agencies and OEMs, is that it is going to be mode rate, pretty similar to what FY 25 was. Our focus would be to deliver industry - beating growth because one, that possibly this year is the strongest product cycle for us, freshest portfolio, so

as I said that our main issue was on hatches. We have a
low base of FY 25. We have already a refresh, which has got launched. And I talked about the growth that we have already seen in the refresh of Tiago by 20%. And this month, we are also launching the Altroz, which saw the signi■cant decli ne last year. So, both these products would have got addressed from their lifecycle intervention perspective. On the SUV side also, we will be coming with a multi - power train on Harrier and Safari, including the petrol version.

And at the same time, there will be re -varianting and repositioning of certain products in the portfolio. We have the full year for Nexon CNG and also, we will launch Sierra. So, even SUVs is going

to be strong. So, it's going to be a very strong year for us.
On the EV side also, we are going to strengthen not only the value proposition of the existing product, which Dhiman talked about, in terms of value price equation, but also the addition of two new products, which is Harrier EV and Sierra EV . So, it's going to be a strong year fo r us on the EV side also. Our brand consideration got impacted last year because of customer experience issues that I've already talked about. So, improving customer experience, brand associations, and comprehensive marketing campaigns will be the ■avor of this year for us.
Mainstreaming of EVs, actions on ecosystem, charging infra, open collaboration is what we have already spoken about in the earlier conversations also, that we also will move very aggressively. And we'll focus on certain micro segments al so. So, those actions are fundamental, foundational that we'll continue to work on. Sales network, I already spoke about that this has become the focus after a year of consolidation. And the e■ort will be to skew our stores towards more larger formats as t he portfolio is expanding. And cost reduction initiative remain critical to us to ensure competitiveness and pro■tability in a tough environment. And this engine has been delivering well for us and this will continue.

So, back to you, Balaji.

PB Balaji
Thank you, Shailesh.
Let me quickly get on and conclude the section. Go forward, please.
Overall free cash ■ows for the year came in at R s.6,900 crores. Again, this is the highest investment that we have done of almost R s. 8,400 crores in Tata Motors, al l of which funded out of operating cash ■ows. Next slide, please.
And . This is a breakup of the R s. 8,400, won't spend too much time on that. Go forward.
So, where do we see going forward? I think, I'm sure the tari■ is probably going to be top of mind for all of you. I can see lots of questions that have land ed up, which we'll pick up . But there's an outlook , I think it's fair to say that the tari■s and the related geopolitical actions, counteractions are making the operating environment uncertain and c hallenging. However, I think the fact that JLR is in the global premium luxury segment, as well as the Indian domestic market, these are expected to weather this relatively better. And you've seen the performance of this business over the many years, and w e have consciously strengthened our fundamentals, and I believe that the business fundamentals are in ■ne fettle. And , therefore, that gives us the con■dence to remain focused on executing our growth strategy ■awlessly, serving our customers better and at the same time being clear of the new reality, maintain a very heightened vigil on costs and cash. At the same time, co ntinuing to invest in the future. So it's business as usual as far as all things, investments, growth are concerned. And, of course, from a cost and cash perspective, we'll continue to keep extremely tight. So that's the broad messa

ge I would want to leave you with.
All in all, a great year, the way it ended. But I believe, despite all the external challenges, we are well -placed to take it on. And obviously, you'll hear more about this in greater detail in Investor Days, both in Tata Motors here in Mumbai, June 9, and JLR Investor day is on June 16 at Gaydon.
So look forward to seeing you there and, of course, taking your questions now.
Questions And Answers
PB Balaji
Thank you. So let me now quickly move on to questions. I'll probably start with Chandramouli from Goldman Sachs.
There are tons of questions that have come on the UK-India market situation. The fact that there is a free trade agreement that has been signed. Questions from all sides? What happens to volumes? What happens to pricing? What happens to the Chennai plant?

Let me break this up into three. First of all, if you look at the Range Rover franchise in India, Range Rover, Range Rover Sport, Evoque, Velar, all of them are already localized, manufactured on a CKD operation out of P une already. And therefore, for these cars, there is no impact as far as this FTA is concerned. Therefore, there won't be changes. All the bene■ts in terms of CKD operations are already in the price and passed on. So no changes in price expected on any of these at this point in time.

However, the future cars that are going to come in, the ability to access these global cars at global

prices, that went up signi■cantly because of this decision that has happened. Obviously, we'll have to see the ■ne print. There are quotas in it. There is also about a reduction over a phased period of time. All this ■ne print is expected. And until such time, I would only request patience from all of you. Till we see the ■ne print, we can interpret only if we see the ■ne print. So do bear with us on that part.

Let me then move on to Shailesh. I think this is coming on PV Shailesh. What are some milestones that need to be crossed for the India PV business to reach double -digit EBITDA margin? And maybe you can take all the questions. What are the rough EV mix for meeting CAFE norms? What do you see as a fair market share target? And how do you also see this changes in this FTA agreement with global competition coming in? How do you see it? Can you take all these questions i n one shot, Shailesh?

Shailesh Chandra

Yeah, thanks, Balaji.

So, as far as EBITDA margin is concerned, we were pretty much there in quarter four of FY24. And there's now a gap of about 2%. We exited the year at about 8.2%. Mainly, see, it is going to come from the cost reduction initiatives, which consistently has been delivering about, 2% plus of revenues. And then it's about optimization of pricing and VME, and also the model mix, which is expected to become richer with the new launches. So, all this would be in combination should deliver more than, 3% or so, but it will then get o■set with some of the commodity price increases that we might see. Also, with every refresh, every new model launch, we are increasing the tech and feature in the car. So, those would be the o■setting, cost elements. So, net -net, I think we are very much on track towards 10% plus EBITDA . So, that's on question one. What is the rough EV mix, to comply to CAFE 3 norms? I think still this is under discussion, and therefore it will not be fair. But if we have to really go by what the government has been saying so far, or BEE, which is Bureau of Energy E■ciency has proposed, it woul d mean 10% plus EV penetration for a manufacturer like us. And , you already see that we are at 11%. So, we are pretty comfortable with growth coming in for us in future, and penetration aspiratio ns being 30% plus by FY 30. I think we are pretty much on track and safe.

Then the question was also on what should be the fair market share in electric market once all the launches of most of the peers come through in the next 12 months? See, we are aspiring to keep our market share above 50% plus. Dhiman mentioned that there will be short -term pressure because whenever a new product gets launched, typically the sales volume are 2x of the steady state volume. So, there will be, most of the launches have happened recently and it will continue. It's a very launch action year for all the OEMs. So, there will be short -term volatility, but our aim with all the actions that we are going to take, and maybe I should elaborate a bit on that. We see broadly four segments in the EV space n ow. One is the entry segment, which is that of city cars, less than Rs. 12 lakhs. I think here we have 75% plus market share with products like Tiago and Punch. We are going to take certain actions in this space here. The requirement would be to come close r to the price parity with ICE , and also range should be comfortable. So , we will overcome some of the barriers that still remain in this segment and expand this segment where we have a very high market share.

But there is a mid -segment which is also from 12 to 20 lakh which is seeing intense competition. This is where the whole action is. All the manufacturers are coming with a product in this segment. And therefore intensity will be high. The way of winning the game in this segment, there will be short -term action from us but also more mid -term which is 18 to 24 month action to ensure that we dominate this segment also. Right now market share would be about 30% -33% in this segment but this is the crucial segment where maximum volume would lie. And then th ere is a 20 lakh plus segment which is emerging which is also showing great promise. And two products are going to get launched in this segment so that will be completely additional volumes for us through Harrier EV and Sierra EV .

And the fourth segment is actually ■eet. Now ■eet segment so far we had addressed the issue of total cost of ownership against diesel. But there is a big market of CNG and this is where our focus is to ensure that the value proposition of our ■eet product surpasses that of CNG. And therefore this should also help us tap greater volume. So therefore with all these actions in short -term and then renewal of our portfolio with more promising product in the 18 to 24 months, I think this should help us keep our market shares above 50% in mid -term. I think short -term volatility we will not be worried about.
So this was on the EV side. This was it, right? Balaji.
PB Balaji
Yes, that's correct. Thanks a lot.
Shailesh. Let me pass it on to Girish. Comment on CV . What's your outlook for industry? Multiple people have asked that.
Girish Wagh
Okay.
So before I come to the growth, the few drivers. First is I think the freight rates are holding up. The utilizations are up on a Y -o-Y basis by around 2% to 5% depending upon the segment.
Then as I said the sentiment index is stable and in fact gone up for tippers. So largely the macros are also positive. And if we leave aside the event that has been there for last two weeks or so, which has created some challenge in the northwestern states, I think overall we still feel that we should see a single -digit growth across all the segments and within the segments, slightly better growth for heavy comme rcial vehicles and buses, and slightly lower for ILMCV and SCV pickup. So t hat's how we see the likely growth.
Within quarters, I thi

nk Q2 should see a better growth on a Y -o-Y basis, one of the reasons being the
base e■ect. But otherwise, on the overall b asis, I think we should see a single digit growth. Balaji?
PB Balaji
Thank you, Girish. Richard, coming your way.
Raghu from Nuvama Research. Questions on JLR Emission cost increase was at GBP36 million. How much increase is expected ahead ? On RR Electric , when is the launch expected, considerin g the large waiting period? And also, how much will be depreciation post this launch? And could you then also talk, one shot, the entire tari■s for US ? How much will be passed on to customers? What

about dem and scenario? The bene■t of cost savings, ho w much can it ■ow through in FY 26? And what about CJLR volumes , have they reached a trough?
Richard Molyneux
Okay, let me have a go. So, emissions cost, for us, this is also an area that is a little bit in ■ux, particularly in the US, the administration hasn't yet taken any actions there, but we know that they are looking at the California exemption. And some of the states in Maryland, for example, are looking at moving away from their association with those Cali fornia emission standards. There's also legislation expected later this year in terms of the overall EPA levels that are required. So, emissions is also an area in ■ux. You would naturally expect our expenditure to increase year -over -year as a result of o ur BEVs being slightly later in the plan, they always were later in the plan.
But on the ■ip side, we know that Europe has taken a few actions to mitigate the level of their penalties. We know the UK have already taken action with the ZEV mandate to also m itigate some of the e■ects of that legislation. We expect the same thing will happen in the US too over time.
So, this is a little bit of a battle between consumer demand and regulations. And in democracies, ultimately, the regulations will probably have to adapt. That will bene■t us, but in the ■rst couple of years until the changes have worked through, I would expect our emissions costs to rise.

Range Rover Electric, so the development's continuing. We're actually testing it at plus 40 degrees centigra de in the sand dunes of the Middle East and minus 40 degrees centigrade in the ice lakes of the Arctic. So we are really , diligently making sure that this car can do what a Range Rover can do, regardless of whether it's got a BEV powertrain, an ICE powertr ain or any other powertrain. So we're absolutely determined to make that car the best Range Rover it can be. We will expect formal reservations in certain markets, let's say reservation fees, later this year. And the waiting list is

currently at 62,000 peo ple.
Next one, tari■s. Right, so on tari■s, we really welcome the deal that the UK and the US administrations have done. It provides a good level of relief from the sudden and very steep tari■s applied to the UK auto sector in April.
And remember what happ ened on April 3 is suddenly we got a 1000% increase overnight in our tari■ bill for selling cars in the US. That's a signi■cant amount. The deal that's being done now between the UK and the US., should bring that down. However, it will still be a 300% pric e increase or increasing cost of tari■s versus where we were in March. So it's gone from 2.5% to 10%. So we're happy the deal brings the UK auto sector in line with all other UK businesses, which also pay the 10% tari■. Remember, it was automotive steel a nd aluminium that were given special treatment at the 25% tari■ level. And we're just awaiting from the UK government some details as to exactly what the terms of the agreement are and when it will be implemented. It did say immediately i

n the releases, but we're still waiting to hear exactly, either retrospectively or prospectively, when it will apply, what the impacts on parts are, whether there's any rules of origin requirements, etc. CJLR had a di■cult year because the vehicles that it is producing are coming to the end of their cycle. So for example, production in China of the Jaguar XF, XE and E-Pace will come to an end in September this year. Now that's deliberate because you'll remember we signed a license agreement with Cherry for the production of vehicles of the CJLR architecture, but with the Freelander brand name. And those vehicles will start production in our Changshu plant in the CJLR joint venture next year. Those vehicles are o■ered Chinese architecture with Chinese attributes and Chinese costs. So they're perfectly aligned to Chinese requirements. They will have the capability of being exported globally at stage in the future, but

they are initially for the China market only. So production of Freelander will start in the plant as the run out of our legacy vehicles comes to an end, so it'll be synchronous and should allow JLR to bene■t not only from license fees it will get from the Freelander brand and our helps and e■orts in designing the vehicles, but also the 50% share of pro■ts that th e JV will make going forward. So it's a very good deal for JL R.
PB Balaji
Thanks, Richard.
Maybe one ■nal one, which I missed. Apologies for that. How much of these bene■ts and cost savings you are expecting to see in FY 26?
Richard Molyneux
We'll cover that at Investor Day.
PB Balaji
Cool. Thank you. Girish, coming to you, a question again from Raghu Nuwama. Questions. How do you see the domestic M&HCV outlook for FY 25 freight utilization? How is it happening for transporters? Also, impact of DFC ? There's a question that keeps coming every now and then. And AC regulation, there's another one more query somewhere else in terms of the cost of this AC regulation. How is it going to be?
Girish Wagh
So I think as far as M&HCV outlook is concerned, I hav e already answered this question in response to a question earlier. So we will have around single -digit growth happening for the entire year. Within quarters, I think quarter two will see a slightly higher growth.
The second one is about ■eet utilization. So I would say the ■eet utilization is around 2% to 5% higher compared to the same period last year. And this is based on 800,000 vehicles that we track. So this is that we see there is a 2% to 5% growth on a Y -o-Y basis.
As far as Western DFC impact, I th ink as we've been saying in the past, the Western Dedicated Freight Corridor will carry a lot of export -import tra■c freight. So a lot of container tra■c, therefore, is likely to move to this. And this may impact to some extent the tractor -trailer market, which is essentially the 40-46 ton trailers, tractor -trailers. But at the same time, I think we need to keep two things in mind that still, on a point -to-point basis, the road sector will be better as compared to rail. And even if there is a movement happe ning of containers from hub -to-hub basis, we certainly need the tractor trailers for hub to spoke as well as the ■rst and last mile movement, especially on the ports. I think in a nutshell, therefore, net-net, I do not see much of an impact as we are here today. Coming to AC regulation, Balaji, there is another question also, so I will address it comprehensively. So, as far as cost increase is concerned, see the cost increase in percentage terms will be lower or minimal for heavy commercial vehicles because the base cost is more there.

So, the cost impact on the biggest vehicle could b

e somewhere around 0.5% to 0.6%. So, the cost
impact for a, say, intermediate light commercial vehicle will be slightly higher, could be in the range of 1% to 1.2%. But as a co mpany, I think as we have been saying that we do not just comply to the regulations, but we always come up with some value enhancements and therefore, the product

makes sense for the customer. Beyond this, I think there is another question by Amin, which i s about what is the likely impact on the fuel e■ciency.
So, by physics and engineering, yes, I think when you run the AC, the compressor will consume some power, so there will be some impact. But I am sure, I think like all OEMs, we will be working towards ensuring that this impact gets minimized. And the question whether this will turn out to be headwind, no, because I think in terms of price increase, it will be in the range of 1% to 1.5%.
So, the fuel e■ciency impact will be lower single digits and as a company, we will ensure that there is a value enhancement being delivered to the customers.
PB Balaji
Thank you Girish. So, ■nal point on - post -demerger, will Tata Capital s take be part of CV business? The answer is yes. Question on Net worth and pro■t of Tata Capital , will take it o■ine.
Okay, moving to Rakesh Kumar, BNP Paribas, we have already answered the question on US tari■s, I will leave that out. Let me get into the FCF, his point was, in FCF of FY25 working capital did play a big part, how do y ou see working capital trendin g in FY 26?
Richard Molyneux
Okay, so working capital is very seasonal for us, so Q4 is always very strong. That's partly because simply from a calendar bas is, our production levels are higher in Q4 and therefore our payables are higher. So, you would expect that to come back in Q1. For the full -year, you would also expect that to come back a little bit, although we will keep the diligence on receivables, we will keep the diligence on inventory levels, so we will continue to drive it down. Over the last two years, I think working capital has been about GBP1.35 billion favora ble. In the prior two years, FY22 and FY 23, it was GBP1.35 billion negative. So I would n't expect massive moves, but during the course of the year, there will be normal seasonal movements in working capital.
PB Balaji
Yeah, just to add one additional color on that, it obviously depends on how the total demand plays out in the year progressin g that, so let's watch the space is what I would say, just to add to what Richard just said.
Richard, staying with you, this is Aditya Jhawar, from Investec . Update on the Chinese market, let's talk about that. Macro outlook, dealership consolidation, lau nch of EVs, Jaguar and RR, how do you see that?

Richard Molyneux

Okay, so I'll do the second one ■rst. Launch of EVs, I think I've already mentioned that we'll start taking reservations for Range Rover BEV this year. In relation to Jaguar, so you've seen the Type 00, which is the design vision for Jaguar. We'll unveil the ■rst actual car, the four -door GT Jaguar, later this year, before that car goes on sale in 2026. Remember , Gerry does say that he doesn't just do concept cars so you can expect the production car to be su■ciently similar, let me say.
So that's the timing of Jaguar and Range Rover electric.
Look, the China market, it is tough. It's tough for everybody. We are seeing at least a slowdown

in the rate of dealers leaving the premium western segments and are actually now moving to the scenario where we are looking to ■ll distrib

ution holes.
So that trend, I think, is reaching or will reach relatively shortly a ■ex point. We are focused very much on making sure we do not overstock the retailers in China. As I mentioned beforehand, we've kept days of supply at the retailers at the end of this year, it was lower than both at the end of Q3 and at the end of FY 24. So we will manage it very carefully.
PB Balaji
Yeah. Thank you, Richard. Maybe moving on to the VME question, Tariffs you've already covered extensively, so I don’t want to repeat that. Let's talk about VME, there is a step up in VME this quarter as well, about 80 odd bps. Can you throw some light on how we should think about VME going forward?

Richard Molyneux

Yes, that's one also where we will need to look at what is going on globally in the industry. We've already mentioned, I think Balaji you mentioned, that one of the ways that we would expect some of our competitors in the US., to react to tari■s will be to red uce their levels of VME. It is easier and quicker to do than changing price. So that may happen, that may not happen. I think globally we're still in a position where VME levels are on a trend rise, but it isn't dramatic and I think we will learn quite a l ot from what happens over the US., in the next couple of months.
PB Balaji
Thank you, Richard.
Sorry, I'm going to continue with you for a while. So this is from Gunjan, Bank of America, can you talk about region -wise growth? You did cover about it, but maybe you may want to give a little bit more ■avor there. And how should we look at warranty cost trends? And while we wait for the margin update for the Investor Day, can you also talk us through the various levers you're looking at to drive your EBIT mar gins? Electric - launch time, we've already talked about.
Richard Molyneux
Okay, so region -wise growth outlook for JLR, we do have a fairly balanced global spread of sales between our s ix regions. So I'm not anticipating a massive change in that. I do think that overseas is an area for us that has further growth potential. I mentioned that we sold 70,000 vehicles there this year. We sold 51,000 in FY 22. So we're on a strong trajectory, and I think there is more that we can do there. China and the US, I've mentioned, the UK is recovering, and Europe, particularly Germany actually is quite strong for us at the moment. So I don't see a major split, a major change in our global sales mix. But I think if anything's going to rise, it's probably overseas, UK, and China is still one we're looking at.
Warranty costs, can I look at trends on warranty costs? It is, I mentioned it beforehand, it is one of the key missions that we have set ourselves to get on top of vehicle quality, and the time it takes us to respond to quality slips when we ■nd them, and the amount of money that we get back from suppliers when it is their responsibility. I'm not going to anticipate at this point any major continued increase in our warranty costs. I think we're, we're aiming to try and get them capped and then to

bring them slowly down.

PB Balaji
Yeah. Thank you.

Richard Molyneux
Was that the end of that question section?
PB Balaji
That's right.
Thanks, Richard. So again, sticking with you. I know we don't normally talk short immediate quarter, but given all the chaos that's happening, how should we see the ■rst quarter? This is from Kapil Singh Nomura.
Richard Molyneux
So I mentioned working capital. That will de■nitely swing back in Q1. So a lot by a material amount. In terms of volumes, we pushed really hard in Q4 to m ake sure that we met our commitments to you and everybody else and that we get cash out of EBIT, so Q1 probably will not

be as strong. We did
also, as I've mentioned, deliberately push more vehicles through the import structure in the US to get them to the dealers before any tari■ e■ects came in. So that was a bit of an acceleration from

sales that we would normally have done this quarter into Q4 last year. So, it certainly will not be as strong in terms of sales, as we did last quarter.
PB Balaji
Yeah. Thank you.
Also, when will legacy Jaguar Wholesales drop to zero?
Richard Molyneux
Good question. So, we have already, ceased production of the Jaguar XE and XF, from and F -TYPE in Cast le Bromwich, that was in May '24. In December '24 we ceased production of the I -PACE and the E -PACE in Graz, and we're also going to cease the production of the Jaguars in China that I mentioned before in September '25. So that will mean the last Jaguar th at's getting produced is the F-PACE. That is produced at our Solihull plant in the UK, so that will go through the end of this year. That will be the last Jaguar vehicle that is o■ered for sale before we take Jaguar out completely and launch the four door GT, based o■ Type 00, which we showed earlier on.
PB Balaji
Thanks, Richard. A few questions sort of why other expenses have dropped so much this quarter. Were there any one o■s in that? As as well as, the depreciation line is continuing to trend down. This is from Gunjan. So how how should we see this again?

Richard Molyneux
Other expenses dropped quarter -on-quarter, it's largely warranty. The warranty is also one of the reasons why other expenses year -over -year is signi■cantly up. So there's a bit of a timing e■ect as to warranty accruals to certain one -o■ campaigns.
Sorry, the questions have just disappeared.
PB Balaji
Yes. So you covered that, perfect. So let me move to, again, staying with you, I think Jay Kale is asking this question, right? Yes, we will update you in terms of guidance at the Investor Day . What are the developments you are watching for? And how are you looking into this whole space in preparation for the Invest or Day? Can you just give us a bit of color on that?
Richard Molyneux
Yes, and you've covered some of the points there.
So one is, what is the implementation date of the deal with the U K? And will there be a EU -US., trade deal? And if so, what form and shape and dates will it take? So we're already six weeks into, in fact, coming up to seven weeks, into FY26 for us. So getting some of these issues sorted is going to be really important for us to make sure that we understand where the full year position is.
PB Balaji
Also, again, from Kapil, in terms of emissions, so will a delay in emission targets be positive for JLR overall, or you will need to step up investments in ICE platforms?
Richard Molyneux
We are going to extend the availability of ICE solutions versus our previous plans, simply because consumer demand for those vehicles is there.
Ultimately, this whole thi ng has to be driven by consumer demand. Governments cannot regulate you to do it, certainly in democracies. So we will meet the consumer demands. There is a large number of people in many di■erent regions in the world that are desperate for BEVs. We will g ive them BEVs. There are some markets, for example, the Middle East, which will want ICE vehicles for quite some time in the future. That is the market that we are going into. It is no longer one car or one powertrain for the world. There are di■erent sect ors of the market globally that will require di■erent solutions, and we have to adjust to give those customers in those segments the solutions that they want. So yes, we are going to invest more in keeping our ICE powertrains going, but we are als

o
investi ng really signi■cant money in making sure that our BEV vehicles get launched. I've covered o■ Range Rover BEV and Jaguar BEV already.
PB Balaji
Yeah, thanks.
I'll probably come to you, Girish, because the rest are covered in the question from Raghavendra Goyal Ambit. Shailesh talked about the PV margins. Can you talk about your drivers for margin improvement in CV, positive, negative, both sides?

Girish Wagh
Okay. So let me talk of the headwinds ■rst.
The headwinds I think commodity is after two years we see some headwind on commodity and this is coming from steel safeguarding duty. There is likelihood of some increase in copper and precious metals is something that we keep a watch on. So therefore, some minor headwinds I would say in commodity . AC regulation also we spoke what is the kind of cost impact which will be there only in trucks and lastly I think employee cost , similar kind of impact that we have seen in FY25. So these are the headwinds.
I think on tailwinds or positives, I think we will continue to work on cost reduction. We have been able to get a good cost reduction delivery over the last two years and our aim is to continue with that. So net -net I think we are targeting to have cost reduction which is going to be more than the increase s that we will see during the year. I think that is where we are.
Finally I would also like to say that we will continue to increase the value being delivered to the customers whether it is through product improvements, product enhancements and also a larg e service portfolio that we now have including our digital services. So with this we will continue to deliver better value to the customers which will also help us to improve the realization.
PB Balaji
Thanks Girish. Kapil is saying on CapEx pla n can you g ive us a plan for FY 26? Kapil, It will be broadly in line with what is there this year. JLR is about GBP3.8 billion this year, it will be broadly in that zone. PV, CV together we did about Rs. 8,400 crore, that also will be broadly in that zone. But as we had clari■ed earlier also all of this will be funded by operating cash ■ows.
So next one is f or Dhiman, I will probably give it to you, PV PLI has seen a sharp increase in fourth quarter. Anything to do with prior year, prior quarter volumes? What was the sustainable run rate for this?
Dhiman Gupta
So it has largely been ■at, in Q3 -- the PLI accrual was about Rs . 180 crore, Rs.100 cro re of that was pertaining to FY2 4 and Rs. 80 crore was pertaining to the ■rst 9 months for two products. This quarter the PLI versus last quarter was flat at about Rs. 170 crore, so I am not sure whether we are doing right comparison on this number. This quarter out of this about Rs. 30 -40 crores was pertaining to punch, pertaining to last quarter. For the full quarter it was about Rs. 120 -130 crores and we should see that run rate continue for the subsequent quarters.
We will have Nexon TCA certi■ed also in Q2 when it's going to see a jump and then obviously Harrier.ev probably in Q3. So it is going to ramp up through the year.
PB Balaji
Got it. So Ashish, in case any clari■cation do reach out to the IR team, they'll be happy to clarify.
Richard, this is probably coming to you from Nishit Jalan. What do you mean by protect EBIT? Does this mean that despite tari■ impact, we are looking to protect absolute EBIT through price increases and cost reduction e■orts? My immediate response is Nishit, just hold your ■re till June 16, but

Richard, feel free to add anything on top of it.
Richard Molyneux
No, that's fair. I mentioned beforehand, as it stands today, we have 1000% increase in our tari■s from Slovakia through to the US and assuming the government deal was immediate, when it says immediate, we still have a 300% increase on our tari■s from the UK to the US . So we do have to protect our bottom line delivery. And that's exactly what we mean there.
PB Balaji
Got it. So I think with this, we are coming to the end of all the rest of the questions. There's a lot of repetition that we see in that.
So we think we believe we've covered all the key angles that are there. So therefore, if there's anything that critical question that we believe we have missed, feel free to reach out with the Investor Relations team. Once again, thanks all of you for your patient listening. And of course, you're probing questions.
We are wanting to end this session by con■rming that it's been a solid delivery this year. The

fundamentals are in a very good place in all the businesses. And as the actions start kicking in this year, be it product launches, be it on the cost effective measures that are there, as well as what we've delivered last year. I think we're quite confident with how the external situation, despite it being challenging, we believe we have what it takes to actually navigate this well.
So thank you for all that. And look forward to speaking to you soon in the Investor Days, both here and in Gaydon. See you there. And thanks to the team, both at JLR and here in the room.
Thank you guys and good night and see you soon. Bye bye.

Call: Aug 2025

August 14, 2025
Sc no - 18729

Dear Sir s/Madam ,

Sub: Transcript of the Earnings Discussion /Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our letter bearing sc no. 18712 dated July 22 , 2025, we are enclosing herewith the transcript of the earnings /conference call conducted after the meeting of Board of Directors held on August 8 , 2025 on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of Tata Motors Limited ('the Company') for the first quarter ended June 30, 2025.

The above information is also available on the website of the Company at www. tatamotors.com .

This is for information of the Exchange s and the Members.

Yours faithfully,
Tata Motors Limited

Maloy Kumar Gupta
Company Secretary

Encl: as above

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National Stock E xchange of India Ltd.
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Tata Motors Limited
August 08, 2025

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Tata Motors Group
Q1 FY26 earnings call transcript

MANAGEMENT : MR. PB BALAJI – GROUP CFO, TATA MOTORS LIMITED
MR. GIRISH WAGH – EXECUTIVE DIRECTOR, TATA MOTORS LIMITED
MR. SHAILESH CHANDRA – MD TMPVL AND TPEML
Mr. G.V. RAMANAN, CFO, COMMERCIAL VEHICLES BUSINESS
Mr. DHIMAN GUPTA, CFO , PASSENGER VEHICLES BUSINESS
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
Presentation
Mridul Agarwal

Good day and welcome to Tata Motors Q1 FY26 earnings Call. Today we have with us Mr. P.B. Balaji, Group CFO, Tata Motors; Mr. Girish Wagh, Executive Director, Tata Motors; Mr. Shailesh Chandra, MD, Tata Motors Passenger Vehicles Limited and Tata Passenger Electric Mobility Limited; Mr. G.V. Ramanan, CFO, Commercial Vehicles Business; Mr. Dhiman Gupta, CFO, Passenger Vehicles Business;

Mr. Richard Molyneux, CFO, Jaguar Land Rover, and we also have our colleagues from Investor Relations team.

Today we plan t o walk you through the results presentation followed by Q&A. As a reminder, all participants will be in listen -only mode and we will be taking questions by the team's platform. The same is already open for you to submit the questions. You are requested to mention your name and the name of the organization while submitting the question.

I now hand over to Mr. P .B. Balaji to take over. Over to you. Sir.

P.B. Balaji

Thank you. Good evening, everybody. First starting with the safe harbor statement, a slight shift here. So, with the sale of the Tata Motors Finance business , we have now removed that segment called vehicle ■nancing from our business and included in corporate / others. That's the only shift that is there. Some marginal shifts in the way free cash ■ow is de■ned where we have included mutual fund investments as well there. So that's the only shift there. Nothing material there.

Next slide please, Quarter where a ctivity intensity continued domestically we had the air conditioned cabins being launched and on the JLR side, we had the Range Rover, Range R over Sport black versions getting through. On the EV side and I'm sure Shailesh is going to talk about it. The int roduction of the lifetime warranty on the high voltage batteries has been a blockbuster. That helped out very well in the sales. He will talk about that. And JLR's rating has been upgraded to Ba1 investment grade there, by Moody's.

Next slide, A few update s on the corporate actions. Hot of the press is the demerger. We had the NCLT ■nal hearing today and it has been concluded and the judgment is reserved. And that should help us complete this quarter. And the e■ective date for the demerger will be 1st Octob er, on plan. Then of course, last week we talked about the Iveco acquisition at length. So, I don't intend to go through it. It is there just to ensure that the details are w ell covered. The same slide you would have seen last time. Next slide please .

A very intense quarter from the point of view of number of moving parts that we have to deal with in the ■nancial side. So, the wholesales were down 9.1% at 300,000 units. Revenues were down 2.5% at Rs. 104,000 crores . Pro■t before tax and exceptional item c ame in at Rs. 5,600 crores. A care point here if you look at the net pro■t line where there's a substantial pro■t from discontinued operations last year of almost Rs. 4,900 crores. That is basically the Tata Motors ■nance business when it was sold to Tata Capital. It is a discontinued business that had to be mark -to-market and that's what you see as a gain as a pro■t from discontinued operations , not the underlying basis. So this is before exceptional items is what you see as a number shift here. EBITDA 9.2 % was down 480 bps and we're going to talk about that both on the PV side and the JLR side . EBIT went down by 370 bps and free cash ■ow, nothing to worry there is a seasonal number that we are playing with . On top of it , of course, tari■s did impact.

Next slide please .

Where did growth declines come from? A lot of it coming out of volume and mix o■set by translation. Fundamentally pound sterling to the rupee and pro■tability wise, JLR declines, which Richard is going to talk about coming from the tari■ a s well as some one -o■s that we had. CV continued its performance of improving pro■ts despite revenue declines. So, now we're running at almost 12% plus EBITDA and that is what you see there. Net debt, domestic business, Rs. 3.6 K Cr minus Rs. 5.2K Cr, still at net cash. JLR is seasonal in terms of its net debt going up because the ■rst quarter and the real reassuring point is the net auto ■nance cost which is sharply declined, is also giving boost to the net pro■t line. Next slide please .

Let me hand it o ver to Richard to take you through an engrossing quarter. Richard, over to you.

Richard Molyneux

Engrossing is one word for it. So, it's been a quarter that we've made actually a lot of progress, both in terms of evolving ou r brand, but also working with S ir Keir Starmer and his team in the UK government to get a more favorable trade deal with the US than virtually every other country. However, it would be wrong to say Q1 was full of o nly good news. The external environment presented us with multiple challenges of a scale, a speed and sometimes an unpredictability that can't immediately just be absorbed, which have impacted our Q1 results.

So, these results are on this chart. Wholesal es as previously announced were 87,000, generating a revenue of GBP 6.6 billion. It's worth noting that revenue per car was a record for us. It equaled our record of GBP 76,000 per car despite the weakness of the dollar in this quarter. So, this is driven by our brand strength, and the fact that more than 77% of our sales in the quarter are Range Rover, Range Rover Sport and Defender. So we achieved joint record revenue per car. PBT was GBP 351 million, driven by an EBIT of 4%. These along with the negative free cash ■ow were all impacted by US tari■s, which we have accounted for at the full 27.5% for the full quarter. Also, dollar weakness and industry dynamics in China had an e■ect, and I'll explain more on future charts.

The next chart please. As per usual, I'm not going to go through this chart in detail. All the points are covered in t

he presentation, but the y're summarized here for your future reference .

Next, after a really strong Q4, volumes of 87,000 in Q1 were in line with our internal plans. A s we wound dow n, Jaguar models , and t emporarily paused shipments to the US following the tari■ introductions. Demand for Range Rover and Range Rover Sport remains strong but Evoque was down a third year -over -year as we upgraded systems in our Hale wood plan t and focused on higher margin vehicles. This is what's caused the falling overall Range Rover numbers below it's last year number. Defender remains really strong with wholesales up 15% year -over -year and retails also grew. Discovery was down as Disco very sport was also paused for the Hale wood systems upgrade and Jag uar volumes are now almost exclusively for F -PACE .

Next slide. So regionally the UK is impacted year -over -year by lower Jaguar volumes, but also by the fact that FY25 Q1, the number on the far left, was an exceptional year. FY26 Q1 is actually higher than both FY24 Q1 and FY23 Q1. So, the fact that we had a really super strong Q1 last year shouldn't take away from the fact that our UK business does remain fairly strong. North America obviously had some disruption and Q1 also saw an o■set from the very strong wholesale push that we did before the tari■ increase. Europe is Jag uar impacted largely but had a solid quarter and on the right hand side for the ■rst time, we're actually going to split ou t MENA and Overseas to give both these core markets appropriate focus. Both regions were up year -over -year and ■nally China, an incredibly di■cult market continues even before changes in the luxury tax rules that came in in July. We performed well on whole sales. The retails including the locally produced cars fell. Do remember these locally produced units are towards the end of their life as our plant in Changshu moves to produce new Freelander product next year.

Next chart. So, this is the key chart in e xplaining our Q1 performance. Looking from a PBT in Q1 last year of GBP 693 million to the GBP 351 million we've just reported. Volume was adverse 10,000 units quarter -over -quarter but partly o■set by the mix improvement in Range Rover and Defender that I mentioned earlier. You can see the incremental duty cost in the quarter of GBP 254 million on a P&L basis equivalent to nearly 4% EBIT. And just to state again, we are assuming in these actuals that the 27.5% duty on all cars out of the UK and Europe was i n force for the entire quarter. We did have a partial o■set to the tari■ costs in the Congress in the US reset federal CAFE penalties to zero, allowing us to release our balance sheet reserves, but the net hit from US developments was the major headwind we faced. We do welcome the deals done by the UK and EU governments which will reduce the scale of the tari■ payment going forward, but they do not remove it. In terms of net pricing, Sales allowances is trending up a little bit, but still remains low by ind ustry standards at 4.1% on a retail incurred basis. Our contribution costs continue to progress well with reductions in material cost, but we have had to reserve the two signi■cant historical warranty recalls driving that P&L charge to 5.4% in the quarter. The next column D&A year -over -year remains favorable as we've stopped our production in Castle Bromwich and Gra z and you can see the impact of the dollar weakening in the penultimate column, a GBP 205 million hit partly o■set by our hedging processes. So a quarter signi■cantly impacted by US tari■s, the partly associated dollar weakening and historical warranty adjustments. Next chart.

Walking this then through to the cash this is the ■rst quarter for a while that

we have had cash profit
after tax actual ly lower than investment. Though I do note it's important to note here that excluding the incremental tariff payment, our cash profits would have more than our investment. The big change in the quarter is working capital where we've returned to a more normal seasonality. If you remember Q4 working capital was over GBP1 billion favorable. As in Q4 we sold 110,000 units but we only paid the component set about 96,000 . In this quarter , its the other way around. We sold 87,000 units but paid the component sets on about 99,000. So payable sale inventory rose , it's normal seasonality for us. The bottom line is a GBP758 million cash loss of which circa GBP 200 million was from US tariff cash hit. And again just for explanation, in the US you pay your tariffs in cash es sentially one month after. So, in the quarter we had two big tariff payments in May and June. Next chart.

So investment levels remain consistent though Q1 was probably at the lower end of our recent range of GBP 850 milli on to a GBP1 billion per quarter w ith both engineering and capital spend lower than in Q1 last year. Capitalization ratio was just on 70% and that is probably near the peak for us given our stage in the cycle plan. Next page.

Right into the business update. Look, it's really important in times of challenge that we put our energy into building our strengths rather than just focusing on mitigating problems. So, we focused in the quarter on building our brands. In this page with p artnerships, you can see Range Rover Wimbledon. You can see Defender as the partner of the Oasis tour. I love that picture. You can see a glimpse into the evolving Discovery brand at the Goodwoo f event down in Goodwood . Jaguar builds its presence in its ma jor future markets. So, we are focusing on our strengths and growing those as well as trying to mitigate the weaknesses that we see. Next chart.

Some of those problems and we've had a few of them. Standing aside UK specific issues such as higher employment taxes , the biggest is obviously tariffs. We welcome the deals that have been done and they will provide certainty for us to plan around. But they do take what was initially a 1000% increase in the cost of our tariffs down. They take them down sign ificantly, but the increases are still 300% for cars from the UK and 500% for the cars from Europe whenever the 15% reduction actually takes effect. It has not done as of yet. In terms of other geopolitics, we have good news, really good news of a UK India f ree trade agreement, but also further bad news in that China have reduced their luxury tax threshold from RMB1.3 million to RMB900,000 capturing almost all of our Range Rover sales now with an additional 10% tax, and that in a market where retailer finance is still very restricted. Finally, B EV demand is certainly not following projections, certainly outside of China, so we will rely on the flex nature of our MLA architecture for longer. A lot of issues, but we're absolutely not just passively sitting and watching them. We are interacting more than ever before with the G overnment and we have already started executing a significant transformation program to get ourselv es even better focused around 14 mission s. Next chart.

So, these are on the mission s. You've seen them before, each with dedicated teams and a board lead. They're fully up and running and they're delivering results , impacting progressively through this year and next to bring GBP 1.4 billion of value. And that's excluding the tariff vision. This will be about circa 5% EBIT to offset some of those risks that we mentioned earlier on. Next page.

So, to summarize, we're on track to deliver our guidance , 4% in what is historically ou

r worst quarter
and with tariff impacts reducing going forwards means we are sticking with our 5% to 7% guidance for the year and then we will build from there. So with that, thank you for your attention. I'll hand back to Balaji.

P.B. Balaji

Thanks Richard. Let me now hand it over to Girish and Ra manan to take you through the CV business. Ramanan, over to you.

GV Ramanan

Thank you, Balaji. Can you go to the next page please .

Our overall Vahan market share improved by 50 bps over last quarter and it's at 36.1%. We saw market share gain by 40 bps both in medium goods and the passenger segment while maintaining a very resilient performance in heavy & light goods vehicles , despite a drop in the TI V in these segments. With

the recent launch of ACE Pro, we are expecting to gradually increase our market presence in this segment. Go to the next slide .

On the ■nancials, it was indeed a tough quarter from a volume standpoint and that is re■ected in the revenue being 470 bps lower on a Y -o-Y basis. However, margins continue to be healthy as both EBITDA and EBIT have grown on a Y-o-Y basis. This is majorly coming from lower material cost and better realization. For the quarter, EBITDA was at around 12.2% and EBIT was at 9.7%. We continue to maintain a superior ROCE performance which is at 39.6% . Overall a good ■nancial performance in the quarter. Can you go to the next page please .

This is the EBIT walk from Q1 FY 25 of last year to Q1 FY 26, wherein we see the absolute pro■tability increase by around approximately Rs. 122 crores which is an improvement of 80 bps on a y -o-y despite a revenue drop of around 4.7% , as we had shown you earlier, this is primarily coming from savings and variable cost and better realization and is further complemented by saving in ■xed cost.

I would now request Girish to give you more business insights. Can you go the next page p lease.

Girish Wagh

Thank you , Ramanan and good evening, everyone. Let me start with the proprietary data that we started sharing. So, this is based on the Fleet Edge that we have in around 850,000 vehicles. So, broadly you will see in most of the segments the utilization of the ■eets remain healthy but each one of the segments have also shown a dip in the recent month and that is actually because of the early onset of monsoon , but otherwise the level still remains at a good level. The sentiment index has dropped in MCV and in tippers and all this is also because of the early onset of monsoon.

ILCV continues to do well. SCV pickup is something which is coming down an d this is also because of level of satisfaction with the current conditions and current rate being lower. In the freight rates and this is especially for heavy duty long haul continue , they to ■rm up. Transporter pro■tability are also in a good position. Next .

In Q1, the industry volumes almost remained ■at, marginal growth of around 0.7%. But the total industry volumes in heav ies and small commercial vehicles actually dropped and there was a single digit growth seen in ILMCV and buses and vans. In fact, buses and vans actually continue to do well now the whole of last year and ■rst quarter of this year I think they have done prett y well. We transitioned our entire portfolio of trucks to air conditioned cabins and as has been the tradition, I think we also complemented it with the launch of higher power to weight ratio variants and therefore delivering more value to the customers. S o, I think we have maintained this trend that whenever there is a regulatory transition , it comes with some price increase for the customer and so, we always give some value improvement along with that.

The HCV volumes in Q1 declined primarily due to r

eg ional demand shifts and let me give some ■avor
to this. So, when I've seen the north volumes going down because there was an impact for few weeks due to Operation Sindoor , one has also seen the volumes in east are getting impacted to some extent due to the Bangladesh issue and also what has helped or rather has impacted is the early onset of monsoons which I said earlier. The monsoon started early in June and therefore the tipper sale actually became almost ■at in June. The ILMCV segment continues to do we ll, it witnessed volume growth mainly supporting fruits , vegetables & manufacturing segment and within that, I think the MCV has been a standout performer during the ■rst quarter.

SCV pickup volumes speci■cally for Tata Motors have now stabilized at lower levels but we clearly see

growth in the pipeline . Now with the launch of the ACE Pro , which has been accepted very well at the price points and the alternate powertrains that we have launched it with. Buses and vans , the volumes grew almost 12% and t he performance was also in■uenced by salient shifts in segment as also some of the tender driven business which actually was allocated in Q4 of the last year.

In electric mobility, we delivered 43 buses. That's it. Same quarter last year we had delivered almost 750 buses and this quarter 43 buses . And with this, now we have delivered all our buses as a part of the CSL tender one. There is a repeat order that we have received from BMTC which we will satisfy subsequently. ACE EV continues to be stable in vol umes. I mean we have now more than 8,700 vehicles And more so, we launched ACE Pro EV at a very attractive price. It becomes the most a■ordable four wheel electric truck and is actually o■ering better total cost of ownership than three wheeler EVs and the EMIs are actually equal to electric three wheelers. We also of course received the PLI certi■cation for ACE pro EV. As far as sustainability is concerned, which is decarbonization , circularity, our performance remains on track.

Smart city, as I said, we h ave completed the deployment of buses at all the locations and our ■eet now has completed more than 400 million kilometers and we continue to improve the uptime as well as outshedding . The performance therefore continues to be above the contractual terms d espite extreme conditions especially in Q1 in Delhi. An interesting development is we emerged as L1 in a tender for a completely new technology of public transportation which is being introduced in the country. So, this is an 18 meter articulated bus which can carry 13 5 passengers at a time. So something between the current electric bus and a Metro and it also comes with a ■ash charging technology which enables almost 30% to 50% chargi ng in a minute. And this is a tender which had come from Nagpur Municipal Corporation, will also be kind of a technology pilot. But of course, this has already been deployed in around 10 cities in Europe and Australia globally. So, this is a new technology and we are quite excited with this technology. And there are a few more enquiries also from few other states which have started coming with this. Next.

On the digital business, we continue to scale up all our businesses in terms of Feet Edge. More than 825,000 active vehicles, 80% monthly active users and 59% weekly active users. During the quarter one, we also came up with a very attractive value proposition for the Fleet Edge subscription with which the subscription percentages have gone up by almost 50% to 60%. And this is just the ■rst month. I think a s we go ahead with more communication, I think we should be able to do even better. Mileage Saarthi continues to do well and we have around 6% improvement in fuel e■ciency in r

eal life
operating conditions. On E -Dukaan, our online spare part sales we have tied up with third party logistics service providers to deliver parts at the doorstep and we have two types of services, standard as well as express. So, there is a good traction that we see in the pilot cities. We now have more than 9,000 customers and 31,000 retailers onboarded onto the platform. Fleet Verse wherein we are selling vehicles dire ctly to the customers. More than 10,000 plus platform assisted retails. So these many customers are directly coming to us on the platform and at an overall level, digitally generated leads led to almost 28% of the retail in Q1 which is growing quarter -on-quarter.

Next slide. Now going ahead the focus areas, we believe that the Q2 TIV is likely to improve on a year -on-year basis essentially due to the lower base in Q2 of last year. So, post the elections I think last year Q2 was lower volume s and on that ba se we expect a single digit growth. We also expect the normalization of monsoons and then the festive season starting post 15th August. As also anticipated recovery in rural and infrastructure led demand. I think our focus area s. We will continue to drive the trucks market share while maintaining strong realizations and as we go ahead we know there will be an improvement in geographical salience as well as recovery tippers which will aid our shares further. In MCV buses, I think we have been doing pretty we ll with the launch of new products and service o■erings and we have gained handsome share in the private segment for MCV Buses. This is intercity

segment. So we will continue this game and as also the ramp up of volumes in vans. ACE Pro , we started selling retailing from the last month and the production ramp up has been started and now I think we should be ramping up the retails of ACE Pro as we go ahead. We have received very encouraging response during the launches which was done all across the country. Finally , I think we would of course like to sustain the ■nancial performance by consistently delivering double digit EBITDA margins as well as the return on capital employed.

So that's about CV. Back to you Balaji.

P.B. Balaji

Thanks Girish and Ramanan. Let me pass the baton to Shailesh and Dhiman. Dhiman, do you want to start o■.

Dhiman Gupta

Thanks, Balaji. Fair to say it has been a challenging quarter for us on multiple fronts where we had a loss in volumes and consequential impact it had on pro■tability. Overall industry demand as we saw it was soft with the further stress in the 10 lakhs car segment which you've been seeing for a wh ile, our market share was down 6 0 bps on account of adverse salient shift and some of the transitionary phases we saw in some of our models - Altroz, Harr ier and Safari. Portfolio emission continues to trend well below CAFE norms , so no concerns there. While the relative mix of CNG and EV was stable in the quarter, we are going to see a very sharp increase in EV mix to 17% next quarter. Next slide please . Our EV volumes have been range bound at about 5,500 per month for almost a y ear. Consumer sentiments have been muted due to the overall global narrative we had on EVs and the market expansion was coming in primary from new competition launches in the last six months. However, happy to observe that in the last two months we've seen a buoyancy in consumer demand in this space, the green shoots of which are visible in our market share increasing to 40% in July. This still does not fully re■ect the gains on Harrier .ev which saw Blockbuster opening and we will de■nitely end the quarter on a much higher note. Next slide please .

Last 12 months with the moderation in demand that we saw, the overall indu

stry channel stock has
continued to build , accompanied by periods of very high discounting to aid in stock liquidation. We have taken a con scious call to be more proactive in keeping our channel inventories in check. I'll park this point for a while as Shailesh is de■nitely going to pick up in greater detail in the subsequent slide. But the overall we moderated our o■takes which re■ected in t he 10% volume and revenue decline, the loss in operating leverage and the additional hidden commodity in■ation that has been coming in through April has meant that we are down on our pro■tability parameters.
Next slide please .

ICE margins have been unde r stress for a period of time while our cost reduction e■orts are coming through well. It has not been enough to o■set the steep loss of operating leverage, adverse model mix and the continued high industry discounting. This quarter we had the additional i mpact of commodity in■ation coming in primarily through steel safeguard duty and FX risks and a residual part of it will also come in Q2. Our ICE margins will improve from here. However , they are likely to remain under pressure for some more time as we pla n to exit the calendar year with a very low level of model year stock . Redoubling our cost reduction e■orts , Improved model mix from launch o f some curated variants of Harrier and Safari that Shailesh is going to talk about and hopefully some price increases in H2 with a strong festive period makes us con■dent of getting this back up by another 3% -4% in the next few quarters. The margin improvement story for EVs has been very e ncouraging. We've seen EV pro■tability improving on a year -on-year basis even without PLI , with signi■cant cost reductions

coming through. We were EBITDA breakeven with PLI this quarter and the improved mix coming in from Harrier .ev and the additional vehi cles coming onto PLI platform will see continued uplift in margins from there.

Shailesh, Over to you

Shailesh Chandra

Thank you Dhiman. So let me start with industry highlights. The demand has been muted for the industry in quarter one . We saw ■at wholesales and quite a muted growth also in Vahan . April actually had seen a strong , you know it was strong at the start carrying the momentum for festivities like Gudi Padwa and by the end of March 2025 . However , in May and June we saw a signi■c ant slowdown in demand. We see the overall industry demand remain soft and this has resulted in environment of sustained high levels of discounting also to drive details and this is prevalent across OEMs and siblings .

Channel inventory for the industry had also grown by ■ve to seven days in quarter one and this is basis the offtake and Vahan data that we track and this was due to lower than expected retail in quarter one than what the industry was expecting. Volume stre ss is actually more pronounced in sub 10 lakh segment with a decline in momentum over recent months. And this is because of combination of reasons : growth in propensity for used car also I would say to some extent , on the contrast 10 plus lakhs segment we have been seeing healthy demand driven by more resilient customer base as I said. In EV industry, we have seen growth in quarter one primarily due to impact of new launches which has added incremental volumes in the industry. It has really been interesting to see strong demand for EVs in high price segments above 20 lakhs. And this really goes to show that if EV addresses all the concerns of the customers in terms of range, price parity, best capabilities, customers are willing to shift from ICE to EVs.

Talking about Tata Motors, looking at the past one and a half years, the overall demand environment for industry has been volatile and tough

and therefore in this environment to drive sustainable growth
for the business , we felt it is critical to keep the c hannel health in focus and therefore we moderated our wholesale in quarter one to ensure controlled growth in our channel inventories which is important to ensure healthy network. We also saw the transition of some of our key models in the portfolio which have new product interventions including Altroz MCE , Harrier and Safari new curated variants. We just launched the Adventure X, we called them AdventureX , at a very attractive price point and it's very much feature loaded. So much like any product transit ion that we see it involved a ramp down of the volumes for a few months prior to scale up post launch. And these launches at the end of quarter one and start of quarter two have also resulted in some impact in our volumes and pro■tability . Our new launches Tiago and Altroz have seen very strong traction in the market. Despite the broader trend in hatches showing a decline, double digit decline in this segment , these two products have got very strong response , in June we saw 22% year -on-year increase in bookings for both models combined. This is going to drive growth in this segment in the coming quarters. The launch of Harrier .ev has been widely successful with a strong launch marketing campaign to support awareness and consideration and we are happy to see that we received 10,000 bookings by day one which has established a very strong pipeline for the product going forward and Harrier .ev volume impact is not present in quarter one as Dhiman mentioned it will be visible from quarter two. We a lso saw traction for the rest of our portfolio s in EV particularly towards the end of the quarter especially for Nexon .ev and we were really surprised that once we o■ered the lifetime warranty for both Nexon and Curv v.ev that there was a sharp increase in retail as well as bookings in July 2025. Next slide please .

So in terms of key actions and initiatives, as I mentioned earlier that channel health is important to ensure long term growth in the kind of operating environment today and therefore to ensure a

healthier channel, we are maximizing retails . We have institutionalized the stock policy that will guide how we balance our wholesales throughout the year. At the same time, you know to ensure that we are aligned to the prolonged demand volatility and to ensure dealer pro■tability, we have tweaked our S&OP process , which will enable greater alignment between our supplies and market demand. We will also maximize the upcoming festive pe riod through strong marketing campaigns and leveraging the product intervention that I talked about. Our new launches, you know Harrier , Safari AdventureX variants just launched few days back. Our curated variants at very competitive price points and this will help us drive volume growth and will help improve our model mix. In EVs, as Dhiman also mentioned, we will leverage the growing demand of our portfolio along with the commencement of deliveries for Harrier .ev to drive volume growth and with further ac tions on product , strong marketing , mainstreaming actions , we continue to maintain our ■rst mover advantage. There are already green shoots that we see in terms of recovery EVs in July 2025 , actually July was our highest ever bookings of the existing portf olio and our bookings excluding Harrier .ev grew by 25% over levels that we were seeing in quarter one. So it was a very sharp jump in July. Nex on.ev particularly saw strong consumer interest especially after the announcement of lifetime warranty and booking went up in July by 55% over quarter one. And Harrier EV we have had a blockbuster launch. I talked about this. We achie

ved
the highest ever retail also in July 25 , it was 40% more than quarter one levels. I mean, we are yet to see the full impact of Harrier .ev retails in from August onwards and therefore, the vahan market share for EV which had gone down to 35% level bounced back to 40% in July and we are pretty much on track to, as we have been mentioning, progressively move towards the 50% plus market share level in the coming quarters.

That's it from my side. Back to you , Balaji.

P.B.Balaji

Thank you, Shailesh and Dhiman. Quick summary. I'll wrap this up fast. Despite a tough quarter in terms of numbers growth wise, I think cash pro■t after tax ahead of investment spend. So prudence continues and the only swing that you see is on working capital that is seasonal that will reverse itself. Next slide please .

Investment spending is in line with plan and don't expect to overshoot this. It's steady across years as well. Next slide .

So how do we see the future ahead? I think from a global demand perspective, I think it's fair to say after heari ng Richard also, you would have got the same message saying that the global demand is likely to remain challenging in the short term. It's also a bit confusing. Therefore, that is a situation on the global demand. Domestic demand underlying basis should st art improving gradually as the spends continue, lower interest rates, exciting product launches and the festive season starting to kick in. And therefore our focus remains on what we can control and execute our strategies ■awlessly. These are the individua l verticals and it is there for all you to see. That's what the Shailesh , Girish and Richard just talked about. So don't want to repeat that. With that, let me then turn you over to questions. We have about 19 of them so far and let's get started.

Questi ons a nd Answers

P.B. Balaji
It's a good mix of questions coming from across the board.
Okay , first question coming from Raghu , Nuvama. Richard, this is coming your way. I think a lot of

questions on tari■s and question is, how have you accounted for it? Number one. Second, in terms of is there any rollback possible to May 8? That's the second set of questions there. And how do yo u plan to mitigate it in terms of pricing? And while you're on it, could you also give clarity on the emissions compliance provisions related to the US. Can you pick up the entire US tari■s, emissions accounting, how do you intend to mitigate it all in one shot ?

Richard Molyneux
Okay, let me give it a go. Right. Tari■s in the US. So they have been 25% is the tari■ that Trump announced in his Section 232 executive order became e■ective essentially the start of the quarter. That tari■ is on top of the stand ard most favored nation tari■, which was 2.5%. So essentially through the entirety of Q1, we have been booking the P&L at 27.5% tari■s from cars exported from the UK and cars exported from Europe. There is absolutely a chance that we will get the tari■ red uction to 10% in the UK backdated to 8 May. We are working with the relevant governments to make sure that that happens as that is what was included in the original deal.

However, it has not yet been enacted and therefore we haven't got su■cient certainty of that to book it in the accounts. So these accounts in Q1 assumed 27.5% ■at throughout the quarters in terms of P&L. I mentioned to you earlier on that in terms of cash payments you pay the US tari■s one month afterwards. So, we have paid two months in t he quarter of the much higher tari■ level. The third one which we will have paid in July will come in cash in Q2. I saw another question around tari■s which is when do you pay them? You pay them when the vehicle lands on US soil.

So it's not related to
who lesale, it's not related to anything other than when the vehicle lands in US. So in terms of what we have done, we reacted as quickly as we could as you know, in terms of stopping shipments and making sure that we had a very strong dealer stock going into the quarter. The ■rst thing we did was reduce some of the sales allowances of the VME levels because that is a quicker thing to do for us than changing price. We have subsequently changed prices a little bit on '25 mode l year Range Rover went up a couple o f percent and we have announced increases on '26. So, we are taking some price, we are taking some variable marketing reductions as well as a partial o■set to the tari■ cost. In terms of emissions, so the so called one big beautiful bill that was passed se t federal CAFE levels to zero, that was passed on the 4th of July. Use the fact that that was substantially enacted in law at the time to release our balance sheet reserve for federal cafe ■nes that stood at a circa GBP120 million. There

were other changes in terms of tari■s globally including introduction. Sorry, not tari■s in terms of emissions costs globally including the introduction of s ome costs in Canada for model year '26 changes in the UK, et cetera, et cetera. So the net e■ect for us that you'll see on the report of all of the emissions changes globally was GBP76 million better on a year -over -year basis. But the absolute balance sheet change that we recorded in this period was GBP120 million. I covered most of the questions.

P.B. Balaji
Can you also cover the accounting piece. Richard.

Richard Molyneux
Yes, sorry, the accounting piece, it's shown in cost of sales. So it's not shown as a revenue item. It's shown in cost of sales.

P.B. Balaji
Yeah, thank you. Probably. I'll come to you Shailesh. I think a lot of things around launches also about your EBITDA margin guidance from here on as well as EV production, rare earths, particularly here in India. And how do you see the discounts playing out from here?

Shailesh Chandra
Sure. So as far as Sierra is concerned, it is very much on track. We had always mentioned that this is

going to get launched in H2, whether it will be quarter three or quarter four. I think we will let you know when we are closer to the date of the launch. But it is on track. As far as pro■tability is concerned. I think Dhiman has covered this in greater detail. We are very committed to bringing it back to the double digit EBITDA level. The next one or two quarters will be challenged. But you know the operating leverage coming back, model mix improving from here on , the potential price increase that Dhiman mentioned in H2 of the year, I think all these are going to help us. And also, as you know, ■rst quarter was also impacted because of IPL spends that is getting normalized , marketing spends that we'll be doing. So I think beyond that I'll again ask Dhiman to later on talk about any additional things that we have mi ssed. But we are very con■dent of coming back to these EBITDA levels in the next two to three quarters. Now the other question is EV production, vis -a-vis rare earth challenge that we are seeing. I think we are covered as far as the stock is concerned for the next two to three months and we have created alternatives to deal with the situation. Of course, it means alternative sourcing from beyond China also, but also seeing wherever possible we can avoid rare earth. I think all these options are being looked into. So hopefully we should not be a■ected because of the rare earth inventory issue that is going on.

The next question is how much is the increase in discounts on quarter -on-quarter basis? As I said that we have been very prudent in terms o

f not allow ing stock to increase too much , while we had to do
discount, had to counter the competition, discounts in certain segments. But this increase on quarter -to-quarter basis would not have been more than 50 bps. So that kind of a number. Yeah, that's it I thin k.

P.B. Balaji
Thanks, Shailesh. Girish coming to you in terms of utilization, the dichotomy, the data saying. The level of utilization, what levels do new ■eet additions come in and the utilization in HCV, cargo, why is industry TIV still dropping and wh at's a■ecting the sentiment? Can we just cover that?

Girish Wagh
Yeah. So see, you will appreciate that this ■eet utilization metric and data is something that we started generating for last few quarters. We don't have a correlation today to very speci■c ally say that beyond a particular level of ■eet utilization, it leads to new purchases. And in addition to that I think this is also dependent on few other factors like what are the projects undergoing in that particular state, how are the other end use se ctors of commercia l vehicles are doing, etc. So I think the only thing I would say is that the ■eet utilization actually continues to be healthy and at a higher level as compared to the same period last year. I think you also have a question that despite the ■eet utilization being good, why the volumes have gone down? So, I would say that actually this f leet utilization also was seen in good pipeline generation. But throughout ■rst quarter, we saw that generally there was a postponement in purchase decisio n making by customers. And then later on of course, there was an early onset of monsoon which therefore , impacted the volumes, especially in the month of June. So

despite being end of the quarter, the retail volumes were not so high and we immediately alig n our o■ take to the retails. In addition to that, I would say that there are few states where the payments in government projects have been delayed in at least towards the end of Q1. And that was also something which was impacting the retail volumes in Q1 . There w as another question, Balaji.

P.B. Balaji
Yeah. so, related point was on delinquencies. I think Kapil had asked it earlier. Related point, how do you see delinquencies in the CV segment? And Financing availability ?

Girish Wagh
Yeah, so delinquencies I think in buses and vans there is no issue whatsoever . In ILMCVs and HCV s, they remain at a low level. I think in SCV pickup the delinquencies amongst all the segments they do

remain high. But the good thing is that Tata Motor's portfolio as shown by the financiers to us of small commercial vehicle and pickup has actually improved on the early delinquencies which is seen in the ■rst six months.

P.B. Balaji
Thank you, Girish. Shailesh, coming to you. This is on C AFE 3. Jinesh Gandhi from Oaklane . Considering CAFE 3 guidelines are yet to be ■nalized. Do you expect pushback of timelines and what do you expect growth for PV in FY26 and any material pickup in demand you expect in second half based on lower tax and interest rates?

Shailesh Cha ndra
As far as CAFE 3 guidelines are concerned you know , we are in touch with the Ministry of mainly of the Bureau of Energy E■ciency and we are having this discussion with Ministry of Power also. But we don't see any change in the timelines. The discussi ons are more around the extent of stringency that is being asked for. So, I don't see any pushback as far as timelines are concerned.
The second question is more in terms of expectation of domestic PV industry growth. Seeing ■rst four months has been absol utely zero percent growth. In fact last two months has been negative by 3% and we have maintained that for the full year, we are going to

see about, again less than 5% growth. And
that's what I would like to maintain for the industry. And in the second hal f, there has to be actually material pickup in demand , otherwise we would not be in even around 4% -5% of growth. So I believe because of all the actions that you have also mentioned in your question lowering tax , lower interest rates, the repo rate has been reduced and now it is reaching to the retail level also. And also we believe that rural demand is going to be strong post monsoon. So, all this year and strong festive period because we are seeing the demand pattern pretty much mimicking what we had seen in the last ■nancial year. And last ■nancial year had a very strong festive as well as December sales. So, we believe that the trend would continue. So quite hopeful of this.

And then the last question is on share of retails from digitally generated leads. I think this would be about 10% to 15%.

P.B. Balaji
Thank you. Richard, coming to you in terms of demand conditions in US, UK and China, do you expect how do you see the Q2 retail wholesale trends? I would probably add to it also with your comments on inventory as well.

Richard Molyneux
On demand , the uncertainty, I think that's been so pervasive over the last few months, it has de■nitely impacted demand for ticket luxury purchases across the board. So, many of ou r clients are small business owners only facing the same tari■ challenges. Now that we've got some certainty going forward, I think we would expect this to slowly recover. But demand has been weaker than we would like since our year end. In terms of region al splits, if anything, the US is remaining still relatively solid. China de■nitely , since the introduction of the China luxury tax has continued to slow. The UK is reasonably stable and Europe I think is the market where that small business owner uncertainty has probably had the most e■ect. So, I'd say certainly muted in the ■rst quarter , driven by the uncertainty of the macro environment that we all face. But as that starts to stabilize through the back end of the year, we would e xpect that to recover slightly. So our retailer inventory levels are at probably the top

end of our range at the moment. So we would not expect wholesales and retails to signi■cantly diverge from here and we'll manage them together with our retailer body. We still have a strong order bank and we are expecting demand to slowly recover as certainty or rather lack o f uncertainty takes hold.

P.B. Balaji
Yeah, also since you're commenting on other market, just talk Middle east as well. That's not been asked but it's just a logical next question coming up.

Richard Molyneux
Yeah, Middle east is a really strong market for us. This quarter was a little bit a■ected by the fact that I think as a result of the con■ict over in that zone, a fair few of them left the region on their summer journeys earlier than usual but particularly for Range Rover and Defender, it rem ains an absolutely core market for us and that is why we both , externally in our reporting, but also internally we have now separated out MENA from the other Overseas market so that we can give it the attention it needs. It is de■nitely ripe for some furth er growth for Range Rover and Defender and ultimately Jaguar as well.

P.B. Balaji
Thanks Richard . Girish, coming to you. In terms of CV full year outlook, we heard from Shailesh, how do you see CV full year?

Girish Wagh
So, I think we still maintain that for the entire year and within that I think HCV should do similar around 3% to 5% kind of a growth. ILMCV a bit lower , SCV pickup probably will remain ■at. The volume should pick up from the festive season . In terms of buses and van w

hile the projection is ■at , but I think Q1
has done well. But Q1 and Q4 are generally good for buses and vans. I think it is very important to see how Q2 and Q3 pan out and also what kind of tenders come from the government, both ICE and electric. Based on that we can say whether the volumes remain ■at or there will be a good growth even in buses. So that's where we see the whole year, Balaji.

P.B. Balaji
Maybe this is more Ramanan your side on the margin performance, can you let us know why have gross margins improved quarter -on-quarter - this is from Kapil . in light of higher steel prices and AC cabin impact, are these sustainable and how much of PLI was coming onto it then? Probably basis PLI for Dhiman, I'll come to you in terms of PLI for PV for this year.

G.V. Ramanan

Yeah. So thanks, Balaji. So I think the reason for the Q -on-Q margin largely impacted by a combination of couple of things. One I think better realization and then the revenue salience in international market and the do wnstream business has been higher than the earlier quarter. So, that's kind of helped us from a margin perspective. On the question on sustainability, I think Girish does touch upon any focus area that's a clear focus area for us to sustained robust ■nanci al performance. So, we kind of look forward to it. There's a question on PLI. So I think the Q1 accrual of PLI was around Rs. 25 crores and as Girish rightly said we expect the volumes to be increasing in the bus. So as the year goes by , we see this amount going up for us.

P.B. Balaji
Dhiman, can you just cover o■ PLI for PV as well?

Dhiman Gupta
Yeah. So I think Balaji , we had given a guidance that our PLI run rate will be about Rs. 110-120 crore a quarter. We are on track. The PLI this quarter was about Rs. 115 crore. What is important to note is that you have a base year e■ect of FY21 which kicks in Q1. So Rs. 20 crore gets deducted from the gross and then there is a discounting impact because this cash is going to come next year. So our P&L of

course was about Rs. 87 crore. But for the full year this already takes into account the PLI we are accruing on Punch and Tiago. We have Nexon coming in and Harrier .ev. So for the fu ll year we are on track to get about Rs. 700 crore PLI approval for the full year.

P.B. Balaji
Yeah. Thank you. Richard, coming back to you. Timelines on deliveries of RR Electric and Jaguar Electric and as well as implication on China demand. You covered it a little bit. Maybe there's more questions coming over. This got bumped up implication on China demand post the luxury tax.

Richard Molyneux
Okay, let's talk about B EV timing ■rst. I think that's the ■rst point. So we're still lucky in that our main vehicle application, the ones that sits under Range Rover / Range Rover Sport is fully ICE BEV ■exible. The vehicles go down the same trim and ■nal line. They go down virtua lly the same body shop line. So, we are really ■exible. We can launch when we're ready and when our customers are ready. We expect it to be on sale next year. Our rollout of BEVs will go from there. For Jag, the on sale date is going to vary a littl e bit by market. I think what's really important, especially where demand is that in both cases we are not going to compromise on the quality of the vehicles or their capability. It's really important for us that these B EVs are in fact true Range Rovers, t rue Defenders, true Jaguars. They will be brilliant exemplars of their brand and that's why we are con■dent that we can make them successful not just in the western markets but also in China. In terms of demand in China at the moment it's still, I mean the change in luxury tax was we had about 48 hours notice like the rest of

the industry and it came in
mid to late July I think, so only two, maybe three weeks ago. So, a little bit early to see what's happened. What we have done for the moment for the interi m is we have told our retailers who we know are not in the best ■nancial shape generally that's not something that's speci■c to JLR, that's industry wide. We have told our retailers that for the short term we will take the cost of that luxury tax. The netw ork, the retailer network over there is fragile enough without having to take that. So in the short term before we come up with a medium term plan but in short term we will take the cost of that. It is an extra 10% on the list price of the vehicle.

P.B. B alaji
Thank you, Richard. Maybe we'll skip to another topic , this from Chandramouli, Goldman Sachs. Let me try and skip to EV and I'll come back to JLR in a minute. There appears to be a year -on-year drop in EBITDA margin for electric cars. Could you elaborate the rationale? At the same time, given the low volume g rowths, will the disco unting be high throughout FY26?

Shailesh Chandra
So, year -on-year EBITDA margin for electric cars. It's not the right question.
Yes, so I'm going to cover the PV one which is 1% to 2% PV volume growth plus this potentially. So see we have been seeing that there are clear segments, there are speci■c models where we are seeing a signi■cantly high level of discounts. Main pressure is, in this less than Rs. 10 lakh segment is where I sit, where the demand is under stress. It has seen a nearly 15% decline, as compared to last year. So this segment is under stress and we'll continue to see discounting. We are also now started seeing, kind of a ■attish trend in SUVs and that is also something which we need to watch out for. How the discount ing environment would be. I think, where the trend will remain strong. We have seen in the ■rst quarter CNG continuing to do well with 20% growth this year. We also see that EVs are going to see about 70% -75% growth.

The next question is around when you ex pect the demand environment internally. We already talked about how we are going to, how with the new model launches, our growth is going to be better. Hopefully, from now on industry – in hatches, as I said that while industry is declining by 14% we are

seeing growth here. There are new launches, Harrier Petrol, Safari Petrol is going to come. Harrier EV is doing well. Then we have Sierra which is going to come. So I think we have a lot of launches in the coming quarters. So I think it should signi■cantly improve from here on.

P.B.Balaji

Thanks Shailesh. Richard, coming to you a different one on the tariff. This is more about the quotas. 100,000 units per annum imports into US from the UK that can be done at 10% duty. Would that cover all of our imports into the US coming from UK? And also how do we intend to manage it? What are the kind of price increase, mix benefit s that we are planning to manage this?

Richard Molyneux
So it's 100,000 units as you say, at 10%. We think that that will be enough to cover the volume that we would do within the US for this year. The deal e■ective 8 May, if you do a pro rata from 8 May to the end of the year the quota is 65,200 vehicles. We t hink again that will be su■cient in terms of the mechanism for the purposes of this year. It's going to be on a ■rst come, ■rst serve basis. Next year we're working with the UK and US teams to make sure there are some rules and structure brought in. The fr ee for all almost certainly will do nobody any good. So for this year we think we're okay for next year we'll be working with the governments to try and come up with something which is a little bit more organised than a free for all .

P.

B. Balaji
Thank you . Shailesh, coming to you this is from Kapil , what do you think worked well for Harrier .ev?

Shailesh Chandra
Yes. When you compare with any high SUV segment cars , irrespective of whether it is an EV or ICE, this is a car which is signi■cantly superior in terms of not only performance but all the kind of new tech features which has gone inside this car. Whether you talk about the whole Dolby experience or the kind of screens that has been given , 540 degree view, or for example, the APA which is auto parkin g summon mode and all this is something which people did not imagine in this kind of a car. And on top of that, this is the ■rst trim which is an army drag . And people saw its capability that elephant rock climb, people were just amazed and surprised with the capability that an EV can really deliver. So those were the primary reason and that's the reason why this is being completely compared, not only compared with ICE, but it is being seen signi■cantly superior to 50% more in terms of torque what you get i n this segment. So that has been really taken well and from a EV perspective, when I see from that lens the barriers which used to be around range, this delivers a 500 kilometer range, real range, which breaks the barrier around range , you know which used to be a concern. Range anxiety we used to call. Then all of this comes at no incremental price. This is at price parity rather if not slightly better than ICE. So I think it has just ticked all the boxes what people could imagine or it has more than ticked the boxes that people expect in this kind of a category of car. And this has become a highly desirable vehicle in the segment.

P.B. Balaji
Thanks Shailesh. Girish, coming to you. This is from Jinesh Gandhi from Oaklane . Can you talk about the upcoming CSL tender for 10,900 E -buses? Do they address your two concerns and do we intend to participate again?

Girish Wagh
Right, so yes, I think we have been engaging with the government for almost last three years and therefore over the last three years we are not participating in the tender. We had two speci■c requests. One is a payment security mechanism and herein we worked with C ESL and some of the other

government agencies and a payment security mechanism based on the one used for Solar Energy Corporation has been worked out and it is there currently in the tender document. So this to a large extent meets our requirement on payment security guideline. Our second requirement was about having an asset light model. While this has not been addressed fully and exactly the way we want, but even this to a good extent addresses what we were expecting. But herein I think this will now call for a formation of a consortium with an operator who can run the buses and a ■nancier who can bring in capital. And therefore I think we will now be working with financier as well as operators, whom we can bring together form a consortium and our Smart City subsidiary, then will be part of that particular consortium and OEM Tata Motors will sell buses to this consortium. So that's something that we will work out. Meanwhile, I think there is a good understanding that we now have on the pro■tability for operating the buses. I think we have been able to develop or build this model over the last three years with good experience and ther efore we know what are the value creating quotes , etc. which is what we will participate in the upcoming tender.

Balaji , he has another question on ACE Pro?

P.B.Balaji

ACE Pro and ACE Pro EV, what are the feedback on ACE and ACE Pro EV and how do you think is likely to ramp up your volumes?

Girish Wagh

Yeah, so I must say that ACE Pro EV and also ACE Pro Bifuel Petro

l , all three the feedback has been very good. I think the value proposition has been appreciated very well, especially the price at whic h it has been launched and the capability and features that have been given. We also had a very unique launch wherein we did launches in 10 cities across the country. It was a two -day a■air wherein not just the media but we also got in the in■uencers, key customers, ■nanci ers, all of them there and all of them were also made to drive the vehicle. So we have very extensive feedback from these drive sessions. Generally, the participants have appreciated the pickup, the comfort, suspension, power and I think many of them have felt that it actually o■ers a very good option for intra city last mile transportation . In terms of capacity and ramp up we don't see any issue and we are going to in fact start ramping up from this month itself. Not just EV but even the b ifuel and petrol version.

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Balaji, I'll just also answer Jinesh has asked one question about, pre buy due to AC Norm's introduction. So Jinesh, I would like to tell you that frankly , we have not seen any pre buy. There has been no pre buy whatsoever in HCVs and ILMC Vs due to the AC norms which in my view is a good thing. I mean it shows the maturity in the market and in terms of your question about how the market will pan out over the next nine months. Since the Q1 has been more or less ■at, the 3% to 5% growth that I have spoken about should now happen over the next nine months. Balaji, back to you.

P.B. Balaji

Thank you, Girish. Richard, coming to you maybe to wrap the whole tari■ impact up question from Kapil. Now that the tari■s are clear both in EU and in UK, how much will the impact be? How much will it reduce from the current quarter in term of bps? How are you assuming this?

Richard Molyneux

Okay, on the assumption that the 15% reduction for Europe does become e■ective on or around the 1st of August. Remember that is the one uncertainty still in the market. We think this year when you take it in the whole for a full FY26 year, you're probably talking somewhere between GBP500 million and GBP600 million e■ect of tari■s for the year net of the o■setting measures that we put in, on a

more perpetual basis on a 10% and 15% basis, probably more around 300, 400 range. However , I will caveat that by saying look a lot of it will depend on how the market reacts in terms of demand and in terms of pricing. So, those would be sort of the type of estimates that I would use.

P.B. Balaji

Just staying with you there. You had good US retail trends on a year -on-year basis even in July. Is it because dealers are selling pre -tari■ inventory or customers expecting full pass through on tari■s happening in the coming months? What's the read there?

Richard Molyneux

I think there probably is a little bit of an expectation by customers that prices ar e more likely to be rising than falling. So, getting in there now also typically around this time of year in the US there's the move from '25 model year to '26 model year cars . So retailers will be trying to sell their '25 model year cars before '26 lands on their stores. So there's a little bit of seasonality that normally happens in the couple of months before you change your model year -over in the US.

P.B. Balaji

Yeah. Thanks Shailesh, coming to you in terms of Nexon .ev powertrain for the higher wattag e, are we looking to shift supplier base to India and when do you expect it to be 100% local source?

Shailesh Chandra

See we are you know as far as battery pack is concerned and the e-drive is concerned it is completely localized , so it is already being made in India.

P.B. Balaji
Yeah. Okay. Richard, a comment on Forex. If you

did not pick up, this is basically with the USD
appreciation. I suspect you're referring to pound appreciation here. How much impact of dollar weakness is already in the P&L and assuming that due to hedging bulk of the impact is yet to come ?

Richard Molyneux
Yes, look , we have a reasonably good hedge portfolio. Actually the thing that we're most exposed to is the dollar -euro cross because we're long dollar short euro. So the move of that over the last months or so during the quarter, I know it's currently at 1 .15. I think it was probably at 1 .04-1.05 at the start of the year. That's the one that hurts us more. And we're keeping a close eye on that cross to make sure it does not get any worse for us.

P.B. Balaji
Okay. I think Vinay's questions, most of it we have covered already. We've covered accounting, we have covered PLI, we talked JLR, VME. I think they covered everything there. So let me see if there's any other questions that you have not covered.
It's an i nteresting question from Kapil , Girish coming to you in terms of consumer sentiment, how exactly we measure it because one would expect that with the good monsoon the sentiment should have picked up but that's not playing out as you as one would expect. Wh at are we missing?

Girish Wagh
Yeah, so as I've been saying, I think the sentiment is actually a combination of two factors which is satisfaction with the current status and how do they look into the near future, say next three, six months. And I think w hat we've seen across the segments , apart from maybe ILCV, I think the satisfaction with the current status is something which has dropped from Q4 to Q1. But the good thing is that the expectations from the future still remains optimistic. So I think that' s how I would break

down the sentiment survey again in almost all the segments.
And I think to a large part , I would say it is also expected in the sense I think the early onset of monsoon have in a manner of speaking also given us the Q2 sentiment scores into Q1. I think that's a timing change which has happened this year.

P.B. Balaji
Okay, this is Richard coming way on ■nancing. One is the cash ■ow recovery in the rest of the year. What would be the key drivers for it? Any y ear-end inventory upswing expected because of managing the quotas and any re■nancing plans that you have in place. We haven't talked about the UKEF ■nancing. Maybe you could cover that as well as part of that.

Richard Molyneux
Yeah, why don't I do that ■rst? So, we signed a few da ys ago a GBP1 billion UKEF backed loan facility in the UK to boost our liquidity. That is not yet drawn but it's going to be available very shortly. Our next maturity is a $700 million bond that is due in October. So, we boosted our short -term liquidity.
The question in the ■rst question, cash ■ow recovery. So, obviously we paid a couple of hundred million pounds in tari■s in Q1, and that will be signi■cantly smaller in future quarters. We will have working capital come back in our favor again. Remember out of our GBP758 million hit in the quarter in terms of operating cash, GBP616 million is working capital and the vast majority of that is cyclical. Also normally for us we would have higher wholesale volume in the second half of the year than the ■rst half of the year. So there's a few things that I would play on in that.
The question around , are we planning on adjusting delivery timings for the ■rst set? Remember, the ■rst quota is the 65,000 that is applicable up until 31st of December this year. At the moment, we're not anticipating that the UK industry will breach that. So, we're not chang ing our plans . As of next year , The way the quota works is it's actually a quarterly quota of 2

5,000 units. Any part of the ■rst quarter
that isn't used gets added to the third quarter's number. Any part of the second quarter that isn't get used doesn't ge t used, gets added to the fourth quarter. So there is some ■exibility during the year and we'll manage that as we get through 2026. My intent, as I mentioned beforehand with our

intensive company, is to work with the UK and US governments to have som ething that is absolutely not a brief rule by the time we start next year's 100,000 unit on batch three.

P.B. Balaji
Great, thanks. I think with this we have come to the last of the questions. Once again, thanks all of you for your probing questions. Just to su mmarize, a very challenging quarter on multiple fronts, particularly on the JLR side. But I think we are coming out of as we get ■nish this quarter and come out into this Q2 and then subsequently into the second half, lots of things that are underway in te rms of interventions, be it in JLR, CV or in PV, which will help us sequentially start improving from here on. And one does expect to have a pretty strong second half as these things come into place. So thank you once again and more than happy for clarifyi ng any further questions that you may have. Do feel free to reach out to the investor relations team. Thank you. Speak to you soon.

Call: Nov 2025

BSE Limited
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Rotunda Building, P J Towers,
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National Stock Exchange of India Ltd.
Exchange Plaza, C- 1, Block G,
Bandra Kurla Complex,
Bandra(E), Mumbai 400 051

November 20, 2025 Sc no. - 18831

Dear Sir s/Madam ,

Sub: Transcript of the Earnings Discussion/Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our letter bearing sc no. 18814 dated November 6 , 2025, we are enclosing herewith the transcript of the earnings/conference call conducted after the meeting of Board of Directors held on November 14 , 2025 on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of Tata Motors Passenger Vehicles Limited (formerly Tata Motors Limited) ('the Company') for the second quarter ended September 30, 2025.
The above information is also available on the website of the Company at
www. cars.tatamotors.com.

This is for information of the Exchange s and the Members.

Thanking you.
Yours faithfully,

Tata Motors Passenger Vehicles Limited
(formerly Tata Motors Limited)

Maloy Kumar Gupta
Company Secretary and Chief Legal Officer

Encl: a s above .,.
TATA
TATA MOTORS PASSENGER VEHICLES LIMITED
Formerly known as Tata Motors Limited
Bombay House 24 Homi Mody Street Fort Mumbai 400001
Tel 91 22 6665 8282 www.cars.tatamotors.com CIN L28920MH l 94SPLC004520
Tata Motors Passenger Vehicles Limited
November 14, 2025

Tata Motors Passenger Vehicles Limited
(formerly known as Tata Motors Limited)
Q2 FY26 earnings call transcript
MANAGEMENT : MR. PB BALAJI –CFO, TATA MOTORS PASSENGER VEHICLES GROUP
MR. SHAILESH CHANDRA – MD & CEO, TATA MOTORS PASSENGER VEHICLES LIMITED; MD, TATA PASSENGER ELECTRIC MOBILITY LIMITED
MR. ADRAIN MARDELL –CEO, JAGUAR LAND ROVER
MR. DHIMAN GUPTA, CFO DESIGNATE, TATA MOTORS PASSENGER VEHICLES LIMITED
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
Presentation

Anish Gurav

Good day and welcome to Tata Motors Passenger Vehicles Limited Q2 FY26 Earnings Call. Today we have with us Mr. P B Balaji, Group CFO , Tata Motors Passenger Vehicles Group; Mr. Shailesh Chandra, MD and CEO Tata Motors Passenger Vehicles Limited; Mr. Adrian Mardell, CEO Jaguar Land Rover; Mr. Dhiman Gupta, CFO Designate Tata Motors Passenger Vehicles Limited; Mr. Richard Molyneux, CFO Jaguar Land Rover. And we also have our colleagues from the Investor Relations team.

Today we plan to walk you through the results presentation followed by Q&A. As a reminder, all participants will be in listen -only mode and we will be taking the questions via Teams platform. The same is already open to you to submit the questions. You are requested to mention your name and the name of organization while submitting the questions.

I now hand over to Mr. Dhiman Gupta to take over. Over to you, sir.

Dhiman Gupta

Thank you, Anish. Good evening, everybody. And welcome to Tata Motors Passenger Vehicle Limited Analyst Call for Q2 FY26. It's a pleasure speaking to you as we report our ■rst quarterly earnings as a listed entity. Next slide, please.
The Safe Harbor statement , as it's the ■rst quarter post the CV demerger , a few hygiene accounting related matters to get out of the way. Our segment reporting will now comprise of automotive segments and others. The automotive segment will now comprise of JLR and Tata Passenger Vehicles business. Other than CV segment moving out, there is no change there. Others will comprise the rest, the ■nancially material ones being Tata Technologies and Tata Moto

rs Holdings Pte Limited
Singapore. Next slide, please.
For the purpose of statutory reporting, the published income statement has been reclassed to comprise only the TMPV group for prior periods for a like -for-like comparison. However, the balance sheet for prior periods will include CV business assets and lia bilities and hence not comparable. So, this TATA MOTORS

is something for you to know. Next slide, please.
Another accounting matter related to the demerger. As part of demerger accounting entries, we have recorded a pro■t of ~Rs. 83,000 Cr on disposal of the CV undertaking, which is essentially the fair value of the CV assets, less the book value of net assets transferred. So, the business was valued at ~Rs. 94,000 Cr by third -party agencies. The book value that was transferred was ~Rs. 11,000 Cr, so the delta is about ~Rs. 83,000 Cr. But this is only a notional gain as there is a contra entry of ~Rs. 83,000 Cr as a deemed dividend. So, there is absolutely no impact on either distributable reserves or on our net worth. Next slide, please.
Key highlights, while overall an extremely challenging quarter with the cyber incident at JLR , there continues to be several bright spots which we will continue to dial up as we progress out of this incident. The RR brand continues to have a strong brand recall. There has been a resurgence in the domestic demand post GST rate cuts and the Tata Passenger Vehicle business takes its ■rst bold steps in its international foray with the entry in South Africa. Next slide please.
Coming to the consolidated ■nancial performance . With the loss of production for the entire month of September due to the cyber incident, the JLR revenues dropped by 24% , which was partially o■set by 15% top line growth in the India business and the translation bene■t in G BP INR . The loss in operating leverage, carryover of U.S. tari■ impact from Q1 and increased VME ■owed through every other ■nancial metric resulting in a PBT loss of ~Rs. 5,500 Cr for the quarter. There was an additional exceptional loss of ~Rs. 2,600 Cr for certain expenses related to cyber incident and the voluntary redundancy program at JLR. The FCF for ■rst six months of the year stood at negative ~Rs. 18,000 Cr and I'm sure Richard will talk about how the e■orts have been taken to keep liquidity at JLR at very comfortable levels. Next slide please.
Revenue and pro■ts , we have already spoken in the last slide. The net auto debt has increased from a net cash position end of last ■scal to ~Rs. 20,000 Cr, increase primarily coming through at JLR. Other entities remain quiet. Domestic India business is net cash which gives a lot of ■ex to fund the rich product investment cycle that will be coming through in the years.
Richard over to you to take on the JLR section please.
Richard Molyneux
Okay. Thank you, Dhiman and to the next page please.

So there is no denying this was a difficult quarter with disruption from a cyber incident. This is something that's happening to more and more Companies that no Company would ever wish for. It meant we had to close down our systems in one of the higher volume months of the year, the end of a financial quarter, the start of 2026 model year Range Rover production and a new registration plates in our U.K. home market. So even with July and August in line with our expectations, we ended up with ~66,000 units of wholesales, the 24% reduction year -over -year with revenues down the same percentage. This drove EBIT to negative 8.6%, PBT to negative GBP 485 million and free cash flow to negative GBP 791 million. The PBT quoted there is before a GBP

238 million except ional charge and
that reflected both the direct incremental cost of the cyber incident and a voluntary redundancy program under which nearly 500 managers and employees are leaving the business as we right -size our costs. From an H1 perspective, the quarter pushed us to a marginally negative profit position and GBP 1.5 billion negative free cash flow. So it is a significant loss in Q2, but I do want to put it in perspective, the negative GBP 485 million compares to a profit that we made in our last financial year of GBP 2.489 billion. So this loss was significant , is less than 20% of the profit that we made last year.

Next chart, please.
As per usual, I'll skip over this. I'll cover all the points during the presentation. It's there for your reference only. So next chart.
From a brand perspective, as our shutdown was simultaneous across all of our plants, the declines are relatively proportional. Range Rover, Defender and Discovery down between 20% and 25% on previous quarter, Jaguar down 35%, continuing to reflect our plann ed rundown of production ahead of the brand relaunch. From an H1 perspective, we are down 17% overall, but only a combined 10% on the dominant Range Rover and Defender brands, which would have been marginally up if it hadn't been for the September stoppage . And that's in a very difficult market. Next page.
From a regional perspective, our long lead markets were more protected in September as their vehicles were already in transit. So , you can see China and overseas relatively flat quarter -over -quarter. The bigger pain was felt in the short shipment markets and those markets where processing of vehicles through wholesale and retail triggers was most impacted by a system shutdown - U.K., North America, Europe in particular. From a H 2 perspective, we continue to focus on growing our overseas business, managing a difficult market in China and starting pipeline refill for other regions as production again starts to grow. Next page.
So this page shows and it should explain the EBIT walk and PBT (bei) walk from the GBP 385 million or so that we had in the equivalent period last year to the GBP 485 million los s just reported. The lost volume from cyber, even with favorable mix, cost us GBP 237 million. The Trump penalty, even in a low volume quarter was GBP 74 million, meaning a cumulative GBP 328 million penalty in the first half of the year. The other showed there were GBP 40 million is largely the lost parts and accessories business from the attack and lower China JV returns. VME globally is on the rise, and this had two effects. Firstly, the actual cost of cars retailed rose from 4.1% to 6.9%, with the biggest deterioration being in China due to the new luxury tax that was announced in mid -July, weak demand and a fragile retailer base. But secondly, nearly half of the GBP 257 million adverse is the secondary effect of having to accrue more for vehicles that retailers still have in stock. Within contribution costs, warranty spend remains stubbornly high, even though the quality fault metrics continue to improve. Within structural cost, it's worth noting lower capitalization of engineering type as our CAD systems were down during the month of September. Foreign exchange, our hedge program protected us against a weakening dollar from an operational side, but the adverse Euro moved down to 1.14, impacted our balance sheet revaluations on both payables and debt. So it is worth noting there also that the PBT sharing is before exceptional items. We did have an exceptional item in the quarter of GBP 238 million. About GBP 40 million

of that was associated with a voluntary redundancy program as we resized our cost base. The rest was the direct incremental costs of the cyber incident during the month of September. Next chart.
Turning then to cash, the cyber incident drove cash profit after tax down to effectively zero. It is really important to note that the third month in any quarter is normally strongly cash positive for us. So the timing of the systems outage couldn't have been worse. Investments was GBP 828 million and working capital relatively flat as the beneficial effect of selling down stock was offset by lower payables from the production stoppage. So free cash flow in the quarter, negative GBP 791 million. Next chart.
Two things to note on investment. Firstly, the overall number of GBP 828 million is lower than our run rate. And this is due to the systems outage, meaning we were not able to pay many capital invoices in September. These will flip back to payments in Q3. Secondly, you can see our engineering capitalization

at 55% is lower than the 70% we had in Q1. I referenced that with our engineering systems down, work on the programs we are capitalizing did pause and hence the expense d elements of engineering rose. We reallocated and we put as many people as we could into incremental testing and validation, but

this still had an e■ect. Next chart.

Right in the business update, I suspect the ■rst thing that you'll want me to talk about is a cyber incident. So I will do just that. Next page.

I am really proud of how this wonderful company responded and restarted our business within a few weeks. Bad as it was, it could have been worse. We set crystal clear priorities as a business. First, customers and sales, so we focused our parts operation to get parts ■owing to help clients and retailers and we restarted wholesale systems to allow as many cars to ■ow as possible. Second, pay suppliers and restart production. We paid thousands of invoices manually to help our supply base and we restored manufacturing from the 8th October. Third, engineering systems and then four, build beyond the MVP, minimum viable product , that we had put in place. We have restarted at pace. The plants are already working at or close to capacity and the systems we have started are cleansed and clean. So I woul d like to take this opportunity not only to thank my colleagues for their amazing work, but also to thank our retailers, customers, suppliers and other partners for their patience and their support through this time. Next page.

Looking now beyond the cyber incident to the macroeconomic environment . Our industry continues to be very challenging. Geopolitical tensions, regulatory surprises, supply chain shocks abound and threaten an industry based on lean global supply chains and schedules ■xed weeks if not months out. We will all have to adapt to the new realities, but this will take time and it will take cost. On the global demand side , there are some pockets of growth . China's luxury segment continues to shrink, Europe is struggling and the U.S. whilst stable is not in the position to absorb the scale of global capacity from the other regions. Consequently, we anticipate VME levels to stay elevated for some time. On the supply chain side , the recent Nexperia stand -o■ appears to be resolving , although stopping inbound wafer shipments from Germany to China may still create a period of shortages that works through their value chain. We have to imagine that this will not be the last such event. We will have to robust our supply systems accordingly, likely to only add cost and complexity

over time. Next chart.

In our new reality, delivering on our missions, these are the missions I introduced in our Q1 brie■ng, is even more important. We are moving forward with intensity and with focus. Those that have immediate impact have been our ■rst priority. You can see them here. And we are making great progress in tari■ mitigation, emission cost reduction, and driving our ex -works quality up and up. You can see a 25% reduction in vehicles o■ -road. On the high -value missions, we have multiple teams dedicated to material cost reduction. We are taking c .500 employees out of our admin base and focusing on lean, in -market China stocks to protect our margins and those of our retailers. In other areas, we're driving parts back orders down massively. We put 500 retail ers through a very impactful program to properly leverage our high -end Halo and Bespoke products. And we will keep driving these missions even harder. Next.

So what does this mean? The production losses we have experienced will also impact quite heavily on Q3. It's only in Q4, as our pipeline ■ll completes that we will return to normal. And Q4 is always strong for us. For the full year, we expect EBIT to be in the range of 0% to 2% positive, and free cash ■ow to be in a range of negative GBP 2.2 billion to negative GBP 2.5 billion. We will update you on FY 27 after our next earnings release.

On that note, I'll stop and hand you back to Balaji and Dhiman. Thank you.

Dhiman Gupta

Thank you, Richard. Moving on to the Tata Passenger Vehicles business. After a particularly weak Q1, the domestic PV business has seen a strong rebound in Q2. Volumes grew 10% year -on-year for the

quarter. In September and October, we hit all-time record offtakes of 60,000 plus in two consecutive months. Strong recovery in market share to 12.8% for the quarter. Post -GST rate cuts, market share during the festive months were at 13.7% to 14%. EV came out particularly strong with penetration sharply improving from 12% to 17% , and along with CNG accounts for almost 45% mix in our portfolio. That keeps our CAFE well below the thresholds. Next slide, please.

EV offtakes had plateaued at 15,000 to 16,000 a quarter for some time now, with much of the industry expansion coming from new launches between Q3 and Q4 last year. Nexon .ev has garnered strong traction and the very successful launch of Harrier.ev took our offtakes to 24,000 for the quarter. Our market share has now been consistently clocking 42% . With a proactive product portfolio strategy which will soon add a Sierra .ev to mix and a lot of other refreshes which will be improving the value proposition , we should look to further build from here in the coming quarters. Next slide please.
Revenue growth is coming back nicely at 15% year -on-year. Segment pro■tability is nearly back to FY 2025 levels. Much of the improvement coming through from improving pro■tability of the EV business, though a fair ground remains to be recovered on the ICE piece. PBT of approximately Rs. 200 Cr for the quarter, ■attish year -on-year basis. Next slide please.
ICE EBITDA margins came in at 6.4%, almost 2% down year -on-year, combination of higher commodity cost and adverse pricing. EV pro■tability is beginning to come through well with better operating leverage, mix and bene■t of PLI. PLI accrued for the quarter was Rs. 125 Cr. I must also add that the PLI accrued for the full year FY 25 of R s . 350 Cr has now been received in cash from MHI this quarter.
In terms of pro■t walk , adverse realization has substantially o■set the imp

rovement in volumes and
cost reductions. Year -on-year cost reductions, you see a net of near 1% of commodity hit we've taken in the last two quarters and a bit more is expected to come through next quarter. In line with our previous guidance, ICE pro■tability will remain muted for another quarter and we will see improvement coming through in Q4 on the back of price increase , Sierra launch. EV pro■tability will continue to improve on back of further PLI accruals from Nexon and Harrier.ev, both of which has met the 50% DVA thresholds. Over to you, Shailesh.

Shailesh Chandra

Thank you, Dhiman. So let me start with industry highlights for Q2 FY 26. The ■rst ■ve months of the ■scal year saw stress in demand for the industry with about 1.6% year -on-year de-growth in the period April to August 2025. Post that we saw an improvement in the overall operating environment of PVs with the implementation of GST 2.0, which saw a reduction of GST for PVs across the segments and GST reduction for PVs have resulted in price drops up to 10% in some segments. Due to this reduced GST, festive season and some pent -up demand post GST announcement, the PV industry has seen a sharp growth at 5% in September and more sharply in October at 17%. While there has been growth across all the sub-segments, it has been more pronounced in certain segments, for example, compact SUVs, which have received a strong boost due to the new taxation structure. Alternate power trains continue to see an industry -beating growth with 17% growth year -on-year for CNG segment, and 126% growth year -on-year for EV segment. CNG growth has been driven by growing CGD network and greater traction due to increased accessibility. EV segment growth is on the back of new launches, example, Harrier .ev, which has added volumes and a general positivity on EVs.
Coming to Tata Motors, the actions that we have been taking in the last 18 months on structural business processes, service, have yielded strong returns and laid the foundation for us to drive growth in the coming months and quarters. In terms of key highlights in quarter two, we saw double -digit year -on-year growth in our wholesale, which was driven by the watershed month in September 2025. In September, we achieved many milestones, including record overall volumes, CNG volumes, EV

volumes. Therefore, we were able to drive steep 47% growth in September year -on-year. We also were number two player in the industry with 14% market share and 200 bps improvement in market share.
In terms of products, we saw strong demand for all of our products. In speci■c, Nexon emerged as the number one product in India , Harrier and Safari saw record volumes, and Punch also witnessed strong interest among consumers. We were also able to see very strong booking traction with the doubling of bookings post 22nd September, which created a very strong pipeline for coming months as well. Slide change, please.
I also wanted to talk about our performance in September and October, just in order to give you a complete picture of how the festive season has panned out for us. I already spoke about performance in September. In October, we leveraged our robust pipeline to continue our strong performance with 61,000 units of wholesale, which was our highest ever. We also had a blockbuster festive season where we delivered over 1 lakh vehicles between Navratri and Diwali, which was a 33% growth over last year. In terms of alternate powertrains, we also saw record retails for our EVs and CNG at 9,000 and 25,000 units respectively. On the back of our record

retails, we were able to drive sharp reduction in dealer
inventories, which are now at a very healthy level of under 30 days. To be very speci■c, it is about 27 days. In terms of Vahan market share, we sustained our position as the number two player with 13.7%

market share in October . Our products continue to see very strong traction as Nexon was the number one model in October as well on the back of strong demand across all powertrains for the product. Punch also saw very strong demand with 40,000 plus retails over two months. Harrier, Safari continued to see very strong volumes on the back of newly launched Adventure X versions and strong demand for Harrier.ev.

Looking ahead, we will aim to continue the growth momentum by leveraging our robust demand pipeline. And this will be supported by comprehensive marketing campaigns that will amplify brand visibility and maximize our retails in quarter three, which will ensure lean inventories as we step into the next calendar year. In addition to the growing traction for our portfolio, we will drive strong volume growth on the back of new product launches that will strengthen our portfolio. One launch of new Sierra in November 2025 will be one of the key drivers for volume increase and pro■tability improvement for the business, as Dhiman also mentioned. Harrier and Safari petrol variant will expand their addressable market and unlock volume potential in key markets. In EVs, we will sustain our growth momentum by strengthening our portfolio with more rapid product interventions as compared to ICE. At the same time, we will drive mainstreaming through key actions to expand consideration for EVs and ecosystem actions, for example, expanding charging infra with Tata.ev mega chargers. As we grow our volumes, we will enhance pro■tability through operating leverage, enhanced mix on the back of new launches and GST impact, and we will accelerate our cost reduction e■orts. At the same time, we will continue our structural actions to strengthen our network and customer service, which will act as a force multiplier driving long -term sustainable growth.

So that's all from my side. Handing over to you, Balaji.

P.B. Balaji

Yes. Thanks, Shailesh. Wrapping it up, I think from free cash ■ow perspective, we have ~Rs. 1,600 Cr of free cash ■ow coming this quarter, with a cash pro■t after tax, more or less covering o■ the investment spend , despite a signi■cant step up in investment that you are seeing on the EV side. And as volumes are picking up, obviously, there's a working capital turn coming our way as well, which you have seen in the payable s line. Next slide, please.

Investment spending, as I said earlier, continues to be strong and we intend to keep it this way as growth picks up as well. And with the product o■ensive that's already planned, obviously, all these are

likely to continue to remain elevated, but no stress on the cash ■ows there.

Looking ahead, I think, as Richard alluded, the global demand situation continues to remain challenging. And it's fair to say that this situation from a demand perspective ain't likely to abate in the coming quarters. So therefore, we need to be prepared for driving up demand through actions from our side. Domestic, on the other side, we are clearly seeing resurgence in the demand. And this also means , as the product o■ensive continues, which Shailesh alluded to, we would expect to see the domestic side second half likely to be pretty strong. Fair to say that for all of us, H1 performance has been disappointing and of course, Q2 has been particularly challenging at the JLR en

d. So we anticipate in
this situation, a stronger H2 as the JLR recovery actions kick in and the product actions kick in on the domestic PV side. From a priorities perspective, particularly on the JLR side, the next phase of recovery is what we are focused on, ramping up production, stepping up engineering intensity, and of course, hardening the system landscape so that the situation doesn't recur. And of course, navigating this global demand e nvironment by building the power of our brands is what we will be focused on. And at the same time, cash ■ows need to be improved. And therefore, the enterprise missions are a very critical way of delivering that. PV, EV side, Shailesh has covered it extensively, so I wouldn't want to repeat it.

And I can already see a lot of questions coming through on the line. So maybe we're ready to take on the questions that are coming up.

Questions And Answers

P.B. Balaji

So let me ■rst start, Richard, maybe I'll pass it on to you. There's a fair number of questions coming your way. Why would we not take all the questions of JLR in one shot because a fair amount of repetition coming in as well? And let me start with the most liked comment.

It's coming from Binay Singh, Morgan Stanley. Let me hold o■. Let me probably, Shailesh, give it back to you. Could you comment on the Harrier EV run rate and outlook, number one and PLI, are you getting PLI for Harrier EV? And are you seeing any price recovery actions going forward?

Shailesh Chandra

Yeah , so as far as Harrier EV is concerned, our run rate is about 2,500 a month. And we have a very strong booking pipeline. Our waiting period is somewhere between 16 to 18 weeks. As far as PLI is concerned, what was the second question? I'm not able to see it.

Dhiman Gupta
Are we taking PLI accrual on Harrier.ev?

Shailesh Chandra
So, you want to take?

Dhiman Gupta
Yeah , so Harrier.ev is right now under AAT certi■cation. We believe that it meets the greater than 50% DVA threshold, but it will take time to complete the process. And we expect the accruals to

happen in Q4.

Shailesh Chandra
Yeah, okay. And what, any other questions?

Dhiman Gupta
Discounts in the festival, is the VME is going to come down ? These were the two questions, right?

P.B. Balaji
Yeah , are you seeing any other pricing recoveries?
Shailesh Chandra
Yeah , so, in Jan, in Q4, we will take the price increase typically, what we generally do. For the last nine months, we have not been able to, but with the commodity prices increased, we need to pass it on. So that will be the timeline. Of course, in after the December is over, when the whole industry will be starting with lean stock , the whole discounting environment should also go down. So that's what we expect. So, the VME should also go down.
P.B. Balaji
Thanks, Shailesh. Richard, coming on to you. Kapil Singh, Nomura. What is the Q3 build rate and can the management please guide on the full year volume range on which you're basing your margin guidance? And have the full cyber costs have been taken or more to come in Q3? And the outlook on VME and tari■s. And does the long -term EBIT margin guidance of 10% hold or it needs to be reviewed? There's a lot of questions in that.
Richard Molyneux
Certainly are. Q3 build rate. So look, during the month of October, we said we started production at our engine facility on the 8 th. We have started all of our plants subsequently. We would expect production in October was c .17,000 cars. And as of now, our plants are operating pretty much at capacity levels. And we will keep them at capacit

y levels from now through to the balance of the year. In terms of volume range, I think, to be honest, you've probably got enough information from that to be able to work it out, but I will lay it out more clearly for you. So we had a month where we produced nothing, i.e. September. And we had a month where we produced 17,000, where we would normally produce considerably more. So the total loss production you will be able to work out for yourselves from that is around 50,000 units. Of that, you will note that we took a hit of about 20,000 units in Q2, coming down from a volume of 87K to one of 66K. And the logic of that is that the balance is going to occur in Q3. Q4 for us will be a normal quarter. And you can see from historical numbers what a normal quarter for us means in terms of volume. So I think from that, you have enough to be able to work it out. I'm not going to give a speci■c range, but you can work it out from that. Have the full cyber costs been taken? Essentially, you can take the same answer. So the cyber, it will hit us also in Q3. So there will be another considerably smaller exceptional charge in Q3. But the big e■ect on Q3 is going to remain the volume pull through. As I say, we will be operating at capacity in terms of production capacity through the balance of the year. So the fundamental question then is, look, what's going to happen in FY 27? How much are you going to be able to get back and not? And this industry at the moment, it's di■cult to forecast what's going to happen in a month, let alone 17 months, so we haven't set our plans for next year now. On the one side we will enter the year with a very low pipeline stock. On the other hand, the pressures of geopolitics, demand and supply chain resilience will not immediately abate. So we will have a better picture when we get to our next earnings announcement as to how the balance of those forces will operate through FY 27. It's only in FY 27 that we really have the opportunity to build back even if the demand is there.

Given where demand is at the moment and the overcapacity that exists in the industry, we're not anticipating VME is going to get any easier in future quarters. It might a little for us because our pipeline stock is now extremely low as a result of this incident, so we don't have the same volume pressure. But from an industry perspective, there's little to assume that it's going to come materially down. And in terms of tari■s, the Q2 numbers that I presented there include most of the reductions down to 10% tari■s from the U.K. and 15% from Europe. There will be a little bit more improvement in Q3, but it's certainly lot better than it was in Q1, but still very painful. Does the long -term EBIT guidance of 10% hold or does it need to be reviewed? I think my same comment there is as of FY 2027. We're going to look at our plans now that we've recovered from this incident and reset budget for next year and walk from there. So no comment either way on that at this point in time.

P.B. Balaji

Thank you. Just staying with you, a question from Rakesh Kumar. Do you think the U.S. tari■ and China luxury tax has structurally brought down margins outlook? And could you comment on your order book? And then of the FCF, GBP 2.2 billion to GBP2.5 billion, how much of it do you expect to recover? And any changes to the Range Rover Electric and Jaguar launch timelines due to the cyber incident?

Richard Molyneux

Okay, on the ■rst point, the answer is probably yes. I don't think the process in the U.S. of tari■s feeding through

into consumer prices has yet fully concluded. U.S. in■ation remains relatively benign despite the tari■s. And I think that is because the price e■ects will occur over a 15 to 18 month period rather than immediately. So at the moment it looks from what I can read of U.S. in■ation data as if companies are taking the majority of the tari■ costs at least for the moment. China luxury tax absolutely, there I think virtually all manufacturers that operate in that luxury segment above RMB 900,000, which is where the new base has been set are at least for the moment taking those costs. So from where I stand at the moment, yes, I do think they are probably structural changes.

Can we share the order bank? We've stopped doing that now. The order bank was a really, really critical piece of information for us when we were supply constrained. That's no longer really the case. So it's not something that we're going to report on every quarter.

On the recovery of the free cash ■ow hit. I think that that goes back to my comment on FY 27. We don't have the opportunity, given the fact that we will be running our plants at capacity between now and the end of March. We don't have the opportunity to recover much of it this year. How much of it we can recover next year, we will work through and report back to you when we get back in I guess late January or very early February.

And then any changes to the Range Rover electric and Jaguar launch timelines? No, I think if you look at what happens during the cyber incident and the priorities I mentioned, we did prioritize getting sales and production up ahead of engineering. So the engineering systems were down for a little bit longer that meant that CAD was a little bit behind but then we put the people to work in terms of extra testing and validation work. So how the balance of those two things impacts we'll see, but nothing to communicate at this point in time.

P.B. Balaji

Thanks , Richard. Let me get back to PV here and I will come back to you as well get a breather in between. India PV, this is from Jinesh. Why was India PV realization down despite rising share of EV and CNG? What's your estimate for second half volume growth for industry and TMPV and how are discount s shaping up post festive?

Shailesh Chandra

Yeah, so, see realization per car has increased, as you rightly said that the share of EV and CNG has increased, so realization per car actually would have increased by ~15% . But you might be referring to the chart which Dhiman had shown where because of the higher discount and VME there was a drop, so that is the incremental change in VME that was shown. So that's the answer to the ■rst part of your

question.
The second is what will be the estimate of the second half growth for the industry? So I believe that this should be in double -digit. The way we have seen in September and October, the industry has grown by 5% and 17%. Even if I take out the festivity demand, which would have grown because of the festive period or the pent up, which still continues to over■ow in November and December should also be strong. My estimate is that it should be a double -digit growth. So, overall, in ■nancial year, because the ■rst half had seen a decline of 1.6% before the festive period , so overall, it should be in the zone of 5% or so.
Third question is how discount shaping? Of course, I already answered this that, from Jan onwards, we should start seeing increase, but post festive so far, the discount has remained more or less the same.
P.B. Balaji
Thanks, Shailesh. Probably a quest

ion that I will take, has there been any actions taken at Tata Motors,
PV and other group companies so that this doesn't happen in the future?
This is from Kapil. I needlessly agree. I think this is a critical development and therefore all learnings that are coming out of JLR are indeed being shared to the extent that it is possible and relevant to the concerned Companies. And of course, there's also a group -wide initiative that's also kicking o■ to ensure how do we harden system, how do we make ourselves more resilient and how fast we can bounce back. So this is obviously all these learnings will be factored in our planning, not just at a Company level, even at a Group level. And therefore, that's being led out on Tata Digital, the Head of Digital for Tata Group, she is leading it herself. And therefore, you should expect to see a lot of action at a Group level as well, as much as we are doing work with the respective Companies, including Tata Motors, PV as well as JLR.
Richard, coming back to you, Binay Singh, Morgan Stanley, JLR top line, any backlog built up due to production cuts? Then on JLR expenses, raw materials, ex -U.S. tari■s as a percentage of sales are also up sharply this quarter, quarter -on-quarter basis. What drove that? And why did U.S. duties impact fall sharply in this quarter? Why is VME up, which I think you have already talked about . And what is the full impact of cybersecurity, which also you've talked about .

Richard Molyneux
All right, so let me try and cover the bits that I haven't already spoken about. In terms of backlog, look, I think I have referenced the amount of production that we have missed and how much of that we will actually get back will be determined in FY 2027, which is the ■rst opportunity we have to build beyond the capacity that we currently have. Raw materials, I think there's nothing speci■c in the quarter that impacts raw materials. The foreign exchange rates of the Euro down to 1.14 certainly didn't help in the quarter as a signi■cant percentage of our raw materials are euro -based. So there's nothing particularly there to report. Then U.S. duties fell sharply. That's two things. One is the volume, because obviously it's a per unit charge. The second is that in the ■rst quarter, the tari■s were largely 25% for all imports, including from both the U.K. and from the EU. It's only in Q2 that we see the e■ects of the deals that were struck between the EU and U.K. governments and the Trump administration that took the U.K. rate down to 10% and the EU rate down to 15%. So there's two impacts there. One is the lower volume. But secondly, there is the deals done between the various governments to take the rates down to levels which are less penal. Do note that even though they're less penal, it's a 300% increase in tari■s for vehicles sent from the U.K. and a 500% increase in tari■s on vehicles sent from the EU. Then VME I've covered, China I've covered and the cyber security thing I've also covered , it does go into Q3.
P.B. Balaji
Thank you. I think Shailesh this is coming back to you. I think this is on E20. With E2 0 becoming mandatory by December 2025, early consumer concerns are on mileage drop and corrosion on the pre 2023 models. Any comments you have? Have you observed any measurable impact on that on the old vehicles? And is there any proactive measures you're planning to take?
Shailesh Chandra
See, it's true that there is a bit of mileage drop. That is for sure. And 2025 onwards, whatever we are selling is E20 compliant. So there is no risk of any vehicle getting damaged. But

yes, of course, the
cars which have been made before that, ■rst we are respecting the warranty terms of whatever cars

we have sold earlier. So that is not a problem. We have also tested the components which might have the potential of failing, but there's not going to be a big cost item per s e. But the availability of the items involved will be made sure. So there is no speci■c product in terms of extended warranty or something which we have come speci■cally for this. This is like ongoing maintenance that you can take care of this. As far as resale value is concerned, frankly I have no data to share on this. Resale value remains strong. The greater impact we have to measure, post the GST, the prices which have gone down is still to be assessed, but not because of E20 issue , we are se eing any issue as far as resale value is concerned .
P.B. Balaji
Thank you. Shailesh, I will probably stay with you. First of course, congratulations to you for your role. This is from Kapil Singh, Nomura for the new appointment that's coming to the President of OICA. Great to see EV is bouncing back and what was the FY 2026 full year PV industry outlook? How should one see that? And how's the current demand and footfalls? So, presumably, meaning post the festive season. And industry discount you already talked about.
Shailesh Chandra
Yeah, so, thank you for, the wishes and compliments. Thank you so much. It's de■nitely an honor to be TATA MOTORS

appointed as the President of OICA. As far as EVs are concerned, it's just a comment, so I don't need to answer that. But as far as growth is concerned, PV industry growth in FY 2026 I just said that second half, I expect that the growth will be in double -digit. That's my estimate. And therefore, at a full year level, the growth rate would be about a 5% or so. Around +/- 2% you can say.
Yeah, so the question was also on the mix if it has changed a bit, footfall. Footfall of course, it is weaker than the festive period, but stronger than what we typically see in November. So that remains strong, which indicates that there will be growth versus last year. And in terms of mix change, post GST, we clearly see that the compact SUV segment has seen greater traction as compared to other segment, but traction is, all across all the segments.
P.B. Balaji
There are a few more questions on demand coming up, which we will cover later. This one is from Nishit Jalan. Richard coming to you a critical question. Apart from the cyber issue, big reasons for cutting margin on FY, FCF guidance seems to be due to higher VME led by weaker demand globally and luxury tax issue. Have these issues worsened since Q1 results? And if not, should we not have cut guidance last quarter itself?
Richard Molyneux
Sorry, I'm just trying to ■nd the question. There it is.
P.B. Balaji
Nishit Jalan, go to the most liked .
Richard Molyneux
Yes, they have worsened since Q1 results is the bottom line. I think demand continues to deteriorate in China and doesn't get any better in other regions. So I think the reality is, even excluding the cyber incident, we almost certainly would have been amending guidance at this point. But this is the right point for us to be amending.
P.B. Balaji
Thank you. And again, staying with you for a minute, with the cost reduction e■orts, what could be the reduction in breakeven levels that you are targeting from about 300,000 units earlier? If you want to comment on the 300,000 is to begin with.
Richard Molyneux
Yes. So I think the big issues that we have got at the moment is trying to make sure those bre

akeven
levels don't rise as global demand falls and VME levels increase. So that's the purpose of the missions, is to make sure that those breakeven levels don't actually rise to dangerous levels. So I don't think at the moment the question of having it drop, is a question of stopping it rising.
P.B. Balaji
Thank you. Shailesh, coming to you. Can you talk about the segment that you're seeing demand growth in the India PV business, particularly post the GST cut, I presume. And is the consumer coming back speci■cally? You talked about the compact segment, but it's more broad -based ?. Maybe you may want to take one segment at a time.
Shailesh Chandra TATA MOTORS

Yes. So, see, the steepest drop in terms of percentage reduction has come in the less than 4 mete r. But so is the case for the higher SUVs also. So actually the traction is therefore across the board that we are seeing. Also there have been new launches also, so in certain segments, so there is a traction coming because of that also. But as I said, that I think compact SUV segment and also the subcompact SUV segment where the price drops have been also signi■cant, not only in terms of percentage, but also absolute value , we are seeing greater traction. And that's the reason you have, as I was speaking about Punch and Nexon, having done signi■cant retails in September and October clearly indicates that these two segments have been quite strong bene■ciaries of this introduction of GST 2.0.

P.B. Balaji

Thank you. Coming to India EVs, D himan, this is to you. What percentage of EV revenues are eligible for PLI currently? And is there a combined upper limit of that Rs. 6,500 Cr of PLI over ■ve years for PV plus CV or both can they claim separately.

Dhiman Gupta

Yes, so right now we are accruing PLI only on three of our products which is Tiago, Tigor ■eet and Punch. Cumulatively they only contribute to only 30% of our volumes. Bulk of our portfolio which is Nexon and Harrier.ev as I previously mentioned will start accruing in Q3 and Q4. In terms of cumulative cap the Rs. 6,500 Cr cumulative caps there will apply to the Passenger Vehicle business and the Commercial Vehicle business together because we had applied originally in 2021 as a Group.

P.B. Balaji

Okay, staying with you on PLI for a minute. What percentage of the EV volumes in second quarter qualify for PLI and will third quarter have the EV portfolio enjoying it?

Dhiman Gupta

So, Balaji , as I mentioned in Q2, 30% of our volumes quali■ed for PLI. In Q3 we have Nexon.ev also quali■ed which will probably add another 25% of our volumes and Harrier.ev will follow through in Q4. That would only mean that Curvv will not come under PLI because it's manufactured outside in our joint venture. It does not come under the PLI scheme.

P.B. Balaji

And then there's again Binay Singh, Dhiman to you. Other businesses ex-India, PV and JLR had a PBT of Rs. 389 Cr. Can you give a break up of this or you want to take it o■ine?

Dhiman Gupta

We'll take it o■ine.

P.B. Balaji

Let's take it o■ine. Binay we'll reach out to you. Richard, coming your way. I think you already cover ed, this is from Jinesh Gandhi. We expect the further cyber incident cost. You already covered that. Where do you expect depreciation to settle and when do you expect it to start rising as the new product launches?

Richard Molyneux

Okay, so I expect depreciation to settle roughly where it is at the moment and obviously it will start rising when the new products start launching the ■rst of the new products will still be the Range Rover BEV and that'll be next year. So until that point in time it will stay where it is and then it will tick progressively up as our new vehicles launch and then world production in general is normalizing. Nexperia. Okay, so Nexperia, I think the political tension seems to be dissipating. So the China authorities have opened up export to auto manufacturers. So that's generally good news and I think that we should welcome it. I don't think it's necessarily the end of the issue because you have to look at Nexperia's value chain. What they actually do is they use the wafers in Germany, ship them to China for processing and then export them from China. So during the period where they have had this, let's say, power struggl e, those shipments from Germany haven't necessarily occurred. And I think they ship about 8 billion wafers a year out of Germany. So there is more than possible that there will still be a supply hole as their value stream adjusts. We haven't seen it yet, but I am fearful of it. So we are keeping very aggressive in the market to make sure that we can ■nd alternative chip sources just in case that happens. So generally positive, but I would say we are not out of the woods on Nexperia yet. And I think I've answered the last question.

P.B. Balaji
Yes, you have. And Shailesh, the Nexperia impact on PV here?
Shailesh Chandra
Yes, so immediate impact we don't see. We have also been mapping our exposure to Nexperia on di■erent components. No immediate exposure, but we are watching very closely. We are taking alternative actions to see that our impact is less if there's going to be a real issue continuing with Nexperia.
P.B. Balaji
Okay, Dhiman, maybe I'll get this question onto you , in terms of margins of the PV business. Can you talk about how do we reach a double -digit EBITDA margin in our ICE PV portfolio? Is there a scope to improve margins on existing products or we expect pro■tability improvement only because of new launches?

Dhiman Gupta
No, it will be a combination of both. Not too long back in FY 24, we were at a 9% EBITDA margin. The last two years has been a tough operating environment given that our portfolio was largely less than less than 4 meter, which saw the maximum amount of stress and also discounting. So we've lost value in terms of adverse realization coming through the last two years. Commodity hit has also been fairly high this year for which we have not been able to take a price increase. So we should see reversal of that next ■scal. There is a strong cost reduction program that we run, which gives us anywhere between 1% to 2% year -on-year bene■t every year. It's just not visible because of all the other losses that we've got. Sierra should then make it more positive starting Q4. So de■nitely we have a pathway to a double -digit EBITDA margin.
P.B. Balaji
Okay. Thank you. I think there's one question on Agratas that's coming in, which probably I'll take it. This one's from Chandramouli, Goldman. Could you share an update on the cell manufacturing plants in India and Europe? Any timelines here?

I think the timeline that we had originally indicated, Chandr u, continues. So by end of next year, what we'd expect to stand up India ■rst and there is U.K. soon thereafter. So timelines, obviously, we are running against the clock on this one. It is stressed, but we will do our

best to reach there.
On the rare earth supply situation, Shailesh, would you want to pick up the piece there?
Shailesh Chandra
Yeah, so, on the rare earth, we had taken several actions as alternatives to ensure that this does not become a disruption for us. So initially, it started with, securing inventories and all, but later on, we also found alternatives in terms of, substituting the high rare earth in certain components. And we continue to do that in terms of exploring, eventually, to be, high rare earth free in many cases. So there are multiple initiatives that we have undertaken, but we don't see any exposure as far as rare earth situation is concerned.
P.B. Balaji
Staying with you, after the GST cut - this is from Kapil. After the GST cut is there a rise in ■rst time buyers? How are the numbers?
Shailesh Chandra
So, frankly, I would not have speci■c data on this, but there has been not a signi■cant change in percentage of ■rst -time buyers so far. And remember that, typically we see consideration to retail cycle of 60 days. So we still need to get those new customers who are not thinking of buying a car. It will take them 60 days to really start, really getting access on delivery of the car because they would have started considering after, say, 5th September. So still that part is going to play out. Right now, what we have seen that all the customers who had already thought of buying a car were inquiring about cars. They have found this opportunity to upgrade themselves to a higher segment car or a higher trim. So that's the feature that we have seen, but not a signi■cant change I have seen in terms of percentage of ■rst-time buyers. I have to again re-look at it if there is any change that I see in the data with the team.
P.B. Balaji
We also then talked about CAFE norms and why does the new draft have a lower credit for EVs?
Shailesh Chandra
So see, a t SIAM , we have already represented to keep it at a level of 4, possibly the current proposal would have just carried forward by default what was in CAFE 2. So the representation has gone, asking for a higher super credit for EVs given the extent of investments that we have to do in EVs as

compared to any other alternative technologies and the ecosystem challenges that we have. So there is already a proposal which has gone to be.

P.B. Balaji

Thank you. I think with this we come to the end of the Q&A session, also we are on the clock. So thank you all of you for the probing questions. It's fair to say a di■cult quarter and a quarter that will ensure that we learn from what we have gone through and then bounce back harder. So thank you for that and look forward to continuing to engage with you. Bye. TATA MOTORS

Connecting Aspirations

Call: Feb 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

National Stock E xchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra(E), Mumbai - 400 051

February 11, 2026
Sc no. - 18869

Dear Sir/Madam ,

Sub: Transcript of the Earnings/Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the earnings/conference call conducted after the Meeting of Board of Directors held on February 5, 202 6 on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of Tata Motors Passenger Vehicles Limited (formerly Tata Motors Limited) ('the Company') for the third quarter and nine months ended December 31, 2025.

The same is also available on the website of the Company at
https://cars.tatamotors.com/investors/financial -information/quarterly -results.html .

This is for information of the Exchange s and the Members.

Thanking you.

Yours faithfully,

Tata Motors Passenger Vehicles Limited
(formerly Tata Motors Limited)

Maloy Kumar Gupta
Company Secretary & Chief Legal Officer

Encl: a s above
Tata Motors Passenger Vehicles Limited
February 5, 202 6

Tata Motors Passenger Vehicles Group
Q3 FY26 earnings call transcript

MANAGEMENT :
MR. SHAILESH CHANDRA – MD & CEO, TATA MOTORS PASSENGER VEHICLES LIMITED
MR. PB BALAJI – CEO, JAGUAR LAND ROVER
MR. DHIMAN GUPTA – CFO, TATA MOTORS PASSENGER VEHICLES LIMITED
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
Presentation
Anish Gurav
Good day and welcome to Tata Motors Passenger Vehicles Limited Q3 FY26 Earnings Call. Today we have with us Mr. Shailesh Chandra, MD and CEO, Tata Motors Passenger Vehicles Limited; Mr. P.B.

Balaji, CEO, Jaguar Land Rover; Mr. Dhiman Gupta, CFO, Tata Motors Passenger Vehicles Limited and Mr. Richard Molyneux, CFO, Jaguar Land Rover and we also have our colleagues from the Investor Relations team. Today we plan to walk you through the results presentation followed by Q&A. As a reminder, all participants will be in listen -only mode and we will be taking the questions via Teams platform. The same is already open to you to submit the questions. You are requested to mention your name and the name of organization while submitting the questions.
I now hand over to Mr. Dhiman Gupta to take over. Over to you, sir.
Dhiman Gupta
Thank you, Anish. Safe Harbor statement, nothing material to report here. Our reporting segments remain the same. Commercial vehicle business is out I think last quarter post the demerger , everything else is the same. Next slide please.
In terms of key business highlights for the quarter, the domestic business has had a pretty busy launch calendar over the last couple of months, started with the launch of the Sierra, which got a phenomenal response. Punch, which is the leader in the subcompact SUV segment, received a phenomenal response in January. In between, we also had the launch of the 1.5 l itre Petrol engine for Harrier and Safari , in addition to the diesel and Harrier.ev versions we already have. We also crossed 2.5 lakh EVs on road, that's another milestone. And a lot more exciting stu■ that Shailesh is going to touch upon in the later half of the presentation. For Jaguar Land Rover, the topmost agenda for the quarter was to normalize the production post the cyber incident, but in between , there were also couple of exciting events, which showed the resilient and stre

ngth of its brand. The Defender won the
Dakar Rally in its debut, in its class. We also had very positive reviews from the first media drive of the new Jaguar on the media platforms. Next slide, please.
In terms of consolidated ■nancial performance, obviously tempered by the continued impact of the cyber incident at JLR, where we lost almost a month of production in Q3 . Consolidated revenue came in at ~Rs. 70,000 Cr, 26% down year -on-year, and slightly declined quarter -on-quarter. The JLR

incident o■setting some of the strong robust topline growth that we saw in India post the GST rate cuts. And the EBIT margin still in the red. It was negative 4.7% for the quarter, slight improvement quarter -on-quarter, both at JLR and for the domestic business. The loss before tax for the quarter before exceptionals came in at ~Rs. 3,100 Cr. I would like to call out that this excludes exceptional for Rs. 1,600 Cr: Rs. 800 Cr at JLR - additional impact because of the cyber incident , Rs. 400 Cr one-time Wage bill impact for India busi ness, and another Rs.400 Cr provision we have taken for the stamp duty impac t. FCF for the quarter was at negative ~Rs.18,000 Cr, largely bec ause of adverse working capital movement and operating pro■ts at JLR. The cumulative cash out flow for the quarter is about ~ Rs. 37,000 Cr and that re■ects in the consolidated net debt as well. Next slide please.
Already spoke about profit before tax for the quarter at negative ~Rs.3,000 Cr. The cumulative decline being ~Rs.9,000 Cr, almost all of it at JLR. The pro■t before tax for the India business flat on a year -on-year basis. Consolidated net debt for the group stands at ~Rs.39,000 Cr. The India business is cash positive at ~Rs.5,000 Cr, while JLR is at net debt of ~Rs.39,000 Cr. Next slide, please.
Richard, over to you, take through the JLR business.

Richard Molyneux

I'll pause on this picture for a second, because although it wasn't a quarter full of highlights, this was de■nitely one. So, as Dhiman said, Defender won the Dakar Rally. It's the world's most grueling o■ - road endurance race, and to win it at our ■rst attempt shows the true class of the Defender vehicle. So, we're proud of that. We move on to the next page.
So, the ■nancial summary is shown here. The cyber event cost us around 50,000 units of production, and that led to a wholesale result of 59,100 units in the quarter. The retails were almost 80,000 units . This drove revenue to GBP 4.5 billion, with average revenue per car, however, still rising. So, average revenue was GBP 76,000 per car, despite a weaker dollar environment. EBIT was minus 6.8%, better than Q2, though this is largely the e■ect of inventory build -down in Q2, relieving the balance sheet of som e manufacturing costs, and that e■ect reversing in Q3. I have already seen a couple of questions on this, so I will explain a little bit more later on. I mentioned at the end of Q2 that the main cyber -related cash burn would be in Q3, and it was. So, lower sales combined with recovering systems that allowed us to pay overdue invoices from the cyber stoppage, and we also settled and paid most supplier claims before their December year ends, which ampli■ed our cash burn in December. On a year -to-date basis below, including the e■ects of U.S. tari■s and cyber, we were minus 2.9% EBIT and negative just over GBP3 billion operating cash. As our plants are now back to

operating at full pace, we will look to build this position back in Q4 to end the year within our guidance levels. Next chart.
As per usual, I won't cover this. I have cover ed all the points i

n it during my comments, and this is for your reference.
Next chart.
Wholesales by brand is shown here, all impacted by cyber, but the relative performance is largely driven by the ramp up sequence of our plants, with Nitra, the home of the Defender, being the ■rst that ramped up, and Halewood and the Velar lines starting last. Hence, Defender wholesales were actually up on Q2, whereas Range Rover was down. On a full -year basis, Range Rover as a brand was down 25%, although that is led by the Evoque, which was down 41%. Defender is down less, and you

can see the e■ect of our run out of legacy Jaguar production as we turn full attention to the pre - production testing of the upcoming amazing cars. Nex t chart.
From a regional perspective, I referenced in Q2 that the long lead markets, especially overseas and China, had been protected from the immediate e■ect of cyber as they already had cars on the wate r. It was the UK and Europe that took the brunt of the hit in Q2, and therefore in Q3, this naturally normalized, with Europe and the UK both rising quarter -on-quarter, whilst China and overseas su■ered from the hole in their inbound shipments. So, it's best to look at the year -to-date numbers where the UK and over seas have outperformed the U.S. and China on a relative basis. This re■ects the pressures of tari■s in the U.S. and industry overcapacity, retailer margins, and luxury pushback in China. These are the two biggest car markets in the world, so when they both su■er simultaneously, the OEM 's world gets very di■cult. Next chart.
Walking from the same quarter last year when we made a pro■t before tax of GBP 523 million, so volume is the biggest element, 45,000 fewer units sold at 59,000 versus 104,000 last year. Duties continue to be year -over -year negative, cumulatively now with GBP 410 million adverse in the ■rst nine months of the year, and this is only partially o■set year -to-date by emissions. In the third bar, VME continues to grow as we try and secure order intake in retails in a very competitive environment. Retail incurred rates was 7.7% in Q3 versus 4.2% last year, with the biggest deterioration being in China. Whilst we continue to make some progress on material costs, we had two signi■cant warranty bookings for campaigns and buybacks that drove warranty higher, as you can see here. In structural costs, I mentioned the P&L e■ect of restocking, and ■nally dollar weakness continued in the quarter, and it combined with an upward re -rating of key raw materials. Though hedges o■er short -term protection to these trends, if they turn structural, then that is another challenge for us to face. Next chart.
Walking from EBIT through to cash, we delivered GBP 166 million cash pro■t after tax. Investment spending rose versus arti■cially low Q2 number as we paid invoices that were stuck through the cyber incident and made accelerated capital payments to a series of suppliers ahead of their ■nancial year ends. Working capital was signi■cantly negative from the inventory build -up and the lower volume quarter. Cumulative year -to-date working capital is c. GBP 1.25 billion negative, although a proportion of that will reverse in Q4. Next chart.
I mentioned investment earlier. And we are still in a heavy investment spend period as we build -up to multiple product launches over the next 24 months. Engineering capitalization ratio at 60% is lower than recent quarters, and that is due to the e■ect of cyber, meaning engineers were not able to progress work on vehicle programs that have passed their capitalization hurdles. This will grow back from Q4. Capi

tal, I have already referenced, was above trend levels in the quarter, but will also revert back to normal in Q4. Next chart.
So, to the business update.
Again, next chart. Looking forward, we have to face reality. The environment in which we are operating has changed rapidly and almost universally in an adverse direction. We recognize this will require us to adjust our business model, and we will share much more on this in our Investor Day in June.
In terms of the main issues, the ■rst nine months of our ■nancial year saw us pay an additional GBP 410 million in tari■s, and a bout of dollar weakness reduced the sterling value of the remaining dollar revenues. In the same months, we paid GBP 375 million more on sales allowances to drive order intake and retails. Emissions regulations outside the U.S. keep biting harder and harder year after year, and the UK government restricted on the spend side are signi■cantly increasing the tax burden.

And ■nally, in China, we have seen a 26% reduction in volume year -over -year, more of which on the next chart. Combined, this picture is not a very constructive business environment for JLR to operate in. Next page.

For China speci■cally, here is a little bit more background. On a market, it's highly dynamic and has spillover e■ects on almost all global markets other than the U.S. It's the biggest car market in the world, and at the premium end is shrinking, as you can see down 21% year -over -year, with luxury taxes hitting the very top end and domestic new energy vehicles attacking the bottom. A slowing market and rapid capacity build out has also led to a supply -demand imbalance in the market that is driving thousands of retailers into insolvency. You can see 5,000 there last year alone. This is not a short -term boom -bust cycle. This is structural and permanent in China, and JLR has until very recently weathered the storm well with volume reductions lower than the market. But in recent months, we've su■ered more severely. Our plan is simple. Manage retailer inventory to protect sales quality, drive demand through brand development, and leverage the run -out of our locally produced cars to focus purely on pro■table imported models, with our JV leveraging Freelander in the mor e mainstream market segments. So the ■nal chart.

Thank you. For the balance of the year, we have got 53 days to go. And whilst it's true that I can see more risks than opportunity as of today, we are recon■rming our guidance of greater than 0% EBIT and free cash ■ow in the range of negative GBP 2.2 billion to negative GBP 2.5 billion. We'll give you an update on FY27 and beyond at a later date, and that is another really good reason to attend our Investor Day that is going to be held in mid -June.

For now, that's all from me. I'll hand you back to Dhiman and Balaji. Thank you very much for your time.

Dhiman Gupta

Yeah, Anish, next slide.

Moving on to the domestic business, I think the ■ rst half of the year was a challenging time when we had seen demand slowdown, especially in the less than 4 meter segment and our market share had re■ected that - as shown in the graph over FY25, as that's the segment that we had the maximum exposure to. Post the GST cuts, we have seen a continuous strong rebound in our market share, which has improved about 1.5% from Q1 FY26 . We are mostly in the best position from a CAFE mix perspective, with a very balanced exposure towards petrol, diesel, EV, and CNG. Penetration in EV and CNG continues to improve, and in the year -to-date FY26, the penetration of EV and CNG stood at 43%. Next slide please.

In terms of the electric

vehicle business, very strong growth year -on-year, about 50%, with volumes moving on from 16,000 per quarter to 24,000. There was a slight concern on the sustainability of EV demand, because the GST rate cuts made the TCOs adverse, but the early signs are that our demand still remains stable. Our strategy of having EVs at various price points, plus all the value enhancements we are doing, as well as the lifetime warranty, has played out very well in the last couple of months and we have seen almost a 10% market share gain since Q1 FY26. Next slide please.

In terms of ■nancial performance, 24% topline growth. This was on the back of the record offtake volumes of 170,000 that we had in Q3 FY26. Demand continues to be very strong and we're looking for a positive end to this year . I think Shailesh is going to cover it. EBITDA margin and EBIT margin for the quarter stood at 7% and 1.2%, respectively, about a 1% gain on a quarter -on-quarter basis. Pro■t before exceptional items and tax stood at Rs.300 Cr ■at on a year -on-year basis. Next slide please.

As I mentioned, our PBT (bei) year -on-year was ■at about Rs. 300 Cr. We saw signi■cant gains coming through from volume and mix on back of the rising demand. We also had about Rs.178 Cr of increase coming in from incentives. Our incentives for the quarter stood at Rs. 361 Cr and accruals for the year stood at Rs.573 Cr. The accruals for PLI, I guess the obvious question is, what would be the steady state quarterly rate of PLI, but that's di■cult to comment, because the accruals end up being a little volatile depending on when we receive the incentives and the certi■cations for our products. The gains that we had on PLI and volumes were partially o■set by adverse realizations year -on-year , the high ■xed marketing expenses that we had to sustain for a very busy launch calendar , the D&A year -on-year was also about Rs.120 Crs higher. Largely because we hit the SOPs of Sierra, Punch MCE , and Harrier, Safari petrol engine in November -December itself so that we are ready for supplies in January. But the quarter -on-quarter impact next quarter will be much lower. Moving on to the next slide.

Shailesh?

Shailesh Chandra
Thank you, Dhiman. So starting with the industry, in Q3, the PV industry saw the highest ever offtake of nearly 13 lakh. This was on the back of festive period and GST tailwinds. The industry has been growing at a strong double -digit pace post GST 2.0, and that has been around 20% growth year -on-year in quarter three. Also , because retails were significantly higher than offtakes in Q3, channel inventory reduction has also been significant across OEMs and roughly 10 to 15 days of reduction one would have seen in quarter three. Also post GST 2.0, there has been secular growth across segments. Almost all vehicle segment and sub -segments have grown double -digit. In particular, few segments have grown sharp ly, which include the compact SUV, sub -compact SUV, mid SUV, and a few more. Coming to EVs, the EV industry has been growing sharply in FY26. And the growth was sustained in quarter three with 76% growth year -on-year. And this growth has been a result of new launches and a general positivity on EVs. Talking about Tata Motors performance, we recorded our best ever quarterly performance with a wholesale of ~171,000 and retails crossing for the first time 2 lakh mark, a growth of over 22% compared to quarter three of the previous year. The momentum sustained in Jan -26, where we achieved all-time high monthly sales of 71,000 units, reflecting a 47% year -on-year increase. As per Vahan data, we rose to the num

ber two position in the Indian market
with a 13.8% market share, which was an improvement of 100 bps versus Q2 of this financial year. In EVs also, we achieved our highest ever retails in Q3, driven by over 10,000 retails in the month of December. We also saw an improvement in our m arket shares in EVs with an exit market share of about 46% in December. Among our products, Nexon saw very strong demand of over 63,000 in Q3, emerging as the highest selling model in India. Punch also featured among the top three SUVs with the strong demand momentum post GST. Next slide.
Over the past few months, we have had several critical launches that will be key growth drivers for the business in quarter four and beyond. The highly anticipated Sierra launched to a very positive response. It secured 70,000 bookings on the first day and continues to see strong booking momentum. As we ramp up production for Sierra over the coming months, we will be able to serve this demand pipeline. And this will be a key growth driver for us. The launch of Punch facelift will strengthen traction for what has already been a very popular product. With the fresher aesthetics and enhanced competitiveness, Punch already recorded its highest ever volumes in Jan -26, backed by robust customer demand. Introduction of petrol variants for Harrier and Safari has widened our reach in the segment, enabling us to cater to a broader set of customers. We are seeing strong initial response for the petrol variants in the key markets. We also re -entered the fleet segment with petrol and CNG versions of Xpres , which will help us tap into the growing fleet segment. The key focus areas going forward, we are optimistic that industry will continue to witness sustained positive demand

trends and Tata Motors PV is well -positioned to maintain its growth momentum, supported by a healthy order book for current models, disciplined inventory levels, and incremental volume from recent introductions. In terms of EVs, growth will be sustained on the back of a reinforced portfolio and focused efforts on mainstreaming, including the charging infra. We will scale up production for Sierra to meet the strong customer demand, and from a profitability perspective, we will improve profitability through oper ating leverage from higher volumes, a richer product mix on the back of Sierra, Harrier, Safari interventions, and sustained structural cost optimization to offset commodity headwinds and enhance contribution.
So, back to you, Dhiman .
Dhiman Gupta
Moving on to the free cash flows for the domestic business, we have seen it about Rs. 300 Cr. The cash profit after tax less investment spend was adverse by about Rs.200 Cr, but there were positive working capital changes in the quarter on the back of high demand , resulting in FCF of ~Rs. 300 Cr . Next slide please.

Our total investment spending year -to-date is about Rs.3,800 Cr, running at a steady rate, and total Capex investments year -to-date has been about Rs.3,100 Cr. We expect to end the year somewhere around Rs. 4,200 Cr to Rs. 4,300 Cr for the full year. Next slide please.
Moving on to the outlook for the business es of the Group , obviously it has been a very challenging last couple of quarters for the Group on the back of the U.S. tariff in Q1, followed by the cyber incident . H1, was also pretty weak for the domestic business when there was a demand slowdown. However, we plan to end the year on a strong footing with the JLR production normalizing, a very strong demand recovery in India, and the JLR brand remains strong and resilient, which is very critical as it navigates

all the geopolitical uncertainties as well as exe

cutes its enterprise missions. In India, the refreshed portfolio and the new nameplate is introduced on the back of a very strong demand recovery. This serves very well to leverage the demand fully, as well as we are going to accelerate our structural cost reduction programs that S hailesh mentioned to improve on our pro■tability. Thank you.
I woul d also like to mention that we have our Investor Day sometime in June 2026, and just wanted to give that heads up so that you keep a look out for the dates that we will separately intimate

Question And Answer

Dhiman Gupta

Moving on to the Q&A section, a couple of questions already lined up. Richard, the ■rst set of questions coming your way. First one is, where is the breakeven in FCF for JLR in terms of wholesales per year? I believe it used to be around 325,000 units per year. Is that the case? How is your order book at the end of Q3? VMEs have signi■cantly increased year -to-date, reaching 7.7%. Where and when do you see them reaching peak levels?

Richard Molyneux

Okay, so let me go through that set of questions. So, it's fair to say that this year our cash breakeven is signi■cantly above 325,000 units, but that's a metric that's best used prospectively to judge how well the business is performing rather than retrospectively. Prospectively we will give you a proper update on FY27 and the years beyond in our Investor Day in June, so probably defer further

conversation of that until then. Our order bank is in a decent place at the end of Q3 and is higher than it was at the end of September, so we are building order intake relatively strongly. And I think the power of our brands is our biggest advantage, and I did mention the Dakar win early on, we are already seeing a direct in■uence of that on the order intake on Defender. So, Defender order intake is now around 10,000 units a month from the global press coverage and brand enhancement that things like Dakar have. So, we will focus on continuing to grow our brand and use that to pull through some of the problems that we face. But we will keep needing to spend money on VME, that's the third part of this question here. It did reach 7.7% in Q3. I expect it may go up marginally in the next six months, but after that point in time when we have run through the Jaguar's and we're starting to think through launching new vehicles, I would expect that to cap and start to come down. So, the peak level relatively close to that 7.7%. And in terms of your fourth part of your question, in the bond market, look, we're assessing it. I don't have anything to announce at this stage, but we're de■nitely looking at it.

Dhiman Gupta

Okay. Richard, can we take up a second question also from Kapil . JLR gross margins can you please explain the sharp improvement quarter -on-quarter, even high VME, what is the outlook on account of commodities and semiconductor prices?

Richard Molyneux

Okay. So, look, gross margins, the explanation is simple and complex at the same time. Whenever you build down inventory, you take manufacturing cost out of your balance sheet and charge it through the P&L. Whenever you build up in inventory, the reverse happens. So, in Q2, we destocked massively, because we weren't producing any cars. So, that meant that the P&L took a charge from the balance sheet for ■xed manufacturing and other overheads. In Q3, that reversed. That's the main cause of the di■erence in gross margin. It's simply a timing e■ect and the stocking cycle. You can see the ■ip side of that in our working capital numbers, because our working capital grew rapidly in Q3.

P.B. Balaji

So, just to support it – taka a look at the EBIT bridge that Richard has called out. It actually teases out the various line items in greater detail. What's it on mix, what's it on emissions, what's it on warranty, what's it on the labor and overheads that Richard just referred to. I think that will give you a good color on how the ■ow is happening. And beyond EBIT, we also have the impact of the currency as well. So, I think as you understand that sheet better, I think it'll give you all the answers that you're looking for.

Dhiman Gupta

Next set of questions from Jinesh, Richard, sending it your way. How do you see increasing competition from local brands in the luxury car segment? JLR debt has increased substantially due to operational disruptions. Do you expect to go back to net cash position in the next two-three quarters? How has tari■ transmission strategy evolved considering demand, environment, and production disruption? I think VME, you kind of already explained, you can skip that. Given the transitory and structural challenges, is there a case to revisit your Cap ex guidance? FCF guidance implies 4Q, FCF for 0.5 billion to 0.8 billion. Does it imply that 4Q production, wouldn't it have to be normalized?

Richard Molyneux

Okay, I'll start at the top. Well, in China, there is de■nitely a squeeze on the luxury segment, and that

is a squeeze from below in terms of the local new energy vehicles, but also a squeeze from above in terms of a general move away from luxury by the Chinese authorities, which is evidenced partly by their increase in luxury car tax thresholds in July, where they basically levied an extra 10% duty on all cars with a transaction price between RMB 0.9 million and RMB 1.3 million. So, there is a bit of a squeeze going on, and you can see that in all OEMs data in relation to China. We are going to make sure, as I referenced earlier, we do not overstock that market and that we rely on the power of our brands to pull through sales. Accepting that in the short term, that is going to mean that we hurt a bit in China, but we will protect that market for its long -term abilities to grow. Our debt has increased. It will certainly not get back to net cash over the next two or three quarters. That is going to be something that takes a little bit more time. You can see from the fact that we started the year with GBP 250 million roughly of net cash. We will lose in our guidance between GBP 2.2 billion and GBP 2.5 billion FCF and additionally paid a dividend of circa GBP 450 million during the year. So, you can work from that where we will end up this year; and then, as I said beforehand, we will give you guidance on FY27 and beyond in our investor day, but is not something that is going to disappear over the next two to three quarters. It is more embedded than that. Tari■ transmission strategy, it's a good question, but one that is really di■cult to answer. So, we did increase our prices in the U.S. and we increased things like delivery charges and various other mechanisms to try and recover some of the duties. Market forces then overtake and what you ■nd is we are probably compensating a fair amount of that now in terms of increased VME , as all manufacturers globally su■ering in China and some other markets, look at those markets, which are still robust and try and push sales. So, it's a really good question. It's not quite so easy to answer in terms of how much of our price increases from the tari■ changes have actually stuck and how much have been compensated by other market forces. Next one, yes, it was partly due to

the Jaguar phase -out. So, the only vehicles in Jaguar that we are currently producing, and that's only for another few weeks, is the F -Pace, where we are building some stock for the U.S. market. Other than that, we are literally in the r un out of all old Jaguars. I have mentioned VME before. Capex guidance, I think, will be GBP 3.6 billion, GBP 3.7 billion from what I can see today. And your point around F CF is correct, that GBP 0.5 billion to GBP 0.8 billion positive is where we are heading and what we need in order to meet the numbers that we have committed to , and Q4 production has normalized. So, the majority of our business is focused on Range Rover, Range Rover Sport and Defender. Those vehicles, the ■rst two were produced in Solihull. The last one is produced in Nitra. All of those plants are now back fully running at capacity and there are no residual cyber issues in those two plants. So yes, Q4 will return to normal. I mentioned beforehand t hat we took exceptional charges related to cyber in Q2 and Q3. We will not do so in Q4.

Dhiman Gupta

Thanks, Richard. Moving on to the next set of questions on JLR, how do you see CY26 outlook for North America, Europe, U.K. and China? Can you indicate launch timelines for RR EV? Can you indicate Q3 production of factory inventory, and is the production going to be around 110,000 and I think some commentary around incentives in the U.S.?

Richard Molyneux

So, I've tried to cover demand generally. China is de■nitely the most challenging market at the moment. The rest of them are okay, but not a lot better than okay. I think I would say. Where's that question disappeared to? Sorry, if you could keep it up on screen that would really help me.

Dhiman Gupta

Just hold on Richard. Just a minute.

Richard Molyneux

Okay. Well, I'll tell you what, let me go into product launches. No, here we go. I'll wait.

PB Balaji

One second, Richard. Just hold on now.
Richard Molyneux
That's all right. I'll hold it. I'm trying to see if I can ■nd any questions for Shailesh and Dhiman.

Dhiman Gupta
I'll take the next question.
P.B. Balaji
Yeah, go for it. Pick it up.

Dhiman Gupta
Shailesh, the next question coming your way; for India, how much was the commodity impact expectation for Q4? What was the blended price hike in January? Can you indicate the blended discounts for per vehicle in Q3 ? What is the current outstanding volumes for Sierra and what would be the current capacity? Will March capacity be at 15,000 units?
Shailesh Chandra
There are multiple questions. Can you just -- just go one by one, please?

Dhiman Gupta
First question, how much is the commodity impact expectation for Q4?
Shailesh Chandra
So, we can't give guidance of what the commodity expectation was for Q4, but generally we have been seeing even in the last few quarters it has been about 1.7% to 2% of our revenue. We are still assessing what is going to be the impact in Q4. What was the next question?
Dhiman Gupta
What was the blended price hike taken in January?
Shailesh Chandra
We haven't taken any price hike in January. We are yet to take, but in February, we are going to take . The exact percentage increase we are going to announce whenever we take it.
Dhiman Gupta
Can you indicate blended discounts per vehicle in Q3?
Shailesh Chandra
Blended discount would be, somewhere around 3.5% to 4% of our revenue.

Dhiman Gupta
And also, that's not all the consumer discount, it also includes the industrial deals .

Dhiman Gupta
What is the current outstanding booking for Sierra? What would be the current capacity and will we be increasing the capacity to 15,000 units a month by March?
Shailesh Chandra
Yes, we can't share with you the current status of the bookings, but I can clearly tell you that 70,000 is what we had announced on 16th December. It's, of course, in six digits. As far as the capacity is concerned and ramp up, I think in Jan we were able to supply about 7,000 units and the deliveries started only from 16th Jan. So, we are clearly in a ramp up phase and the ■rst, even before I talk about in -house ramp up, the ■rst level problem is, on the supply ramp up from the suppliers itself. And also, there is a clear signal that one is seeing that industry volumes have also increased from 350,000 to nearly 420,000 a month in the last three -four months we have been seeing. And therefore, at Tier 1 to Tier 3 supplier level, especially , let's say, for example, castings and all, we are seeing that there is general capacity constraint that is coming. So, we are working on enhancing the capacities and ramping up the supplies from the suppliers. In-house capacity ramp up is happening to the extent of capacity, which has been dedicated to Sierra in our Sanand 2 factory. But we are also increasing the capacity further in two phases in the next ■ve to six months. And therefore, the waiting period, which today would be, say, around six to seven months, should progressively come down as we ramp up and further ramp up with the enhanced capacity in the next ■ve to six months. So, that's broadly the commentary on the status of Sierra, bookings and capacity ramp up.
Dhiman Gupta
And move on to the next question. That's from Kapil. How much PLI was accounted in the quarter and what was the percentage of the portfolio getting PLI?
So, Kapil, I think we put that in the IR deck, the total PLI for the Q3 was about Rs. 361 Cr and Rs. 573 Cr for year -to-date in the ■rst nine months. And about 40% -45% of our revenues are eligible for PLI

incentives and that's what we are accruing and that should go up even more when we move to Harrier docking.
Shailesh, I'll direct the next question to you as well, I think current booking numbers, I think Shailesh already answered the question on bookings and capacity for Sierra. The next question is on how to look at guidance for demand on Harrier and Safari volumes post the 1.5 litr e petrol launch, how are we thinking on Curvv volumes post the Sierra launch? And how do you see growth outlook for domestic PV industry and Tata Motors for next quarter and FY27, how does the product pipeline post Sierra look like?
Shailesh Chandra
Okay, the ■rst question was on?
Dhiman Gupta
First question was on how do you think of the demand for Harrier
Shailesh Chandra
Harrier, so yes, Harrier, I think petrol is going to - indications basis, the bookings that we have, which has been ■owing is about 30% to 35% of our volume should come from petrol. Right now, we are

again on the ramp up phase, because as I said that there is common engine sharing between Sierra and Safari, so we are distributing in a balanced way the engine supply. So, again it's more of capacity side issue, which I think we will be able to overcome in the coming months. So, strong bookings, extremely strong, strong bookings we are getting for Harrier and what we are realizing that these customers were only looking for petrol, there is no overlap with diesel

or electric is what we see. As
far as Curvv is concerned, there are certain interventions that we are taking on the product and we are partic ularly seeing, December onwards we saw that there has been uptake in the demand for this Rs.15 lakh to Rs.20 lakh segment of EVs in which Curvv .ev falls and we have seen a signi■cant spurt of demand there. And I would say that Curvv is a car, where it's a unique design, ■rst time being seen in India and therefore, it's going to take time just like we had seen for Nexon, when you bring a new design, it takes time for design to be assimilated and accepted in the market, so we are quite optimistic about Curvv going forward progressively increasing in volumes. What was next question, Dhiman?
Dhiman Gupta
So, the next question was how are we looking at demand?
Shailesh Chandra
Yes, 2026 and Q4.
Dhiman Gupta
Yeah.
Shailesh Chandra
So, the ■rst month of quarter four was about 14% growth for the industry, we were at about 46%, we clearly see that the growth of industry in Q4 will be around 13% to 14% kind of a zone. We should be 40%, roughly that kind of a growth rate. So, we expect that for FY26, therefore, the industry would grow by about 8% to 9%, rough estimate, I would say. Whereas for us, we should be somewhere in mid -teens. So, it would be a double -digit industry -leading growth for us.
Dhiman Gupta
Okay. And if you could take the last question, Shailesh, how does the product pipeline look post - Sierra?
Shailesh Chandra
Yeah. So, I think this is something which you will have to wait for. There are clear nameplates, three nameplates that we have talked about in the next 4-5 years. But beyond Sierra, we are also going to get a lot of refreshes, model -year interventions, and also the mid -cycle enhancements for the current portfolio also. And of course, there are EVs, which are going to come, this Punch EV, which is going to come very soon. You have Sierra EV, which is going to get launched. And as I said, mid -cycle enhancements and new launches, which we'll talk about later on.
Dhiman Gupta
Okay. Shailesh, one last question before I move back to Richard. How do we assess EU trade deals implications for the India auto sector? Does it potentially cap Tata Motors premiumization trajectory in the UV segment? And conversely, are we revisiting localization strategies for the JLR portfolio?

Shailesh Chandra
Okay. So, ■rst part I'll answer. We have very less details about the European trade deal. But basis, whatever we are reading and whatever information we have, we clearly see that it's not going to impact in any big way as far as our strategy and journey of premiumization is concerned. Any player,

who has to compete effectively in India will have to localize with whatever we are reading in terms of the duty rates, which will still remain. So, there's no impact immediately for sure. But over a period of time also, not localizing in India will have a difficult strategy from a strategy perspective for any player. By just exporting, it will be very difficult. But yes, it does give, some flexibility for big players from Europe to experiment with few models in India before they commit to investments here, is wha t we would say.

P.B. Balaji

Building on Shailesh's point as far as JLR localization strategy is concerned, you recollect we already have localized Range Rover and Range Rover Sport here in India in terms of CKD manufacturing. That strategy, obviously, from a commercial perspective, whatever makes sense is what we will do. So, we will continue to see how the thing evolves. Before the EU deal does anyway, there's already the UK deal. That's what the first one that's primacy for us, which we need to see how best we can leverage it to the best of our ability. So, very much work in progress on that front and we'll talk more about it in the Investor Day.

Dhiman Gupta

Yes. I think moving on to the next question , I will go back to Richard. any insight on product launches along with rough timelines in FY27 for JLR, especially Range Rover EV, and Jaguar ramp -up.

Richard Molyneux

Yes. Of course. So, look, plans are always adjusting, but as of now, we're going to launch the Range Rover Electric this year and start delivering to customers. And we'll also unveil the new production Jaguar car this year. And finally, also unveil the first car off our EMA platform. That's a unique new model from the Range Rover family that's going to get built at Halewood. So, we are approaching a really, really busy launch period for JLR in the next couple of years. Again, we'll give you more details on timings e tc. at the Investor Day.

Dhiman Gupta

Yes. Moving on to the next question from Binay. I think some of these questions have already been taken up by Richard. Our next quarter is going to be a normal quarter for JLR. I think on PLI incentives accrued for the quarter and year -to-date have also been answered. I think a few questions from Binay and Gunjan on EV margins. I think the EV margins move up and down depending on the rate at which PLI is being accrued. And it's not a normal rate. So, I will kind of request you to reach out to the IR team and we can take you through the details.

Yes. Richard, next question, I think you've partly answered, but if you could take this up on, can you cover how we should think about VME and warranty costs, which have continued to go up?

Richard Molyneux

Yes. So VME, I think, is an industry trend at the moment. As I have mentioned, there are, the China market is shrinking for many OEMs and that is increasing pressure in other markets for all OEMs to try and access the sales. So, I mentioned beforehand, I do think it is near peaking, but it may have a little bit further to go over the six months. So, nothing more to say other than that at this point.

Dhiman Gupta

Okay. Next question from Nishit, how are the dealer inventory levels across markets? Are they much below normal given that we've not been able to supply? Next question, I think VME questions, you

have already answered a couple of times. Warranty expenses remained high at 7.7% of sales, any quarterly related one -offs there? And how could you sustain it in the next one or two years? And the last question, how should one look at sustainable EBIT margin levels between FY27 and FY28?

Richard Molyneux

Okay, so I'll try and cover this. Dealer inventory levels, certainly in some markets such as the U.S. are fairly low at the moment. I was in the U.S. earlier this year and there are large numbers of dealers, who normally would have vehicles all over their front lots, where it was fairly empty. So, dealer inventory in the U.S. is tight. We are filling it now, but it has been fairly tight as we work to basically refill our supply chain following cyber. That is temporary and it will relieve itself during Q4. There was a question I can remember on warranty, and yes, there were one -offs in this quarter to the tune of c. GBP 100 million related to one -offs in campaigns and buyback provisions in the USA. So, we are not

running at a normalized rate of 7.7%. It is a lot lower than that and we intend these one -o■s to stop as quickly as we can.
Dhiman Gupta
Moving on to

the next question, I think from Rakesh, I think ■rst half of the question is kind of already taken. Moving on to the next part, can you please update on Freelander rollout plan? It appears it is going to be sold outside China as well, and which all markets and the royalty income arrangement?

Richard Molyneux
Okay, so Freelander is also going to start production I think this year. It will be initially for China only, but when we announced Freelander, we did say it would be available for global rollout over time, and that I think is still the case. It will be managed by our joint venture in China between ourselves and Chery, and look, obviously there is a royalty arrangement within that. I am absolutely not going to comment on what that is. However, we are very much expecting that vehicle to be, or that vehicle and vehicles, because it won't end up as being just one to be a big success.
Dhiman Gupta
Okay. Thanks, Richard. The next question, also your way, EBIT margin guidance was 5% to 7% before the cyber -attack. What would the range be possible ahead? Our key models, Range Rover, Range Rover Sport, and Defender are in niche premium categories. Its competitive intensity from Chinese OEMs high in these categories in North America, Europe, and China, and media reports indicate Chery Automobile is in early -stage negotiations to use JLR production capacities in UK and any comment on that?
P.B. Balaji
So, the second one. The second one, we don't comment on speculative reports, so wouldn't want to comment on that. Richard, the ■rst one, I'll give it back to you.
Richard Molyneux
Yeah, so absolutely right on that. So, EBIT margin 5% to 7% before the cyber -attack. Always di■cult to say. I would suspect we would have been close to the bottom end of that range before cyber. The fact that foreign exchange, a little bit of VME et c have moved to adverse to us quite signi■cantly over that period means I think we would have been around the bottom end of that. In relation to Range Rover or Range Rover Sport and Defender, look, Chinese OEMs are coming, and they're coming globally. So far outside of China, there hasn' t been that much of an impact in terms of the segments of the markets in which we operate. Because the one thing Chinese OEMs do not have is brands. And brands is where we are focusing , our unique selling point, along with the capabilities of the

vehicles, which sort of emphasize those brands. So, there's two choices. Either the world goes completely protectionist, in which case they're protected from Chinese cars, but with considerable disadvantages, or it goes free trade. JLR prefers a free trade model. It is a better model for JLR, and we welcome competition. It will force us to be better. So, are we concerned? Yes. Are we paying close attention? Yes. Are we frightened? No.
Dhiman Gupta
Okay. Shailesh, next question from Kapil, your way. We mentioned that margins will improve from Q4 FY26, led by Sierra launch and price hike in Jan -26. How much price hike have we taken? Can you please give an update if you are on track to improve margins in light of commodity pressures?
Shailesh Chandra
So, as I said in one of the earlier replies that we are going to take price increase this month. And we will be able to tell you the extent of price increase whenever we take it. Sierra, of course, has enhanced our margin. Also, the VME, which was very high in earlier quarters, has come down. So, you can clearly see while the commodity price pressure remains. But as a result of all these actions and the tailwinds that we have in quarter four with very low

inventories at the start of quarter four, so
you can de■nitely expect a much better margin as compared to what you had seen in Q3..
Dhiman Gupta
Thank you. And Shailesh, I'll hand it back over to you to take the last question for the day. From Kapil, is there a big change in ■rst -time buyers for Tata Motors and for the industry after GST cut, which segment of cars are ■rst -time buyers going for more?
Shailesh Chandra
I cannot give you o■hand what has been the increase in ■rst-time buyers, but yes, there is a delta increase that we have seen in ■rst -time buyers. Maybe separately we can ask the Investor Relation team to give that information to you. But the segments which have really responded well, post -GST

2.0, I also mentioned it seems, is the subcompact SUV and the compact SUV segment, which has seen growth much higher than the average growth that we have seen of 20% in this segment. Maybe these two segments would be more upwards of 30%, or maybe 25%, 26% or so. So, these are the two segments, which I'll say in the less than four -meter category which has seen signi■cant traction. Post GST 2.0, I think mid -size SUV segment also has seen a growth better than the average growth of the industry, but that is also to do with the new launches. So, it's a combined e■ect of new launches as well as general reduction in GST rate.

Dhiman Gupta

Thank you. Thank you, Shailesh, and that brings us to the end of the Q3 FY26 call. See you on the call next quarter, and in between, you should hear from us informing you about the details of the Investor Day in June. Thank you and have a good evening.

Note – this transcript has been edited for readability & any inadvertent errors.

Call: Jun 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

National Stock E xchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra(E), Mumbai - 400 051

May 20, 2026
Sc no. - 18920

Dear Sir/Madam ,

Sub: Transcript of the Earnings/Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the earnings/conference call conducted after the Meeting of Board of Directors held on May 14, 2026 on the Audited Standalone and Consolidated Financial Results of Tata Motors Passenger Vehicles Limited (formerly Tata Motors Limited) ('the Company') for the fourth quarter and financial year ended March 31, 2026.

The same is also available on the website of the Company at https://cars.tatamotors.com/investors/financial -information/quarterly -results.html .

This is for information of the Exchange s and the Members.

Thanking you.

Yours faithfully,

Tata Motors Passenger Vehicles Limited
(formerly Tata Motors Limited)

Maloy Kumar Gupta
Company Secretary & Chief Legal Officer

Encl: a s above
Tata Motors Passenger Vehicles Limited
May 14, 202 6
Tata Motors Passenger Vehicles Group
Q4 FY26 earnings call transcript
MANAGEMENT :
MR. SHAILESH CHANDRA – MD & CEO, TATA MOTORS PASSENGER VEHICLES LIMITED
MR. PB BALAJI – CEO, JAGUAR LAND ROVER
MR. DHIMAN GUPTA – CFO, TATA MOTORS PASSENGER VEHICLES LIMITED
MR. RICHARD MOLYNEUX –CFO, JAGUAR LAND ROVER
Presentation
Anish Gurav
Good day and welcome to Tata Motors Passenger Vehicles Limited Q4 FY26 Earnings Call.
Today we have with us Mr. Shailesh Chandra, MD and CEO, Tata Motors Passenger Vehicles Limited; Mr. P.B. Balaji, CEO, Jaguar Land Rover; Mr. Dhiman Gupta, CFO, Tata Motors Passenger Vehicles Limited; and Mr. Richard Molyneux, CFO, Jaguar Land Rover and we also have the colleagues from the Investor Relations team.
Today, we plan to walk you through the results presentation followed by Q&A.
As a reminder, all participants will be in listen -only mode and we will be taking the questions via Teams platform. The same is already open to you to submit the questions. You are requested to mention your name and name of the organization while submitting the questions.
I now hand over to Mr. Dhiman Gupta to take over . Over to you sir.

Dhiman Gupta
Thank you, Anish. Let's start with the key highlights for the year, FY26.
A story of two halves for the India business - started with muted volumes in H1 but a very strong comeback in H2 where we were consistently ranked number two in Vahan market share on the back of demand for our popular brands and the new launches. On the way, Punch also emerged as the fastest growing SUV to reach 6 lakh cars on road in four years. Moving on to JLR. A difficult year indeed for JLR, but one which also demonstrated the continued resilience of its House of Brands as it realizes and it prepares itself for adding exciting new products in its portfolio over the next 12 to 18 months, starting with Range Rover EV.
Consolidated financials - with the normalcy of production at JLR, all the consolidated financial metrics are looking up. Revenue comes in at ~Rs. 105,000 Cr for the quarter , up 7% year -on-year on the back of strong India growth story and the currency appreciation. PBT before exceptionals for the quarter was Rs. 7,200 Cr and FCF was Rs. 11,000 Cr, as we managed to unwind some of the working capital reversals that we saw in Q2 and Q3.
For the full year, all the metrics remained down as it was impacted due to two lost quarters of production at JLR. PBT for the year was Rs. 2,500 Cr, and this excludes about Rs. 4,100 Cr of except

ionals for cyber, the labor
code impact in India and the stamp duty charges for the demerger. Next slide, please.

The Board has approved a dividend of Rs. 3 per share. The cash outflow for the dividends will be about Rs. 1,100 Cr. This will have to be approved in the ensuing shareholders' meeting. Just to put the numbers in perspective, erstwhile Tata Motors paid Rs. 6 in dividends for the last two years. The TMLCV has announced Rs. 4 of dividend in the results meeting yesterday. So this actually represents a total dividend of Rs. 7 in the year when the demerger was undertaken and an increase over the Rs. 6 that we have paid for the last two years.
Next slide.
The net debt for the year ending March 2026 was Rs. 30,000 Cr, largely representing the Rs. 25,000 Cr of consol cash burn and the Rs. 2,200 Cr of dividends that we paid last year. PV remains cash positive at about Rs. 7,000 Cr, while the net debt at JLR stood at Rs. 33,000 Cr.
Over to you, Richard.

Richard Molyneux
Thank you. Can you hear me okay?

Dhiman Gupta
Yes Richard, go ahead please.

Richard Molyneux
Let's go to the next chart, please.
So as expected, we did recover strongly in Q4. We had 95,000 wholesales, revenue of nearly GBP7 billion and EBIT of 9.2%. That's only a little lower than our bumper Q4 last year , and is actually the same EBIT level as we achieved two years ago. FX revaluation did hold PBT back a little bit further, but we returned to being significantly cash positive, generating GBP829 million in the quarter. This performance allowed us to achieve our external guidance for the year. So we ended up with 0.7% EBIT , within our 0% to 2% guidance. And we ended up at the better end of our cash guidance , with full year cash loss just over GBP2.2 billion versus a minus GBP2.2 billion to minus GBP2.5 billion range. Having said that , and delivered what we promised in Q4, it is accepted that our full year financial performance is far from what we had intended when we started the year. So corrective action is necessary. Next page.
So I won't go through this as per usual. It contains all the points I'll cover off in the presentation , here just in the summary form , in case you want to refer to it. Next page.
You can see wholesale volumes here by brand. Defender, in particular, continues to defy industry norms and go from strength to strength through its life cycle, up quarter -on-quarter and year -over -year in Q4. And although Range Rover was down versus Q4 last year, almost all of this was accounted for by Evoque and Velar , with core Range Rover and Range Rover Sport fairly flat year -over -year. The biggest change , and one fully planned for , was Jaguar, down 5,700 units versus Q4 last year , as we progressed towards the new brand and the new product. On a full year basis, on the bottom row, we achieved 308,000 wholesales with again, Defender, Range Rover and Range Rover Sport showing the strongest performance. Next chart.
So here's the same data by region , where actually the more interesting data is the full year data in the bottom row of the chart. The biggest change was the US, where tariffs made some derivatives and channels non -viable. But we also significantly reduced our retailer stock levels in the US and those are the ones that we had deliberately brought up at the end of last year , prior to the tariff introduction. So there's a bit of a pre -tariff,

post -tariff correction i

n there. China is down 27% year -over -year versus FY25, reflecting the impact of the new luxury taxes that were issued in July and also general market downturn requiring us to also reduce dealer stock levels to protect sales quality. In other regions, sales were consistently plus or minus 15% down from our very bumper FY25. Next chart.

So this turns back to the financials and shows the walk from PBT in Q4 last year, which was GBP875 million to this year's GBP458 million. Volume and mix was GBP44 million negative, and this is much lower than you would naturally expect from losing 16,000 units, but the mix offset was really strong - Range Rover, Range Rover Sport and Defender was 77% of our sales in the quarter versus 66% last year. Tariffs and duties were negative GBP114 million, but offset in the quarter by the removal of reserves from Federal CAFE regulations in the states that were triggered in the quarte r. On a full year basis, our incremental tariff costs were around GBP525 million with over half of this being offset by lower US emissions impacts. In the next column, VME, it do es continue to rise. It is at 7% versus 5% last year. And although we made savings in material costs, our warranty costs remained stubborn despite the focus that we have in this area. The other main change was in FX , on the right -hand side, where sterling continues to strengthen versus the dollar, which hurts us. The average rate in the quarter was $1.36 versus $1.25 last year. And this leads to the operational variance of minus GBP265 million, of which about half was offset through our hedging gains. The revaluation of bonds and other liabilities was negative as there was a spike down in sterling right at our year -end to close at $1.32 . So that explains the walk down through to PBT. Next chart.

This looks at the cash flow walk but on a full year basis. So cash profit after tax of GBP1.9 billion was impacted by tariffs, cyber, et c. And at that level, it was only half of what we achieved last year and insufficient to fund our in -year investment needs. This was exacerbated by adverse working capital, as you can see on the right - hand side, as lower volumes drove lower payables. Next page.

A little more detail about investments on this page. On a full year basis, we spent GBP3.57 billion, of which GBP2.6 billion was engineering as we progressed three new architectures towards their launches. Investment was largely in facilities for those vehicles in our UK plants and also for the new BEV powertrains at our propulsion facility in Wolverhampton. Engineering capitalization rate was marginally lower than FY25 at 64%. Okay. Go to next chart.

Right. So , from the numbers to a little bit more qualitative business update, and I'll start this, as you might expect, with the Middle East conflict. There are several impacts from this conflict. On the demand side, sales in the Middle East, which represents 6% of our total sales mix, they will be hit in Q1. And do note that given our wholesale recognition points for sales in this region, there was very negligible impact of the war in our Q4 results. We do expect this demand impact to be temporary. We see no lack of underlying demand or interest in our brands or products in region. On the supply side, input price increases are certain to happen, either directly through utility costs or freight rates or by the many components that are sensitive to petrochemical prices. As of yet, however, we have not seen any component shortages resulting from the conflict, and that was one of the fears expressed earlier in the year. On the expectation that there will be some form of resolution to come, most of the effects that I've spoken about should prove to be largely temporary. However, many of the other pressures in our industry are more enduring and structural

, and these are on the next chart.

The splintering and volatility of geopolitics creates challenges from increasing protectionism, differing electrification appetites and technology concerns that, for example, mean we have to duplicate large parts of our ADAS developments. This adds a very painful cost burden directly to the P&L and cash flow. Inflationary pressures I've mentioned, but even before the Middle East conflict, they were visible in commodity prices with aluminum and copper, for example, being much higher than last year. And supply chains that have taken many years to establish are getting challenged by rules of origin requirements, potential made in Europe rules and shipping lane power struggl es.

Finally, it's not just the growing nature of the regulatory framework, but particularly it's volatility that hurts long lead time capital -intensive sectors such as ours. Note, however, that almost everything I've mentioned on this chart is related to the supply side of our business equation. So to look at the demand side, please flip to the next chart.

So on the demand side, the situation is more stable for us. You can see the summary here. Demand for Range Rover, Range Rover Sport and especially Defender remains very strong, the latter boosted by Rally Win,

Defender Trophy, hard -top derivatives and of course, the Oasis tour tie-up. Regionally, North America is holding up well. It is a growth potential market for us. The UK and Europe are doing okay. And China, after a very challenging year, seems at least to be stabilizing. So, given this new world order in supply and demand side of our business, what's our response? Next chart.
The first part of our response is with an intensive launch of products that embody and embolden our brands. Range Rover Electric, Range Rover Sport Electric will be the first into production, followed by the reveal of the production version of the new Jaguar Type 01. And quickly after that, the launch of the first EMA car, a Range Rover. I've driven all of these cars and both the design and the engineering are staggeringly good. But we know that we need to change internally to be fit for the new world order. And this is what we're doing through our missions on the next chart.
We've consolidated these to five, launch excellence to drive the success of the products I just described; three focused on our cost base to build back margins, and then the foundational work on our processes, data and systems to enable speed and efficiency. Together, we're targeting GBP1.7 billion of savings over two years to bring our breakeven volume back down towards 300,000 units a year. So, what does this mean for FY27? Next chart.
Our priorities are to grow our top line through our brands , whilst resetting our breakeven volume and delivering multiple launches flawlessly. We'll give financial guidance at Investor Day in June. So , a great reason to join us here in Gaydon. That's going to be on the 17th of June. Don't miss out. On that note, I'd like to conclude and hand you back to the team. Thanks for your time.
Dhiman Gupta
Thank you, Richard. Anish, next slide please.
The story of two halves that we mentioned at the start of the call, playing out in these charts . A tough H1 for us and a very strong rebound in H2 with GS T 2.0 and the new launches, exiting the year with more than 14% market share and consistently being ranked number two in Vahan. The CNG and EV penetration continues to improve, and it's now greater than 40% of our portfolio and the favorable powertrain mix reflecting in being well below the

CAFÉ 2 norms. Next slide, please.
A similar story for EVs, a strong recovery from Q1 onwards with the proactive steps that we have been taking towards mainstreaming of EVs and ending the year with a market share of over 40% and delivering a 43% wholesale growth for FY26. Next slide, please.
The favorable industry demand tailwinds and the new launches helped drive two record quarters for us, delivering offtake volumes of 170,000 in Q3 and over 2 lakhs in Q4 FY26. This resulted in a 50% top-line (revenue) growth year -on-year and driving sequential improvement in profits from Q1 to Q4. We ended the year with 9.4% EBITDA margin for the quarter and 4.7% EBIT margin. The PBT before extraordinary expenses in Q4 stood at Rs. 1,100 Cr. For the full year FY26, while the top line(volumes) grew at 15%, the EBITDA margins and the EBIT margins remain muted given the adverse pricing impact we saw for the first nine months of the year, along with the steep commodity increases that we have been taking in through the year. Next slide, please.

A very strong PBT improvement year -on-year, largely coming from fixed cost leverage, the Rs. 750 Cr improvement on the back of higher volumes. You will see that the variable cost, which is normally positive for us, is a loss muted because the 2% cost reductions that we have done has completely gone to absorb the commodity increases that we have seen. And last year, we didn't take any price increases. The year -on-year PLI benefit for the quarter was almost Rs. 300 Cr. The PLI accruals for FY26 crossed Rs. 1,000 Cr. Next slide, please.
FCF for the quarter came in at about Rs. 1,700 Cr, both from strong operating profits, favorable working capital, and we also had about Rs. 500 Cr benefit of tax refunds that came in this quarter. FCF for the India business for the year stood at about Rs. 1,900 Cr. Next slide, please.
Capex for the year stood at about Rs. 4,300 Cr that translated to about 7.5% of revenues, well within the guidance range that we gave from the combined Cap ex for PV and EV. Next slide .
Over to you, Shailesh.

Shailesh Chandra
Thank you, Dhiman. So, a quick business update. We delivered the record volumes and attained number two position in H2, which was supported by GST 2.0. But let me first start with what happened in the industry first. After a muted first half, which saw flat volumes and subdued consumer sentiments, the PV industry witnessed a rebound in H2 with 17% growth year -on-year, propelled by GST 2.0, a favorable monsoon and policy tailwinds like repo rate cuts, income tax relief. And for the full year, the PV industry touched a new high of 4.7 million units, which was 8% year -on-year growth. Post GST 2.0, growth has been sharper for compact SUVs and mid-SUV segments where our portfolio is well anchored. At the same time, there has been growing preference for greener powertrains with CNG and EV segments growing by over 20% and 80% year -on-year, respectively. In

particular, the EV sales have seen a step jump this year with over 2 lakh units sold, which has been driven by greater participation of OEMs and more positivity among customers. In April and May, demand momentum for the industry has sustained at a very high level, which augurs well for the coming months and quarters. That said, all OEMs will need to closely monitor the impact of ongoing geopolitical developments and take respective actions to mitigate the adverse business impact , if it may come.
Talking about TMPV performance, which is FY26, it has been a defining year for Tata Motors PV. We closed the year at a record 6.42 lakh units, delivering over 15%

growth year -on-year, nearly twice the pace of the broader
industry, which grew at 8%. The exi t momentum has been equally encouraging. Q4 saw record volumes exceeding 2 lakh units for the first time with 37% growth year -on-year. We have really seen a step jump in our volumes in H2. During this period, we consolidated our position as the number two player in the domestic market basis Vahan data with a market share crossing 14%. Our products continue to see very strong demand across the board. In particular, Nexon and Punch held number one and number three spots, respectively, among all models in the industry during H2 FY26, reflecting deep and sustained customer preference for these two models.
In addition, this was a year of intense launch actions for us, which have really strengthened our product portfolio. Our launch of the much awaited Sierra marked a highly successful comeback for the iconic product this year. At the same time, the launches of new Punch and petrol versions of Harrier and Safari have strengthened our SUV portfolio. On the back of product interventions in Tiago and Altroz in 2025, we were also able to drive industry beating growth in hatches. And on the EV side, the introductio n of Harrier.ev and enhanced Punch .ev has strengthened our portfolio and offered a better value proposition to customers. As most of these launches were in the latter part of the year, we will benefit from the full year impact of these launches in FY27.

Coming to EVs, we recorded our best ever performance with 92,000 units sold, 43% year -on-year growth. We sustained our market leadership in EVs with over 40% share despite a significantly more competitive landscape with both established players and new players entering the fray. This outcome is a result of key launches this year as well as our deliberate efforts to lower adoption barriers for EVs through product s offering higher range, price parity with ICE, faster charging and lifetime warranty, which was complemented by ecosystem initiatives like TATA.ev mega charging hubs. CNG has also been a core driver of our growth in volumes. CNG volumes are now 27% of our portfolio in the past year, and our growth in CNG outpaces the industry as we sold over 1.7 lakh CNG vehicles. You can change the slide.
Looking ahead . For the industry, we see a constructive demand environment ahead, which is reflecting in the first two months of the financial year. That said, we'll have to closely monitor the West Asia situation with agility in our supply chain to mitigate adverse impact. TMPV will look to deliver industry -beating growth in FY27. And for that, our growth levers are well in place. We have a healthy order book across models, lean channel inventory and are seeing strong sustained traction across models, which will serve us well in the coming quarters. In addition, we'll introduce new launches in a timely manner to strengthen our portfolio and enhance overall demand levels. To drive retail momentum, we will leverage impactful marketing initiatives and expand our network while ensuring that the network remains healthy. One major focus area for us will be to ramp up production for new launches and enhance capacities to serve the demand levels that we are seeing. We'll also be mindful of the evolving geopolitical situation and we will take proactive steps to build greater supply chain resilience. For the coming year, key levers for our profitability will be improving mix, operating leverage and cost reduction. Given the commodity cost headwinds that we are seeing currently due to the West Asia crisis, intense cost reduction actions will be

crucial to offset some of the bottom -line impact. And in the coming years,
CNG and EVs will continue to be growth drivers for the industry. Hence, we will capitalize on this trend with our strong CNG and EV portfolio, along with the key front -end actions to drive growth.
So to sum it up, FY26 has been a strong year for the business. The result reflects the cumulative impact of foundational actions that we have been taking over the past 18 to 24 months, combined with agile and disciplined execution, especially in post -GST 2.0 environment and as we enter FY27 with clear momentum and a well -defined road map to deliver industry -beat ing growth.
So with that, I'll hand it over to Dhiman.

Dhiman Gupta
Thank you, Shailesh and Richard. In short, I think the priorities ahead for us are very well laid out. Demand in India is healthy and the ramp -up in production and supply chain resilience will remain our foremost priority, along with mitigating actions for input cost increases that we are likely to see. EV mainstreaming actions involving extension of battery ranges and red ucing the acquisition cost of vehicles are being executed at full

speed, and we shall see further actions through the year.
JLR is entering a crucial period, which will see it add exciting new products to its house of brands and needs to be executed flawlessly. Enterprise cost-out missions to deliver the GBP1.7 billion savings is going to be our top priority so that we can take the cash breakeven volumes down to 300,000 again.
Next slide, please. Before we get into the Q&A session, I just wanted to remind you that we'll have our Analyst Day sessions in June, starts with Jaguar Land Rover on June 17, and we'll conclude with the India session on June 23. So look forward to seeing you there. Thank you.

Question and Answers
Dhiman Gupta
Shailesh, we will start with you. First set of questions from Binay Singh. Could you give us a sense of what is the kind of commodity headwind that we have seen and we are likely to see and how we are thinking of passing it on? Also, the second question is how do we see our EV volumes step up from here? It's been growing. And is it expected to improve the net pricing? And the third one is on the percentage of portfolio where we are getting PLI. I will take that at the end.
Shailesh Chandra
Okay. So quickly on commodity headwind, we see a nine to 12 -month kind of a picture, including how we are seeing things this quarter. The impact has been somewhere between 5% to 6% of revenue, definitely upwards of 5%. And as Dhiman already mentioned previ ously that we have not been able to pass it on any price increase last year because H1, there was a very low consumer sentiment and demand was under stress. And then in the second half, government's effort of bringing down the GST rates, we could not take the price increase also to be aligned with the intention of what government had brought down the GST rates to. So definitely, we have not been able to pass on this to the market. There have been intense cost reduction efforts, which has yielded us about 2% of revenue reduction. We also took about 0.5% increase in April. And , the cost reduction efforts , we are further intensifying. Having said that, there will be still residual stress of commodity impact that we are seeing. And therefore, we are actively considering some level of price increase in the coming month, but not decided as yet. So that's on Commodity headwinds .
On EV volume run rate, yes, it has been consistently around 24,000. Rather in quarter four, we were at 27,000 roughly. We are consistently hitting a monthly

run rate of 9,000. Demand is extremely strong, especially after
the Mid dle-East crisis unfolded. Hopefully, we'll start ramping up further beyond 10,000 from this month onwards. So, we are very optimistic about EV demand growing from here on. And that's it. These are the questions. And then you have to answer that percentage .
Dhiman Gupta
Shailesh if you could also , I think you spoke about Sierra volumes ?

Shailesh Chandra
Okay. Sierra volume, as I said, that we have received tremendous response to Sierra when we had launched the car. And since then, the demand and bookings have been consistently coming very strong. For us, the challenge has been on the supply side. And particularly, this has been because of one or two suppliers, especially on the casting side. It's a new engine, as you know. And we have faced ramp -up challenge. But we have taken a series of corrective actions, including additional suppliers to overcome not only the constraint that we are facing now, but to ramp up the production of o ur engines. The immediate milestone for us would be to cross 10,000 and then we have plans to further increase the production of Sierra in the coming months. And next quarter, we should also be launching the Sierra .ev. So that will further require additional capacity, but all of this has been planned.
Dhiman Gupta
Thank you, Shailesh. Binay on your last question on PLI, almost two-third of our volumes last year was accredited with PLI. So that accounts for about Rs. 1,000 Cr accruals that we took in last year.
Moving on to the next question. Richard, this is coming your way. I think there are a lot of related questions on this one and the next one. So I'll ask them one by one. One is, if you could give , I know we are not giving any specific guidance till our Investor Day, but anything you would want to mention on the demand conditions you

see in your key geographies?

Richard Molyneux
Yeah. I think I covered that off in my comments on the charts. I think North America as a region is still one where we have growth potential. Our brands resonate really well there. And if you look globally at where the high net worth and ultra -high net wor th individuals are, it's still in the States. So the States still has opportunity for us. I think the UK and Europe are stable. And China, as everybody knows, has been through a very, very difficult period, but we have readjusted our retailer numbers and also our retailer stock levels, and we see things at least in the short term, stabilizing where they are.
Obviously, the Middle East, I've also covered off in discussions, and the other overseas markets are reasonably stable as well. So , to be honest, the biggest issues that we're facing, and again, I mentioned this, are more on the supply side as a result of the conflict in the Middle East and other issues. Demand for the moment is slightly a secondary concern.
Dhiman Gupta

Okay, any update on the Range Rover EV launch timelines and what kind of pre -bookings you are seeing?
Richard Molyneux
Yes, it's coming very, very soon. It will be the first of our EV launches, and we've got three reveals coming during the second half of this year. So we don't have pre-bookings. We have expressions of interest, and there are 78,000 of those at the last count. So that's where we stand. It's coming. I've driven it, and it is fab.
Dhiman Gupta
Thanks, Richard. I think another linked question to this that's coming later. Any comments on , with the expected fuel price increases we are seeing in Europe, are we seeing any shift in demand for EVs? And second is, does it have

any implications on our investments or launch time lines for EVs?
Richard Molyneux
Yeah. So let me take that as well. So I think we're seeing a couple of things. First of all, generally, across the market, there has been an increase in Internet search for EV vehicles over ICE vehicles as consumers are really focused on the prices that they can see at the pumps. It's affecting us a little bit less, to an extent. Our consumer base, which is more in the high net worth individuals, they are less concerned than the average about the actual price at the pumps, but they do get concerned when there are issues around supply. So where things stand at the moment, I don't think that's having a direct and significant impact on our demand. I'm sorry, there was a second part of your question as well, which I've forgotten.
Dhiman Gupta
Does it have any implications on our launch timelines or the investments on EVs as you're seeing?
Richard Molyneux
Launch timelines, no. It in and of itself, i.e., the war in the Middle East , is not going to change our investment plans on the assumption that it is resolved in a reasonable time frame. However, the geopolitical split between markets which are continuing to accelerate fast towards BEVs, those that are starting to accelerate fast in the other direction and those that are stuck in the middle does mean that we will have to rebalance our investments over time to ensure that we have ICE offerings globally for longer. So we are in the middle of doing that. Nothing specific to announce today. But obviously, like many manufacturers, we are going to need to ensure that we can offer both ICE, PHEV, MHEV and BEV offerings in parallel for longer than we originally thought we would need to.

Dhiman Gupta
Thank you. Next question. Richard. How are we seeing the Chinese OEM competition increasing in Europe and UK? And what does it mean for JLR and its House of Brands?
Richard Molyneux
So they're definitely coming. The best plan that we have in relation to the Chinese imports is to rely on our brands, essentially to fight them where they are not. So we have vehicles that superbly embody the brands , and the brands are very strong. So, we expect to be able to use that to operate in a space where we have at least a level of protection versus these imports. Obviously, there are also geopolitical issues as to tariff structures made in Europe and various other things that are going to play into this. But at the moment, and it is working, we will use our strengths, the strengths are our brands and the products that superbly embody them.
Dhiman Gupta
Thanks, Richard. Shailesh, moving on to the next question. This is from Kapil. India EVs, can you talk about the demand environment? And how long -term are you thinking of EV profitability versus ICE?

Shailesh Chandra
Okay. So demand for EVs has significantly grown since the Mid dle East crisis started. If I have to just attribute what was the percentage of growth in the bookings, which has started flowing versus pre-Middle East crisis,

which started in Feb, I think the jump is nearly 25% to 30%. Our booking jump is much stronger also because of the new launches that we have done. So , extremely strong demand. The issue is supply. It will completely depend on ramping up, how fast we are able to ramp up the volumes. But as I already mentioned , that from this month onwards, we are already trying to increase the production by additional 10%. And in future, we are also ramping up beyond that. It is all about alignment with the suppliers.
The second question was more in terms of long -term profitability o

f EVs. Already, it's quite strong, but it is also
supported with the PLI. But I would say that long term, if you see the trajectory of cost as far as ICE vehicles are concerned is inflationary because of the impending emission regulations, technology that you will have to embed in the ICE vehicle to meet continuously stringent emission norms in the future is going to make it inflationary, whereas the trend of cost is significantly deflationar y in EVs and that will continue. So therefore, strong cost reduction programs. I mean, even in the last three, four years, there has been significant cost reduction, much, much higher than ICE. And therefore, the combination of these two trends will not only give opportunity for EVs to be completely at price parity, but also from a profitability perspective, it will keep growing stronger.
Dhiman Gupta
So. Balaji, next two questions for you. One is the partnership with Freelander with CJLR, are we planning to take Freelander globally? And the second question is, what will be the revenue streams from JLR from Freelander?
PB Balaji
Yes. Thanks, Dhiman. Freelander is our JLR brand, and it has been licensed to Chery for manufacturing their car. And it will be manufactured in the CJLR factory, which is co-owned by Chery and JLR. And therefore, the products that we have been making in CJLR have run their course and this factory would have otherwise idled. Now we have a very extremely interesting proposition of resurrecting our brand, Freelander, which has been there with us for a long time and rebuilding it in , while using the Chinese technology. It is Chery's car other than the design aspect, which we are involved in. Thereafter, it's a Chery car, and it is going to be first sold in China, and then they'll have to make up their mind where they want to go ther eafter. For our revenue stream, the main one is

royalty for the brand that we have given to them. The brand is still owned by JLR, and that's the reason why we are involved in the design of it. As far as another piece that will come through is that CJLR utilization and the toll conversion will be the second revenue stream as 50% of that does come through. And those are the two fundamental ones.
Dhiman Gupta
Thank you, Balaji. Richard, I'll hand over the next question to you. This is from Binay again, Morgan Stanley. JLR ASPs trended down quarter -on-quarter, while the share of RR and Defender went up. If you could talk us through this. Also the gross margins went down quarter -on-quarter. And some color on inventory levels of JLR across the geographies amidst all the geopolitical issues you are seeing on freight.
Richard Molyneux
Yeah, sure. So ASPs were down marginally Q-over -Q In sterling terms I think it was about GBP76,000 to about GBP72,000. Biggest individual elements in there are sterling, which got stronger against the dollar quarter -over -quarter. So in Q4, it was about $1.36, I think, and in Q3, much closer to $1.325. So that's one impact. And obviously, then there's some regional mix issues as well. But Range Rover, Range Rover Sport and Defender being stronger was the offsetting effect.
Gross margins went down quarter -over -quarter. That is a little bit to do with higher VME levels and also some charges that we had to take within the warranty space. So those are the two biggest impacts there. Inventory is quite tight. So partly as a result of the lost production that we had through the cyber incident, we took retailer stocks down, particularly in the US, I mentioned this in my talk earlier on. So , we started the year with stock levels in the US that

were a little bit too high, but deliberately because we had anticipated that tariffs would
come in and we wanted to get the vehicles in market beforehand. And at the end of this year, they're back proba bly even a tiny bit below where we would normally want them to be. So we're not with excessive inventory across any region. The US is not overstocked. Obviously, MENA at the moment, we have some dealers that are actively running out of vehicles as it is more difficult to get them vehicles into their importer ships . So JLR inventory is in a better place at the end of FY26 than it was at the end of FY25.
PB Balaji
So, Richard, just to add to that, philosophically, being a luxury OEM, we would want to keep our inventories tight, and you should expect that to continue going forward as well .
Richard Molyneux
Yes.
Dhiman Gupta
Thank you, Richard , Shailesh, if you could take the next two questions. One is a follow -on to JLR. What is the

kind of inventory levels we are seeing in India? And second, given the demand of some of the models, what's the kind of waiting period you are seeing?

Shailesh Chandra

Yeah, so quickly on dealer inventory, we are right now at about 20 day level. So waiting periods for us would be ranging from four to eight weeks. In general, I'm saying for certain models, of course, like Sierra and all, it is quite high and so is for certain EVs. In terms of the growth, the other question that you had asked, the growth from an industry perspective, if you see, industry will grow very strong, and I am pegging the number around 10% because the first half of last financial year was a low base. And therefore, in H1, you are going to see very strong double -digit growth coming on the back of that because let's say, first 1.5 months of this financial year, the demand remains very strong, carrying forward the momentum of GST. And that will continue with some level of plus/minu s 1% or 2% depending on how the fuel prices play out in the coming months and how , to what

extent the commodity prices are passed on to the market. But I don't foresee too much of an impact given that there was a 13% drop in GST, which was done. So significant headroom in terms of what can impact the consumer sentiment. So therefore, I would still bet that industry will grow somewhere around 10%, espe cially it will be high double -digit growth in H1, and then it will moderate in the H2 with the high base. As far as Tata Motors is concerned, I think this year is going to be more a supply challenge for us rather than demand. Demand is significantly high for us. And therefore, the effort is to ramp up, enhance capacities, both at our end as well as suppliers end. And we'll have a phenomenal industry -beating growth because this year, we already mention ed that last year, we have launched in H2, three, four models, which I talked about. But this year also, it's going to be an intense product action year for us. These two new nameplates and four facelifts that we are going to launch, both four facelifts each for ICE and EVs. So it's an intense product action year. So, we have to really work on the supply side.

Dhiman Gupta

Thanks, Shailesh. I'll come back to you for the next question, too. I think you mentioned about the commodity headwinds. If you could clarify whether the 5% to 7% increase in commodity prices are already in our P&L in Q4, or is it yet to come? And how should we look at the commodity headwinds going forward?

Shailesh Chandra

Yes. So you know, I'm just giving you a ballpark number of 5% to 6%. I would say 2%, 2.5% would have come last year and significant increase in this quarter, which is expected beyo

nd that. So roughly, you can imagine
3.5% to 4% increase, which we are expecting this quarter.

Dhiman Gupta

Yes. And Nishit, just on the last part, the commodities are probably going to be elevated and also volatile. And like I said, as part of our priorities, cost mitigating actions need to be planned. We hadn't taken any price increase last year and the entire 2% input cost increase we had absorbed through cost reductions. We had announced a 0.5% price increase in April. And obviously, we'll keep monitoring the situation and see we can keep taking any measured price increases depending on how the market evolves.

Second is our volumes have gone up by 50%, and there's been a massive effort in scaling up our productions and our supply chain. And as the volumes kind of normalize, we'll be able to optimize and further benefit from fixed cost leverage. Third is our cost reduction programs are very, very robust, not able to see the benefit last year because of the commodity increases that offset. But given the robust volume increases that we are seeing, we should be able to be in a good position to drive it up further. Bu t yes, this is how to offset this would be top of our radar next year.

Shailesh Chandra

I just want to add, Dhiman, that just to be careful in terms of how we are going to approach this whole situation as all the cost reduction levers Dhiman talked about, including mix improvement, what we'll pass on to the market will be which does not disturb too much of value creation for the customer, but whatever we must to also protect the margin, we will do that, but it will be a very careful balance between the two.

Dhiman Gupta

Thank you, Shailesh. Next question, Balaji, your way. Reduction of breakeven to 3,000. We've been constantly .

PB Balaji

300,000.

Dhiman Gupta
Sorry, 300,000. We've been constantly reducing the breakeven points for the last few years. How do you plan to do this? And in some way, does it reflect our volume outlook also?

PB Balaji
It will be fabulous if we get to 3,000 units on breakeven, but that's for another day. But having said that, getting this back to 300K, if you recollect that we did bring this business to breakevens of 300K to 320K not so long back. But since then, there have been multiple moving parts. One, of course, is tariffs coming in, things have changed. The mix is starting to do very well for us. But of course, as we go forward, we'll need to ensure with EVs coming in, we should be able to keep the mix.
Then, of course, is with the currencies moving the way they have, that has obviously meant that you also had, your main costs are in pound sterling. That's there. And lastly, of course, as commodity inflation, everything kicks in, you will have a stress on that particular part of it. So therefore, this is a number just like similar for Tata Motors, you are looking at costs everywhere. We will obviously have to do it from our end as well.
We are fundamentally looking at three areas that we are going after for the GBP 1.7 billion. First is the entire end-to-end delivered cost all the way from raw materials. If you look at our organization changes that we have put in place, we have stood up procurement as a separate vertical reporting into the Board. So that's a clear move to signal the importance of st rategic procurement because in the recent past, it has also meant that because of the challenges on supply chain, we have been having consistently , it's fair to say that we haven't had the time and effort to actually focus on the strategic side of it. So t hat's one area we are looking at. And of course,

as new product starts launching, we should be in a better position to manage the entire end -to-end supply chain. That is number one.
Second, an area which has not delivered for us is the whole warranty space. We've been talking about it for a while. While my IPTVs are improving, quality is improving, products are actually performing to what they expected to, cost of repair has shot through the roof, particularly in markets like the US, and other OEMs are also having the same challenge. So we need to up our game on that front. That's the second area. And of course, the amount of investments that we have done on IT, digital, et c., it's an area which needs to deliver productivity for us. Cyber has shown that there are areas we could still do work in terms of simplifying our IT landscape, et c.. So that's the reason we have put a CIDO on the Board as well. So there is en ough and more opportunities to look for on this. That's the reason we have quantified it in a two -year period to deliver GBP1.7 billion. So we should start working on that and the numbers should start reflecting from the second half of this year itself. So that's the whole plan.
Dhiman Gupta
Thank you, Balaji. Richard, last question for the day. You spoke about VME, how are we looking at VME going into FY27?
Richard Molyneux
I think generally, it is relatively stable. I think it remains to be seen in China, how the industry absorbs the extra 10% luxury tax that was implemented in the middle of last year. But we are not seeing it rise considerably from the levels that we saw at the back end of the last financial year.
Dhiman Gupta
Thank you, Richard. I'm just waiting for one more question that has come. I'll just take that. Yeah. Raghu, is there a decline in other expenses on JLR? Richard, if you could take this and I'll take the last one. Is there a

decline in other expenses for JLR year -on-year and quarter -on-quarter?
Richard Molyneux
Yes, there is. You'll find that the majority of that is actually exchange -related in terms of a reasonably good hedge gain this year versus the opposite effect last year. So it's largely that. There is some central cost reductions in terms of very centralized expenses, but the biggest element within there is exchange.
Dhiman Gupta
Thank you. Shailesh, if you could talk about exports and what's the outlook for FY27?
Shailesh Chandra
So last year, we had a 4 times jump in exports to 10,000 plus units. And this year also, we are targeting anywhere between 70% to 100% kind of a growth, depending on how we are able to ramp up our production and then further add to our portfolio in South African market. So the timing will be important. So it can be anywhere between 70% to 100% growth.
Dhiman Gupta
Thank you, Shailesh. And the last question for the day, Raghu, the question is Rs. 471 Crs PLI that we accrued in Q4 FY26, was there any prior period item? The answer is yes. We had about Rs. 90 Crs pertaining to Q3, which -- for which the product got certified in Q4, so we claim benefit. So without that, the number would have been

about Rs. 380 Cr. Thank you.
And thank you, everyone, for joining our results call for Q4 FY26. Just to remind you all, our Investor Days are in June – 17th June for JLR and 23rd in India, and we look forward to seeing you there. And for any assistance that you would need, please do reach out to our IR team.
Thank you, and have a great evening.

Note – this transcript has been edited for readability & any inadvertent errors.